UltraTech Cement Ltd. (ULTRACEMCO)

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“UltraTech Cement Limited Q2 FY-23 Earnings
Conference Call”

October 19, 2022

MANAGEMENT : MR. ATUL DAGA – EXECUTIVE DIRECTOR & CFO,
ULTRA TECH CEMENT LIMITED

Moderator : Ladies and gentlemen good day and welcome to the Q2 FY23 Earnings Conference Call of UltraTech Cement Limited. We must remind you that the discussion on today's call may include certain forward -looking statements and must be therefore viewed in conjunction with the risks that the company faces. The company assumes no responsibility to publicly amend, modify or revise any forward -looking statement on the basis of any subsequent development, information or events or otherwise.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Atul Daga – Executive Director an d CFO of the company. Thank you and over to you, Mr. Daga .

Atul Daga: Thank you so much. Good evening and a very warm welcome to all of you to this earnings call of UltraTech Cement. As was expected, this quarter has not been good for the industry as well as ourselves alike. Lots of things happened which went not in favor of the industry, which are clearly reflected in our numbers as well.

Let me talk about all the negatives first and there are lots of good things also to talk about :

Firstly, the monsoon as you are already seeing everybody is aware monsoon s have been so erratic. It seems to be a dramatic ecological change that is taking place in the country. Excessive monsoons have been there almost all parts of the country, except maybe some areas like Tamil Nadu , Assam and Meghalaya , which saw lesser rains, delayed exit of monsoon has been causing some amount of pressure on cement consumption and construction activity and i t remains to be seen how the delayed exit of monsoons will impact the crops. We'll have to wait and watch.

Cost is the next item which I would want to touch upon and as I had mentioned in the call during our last quarter , the costs are still elevated, contin ue to remain high, primarily driven by the rising prices of fuel. There was a brief period of merriment when petcoke prices dropped to 170 and everybody thought that this reduction is permanent. I'm sure many players interested in petcoke would have booked some contract s between 17 0-190. But t oday, as of yesterday in fact, the prices of petcoke are back to (+205). There was some news about Venezuela n supplies as well. However, we were advised not to venture into Venezuela supplied with the US sanctions .

Coal is stuck around $3 00-$350. Softened up a bit, but still very high. Not yet worth buying for most of the cement players as there is significant arbitrage in petcoke. Few years ago it used to

be opposite. Petco ke was expensive as compared to coal.
In our analysis, the geopolitical situation continues to be the driver for determining the cost s or the trends or the direction in which the fuel costs will move. China is always the sleeping giant . Today the Chinese ec onomy is down, but I'm sure China will revive open -up at some point or

the other. Europe has started its coal fired engines because of the ongoing war in Europe , in the Russia European war which is also sucking a lot of co al supplies.
Our view is that fue l costs will remain high due to the ongoing geopolitical scenario. Albeit, we have seen the worst on coal and pet coke prices. Hopefully they should not go up further. Crude has softened a bit, but we'll have to wait till the government decides to pass on t he benefit to industrial consumers. We have to wait and see in the manner in which it is passed on and how much is passed on.
During this quarter, UltraTech has completed shutdown wor

k on almost 19 of its kil ns out of the
total 43 kilns. Maintenance costs have been higher because of inflationary pressure on refractory brick cost and other maintenance costs. Prices were under pressure towards the end of May '22 and they saw a continuous slide. Monsoon s don't see any opportunity in increasing prices. However, the first available opportunity that the industry saw, I believe in pockets where demand has been good, price increases have been attempted. Some price increases have settled, some have not settled in the country. Typical of the Indian cyclical cement ind ustry, the season for cement starts after the festive season is over, which is after Di wali. So, Diwali ends on 24th and maybe 25th of this month and you should start seeing improvement in the market sentiment on all factors after that only.
One negative aspe ct about the rising prices of fuel is large cash flows are getting blocked in costl ier working capital. After enjoying a long run of negative working capital, we ha d no choice but to give up the ga ins w ith rising costs and identifying pockets of opportunities to buy cheaper fuel, we have increased consciously, we have increased our inventor ies which has resulted in increase in our working capital. However, I am confident that in the next 6 months as volumes go up as the cost of purchase of fuel st abilizes , our working capital will go back into the negative working capital zone before the end of this fiscal year. There is no reason why the industry will not take prices up since the margins are continuously under pressure.
Let me now talk about the p ositive side :
Demand has been good and that is the most important factor, most heartwarming factor from our perspective . On an increased capacity, we increase d about 4.5 million tons of capacity YOY. O n an increased capacity our domestic volumes have grown about 10%. This could have been higher but for the heavy monsoons . Improvement in capacit ies bode well for profitability and cash flows. Good capacity utilization is the key. Good capacity utilization would easily help increase prices.
This year and the next year definitely can be delivering a double -digit growth. Why? Well, because the first half itself at UltraTech we have recorded about an average of 14% growth despite a we ak monsoon quarter. As you are all aware that demand starts picking up post Nove mber and March is a peak period. Definitely we should be able to deliver double digit growth this year and next year as well.

During the quarter we've commissioned about 32 MW of renewable energy taking the total to 318 MW which makes it to 5. 6% of our to tal powe r consumption. An additional 5 MW WHRS was also commissioned. Bi rla White continues to strengthen it s position in the industry . Putty expansion that we had undertaken 4 lakh tons of additional c apacity , it's under trial production and we hope to commercialize the plant before the end of this month or mid - November. Imports from Rak White will further s trengthen the brand presence in the country. I believe the first shipment will happen during this quarter. We have been steadily growing our construction chemicals business which recorded revenues of about 132 crores, up from 82 crores last year.
On our growth plan we are again ready to ride the high demand cycle with additional capacity getting commissioned. During the reported period we commissioned Dalla br ownfield expansion of 1.3 million t ons ending this quarter at 115 .85 million tons of capacity. Pali, greenfi eld plant and Dhar brownfield expansion is almost ready to roll out production and we should see commissioning of these plants in the October -December quarter.
We are on course , on track to reach 131.25 million tons of capacity by the end of March '23 which will be fully available for the next fiscal year to meet the rising de

mand and generate
additional cash flows for the company and the shareholders. All this capacity expansion is being met out o f internal accruals and this year we expect cash outflow on CAPEX of anywhere between 6000 crores to 7000 crore s. We have already done in the first half of I think 2900 or 3000 crore s of cash has already been spent on C APEX in the first half. The phase 2 expansion of 22.6 million t ons which was announced last quarter , work has commenced almost 500 crores of spending has taken place on advanced payments, labor mobilization, some sites civil work has already started. This is going to take us to our next miles tone of 153 million tons of capacity by '25-26.

A quick update on ESG ; we continue to focus on reducing CO2 emissions with several collaborations and global tie -ups. Four of our key cement products have been granted environment product declaration. It's c alled EPD. This is a key step in our endeavor to drive sustainability in our business with a lifecycle approach. With this UltraTech green product portfolio includes more than 70 GreenPro certified products. We continue our focus on improving our blending ratios this quarter yet again we have gone up to 1.4 1 as our conversion ratio, blended cement continues to rise. Blended cement has reached about 71% which helps us meet our targets to reduce our carbon emissions. In the end, I'll conclude by saying that I believe cement is going to see a good time in the next few years and for which UltraTech is very well prepared. Thank you and over to you for questions.

Moderator : Thank you very much sir. We will now begin the question -and-answer session. The first question is from the line of Sumangal Nevatia from Kotak Securities .

Sumangal Nevatia : My first question is with respect to the energy costs. I missed the opening remarks. If you see both the coal and petco ke it's been quite volatile. It correcte d from the p eak sharply but again

has started increasing. So, if you could just elaborate. I mean how do we see on consumption basis our power and fuel cost shaping up in the next two quarters?

Atul Daga: We believe that this quarter, the July-September q uarter was a peak cost and we should start seeing marginal reduction in our consumption cost in the next two quarters.

Sumangal Nevatia: Is it possible to quantify?

Atul Daga: No.

Sumangal Nevatia: Okay, generally how many days of inventory are we carrying or have we increased our…?

Atul Daga: Our normal norm is about 45 days and this time we have consciously gone up to 55 days. That is why I spelt out our working capital increase also taking place.

Sumangal Nevatia: Understood, that's helpful. On t he RM cost we read the comment and also that index which you shared on the fly -ash, it's up 8% -9% quarter -on-quarter which is a bit unusual. Is it possible to share? What sort of inflation are we seeing in other RM s like sla g, gypsum and also is this seaso nal one-off spike?

Atul Daga: Yes, Sumangal t his is one -off. What happens is that in case there is a power plant shutdown, so you have to s ource fly -ash from a next available power plant which will be obviously further away , so the transportation cost goes up. There is no pattern that you can establish accordingly on fly-ash costs.

Sumangal Nevatia: Okay, understood. Just one last broad question on the overall M&A , there are a lot of media reports on say JP Assets, India Cement and few regional players in east and west. How do we see the M&A activity shaping up in the sector and given our market share, what sort of inorganic growth appetite do you see for UltraTech?

Atul Daga: All I can share with you is to allay the confusion i n mind s of several people that given our size we will get restricted on consolidation. But t he geography is wide open for UltraT ech to consolidate th

rough inorganic ro utes also. As and when some opportunity surfaces in any part of the country, we will exam ine it.

Moderator: The next question is from the line of Amit Mura rka from A xis Capital.

Amit Murarka: On the cost side, like in the presentation it s mentioned that the power and fuel cost was $200. The fuel was $200 per ton. This includes the domestic co al sourcing as well or this is the imported fuel cost.

Atul Daga: This is import ed fuel cost. Domestic coal for us is a very small percentage, 7% to 8% only.

Amit Murarka: Last time in the last call, you had mentioned that there w ere some cargo s of Russia n coal and all which was taken. So, was that there in this quarter and t he sourcing is continuing as of now?

Atul Daga: Yes, it has started getting into consumption in this quarter and it was an opportunistic trade. In case something again surfaces, we will examine it.

Amit Murarka: On the petco ke, the spot prices, could you just share some light on that? Like, what is the spot

petco ke? Is it closer to like 200 or is it gone beyond th at also?
Atul Daga: Beyond 200 now. I mentioned on the call Amit 205.
Amit Murarka: Okay, I missed that.
Moderator: The next question is from the line of Ri tesh from Invest ec.
Ritesh: Couple of questions, f irst one is you indicated you are open to inorgan ic growth. How should we look at it? What are the things that you look at which will make us attract to the asset?
Atul Daga: You see, our fundamental premise for evaluating any asset is a profitable growth opportunity. I'll pay a price on which I am able to generate return for shareholders and we will buy an asset where we can increase our market presence. Also, I mentioned that India is a wide -open geography for us as well.
Ritesh: If I have to take one step over here, how would you look at versus the expansion option ality that we have on the table which you have indicated? Like, we are absolutely going full t hrottle. We have a pipeline which is actually workable. If you look at the i ncremental ROCE versus the optionali ty that we have on the table, how should one look at that comparative ma th on incremental ROCE ?
Atul Daga: So, incremental ROCE or organic obviously, it is time value of money and you get an inorganic opportunity. You hit the ball, hit the road running. That is the advantage that one would have on inorganic versus organic and it depends on the price that you are paying . Today organic would be costing absolutely green field where you are requiring land also. It will cost $110 -$120, give or take. That is how and if you start investing today, it will take you 7 years to put up that capacity. As compared to that you might pay some premium. You will have to pay a premium over a replacement cost . But y ou also get advantage of 7 years of market share and cash flow s.
Ritesh: My second question is we have indicated our …
Atul Daga: This is third not second.
Ritesh: I have four total. We have indicated inc remental exp ansion plans on the capacity side. I just wanted to have your thoughts on what are our plans on distribution. Basically, incremental rails

head, bulk cement terminal s, optimizing sea freight and DFC, h ow should we look at all the se co-variables
Atul Daga: So, fleet expansion , we don't own fleet. Our transporters continuously add fleet as in when wher ever it is required. Our transporters who are associated with the organization, with the group for maybe four decades , they will expand their fleet as and when required. Our endeavor is to continuously improve , increase the penetration in terms of dealer network . Today our channel partners spread would be upwards of 1 lakh, close to 1,10,000 channel partners and a continuously increasing n umber. DFC is o

pening up. I saw Rajasth an has already started double story wagon s. Of course, they have not yet been made available for cement but I think things are opening up. As for bulk terminals, our expansion footprint is always planned in a manner w here, if a bulk terminal is required, we will take it into account upfront instead of waiting. For example, in the second phase of growth we have 2 bulk terminals already planned and any future requirement also bul k terminals will be planned , grinding unit. So, it will be a split grinding unit composition that will come into pla y. The last point that you mentioned about as far as railway siding , there is no target.
Ritesh: Railway siding and sea freight.
Atul Daga: As far as railway sidings are concerned, I think we keep on adding wherever available whenever available . Last time I remember that it was beyond 260 odd rail heads , (+260) rail heads. It's not a top-down target but operational efficiency improvement plan with which we keep on adding railway siding. As for an ocean route is concerned , we have our own jetty at our Gujarat plant , bulk terminals , 279 ra ilway sidings as of now . Bulk terminals along the coastline there is Mumbai , that is JNPT . Then it goes down to Mangalore. Mangalore also, right? Bulk Terminal? Yes.
Atul Daga: Mangalore, Cochin, so this is on the coastline. We will look at expanding our network on the eastern side as well. We don't have bulk terminals at the moment, but we will look at expanding that network in our second, third phase of growth.
Ritesh: Sir, just one last question. We have an interesting launch on white cement based liquid primer. Just wanted to understand what is the rational for it to be in UltraTech and why not Grasim given for the limited understanding it is better to bundle it with paint versus putty.
Atul Daga: Because the raw material is white cement, and all the primer and putty -based products are done by UltraTech . That's why it's here.
Moderator: The next qu estion is from the line of Prat eek Kumar from Jefferies.
Prat eek Kumar: My first question is on utilization ; you have mentioned your overall utilization is around 76% and can you throw some light on region wise utilizations?

Atul Daga: Region wise utiliza tions, so north was nearly 85%, central was 70%, east was 9 0%, west was more than 60, south was more than 75.
Prat eek Kumar: How much you said for central region?
Atul Daga: Around 70%.
Prat eek Kumar: And on pricing overall it appears that we had like arou nd a 2.5% grey cement realization decline or a 2% to 3% d ecline on a sequential basis. How would that be region wise?
Atul Daga: Region wise, I think east was the least impacted, north saw a decline, north and c entral were the leaders in decline. East was better placed, west was neutral.
Prat eek Kumar: And i n the presentation you have mentioned that there was a preponement of maintenance shutdown . Did that have any specific impact on cost which was like one-off.
Atul Daga: I think my maintenance costs were higher than planned by about 80 crores . I think it was 80 crores, ye s.
Prat eek Kumar: When you say like-for-like, b asically last year …
Atul Daga: What I mean was that we had planned original plan as per our annual budget , 'x' number of kilns were pla nned. We did three more kilns than that in this period. And the spending was also higher, partly because of cost of procurement going higher and partly because of additional work that was done.
Prat eek Kumar: And last question on your logistics costs , in your p resentation you mentioned diesel price are lower like 5% but our like -to-like logistics cost is down 1%. So, when you change in lead distance which is resulting in over decline in logistic s cost.
Atul Daga: Diesel cost is not 100% logistics cost .
Moderator: The next

question is from the line of Pinakin Parekh from JP Morgan.
Pinakin Parekh: You mentioned that east prices have relatively held up better than the other regions. But t his is also region where we would see the maximu m capacity addition over the next two quarters. And the presentation highlights that Chhattisgarh and Orissa had seen degrowth due to sand mining bans. Given t his context, how do you see the east markets at this point of time . Is d emand going to get furthe r impacted because of what's happening in Chhattisgarh and Orissa ?
Atul Daga: I believe Pinakin, east will be the best performing market in terms of demand and t hat is why I think nobody is a fool to add additional capacity in that market. There is a big science or big rationale which each player is having to add capacity in that market. So, this additional capacity will get absorbed in east, demand will continue to support . But don't want to get into comments

on individual states or a point in time becaus e sand issues are here today, then something else will happen tomorrow. But i f you look at the underlying demand, underlying capacity utilization in this quarter also in fact, we have the highest within our regional spread , our capacity utilization in the east was the highest. I believe the industry, not just UltraTech, industry players will continue to enjoy a good capacity utilization in east.
Pinakin Parekh: My second question is basically this is the second quarter where UltraTech's India realization seem to have outperform ed the peers. We ha d seen a larger than peer group increase in the first quarter, and we have seen a smaller than peer group decline in the second quarter. In your sense, is this because of higher nontrade mix, more premium products or specific regions aiding this performance?
Atul Daga: Should I reveal all my trade secrets to you? So, va lue added product is continuously going up. It's reached more than 18% now. That is one area we are increasing our blended cement ratios, increasing our trade ratios as well. And plus, there has to be some respect that you should give to UltraTech as a brand. So, w e have historically commanded superior pricing as compared to the other players and I believe UltraTech will continue to do so.
Moderator: The next question is from the line of Pulkit from Goldman Sachs.
Pulkit: Just one question. You mentioned that it is because of monsoon having a prolonged impact that demand got impacted. Now, our understanding was that July and August w ere we ak months since S eptember is actually a relatively stronger month. Would that be correct that we have exited September at a much stronger volume print or is it the other way around based on what you just said .
Atul Daga: If I remember it right Pulki t, all the months have shown growth . And yes, I think my colleague confirm s September was a higher growth as compared to the other month s. But each month we have seen growth.
Pulkit: So, w e can expect that since September exit was a stronger month and now that we are off monsoon, hopefully this momentum should continue for us.
Atul Daga: I will just not go with that statement of yours that we are off monsoon . I don't know whether the

monsoons are off or not.
Moderator: The next question is from the line of Indrajit Agarwal from CLSA.
Indrajit Agarwal: I have two questions. First sir, on capital allocation going ahead. So, a ssuming at 13 0-131 million tons capacity we'll be able to sell close to 100 million and if not more and should generate close to Rs. 12,000 crores of EBITDA annually even with Rs. 6,000 crores of CAPEX we will have significant amount of free cash flow to make it net cash positive in two years at best. So, a ny thoughts on other than in organic expansion , return of cash to shareholders ?

Atul Daga: That is always there. I think the dividend allocation was increase d to 20% year before last and now we are again looking at growth. So, as I said this quarter, whilst we had a positive operating cash flow , but net cash after CAPEX was negative. We have CAPEX happening in 24 -25 as well and a shade of part of 26 will also see an extra amount of CAPEX. I f you 'll recall two years ago or three years ago, our average annual CAPEX would be (+) (-) 2000 crores and now we ar e going to see (+) (-) 6000 cores for the next two or three years. Having said that we are still on course, or we are delayed as of now b ecause of the cash flow being used for CAPEX, o therwise we would have been in the net cash already in this year . I expect net cash to be on the balance sheet towards the end of March 24.
Indrajit Agarwal: Second, calendar 23 will be the pre -election year and i f there has to be any significant bump up on infra -activity demand from infra government spending, we should have seen some bit of preordering already. Are you seeing any signs of that yet?
Atul Daga: Not yet. I think we expect more than what is happening. See, the good part is that we have recorded 10% growth domestic sales in this heavier monsoon quarter. So, o bviously there is a positive direction in which the orders are flowing, and cement consumption is happening, and I expect it should go up further.
Indrajit Agarwal: That buoyancy you see in the rural residential part as well ?
Atul Daga : Yes.
Moderator: The next question is from the line of Nav in Sahadeo from Edelweiss S ecurities.
Navin Sahadeo: In the previous questions, t hank you for giving the region wise color on utilization s as well as realization s. Is it possible to get some trend on profitability? For example, your average EBITDA per ton was more like Rs . 800. So, is it possible to get which regions are little more profitable than these and others lag around?
Atul Daga: I don't have that at the moment.
Navin Sahadeo: Very broadly.
Atul Daga: If I look at the prices , so then obviously south would be the leader in profitability, followed by west and north catches up along with …East is of course, at the last step in terms of profitability . Central and nort h would be behind south and west.
Navin Sahadeo: Sir, my second question was about your fuel mix. So, presentation says 40% is pet coke and I think y ou also mentioned imported coal is 7% to 8%, if I heard that correctly.
Atul Daga: Domestic coal is 7% to 8%.
Navin Sahadeo: Okay, so if you could just give me the overall fuel mix both in the kilns and power plants.

Atul Daga: Indigenous coal 15% , imported coal 46% . One second. I should look at kiln separately. Indigenous coal in kiln was 5%, imported coal was 50%, pet coke was 40%. Alternate fuel was about 5.2%. That's in the kiln.
Navin Sahadeo: And the earlier number was for TPP, the 46% ?
Atul Daga: We don't have TPP separate data hybrid numbe r with TPP plus kiln, TPP one second , it is there. TPP indigenous coal 56%, imported coal 29%, pet coke 5%, others 10% , lignite which is essentially an alternate fuel.
Navin Sahadeo: The thing on th is kilns bit because you mentioned that pet coke is far mo re favorable in terms of cost. The imported coal that we are using is at par to that cost because of better sourcing or it's conscious that we don't want to go higher on the pet coke consumption .
Atul Daga: We have to balance the pet coke coal mix and our coal procurement is far more efficient than anybody else's.
Navin Sahadeo: But it still is higher than pet coke on a landed basis even now , right? So, a re we looking at increasing pet coke considerably from 40% currently or it will still this is what max it is.
Atul Daga: It can go up to 50% to 60%.
Navin Sahadeo: So,

w hich basically then means that if this mix is changing , Q3 can then see a very meaningful decline in the cost ?

Atul Daga: I had mentioned that the cost will come down for Q3.

Navin Sahadeo: Before it takes up agai n because spot prices are again…

Atul Daga: Naveen, we cannot r eally start analyzing spot prices. So, o ur game plan we will deliver lower cost this quarter and low er cost next quarter.

Navin Sahadeo: And then just my last question. You mentioned working capital as the prime reason. But i f I mean for that increase in debt, net debt position , so g iven that these fuel prices are again sort of bottoming out maybe say or going up, is it fair to say that this working capital funds will stay locked even for March or that would still…

Atul Daga: Again, I had mentioned, and I would have requested you to listen to my commentary more carefully . We would get into a negative wor king capital zone before the end of March with volumes going up will be one big driver for more cash collection s takes place with higher volumes . Inventories we have now reached about 54 or 55 days. By the end of March, we will come down to our normal leve l of 45 days. So, that will release cash. Cost of purchase will be lower as of now . So, no body knows how prices will actually pan out. But o ur planning is to release working capital cash by March for sure.

Navin Sahadeo: Great. I did hear your comment. I was just confirming because since the fuel prices are wherever they are today …

Atul Daga: Naveen, but that today. There was a time when the pet coke was 170 and everybody started annualizing it. That was not the right thing to do. So, t his is the most unpredictable time s that we are going through.

Navin Sahadeo: And just one last confirmation. Did you say we have spent about close to Rs. 3,000 crores in CAPEX so far into the year?

Atul Daga: First half, yes.

Navin Sahadeo: Because I'm just loo king at your balance sheet and the capital work in progress or even total property plant and equipment, these numbers are up like about Rs. 800 crores odd each which is Rs. 1,600 crores. J ust trying to understand …

Atul Daga: Lot of advance would be there. That is one point which I can think about . Advance also in CWIP, right ?

Navin Sahadeo: Capital advances are reported separately.

Atul Daga: So, capital advances also you need to add, but I don't know what the accounting issue is. But I can get an explanation sent to you separately.

Navin Sahadeo: Sure, that would be really helpful. Thank you so much for answering and all the very best.

Moderator: The next question is from the line of Ashish Jain from Macquarie.

Ashish Jain: Firstly, o n coal you made a comment that pet coke can go to like 50 %-60%. So, g iven the current pet coke and coal prices, I believe we should be going to 70 %-80% pet coke, right? So, is t here anything constraining us on that front?

Atul Daga: There are technical constraints, that's all I know that there are technical constraints . In the earlier days when pet coke was darling of the industry , those days also, we had tested, and we reach ed about 78% peak. So, there is some issue with blending . You know limestone from min e to mine has different qualit ies because of which you cannot m ix 100% petco ke. Second point would be availability. As and when petco ke is available, one would pick up shipments of petcoke .

Ashish Jain: Secondly, in terms , let's say growth plans outside the organic plans that we have, if we have to explore M&A , like any specific region where both were interested and we will not even face regulatory issues in terms of our market share and those k ind of stuff, can you point where our strategy ….

Atul Daga: We are interested in India for organic opportu

nities . I will not have regulatory issues in any geography in the country as of today, at this stage where we are, I don't know 5 years -6years later. Ashish, we have evaluated through all the lenses that the regulators look at and what is the requirement. So, we are well within the norm s.

Ashish Jain: Just couple of housekeeping questions. One , what was the share of trade cement this quarter ?

Atul Daga : Trade was 68%.

Ashish Jain: Secondly you spoke about the chemical business revenues which has crossed 100 crores this time. In our segmentation where do we put that? Is it in gre y cement or it's in others?

Atul Daga: Very small, less than 1% so there is no segmentation. There is no segmentation . It is part of cement only Ashish.

Moderator : The next question is from the line of Girish Choudhary from Spark Capital .

Girish Choudhary: Firstly, I would like to get your sense on the industry's supply dynamics . Are you worried of the potential build up or a surprise in the overall supply with also the new entrant infusing significant amount of money and from the other larger players having a strong balance sheet. So, just wanted to get your sense on the supply dynamics , that's the first one ?
Atul Daga: My guess is that all the supply which comes in organic supply will get absorbed easily. Because if you see India as a story will show you much higher growth as compared to any other market because there's a huge amount of development required , there's huge amount of housing required. It's a no brainer statement which I'm making. But yes, India will see a huge amount of cement consumption happening for a few years to in the next few years. 2 years can be 10 years , more than 10 years that I don't know but as of now it's still a very long distance away when India also reaches a saturation point and growth tapers down. So, as long as there's growth potential , additional c apacity will get absorbed . And one more point one needs to keep in mind that total capacity that one looks at is a myth because there are lots of capacities which are non - operational , lots of capacities which are inefficient or shut. Effective capacity , available capacity is lower than the nameplate capacity that you might be tracking.
Girish Choudhary: Secondly if I look at your Phase -1 and Phase -2 capacity addition plans roughly which is around 40% plus of addition. West is the region which is seeing a very low capacity coming in roughly around 1.8 million tons so any reasons why a lower addition here? Is to do with reserve s or utilization s or you are looking at inorganic?
Atul Daga: I am not able to hear you clearly. Which region you picked up as low addition?
Girish Choudhary: As in West, if you look at West, you're adding only 1.8 million tons. So, between Phase -1 and Phase -2?

Atul Daga: West is more GU.
Girish Choudhary: So, you are just adding..
Atul Daga: Yes, mine s is not a constraint and West luckily, we have coastal plants so I can bring limestone from the Middle East in case of it. Limestone as a resource is not a constraint in the Western market . West, we have enough capacity available and we don't put surplus capacity and create problems fo r us. We will put up capacity where we feel that we need additional volume s right now.
Moderator : The next question is from the line of Rajesh Kumar Ravi from HDFC Securities.
Rajesh Kumar Ravi: I don't know if you have already answered this. Could you ta lk on the fuel cost on a per kilo cal basis? How was it in Q 2 and versus Q 1?
Atul Daga: Rs. 2,489 per million kcal was the cost in Q 2 as compared to 2,215 in the previous quarter and if I go back 1 year, Q2 FY22 it was 1 ,427. 1 ,427 has come up to 2 ,489.
Rajesh Kumar Ravi: In this quarter how are the numbers currently in October ?
Atul Daga: We'll talk in January.
Raj

esh Kumar Ravi: Directionally is it coming off?
Atul Daga: What is coming off?
Rajesh Kumar Ravi: Quarter -on-quarter do you see this number coming off versus what you saw in Q2?
Atul Daga: The fuel cost?
Rajesh Kumar Ravi: Yes, fuel cost per kcal?
Management: Yes, fuel cost will come off.
Moderator : The next question is from the line of Kamlesh Bagmar from Lotus Asset M anager s.
Kamlesh Bagmar: Just one question on the cost side . Going forward in a couple of years , what quantum of cost reduction do you see like say be it freight side or power and fuel cost ?
Atul Daga: About Rs. 100 a ton would definitely come out of cost reduction s, minimum.
Kamlesh Bagmar: On the variables side?
Atul Daga: On the?

Kamlesh Bagmar: Variable side?
Atul Daga: Yes.
Kamlesh Bagmar: In the presentation we have mentioned 19 .5% as the mix of the renewable power. Is it in terms of the capacity or in terms of the power usage in this quarter?
Atul Daga: Actual generation .
Kamlesh Bagmar: Lastly you have 4 0% odd share of petcoke so vis -à-vis imported coal because this 2 ,489 looks to be v ery competitive as compared to what thermal coal prices are. Is it the case that the grade of the imported coal which we are using is also equally competitive as compared to the petcoke ?
Atul Daga: Yes, you get US coal is very high -grade coal. 6,900 kcal.

Management : Normally we are not buying RB1.
Kamlesh Bagmar: So, that would be RB 3 or all that. That's why th at is also competitive, compared to the…
Atul Daga: Yes.
Moderator : The next question is from the line of Shravan Shah from Dolat Capital.
Shravan Shah: What was the lead distance in this quarter?
Atul Daga: 428 kilometers.
Shravan Shah: You mentioned that regulatory issue will not be there. You have taken care of that in terms of the inorganic expansion. Just trying to further understand , for my understanding in terms of if we go for Nuvoco acquisition, I'm just giving an example. So, how do the CCI look at ?
Atul Daga: I don't look at specifics. You can ask a general question if you ha ve.
Shravan Shah: No, I'm asking a general , in terms of the market share how the CCI looks at ? Any percentage , what are the broad criteria that the CCI looks at post the acquisitions , 10% -15%-20% market share should not be there ?
Atul Daga: I think that I will not be able to answer.
Shravan Shah: Third , just trying to understand in terms of the second phase of expansion 22.6 . How much broadly from that we would be commissioning in FY24 ?
Atul Daga: May be 3 or 4 million.
Shravan Shah: And rest mostly by March of FY25?

Atul Daga: FY25 and some might be gone into ‘26 also, fiscal ‘26 which means first -half of ‘25 -26.
Moderator : The next question is from the line of Sanjay Nandi from Ratnabali Investment s.
Sanjay Nandi: We have seen some spike in the employee cost in this particular quarter. Can you please throw some colors on that?
Atul Daga: Annual increments. We follow an increment cycle from July, 1st July. Our increments are evaluation done in March , given effect in July . So, July -June is ou r annual cycle.
Moderator : The next question is from the line of Amit Murarka from Axis Capital.
Amit Murarka: Just on white cement and put ty like the RAK acquisition that you had made. That is supposed to kind of flow in additional volumes into India. By when is that expected to start?
Atul Daga: This quarter they will start. October -December quarter should be starting volumes. For packing material has already reached the re, quality et c. all settled , logistics tied -up. This quarter shipment should happen , start happening.
Amit Murarka: The exports to Sri Lanka , is there anything happening or is completely stopped ?
Atul Daga: Very

marginal so only in case we have secured rupee LC available which is opening up against those LC s only we are exporting. Exports have dropped down dramatically from maybe a 1-1.5 lakh tons per month s give or take 1-1.5 lakhs to 30 ,000 or 40 ,000 two shipments only and one more reason I'm glad you asked about Sri Lanka . Our working capital so we have close to 200 crores due from our Sri Lanka operation. The money is lying there. Government is releasing money gradually. We receive d about 40 crores last quarter in the reported quarter and I believe that money will get regular ized in the next two quarters or three quarters.
Amit Murarka: What was the export vol ume in Q 2, absolute number ?
Atul Daga: 1 lakh tons.
Moderator : The next question is from the line of Ritesh from Investec.
Ritesh: First is if I heard it right you indicated on TPP we have 5% petcoke and 56% local coal. My question is why petco ke is at o nly 5% ? I remember like 2017 something there was a court judgment which had…
Atul Daga: What was the court judgment?
Ritesh: I think it did re strict the usage of petcoke when it comes to power plants but for kilns it was allowed because of the quality of limestone and limestone saturation factor. Question is , can this number of 5% petcoke when it comes to TPP increase and can it be a cost saving lever?

Atul Daga: In TPP we use domestic coal which is far more cheaper.
Ritesh: Right but you had said 29% is imported and 5% is petcoke . So, 29% imported versus 5% petcoke. Is there room for substitution?
Atul Daga: We are, there is one in the NCR and the related market s petco ke is not allowed in power plants that you are aware. And its opportunity , wherever we find financial economics working in favor of petco ke we use that.
Ritesh: If my memory serves me right it's only in three states where in petco ke in TPP is not allowed ?
Atul Daga: Yes, you're right. NCR, which is that, is the market.
Ritesh: Can this number mo ve up and surprise ?

Atul Daga: Could be. I don’t have a ready answer actually Ritesh.
Ritesh: Second quick question , is there some changes which one can expect on the discounting trends in the marketplace? Is that some probability over he re?
Atul Daga: I have no idea about that.
Moderator : Thank you. Ladies and gentlemen that was the last question for today. On behalf of UltraTech Cement that concludes this conference. We thank you all for joining us and you may now disconnect your lines.

Call: Jan 2023

"Ultra Tech Cement Limited
Q3 FY 23 Earnings Conference Call "
January 23, 202 3

MANAGEMENT : MR. ATUL DAGA – EXECUTIVE DIRECTOR AND CHIEF FINANCIAL OFFICER – ULTRATECH CEMENT LIMITED
MR. K. C. JHANWAR – MANAGING DIRECTOR– ULTRATECH CEMENT LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the UltraTech Cement Limited Q3 FY '23 Earnings Conference Call. We must remind you that the decision on today's call may include certain forward -looking statements and must be therefore viewed in conjunction with the risk that the company faces. The company assumes no responsibility to publicly amend, modify or revise any forward -looking statements on the basis of subsequent development, information or events or otherwise.

As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conferen ce call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Atul Daga , Executive Director and CFO of the company. Thank you, and over to yo u, Mr. Daga.

Atul Daga: Thank you so much. Good morning, and welcome to everybody to our Earnings Call for Q3 FY '23. This quarter, if I can sum up in few words, it is much ado about nothing . That is what I would want to describe the quarter that has gone by.

Coming to the gas tags, volumes are good, costs remain extended and prices are stable, though we would have wanted them to be better. The focus of the industry is now shifting on to managing its cost, and let's talk about the emerging scenario on costs .

The biggest one, of course, is fuel, and there are multiple factors that we need to keep in mind. The ongoing war situation, as you know, is one of the reasons for global fuel supply upset. The only silver lining is that we have seen peak prices behind u s and don't expect too much of volatility. A small decline in prices of fuel and we start celebrating, this is not the wisest thing to do.

These small corrections are still significantly higher than the normal cost and quite often temporary. And like the s tock markets, it is not possible for everyone and anyone to catch the bottom prices only.

Second factor, of course, is China. As you're all aware, China has gone through the most turbulent time with COVID, and industrial activity has come to a grinding halt. The economy has just opened up, and I'm sure the consumption will rise. Some news article said that 80% of the country had been already infected with COVID. The population has not grown at the pace at which India has grown, and India has bec ome more populated than China now.

China, in spite of their own capacities has always been net importers. So as and when the industrial activity picks up in China, there could be definitely increase in imports in China, which will impact the overall global supplies of fuel.

Third important factor to keep in mind is that there are no new pet coke capacities coming up globally, and cement capacity in India is on the growth path. So in the long run, we don't expect any significant softening in fuel prices.

As I said, the worst is behind us. So I've spoken about costs. Now let's look at the brighter side, demand. As expected, we are seeing the Indian demand surge at a fabulous pace. First 3 quarters have already generated a double -digit growth for us. And Januar y, March quarter seems to be on solid footing. Infrastructure story of the country is booming as also the urban real estate continues to do well. This is where I believe UltraTech has got its expansion strategy bang on and as always, a highly value accreti ve strategy.

Our target is to start the next financial year with close to 130 million tons of capacity. Capacity utilization already improved to 83% in this quarter -- in the reported quarter, and we expect it to go up further in the last quarter of the fi nancial year. In fact, if I go

back in the last few years,

January, March have been typically 95% or 100% capacity utilization. And the way things are going, this quarter should be no less.

Government's focus on developing good quality infrastructure bod es very well for the Indian economy and cement industry alike. All the highways and DFC corridor that has been developed will help move goods at a lower cost, lower wear and tear of vehicles, which will ultimately help improve efficiency and reduce costs.

Airports in India has been growing their network slowly and surely. Smaller towns are getting connected. The last I heard was a plan -- the government plan to increase the network of airports in India from 137 to more than 200 airports.

Metro network alrea dy commissioned or under implementation in 27 cities in the country and 17 more are on the drawing board. The natural extension of all this infrastructure growth is an improvement in demand for urban housing, and we are already seeing that right now.

I bel ieve we will see a strong growth in cement consumption in the country with all the infrastructure growth happening. The other point to keep in mind is that the demand for OPC cement will remain strong and perhaps grow over the years. This is where yet agai n, UltraTech is very well placed.

As I mentioned in the earlier part, the first nine months have already delivered a double -digit growth, and this Q4 remains strong and the future quarters also are expected to remain strong.

Typically, tell you about our e xpansion plans, the way things are going. We have already commissioned 6.8 million tons during the first nine months and will commission close to 10 million tons in the next few months.

Further, work has already commenced in full swing on the Phase 2 expansion of 22.6 million tons. Long lead item orders have already been placed, and civil work has already started at most of the sites. We should be able to deliver this capacity expansion o n time by '25, '26.

Prices, it's -- the commentary is half complete if the prices have not spoken about. But we did not see a significant move in prices. I guess the demand seems to be so good that the industry is focusing on operating leverage at the mome nt. But in the current scenario, where several players might not have supplies to cater to the rising demand, prices seem to be safe. Unfortunately, higher prices than the current levels are required to cover the cost pressures. With the increasing capacit y utilization, we expect prices should firm up.

Sustainability continues to be our focus. We continue to march ahead in increasing the share of green energy in our overall fuel basket. With technology on pump storage and battery storage in the offering in the next few years, we are confident of reaching the milestone of 50% of green energy in our overall basket by 2030. And thus -- thereby reducing the requirements on non - fossil fuels.

To conclude, I must share with you that cement industry in India and Ult raTech seemed to be going strong. Thank you so much. Over to you for questions.

Moderator: The first question is from the line of Indrajit from CLSA.

Indrajit: I have two questions. First, on the mix between trade, non -trade. Has it changed significantly quarter -over-quarter? And with elections coming ahead and infrastructure spend, as you correctly highlighted, picking up, do you think that non -trade would pick up more in this calendar year than what we have seen in 2022?

Atul Daga: First, to your questio n on our mix, we hover around 66%, 67%. Quarter might be up or low. This particular quarter, we were 66% on trade and blended was about 68%. So the interesting points to first, Indrajit is, our trade ratio was 66% and blended was higher than the trade rati o, which means that blended cement is going in other areas and markets as it is in trade as well.

Secondly

, I already mentioned, we expect OPC or non -trade segment OPC sales to continue to remain strong as India sees the surge in infrastructure growth.
Indrajit: My second question is, if you can throw some more light on the Super Dalla unit, where exactly are we on this? What is the point of contention and what exactly is the total hit? I understand you have intent to arbitration, but what are the key miles tones that we should look for?
Atul Daga: I mean so the matter is sub judice right now, so I wouldn't want to color anybody's mind. It's under arbitration and perhaps will go through its own -- find its own way, I would say, once the arbitration is over.

Moderator: The next question is from the line of Pinakin Parekh from JP Morgan.
Pinakin Parekh : I have two questions. First is your commentary on pet coke. Now even at current thermal coal prices on a per kcal basis, pet coke still remain relatively attractive, but you did highlight that given structurally, India's larger capacity addition and no pet coke capacity additions globally, pet coke prices are unlikely to decline materially.
Does this mean that at an industry level, the INR 1,000 energy cos t per ton, which the company was seeing and the industry was seeing which is now at INR 1,800, we are unlikely to revert back even if coal prices were to come off 10%, 20%, 30% from here and the new normal is structurally higher on energy cost front?
Atul Daga: You are absolutely right, Pinakin. I think it's a new normal coal costs from $70, $80 are now on a converted cost basis more than double. So 10%, 20%, 30% reduction will still not yield those numbers. I remember we had seen INR 950 a ton energy cost also. So we -- there is -- in the near future, that does not seem to be a likely scenario. I don't know what will happen, how the world will change once and if the Ukraine war is over. So as of now, we are in a situation of extended fuel prices.
Pinakin Parekh : My second question is on cement prices. Now if we take a 12 - to 18 -month view, you have commented at the beginning of your -- at the call that even though the industry is seeing strong demand growth, the industry seems to be focused on meeting demand and you do not expect prices to move.
Now from here, starting from March, April, you will be bringing on capacity. There will be other players who will be bringing on capacity. So at that point of time, the incremental supply is higher. And if the industr y is struggling to take price hikes now when demand is in double digits, what happens to pricing in the latter part of FY '24 when there will be large new capacities on the ground. Shouldn't prices correct from here then?
Atul Daga: I don't expect that bec ause I believe that the demand will continue to remain strong and in this fiscal '24 pre-election, things should remain stable. I'll require Jhanwar Ji to add further.
K. C. Jhanwar: So good morning to all of you. One, obviously, the new capacity is going to be added by us as well as by the other players. But as you know, the new capacity generally takes its own time to ramp up actually. And particularly, we all know this is going to be the election year, not only for the center, but the number of state gov ernments.
I think that demand would be likely to be reasonably good, strong, robust, so we don't think there would be unusual pressure on the pricing. But yes, you never know how the overall market set out.

Atul Daga: So Pinakin, to close what Jhanwar Ji h as mentioned is that there shouldn't be any undue pressure on prices. I would -- if I were to put it on a chart, it would be stable to rising trend only.
Pinakin Parekh : And sir, just last one qualitative comment if you can give us. The double -digit demand that the company saw in this quarter, how

much would be driven by government spending on infra or the government projects? Would it be half? Would it be 2/3? I know you cannot have an absolute number, but broadly just trying to understand the trend ?
Atul Daga: Our institutional sales have been good. And during the course of the call, I'm asking my colleagues to figure out a number and tell you.
K. C. Jhanwar: Yes, the government spending, particularly the major segment is from the road and other segments. So it is somewhere maybe 18% to 20%, not more than that actually. Other is...
Atul Daga: In fact, retail demand continues to drive growth. Now if we have grown 13% and maintained a 66% retail therapy, then it's balanced and moving in the same direction, nothing untoward.
Moderator: The next question is from the line of Ritesh Shah from Investec.
Ritesh Shah : Sir, my first question is on Dalla. Can you just explain to us basically what's led to the arbitration what we are looking at right now? And secondly, what are the assets under contention ? That's

the first question, sir.
Atul Daga: So the asset under contention is Dalla Super unit, which we had already acquired. And as I mentioned earlier, right now, the matter is sub judi ce unde r arbitration. So let's get -- let's complete that, and then we can discuss it further.
Ritesh Shah : Sir, can you just basically highlight what is the capacity over here? Is it 3 million tons of clinker?
Atul Daga: That's 2.3 million tons of clinker.
Ritesh Shah : And sir, would it also have 150 million tons plus of limestones basically when we bought from JP...
K. C. Jhanwar: I don't think we should guess because still the limestone is under the forest litigation actually. So as Atul said, it's the -- it's a m atter litigated actually and would be unfair to talk much about those things because nobody knows what kind of res erves would be there.
Ritesh Shah : Sir, my second question is, how should we look at basically the situati on in Himachal Pradesh. Have we got some increase in market share over there because I think other leading players, they have some struggle with the transporters. So are you -- are we making good out of the scenario? How should one understand it? Or should we also hope that there could be some reduction in transport costs overall for the industry?

K. C. Jhanwar: Yes, just to answer your question. So first of all, once there is a shutdown of any plant actually belongs to any one of us actually in the industr y. The natural supply happens from the different players, actually. So if somebody assumed that by the closure of the plant temporarily because of the transport union problem, actually, there is -- I don't think there is a major swing in the market share o r anything else. Yes, some here and there, supply gets improved for a temporary period .
Atul Daga: Its a temporary phenomena
Ritesh Shah : But sir, are we watching for a reduction in freight costs like what we have seen in Chhattisgarh earlier, I think ce ment folks, basically they talk economics and basically, they can actually play a hardball versus transporters. So what is the thought process? Or are we okay to pay INR 10 plus per kilometer per ton? How are we looking at it?
Atul Daga: We are -- Ritesh, we are watching the market, and we will see how to deal with the situation.
K. C. Jhanwar : Nobody -- okay to pay, but you know that it's a problem since last not 1 decade, it is from 2, 3 decades actually. So...
Atul Daga: So we'll wait and see.
Ritesh Sh ah: Sure. I have two more questions, if you allow, I can go ahead, sir, I'll jump back to queue.
Atul Daga: We'll let others take the questions and I don't know if you will complete the time. Yes.
Moderator: The next question is from the line of Sumangal Nevatia from Kotak Securities.
Sumangal Nevatia : I joined the call late, so I just m

issed in case it was discussed. I just want to get some sense on the cost deflation that we expect in, say, fourth quarter? And also, I mean, with domestic coal availability improving, does it really s wing the needle for us on cost in the medium term or very little reliance on that?
Atul Daga: So domestic coal from kiln perspective is used very limited. It is mostly used for powerplants. And we had a high cost curve Q3, I expect the fuel cost to be lower in Q4 for us as well.
Sumangal Nevatia : Sir, any quantification, I mean, just a broad range?
Atul Daga: I don't want to give numbers for the future.
Sumangal Nevatia : So other than coal cost, fuel cost and say, opera ting leverage, any other cost items, any de flation in any raw material that's...

Atul Daga: Other are benign. Others not too much. Fuel is the most -- the biggest driver right now. Other point is I can add is on logistics front, when this quarter, the busy season surcharge was brought back.
Effectively, our logistics play has been good to be able to absorb that cost and continue to deliver more or less around the INR 1,200 per ton overall freight cost. This is in spite of that busy season surcharge getting added, which would be a significant por tion.
Sumangal Nevatia : And I was a bit surprised to see that fly ash cost index also rising consistently. I mean any color, I mean, what's happening there? And is it like any temporary phenomena, which is likely to...
Atul Daga: Fly ash, it's all upon -- all about availability, now if one power -- particular power plant is shut down, then suddenly, there is a surge in prices and availability is an issue. But you won't see prices coming down because the number of thermal power plants in the country is not g oing to

go up and fly ash consumption will keep going up.
Sumangal Nevatia : And Atul, just if I could get your, say, margin expansion outlook in the medium term, say, FY '24. Do we expect energy cost normalization and operating leverage to play a bigger pa rt or prices also should contribute equally and...
Atul Daga: I think it should be a wholesome game. All the levers will have -- will play. It's only about which vehicle runs faster than the other. So you will have operating leverage advantage, for sure. Hopefully, the fuel cost should remain range bound. We don't expect them to grow or spike up dramatically the way that spiked up earlier. Prices should remain stable. As I think you must have heard the comments earlier, prices should remain strong -- should remain stable or in an upward move only.
Sumangal Nevatia : And just one last question. I mean as I...
Atul Daga: Can you come back?
Sumangal Nevatia : Okay. I'll -- sure.
Moderator: The next question is from the line of Prateek Kumar from Jefferies.
Prateek Kumar : My first question is on your fuel cost. On -- in your presentation on the energy cost trend slide, we have given this pet coke index, which seems to have corrected 20% or 15%, 20% from the peak se ason a couple of quarters back. Whil e our energy cost index seems to be slightly higher. So does that -- I mean, just imply like we could be like looking at 20% kind of correction?

Atul Daga: So it is a catch -up game. So we had exhausted our old contracts and low -price procurement. October, December was our highest cost of fuel. I expect the curve to again narrow as we progress in the future years -- future quarters.
Prateek Kumar : But just looking at the green line in the chart, sir, our index has gone up from 131 to 175 from energy -- from energy cost while the other line of pet coke has come back from 204 to 203, so...
Atul Daga: So next quarter onwards is 175 will also start dropping. So you will see that correction happening.
Prateek Kumar : So that seems like a large ben

efit, which exactl y coming on, like from next quarter.
Atul Daga: Yes.
Prateek Kumar : Sir, secondly, on price, comment of yours remaining strong or stable. So like in 2019, we saw like prices because of the strong volume trajectory pre -election year, industry was not able to take major price hikes. So is this something which we are indicating that prices may remain totally flat in first busy season and industry might not be looking to reclaim like what profitability they achieved in FY '22, '21?
Atul Daga: Beyond a poi nt, I thank everybody wants price improvement, price increases. Given the cost curve, so at the same time, nobody would want to lose on their market share. And typically, in a very high -growth time frame, focus will always be on meeting the demand. So I do n't expect prices to crash, correct, but stable to upward move is what I could expect. When and how much is very difficult to quantify.
Prateek Kumar : And the last question, would you have like region -wise utilization and pricing data for the quarter?
Atul Daga: I don't have it right now. I'll give it to you later.
Moderator: The next question is from the line of Raashi Chopra from Citi.
Raashi Chopra : I have two questions. One is on the basis, your commentary on pricing as well as costs. From an EBITDA pe r ton perspective, where should we kind of see it settling on the up, number one?
Atul Daga: So it should cross the 4 -digit mark for sure. I would expect January market sales should cross four-digit mark.
Raashi Chopra : And the second is any sort of update on your expansion to 200 million tons organically owned?
Atul Daga: Yes. So we have gone to the drawing board. Right now, the 22.6 is under execution, which will take us to 136. And once the concrete plan is ready, we w ill definitely announce it. So '28, '29 -- It's a little too late, but '28, '29, '30, we should touch that mark, for sure. Mine s are in place,

land is in place. It will be, again, a mix of greenfield, brownfield. So we'll present the complete picture.
Raash i Chopra : Sorry, just to add to that, will it include any inorganic as well or you can do greenfield, brownfield to reach 200?
Atul Daga: We can do greenfield to reach our milestone. Inorganic is always a t op-up opportunity but I cannot really forecast on that.

Moderator: The next question is from the line of Amit Murarka from Axis Capital.
Amit Murarka : Just a couple of questions. Firstly, on the working capital release in the presentation, you have mentioned the INR 500 -odd crores of release in Q3. So h ow much more can we expect in Q4?
Atul Daga: Q4 should also give a higher release only because it's a high volume, high conversion, cash conversion quarter. So we should -- this quarter, we ended with a negative working capital of close to INR 124 crores. I think this will just go up.
There are -- I'm glad you asked this question, Amit. There are some moneys which are stuck, which we are trying to get released. This was the upfront fee payment which was made and then central government issue d the order for paying back the upfront fee, unutilized upfront fee. It is at various stages of clearance and various states that will also help improve my working capital.
Amit Murarka : And in the last quarter, you mentioned your fuel inventory has increa sed to 55 days. So is it coming back to normal levels now?
Atul Daga: March, we will -- so if we get an opportunistic transactions, we will spike up our inventory, but we'll remain anywhere between 45 to 50 days. That is the norm that we want to follow.
Amit Murarka : And the second question is the blended ratios. It's quite encouraging to see our consistent improvement in blended ratio. So it's only gone to 1.42x. So is it because even the nontrade side of the business is accepting more of blended cement? O r is it more a push of

blended cement in
the trade channels only?
Atul Daga: No. It's a mix of everything. Firstly, consuming fly ash to the maximum possible, not going 0.01% beyond the p ermissi ble limit . Second is, obviously, the efficacy program, which we continuously run trying to convince the institutional players to buy blended cement from us.
So it's not that they don't blend. They do the blending. So I think the -- it is our core competency and their core competency is construction and not blending. So pe ople are getting convinced, some execution players are taking blended cement from us.

Amit Murarka : And is there any number in mind that let's say 1 year, 2 years down the line, we should be 1.5x or anything like that?
Atul Daga: It will be a desire to def initely reach 1.5x, but 1.42, we have already reached so maybe 1.45 be the next step to look for.
Moderator: The next question is from the line of Pulkit Patni from Goldman Sachs Asset Management.
Pulkit Patni : It's not asset management, it's the research side. My question is on pricing. Would it be fair to assume that it is not one or two players because of whose behavior prices are down? Is it just broadly excess supply in the market, which has be -- which has c ome into being in the last two to three years. Would that be the right assumption?
Atul Daga: You are putting me in a fix , Pulkit. Let's meet for a cup of coffee and discuss it.
Pulkit Patni : Sir, second question is, despite our debt coming down, interest c ost has gone up. This is just because of the interest rate readjusted?
Atul Daga: Marginal impact of interest rate, but bigger is, accounting on foreign currency revaluation, so we have $400 million of dollar bonds and... Lease charge s. yes. So the various foreign currency components have to be -- although it is fully hedged from the data liability is crystallized, but accounting requires revaluation. So it's a revaluation. So cash flow versus accrual, there w ill be a big gap.
Pulkit Patni : And sir, just very quickly, international operations, everything back to normalcy in terms of Sri Lanka, etc . now?
Atul Daga: The good news is Sri Lanka is back. I think I have somewhere around INR 65 crores overdue still to be received, but should get cleared by February and the volumes have started picking up.
Government is continuously giving additional LCs so that we are able to increase our exports.
It's still -- it has fallen to nearly 1/3, but I'm sure in the next couple of months or two or three months, it should be back to normal.
Moderator: The next question is from the line of Ashish Jain from Macquarie.
Ashish Jain : Sir, my first question was like some of the comments you made earlier in the call in terms of the share of OPC rising, like fly ash cost being sticky and even on fuel cost and all. So all of this is margin deflationary in nature. So based upon that, are we kind of the view that structurally prices will go higher in India? Well, I'm not talking for the next six months, 12 months and all, but do we need that? Or we have to settle with lower profit?
Atul Daga: No, it is required. Everybody is raising prices. So prices are required. The -- there'll be a huge amount of pressure on the margin and especially for players with lower margins will have

problems. So my expectation, my sense is prices have to go up. Otherwise, how will the industry be able to cover its c ost and make money.
K. C. Jhanwar : At least it must cover the additional cost... yes. So it is a normal margin maintained .
Ashish Jain: Yes. So like normal margins, Atul, sir, what you like mention like four digits, is that what we should think is a normal?
Atul Daga: Yes, yes, four-digit is a normal margin. And four-digit is also a wide range. I would love to inch back t

o INR 1,400, INR 1,500. But right now, the focus would be to reach anywhere between INR 1,000 or INR 1 200.
Ashish Jain : In calendar '23, you mean?
Atul Daga: Okay.
Ashish Jain : Okay. Sir, secondly, just on -- can you just quantify the impact of railway peak season surcharge this quart er? On a per ton for us?
Atul Daga: So it was -- I'll have to get it worked out, and I think I'll ask Ankit to communicate to you because it was implemented middle of October. So I'll get that impact sent to you.
Ashish Jain : So my question basic ally was also then what has happened for us to maintain our overall cost base on freight.
Atul Daga: Are you giving us a compliment?
Ashish Jain : Yes, obviously, because like the freight cost hasn't gone up as much. So...
Atul Daga: Yes, so nobody asked, but we have managed our lead distances very well. So the market mix plant to market combination, how we service the market is being handled very well. A lot of work has been done on improving efficiency at the ground level, turnaround time of vehicles and throughput on vehicles, reduction of demurrage.
You name the lever, every lever is being pulled in the right direction. This was a record that lead distance dropped to 413 kilometers this quarter as compared to 428 in the previous quarter. So that also he lped a lot.
Ashish Jain : Sir, if I can just squeeze one more question on pricing. Like whatever we had collated, it seemed like pricing should be up quarter -on-quarter. So is it like a regional mix, which has changed this quarter? Or if you can give some color on...

Atul Daga: So you will see region -wise, we are a pan -India player, so you might see lesser impact on our P&L as compared to a regional player. So just wait for some more results, you'll have more clarity.
Ashish Jain : But our growth, was it more smooth in any particular region?
Atul Daga: Next question, please. Ashish...
Moderator: The next question is from the line of Navin Sahadeo from Nuvama Institutional Equities.
Atul Daga: The name has changed, Navin?
Navin Sahadeo : Yes, yes. So Edelweiss changed now -- renamed to Nuvama Institutional.
Atul Daga: Okay. All right.
Navin Sahadeo: So sir, two questions. First is, of course, on the prices. Now in North India, the demand seemed extremely good, the largest player. I mean l arge capacities in the region the y are currently shut.
So, there couldn't be more ideal situation to take price hikes more so in January with the beginning of busy season, the busy construction season as we call it.
Yes, there is some downward pressure, l argely in sort of a downward pressure. It's completely like different to what generally can be expected. So what's really is it? It's Just a high competitive intensity, which is driving or there is more supply that we are not able to really get the best pl an?
Atul Daga: I think . The prices are not going down, prices are stable. The market is just absorbing all -- the demand is getting serviced, that is the good part. And the moment -- December -- for the month of December, we were at a 92% capacity util ization.
The movement industry starts going up and above 85% capacity utilization, there is no reason why prices will not go back. History has it. Every January, March quarter, if the capacity utilization and the industry, all India level goes up beyond 85 %, it very well can happen this quarter. Also prices will go up.
Navin Sahadeo: Yes. fair. I would love to see that. It's just that so far into January, I'm saying we are at 23rd Jan, yet no news absolutely of any major price hike or even small price h ikes from any part of the country. So just a little worried that if you are not able to take price hikes in busy season, should there not be a worry in the lean season?
Atul Daga: Let's see. I'm sure the marketing people are working on i

t. So we'll have to wait and watch.
Navin Sahadeo: Sir, my second question is about the cost. Now in your presentation, you've given blended fuel

prices of USD 200 being flattish quarter -on-quarter. So just a few clarifications, sir, first of all,

this $200, is it includes b oth kiln and C PP and all the domestic coal and entire mix that we have put together or it's only for the imported portion?
Atul Daga: For kiln, yes. So fuel going up, kiln essentially.
Navin Sahadeo: So this $200 at current spot rates would be how much, sir?
Atul Daga: Should be 175, 180 .
Navin Sahadeo: So that kind of a decline, we can ballpark in Q4 then?
Atul Daga: Yes.
Moderator: The next question is from the line of Girish Choudhary from Spark Capital.
Girish Choudhary : My first question is on capacity commissioning time line. So guidance for the year was around 17 million tons, and like you mentioned in the PPT, you have commissioned 6.8 million tons. So if you can just guide us when can we see this remaining 9 million t o 10 million tons?
Atul Daga: So in the next 45 days, most of the capacity is getting commissioned.
Girish Choudhary : And secondly, if I look at the demand which you have put out in the presentation slide number 5, rural demand seems to have moderated, es pecially North, Central, East. So if you can just help us with the rural mix this quarter versus last quarter? And also, what are you seeing currently in terms of rural demand? Is it picking? Or is it changed?
Atul Daga: So our trend in this particular qua rter has to be your views or analysis has to be restricted to this quarter. Next quarter, it will change. And the way I think my analysis interpretation of crops is that the harvest has been good, cash flow will be good. So April, June, you will start seein g rural demand in our chart also back to green instead of orange.
Atul Daga: MSP is also being improved in both. Yes. So things are positive for rural markets. And I think the only handicap which rural markets run, I would say, time an d again is monsoons. Monsoons are bad, then things go haywire. Luckily, India is been having a good spell of monsoons over the last few years. So things are going good on the rural front.
Girish Choudhary : Perfect. But if you can just help us with your rur al...
Atul Daga: Chart. My only -- in this chart of ours, my only concern is the Central where no new projects were announced, everything has got more or less completed. And that is why, certainly, we saw a complete slowdown. But the movement, and I think that government, UP government is pretty aggressive in its growth ambition. So the moment they are back on new projects, this red spot will also disappear.

K. C. Jhanwar : Yes, and particularly now from March or April onwards, this Ganga Express, that has just started. So it will give some relief to the company in terms of demand.
Girish Choudhary : And lastly, if you can just help us with the rural mix this quarter.
Atul Daga: How much?
Girish Choudhary : Rural mix?
Atul Daga: 62% of trade . And trade was 66%.
Moderator: The next question is from the line of Rajesh Kumar Ravi from HDFC Securities.
Rajesh Ravi: Two questions. First, on the fuel cost. Would it be possible to share the numbers on per kilo cal the average fuel cost for the quarter?
Atul Daga: 2.6 per kcal.
Rajesh Ravi: And this is against Q2, what was the number?
Atul Daga: Q2, 2.5.
Rajesh Ravi: And this is the $200 now trending towards 175, can we expect a similar cool off in your per kilo cal numbers?
Atul Daga: It should.
Rajesh Ravi: And is it like where most of the players in Q4 would be looking at a good correction in the fuel prices, that may also subdue price rise pressure from the companies because margin expans

ion
can be taken care of on account of this fuel price savings -- fuel cost savings.
Atul Daga: It's a marginal saving only because I would love to have fuel costs back to $80, and we are still talking about more than double. So $200 to a 10% reduction in fuel cost does not really help me improve my margin expansion. So prices need support to -- prices need to go up.
Rajesh Ravi: And on the electricity generation cost, what sort of savings, where are we on a per megawatt, per unit of electricity generators, sir?
Atul Daga: In terms of cost per unit?

Rajesh Ravi: Yes, cost per unit.
Atul Daga: It's around INR 5.
Rajesh Ravi: You're already.

Atul Daga: INR 5.8. It's close to INR 6 a unit.
Rajesh Ravi: So there, you're not seeing major inflationary impact despite of ?
Atul Daga: No.
Rajesh Ravi: And second, on the working capital side, you see that September quarter, your noncash working capital number shot up to almost INR 4,000 crores and versus INR 700 crores, INR 800 crores in the preceding reporting periods. So in this quarter, December , you have seen a pool of around INR 400 crores in that out of this INR 4,000 crores.
And you guided that in Q4, there will be some higher savings compared to INR 400 crores. So what sort of number are we looking to go back to a noncash working capital levels below INR 1,000 crores?
Atul Daga: Our ambition would definitely be to increase the negative working capital, which was INR 125. Yes, INR 1,000 crores seems to be doable.
Moderator: The next question is from the line of Rakesh Vyas from HDF C Asset Management.
Rakesh Vyas : Two questions from my side. First one, if you can just also talk about price trend between trade and non -trade in last quarter? And how is it trending now? That's the first question.
K. C. Jhanwar : As far as the prices are concerned, I would say it's by and large a stable one, actually. Definitely, we would have allowed to have the better prices, but I don't think there is a major change in that trend actually. The trade prices are marginally up -- actually marginally and th en non -trade also in the same direction, marginally, but not there is any significant change ...
Atul Daga: What Jhanwar Ji is saying is that pattern continues to be the same.
Rakesh Vyas : And the second question, unfortunate, again, is on pricing itself. You maintained that the fourth quarter, we should see improvement in our profitability upwards of four digit. But given the context that the cost is essentially especially on the energy side, we'll see some cool off. You will probably also have a better operating leverage moving into 4Q.
I'm still unable to understand as to why industry is not looking at reasonable price hikes in this context itself because the costing, particularly you highlighted, will not moderate significantly as we move forwar d as well. And fourth quarter is generally the best quarter in terms of utilization. So 4Q is going to be only a better proposition compared to 3Q marginally, then FY '24 doesn't look very great.
Atul Daga: You want EBITDA improvement or no?
Rakesh Vyas : We do.

Atul Daga: The focus on that, we will deliver an EBITDA improvement, but from where we bring – let us also work.
Rakesh Vyas : But you sounded very conservative in terms of your commentary moving into next 12 months or so. That's the only concern I had.
Atul Daga: So don't be concerned, the industry is in good hands.
Moderator: The next question is from the line of Shravan Shah from Dolat Capital.
Shravan Shah : Sir, what was the fuel mix for this quarter? And in terms of the capex, previously, we said that they are INR 6,000 crore to INR 7,000 crore capex for next FY '25 yearly basis. So is that remains the same?
Atul Daga: Yes, the capex

remains the same. I think anywhere between INR 6,000 crores to INR 7,000 crores is what we will spend. Fuel mix?
Ankit Asawa : 89% imported coal and pet coke, the fuel mix for this quarter in kilns
Shravan Shah : And in terms of the -- you already mentioned that the remaining 9.9 million tons out of 19.9 million tons, in the 1st phase expansion, the en tire will be to start by fourth quarter. So what about the clinker, I think 6.4 MTP clinker is also pending from that 19.9 million.
Atul Daga: Clinker -- and I mean clinker from – now which clinker remining -- here.
Management: It's only one clinker
Atul Daga: Yes, only one clinker.
K. C. Jhanwar : Yes. Only one small debottlenecking of Maihar plant is pending . Otherwise, we have commissioned all the other kilns and unit actually. Though the cement production is lower, so which will make up in this quarter.

Shravan Shah : And out of 22.6 MTP likely to come by FY '25, '26, so how much -- and where we can see 2 million, 4 million tons to come in FY '24 itself?
Atul Daga: We will target early '25 to start commissioning.
Shravan Shah : So any capacity to come in FY '24 out of the 22.6 million next phase of expansion?
Atul Daga: Not at the moment.
Moderator: The next question is from the line of Ritesh Shah from Investec.

Ritesh Shah : Two questions. One is, you have indicated a slide on constr uction chemicals. Also, you have indicated at 50 -plus products and growing. I just wanted to understand if you can spell out any numbers, that's one. And what's the overall game plan in this segment, say, three years out?
Atul Daga: So this year, if I look at an annualized run rate, we should be clocking INR 800 crores to INR 1,000 crores and continuously growing. At the same time, we will look at our consolidation opportunities in, because these are very small consolidation opportunities in case something lucrative comes by, we will consider that.
The biggest play for us for construction chemicals is it gives the -- what should I say? It gives our offering or a complete offering as part of our building solutions, building solutions play.
And for dealers, it gives them something additional to do instead of just selling cement . So the focus is to build on to the stickiness, which construction chemicals will bring to the table.
Ritesh Shah : And sir, my second question was on logistics. Is there anything differe nt that we are doing now given a lot of new capacities which are coming up across the industry? Anything more on coastal freight or anything more on adding number of silos? Sir, anything worth that you would like to highlight?
Atul Daga: For half year, the se are very, very micro things, so whether a silo needs -- should be added, it does get added as and when required. Ocean movement is obviously is restricted to our coastal markets only. We are moving from our Gujarat plant to down south right up to Colombo. W e are adding a bulk terminal at Tuticorin, that will further bolster our supplies to the rich Tamil Nadu market.
There's a lot of digitalization effort, which is under play, which is helping us optimize our logistics cost. Today, each dealer, each regional manager of ours or a territory manager of ours knows where the truck is, what kind of truck will reach the destination and how much time it will take to unload. And select -- which ultimately helps improve efficiency.
So there are a lot of efforts which a re being -- a lot of investment being done and efforts being put in to improve efficiency of logistics, which is now visible.
Ritesh Shah : Sir, just a related question. Does the DFC change things for us? Is it a viable proposition or it's still some way ou t before it actually becomes viable? And are we doing anything to make it actually viable for us?
Atul Daga: DFC.
Ritesh Shah : Yes, sir.
Atul Dag

a: So nothing as yet -- there are small movements which have started, but I have seen governments big plans of i ncreasing the ra ke sizes, capacity of the ra kes going up, which will definitely help

move bulk cement in a big way. So I -- my guess is we'll have to wait for a couple of years more before it crystallizes into a benefit.
Moderator: The next question is fro m the line of Sanjay Nandi from Ratnabali Investment Private Limited.
Sanjay Nandi : My all questions were answered.
Atul Daga: Thank you.
Moderator: The next question is from the line of Girija from Systematix.
Girija : Yes. All of my questions are answered. But if you can tell me which region we have sold more volume this quarter?
Atul Daga: We have sold everywhere. Don't worry.
Moderator: The next question is from the line of Rajesh Kumar Ravi from HDFC Securities.
Rajesh Ravi: Just one follow -up question. “Others” -- when you report where you say construction chemicals, UBS and exports? You mean these are all noncement revenues exports, is it including any exports from India? There's cement exports from India?
Atul Daga: Yes. It's very small, about 40,000 tons which goes to Sri Lanka essentially, our own bulk terminal.
Atul Daga: Next quarter onward, I'll give the breakup.

Rajesh Kumar : Right. So that we can track the...
Atul Daga: Because it's gaining shape, it is important for us to highlight it.
Rajesh Kumar : And the same number would you have for this other number for March '22 quarters, please?
Atul Daga: March '22 quarter.
Rajesh Kumar : Exports and others.
Atul Daga: In the pre sentation -- last quarter presentation, it's there.
Ritesh Shah : I'll get you from there.
Moderator: The next question is from the line of Shravan Shah from Dolat Capital.
Shravan Shah : Sir, just a follow -up on the WHRS slope. By end of this, how much more we will be adding for till March? And then for FY '24, how much more we will be adding WH RS?

Ankit Asawa : 30 megawatts this quarter. 30 megawatts this quarter.
Atul Daga: December quarter.
Ankit Asawa : In last quarter, we have added 16 mega watts in WHRS. In March quarter, we'll be adding...
Atul Daga: 30 megawatts which will lead us to 238.
Atul Daga: 238 megawatt, we should aim to bring 238 megawatts of WHRS by March '23 and there will be further revision because in t he next phase of expansion of 22 million tons, there is in all that clinkerization units, we will have W HRS as well.
Shravan Shah : And sir, any broad idea in terms of the -- we have previously mentioned that 15 million to 16 million tons of clinker will be there out of 22.6 million ton expansion. Which region because previously for 19.9, we have known the break up. Here, the break up is not available. So any...
Atul Daga: It was provided in our last presentation where we gave the detailed geography, geograp hical analysis of where the expansion is coming.
Shravan Shah : Sir, we mentioned about the grinding unit and not the clinker, where the clinker is coming.
Atul Daga: I'll ask Ankit to give it to you separately, sort of tackling out numbers here. He'll give it to you separately.
Shravan Shah : And lastly, on the employee cost, sir, last quarter, we mentioned that because of the incremental cycle, our employee cost has increased in Q2. But this quarter also, the employee costs remain on the same rather we shou ld have decline on Q -o-Q basis, so will this INR 694 -odd crore employee cost quarterly is the new normal?
Atul Daga: Once the increased compensation takes place that becomes norms for the next future quarters also.
Shravan Shah : No, I thought there may be some onetime incremental bonus would be there.
Atul Daga: No, nothing. Normal increment.
Shravan Shah : And in terms o

f the other expenses, do you want to highlight anything where we can see a further reduction in other expenses?
Atul Daga: We are continuously making efforts and you will see it in our results.
Moderator: Ladies and gentlemen, that was the last question. On behalf of UltraTech Cement, that c oncludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2023

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4th May, 2023

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Dear Sirs

Sub: Transcript of Q4 FY-23 Earnings Conference Call

In terms of Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirement), Regulations 2015 , please find attached transcript of the Q4 FY-23 Earnings Conference Call conducted after the meeting of the Board of Directors of the Company held on 28th April, 2023 , for your information and record.

The same i s also available on Company's website: www.ultratechcement.com

The same is for your information please.

Yours very truly,

For UltraTech Cement Limited

Sanjeeb Kumar Chatterjee
Company Secretary

Encl: A/a

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“Ultra Tech Cement Limited
Q4 FY '23 Earnings Conference Call”
April 28, 202 3

MANAGEMENT : MR. ATUL DAGA – EXECUTIVE DIRECTOR AND CHIEF FINANCIAL OFFICER – ULTRA TECH CEMENT LIMITED
MR. K. C. JHANWAR – MANAGING DIRECTOR -- ULTRA TECH CEMENT LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the UltraTech Cement Limited Q4 FY '23 Earnings Conference Call. We must remind you that the discussion on today's call may in clude certain forward -looking statements and must be, therefore, viewed in conjunction with the risks that the company faces. The company assumes no responsibility to publicly amend, modify or revise any forward -looking statement on the basis of any subseq uent development, information or events or otherwise.

As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Atul Daga, Executive Director and CFO of the company. Thank you, and over to you, sir.

Atul Daga: Thank you so much. Good evening, friends, and a very warm welcome to you on this earnings call for UltraTech for our quarter 4 FY '23 earnings. First and foremost, my apologies for the last-minute delay in the time for the call. But I guess nobody has worked from home these days. So you will be attending this call from office and hopefully have a good evening after the call.

I don't have too many comments today, and we'll be more than happy to rather engage with you and answer as man y questions as possible because performance speaks louder than words. And if there's any further clarification needed beyond our numbers, more than happy to answer. But a few quick highlights for this quarter. We sold -- this quarter and this year in parti cular, we sold 100 million tons of grey cement from India in the last 12 months, which is a very unique feet. It's not just a number because it requires collaborative effort, synergies from all angles from all sections of the company, which encompasses alm ost 55 physical plant locations, then 235 RMC plant locations, 50 r akes being dispatched every day, more than 12,000 trucks being dispatched every day and more than 100,000 channel partners supporting this network, along with the employees who've toiled day in, day out to make this happen. And it has been a consistent performance. It's not that last -minute thought process or last month effort. Month -after-month, quarter -after-quarter, I think the company has done -- put in a fa bulous effort to deliver this 100 million tons. I think we feel tremendously proud about it, and I thought of sharing my sentiments with you.

Talking about our expansion, the Phase 1 of expansion is almost complete. The two plant, two or three smaller upgr adations and brownfield expansions, which are under trial and will get completed before the end of this quarter. Till April '23, we have commissioned 17.8 million tons of capacity. That's a number to reckon with. Phase 2 expansion of 22.6 million t ons is in progress. And as of now, we expect to reach our next milestone of 156 million tons by June '25 or before the close of '25 -'26.

Talking about cement prices because last time everybody was inquiring about prices, we did not see too much movement in prices in this quarter. And rightly so because this quarter is all about

volume, and you saw a huge amount of growth. We have delivered a 15% growth overall in this quarter. Fuel prices is the next big element to talk about. Fuel prices have been softenin g. Pet coke has been softening. Coal continues to be pretty strong, still pretty strong. In spite of whatever softening is happening, we are not yet celebrating because coal is still trending high and China, to my mind, has still not started importing. It all depends on how the global markets perform with China coming into

operation.

One more highlight is about our cash flows. We spent almost INR6,000 crores on capex this year. This kind of trend is expected to continue in the next two , three years. Most important and interesting aspect about our cash flow generation has been that we have had a positive cash flow after meeting all capex requirements, working capital requirements, dividend payments as well and yet we have deleveraged. Sm all bit, but that goes a long way to tell how powerful and how diligently we manage our cash flows.

With regards to green energy, we have ended this year with 210 megawatts of WHRS and 345 megawatts of renewable energy. We are on track on our ESG targets h aving reached 557 kgs per ton of cement as compared to when we started this year, we were at 582 kgs per ton of cement. Last point, which I would want to talk about is demand. Demand in the country seems to be very strong. We ourselves ended the year with 84% capacity utilization , the quarter at 95% and the month of March was a record -breaking 100% capacity utilization. I'm glad to tell you that the momentum has been maintained in the current financial year in the first month, which means that the opening ba tting has been good, and I hope the middle order and the tail will also perform equally well.

With that, I would hand over to you for questions. Thank you so much.

Moderator: Thank you very much. The first question is from the line of Shravan Shah from Dolat Capital. Please go ahead.

Shravan Shah: Thank you, sir and congratulations on achieving the 100 million -plus volume for this year. Sir, a couple of data points and the questions to in terms of the data points, the lead distance for this quarter and K cal cost for this quarter? And how do we see this Kcal cost in the first quarter of this year and the second quarter.

Atul Daga: So lead distance, we have given in the presentation was about 413 kilometers and 2.5 Kcal is what we have reached in this quart er. Let me not go into the next quarter because the quarter is still going on.

Shravan Shah: But broadly, how do we see in terms of the further reduction in power and fuel cost?

Atul Daga: Yes, it should be softening.

Shravan Shah: And any number we want to put?

Atul Daga: We will not be able to give any numbers.

Shravan Shah: On the sir, capacity front, so you have already mentioned that remaining 2.1 million tons will be commissioned in this quarter. So out of the next phase, 22. 6 million tons, how much will be added in FY '24? And how much in FY '25?

Atul Daga: Let's stick to the results for the quarter, please? And we will update as and when we make significant progress on our projects. We will update everybody.

Shravan Shah: Okay. And in terms of broadly, if I look at so this close to 14.4, we have already added, including this April. So in terms of the growth in volume for FY '24, is it fair to assume that 50%, even if I assume the utilization for these new capacities for this year, so 7 million tons, 8 million tons from here . So easily, we should be seeing a 12% -plus kind of a volume growth for this year.

Kailash Jhanwar: K. C. Jhanwar here. So first of all, I think the volume growth has linkages not only with the plant, but it's an overall market dynamics, supply -demand kind of situation. So even if the plant is ready to produce, ready to fire, but it has to be an economical market to service. So it's a very volatile and very, I would say, beyond prediction th at what kind of volumes would be able to sold in the marketplace, either from existing or from the new capacity.

Moderator: We'll move on to the next question from the line of Pinakin Parekh from JPMorgan. Please go ahead.

Pinakin Parekh: Thank you very much for the call. So very strong operating performance, 15% year -on-year volume growth. So far, it seems that UltraTech has massively

outperformed the peers in terms

of volume growth. Given that UltraTech has added a lot of new capacity, is it fair t o say at this point of time that the growth differential of 400 basis points to 500 basis points over industry would continue in FY '24 for UltraTech in terms of sales volume?

Atul Daga: Yes, Pinakin, I believe so.

Pinakin Parekh: Okay. Thank you. Second question is, sir, you mentioned at the beginning of the call, INR6,000 crores capex for the next three years broadly. So that INR18,000 crores capex from '24 to '26, is it only on existing capacity of Phase 2, or does that include some of the next phase of expansion?

Atul Daga: I think two, three years got spoken in the casual flow. But our 22 million tons of capex is about INR12,800 crores, that's what I was referring to.

Pinakin Parekh: Okay. So at this point of time, FY '26, the third year of capex does not include...
Atul Daga: But as we had announced by the time we complete this phase of growth, we would have announced during this year the next phase of growth, wherein we would have capex cash flows also. I don't have a number on that, so I don't want to comment on that.
Pinakin Parekh: Understood. Thank you very much sir.
Moderator: Thank you. The next question is from the line of Sumangal Nevatia from Kotak Securities. Please go ahead.

Sumangal Nevatia: First question on the volume growth. Now the strong volume growth, if you could just share what would be the industry growth in your sense? And is it particular region where we gain market share, or is it across regions?
Atul Daga: Sumangal, we have operated at 95% capacity utilization on a base of 1 20-odd million tons, then we have grown , -- performed uniformly across the length and breadth of the country. So we've done uniformly well plus here or a minus here tolerance level of 3% plus -minus might be there.
Sumangal Nevatia: Understood. So it's not j ust because of North region where because of some plant closures we would have had...
Atul Daga: No. So that's very small capacity, and I'm talking about 126 million tons of capacity and not 5 million tons of capacity now.
Sumangal Nevatia: Got it. Sir, se cond question, this Nathdwara merger, I mean is it possible to quantify what could be the benefit of merger in terms of accumulated losses and also in an operating losses...
Atul Daga: No. I think it is more of consolidation that we want to carry out and h ave one single set of book. We were waiting for a cleanup of all the non -core assets, which we have completed. There were a few past legal cases, which we have completed, and now it's a clean set of books ready to get merged with UltraTech.
Sumangal Nevati a: Okay. So no meaningful I mean benefit on this on a merger point of view?
Atul Daga: No. Synergies we have already tapped into. It was for all in tend purposes, working as a single , between Nathdwara management team was common, brand common. Wherever syner gies had to be drawn out, we have drawn out. So it's more consolidation of numbers. In my presentation, when you see our India operations, I think the only change might happened at the terminology India operations might undergo with change. No, you still c ontinue calling it India operations, sorry. So there's no change. It's a legal consolidation that we are going through.
Next question, please.
Moderator: Thank you. The next question is from the line of Pulkit Patni from Goldman Sachs. Please go ahead.
Pulkit Patni: Sir, thank you for taking my question. Sir, given the fact that our utilizations are very high already. And if my understanding is right, the bulk of your new capacity now is going to come in FY '25. FY '24, there's not much capacity addition. W hat would your view be on pricing in that backdrop for us and for the industry?
Kailash Jhanwar: Yes. Thank you, Pulkit. K. C. Jhanw

ar, this side actually. So, yes, our capacity in FY '24
definitely would not be -- may not be that substantial. But let's se e because ultimately. But some other players are obviously adding the capacity. But Pulkit, as you know, in our industry, it is very difficult to predict the demand actually, say, I'll give a live example, 15 days back, we were hoping everyt hing going well. But one fine morning, you start some slowdown and kind of thing,

but that's not a permanent feature actually. So it all depends actually. But holistically, I would say it's likely to have the good demand, maybe anything between 7% to 8% kind of thing. So obviously, I don't think there will be strong pricing power would be in the hands actually. But it all depends actually how the capacity utilization set out actually.
Pulkit Patni: Sure, sir. So cost is going to be our friend for the next six months is the way you look at it?
Atul Daga: Yes. Pulkit, costs will definitely be a friend, and I believe just adding further to what Jhanwar Ji mentioned, see, what is happening is whilst we are doing a capacity utilization of 90%, 95%, all India capacity utilization is still not rising to a meaningful level. All India, all industry capacity. And my firm belief is that and I've mentioned it on several occasions, when all India capacity utilization starts going around 85%, then you see a different kind of performance level. So yes, there is still some time.
Pulkit Patni: Sure, sir. And any indication on costs in terms of spot fuel prices, how should we look at the next couple of quarters in terms of power and fuel cost?
Atul Daga: They are volatile whilst they are in the downward trajectory. But suddenly, there could be a spike also as I was specifically mentioning about fuel costs, pet coke has been softening, pet

coke has reached almost $150 or $160. Coal on a same calorific value basis, coa l still continues to trend around $170 to $180. The gas prices have softened globally. The atomic power generation has gone up in certain parts of Europe, which is easing the pressures on fuel prices also. But as and when China starts importing and -- they will open up. They are opening up already. March was a phenomenal performance in China. They started importing -- sucking out coal supplies from Australia, from New Zealand already, but we have not yet seen a big impact on the overall fuel prices. I will not start celebrating yet, as I mentioned earlier, on fuel prices. They are softening but they would make a reverse trend also.

Pulkit Patni: Sure. That's useful. You've been the most guarded in terms of any comment on fuel prices versus your competition. But that's it from my side.

Atul Daga: All right.

Moderator: Thank you. The next question is from the line of Indrajit Agarwal from CLSA. Please go ahead.

Indrajit Agarwal: Hi, sir. Good evening. A couple of questions from my side. First, again, going back to coal and fuel cost. Have we been changing our strategy at all in the sense of sourcing? Have we changed our mix meaningfully? Or like coal, are we sourcing more from US rather than Australia right now or it broadly remains the same that it wa s maybe a couple of quarters back?

Atul Daga: Australia for us has never been the main source of coal. It becomes uneconomical being the distance and US has been always the main source of imported coal. Yes, we switch between pet coke and coal depending up on pricing. But spot prices cannot determine that at the moment we are able to cite some trends. We try to tilt the balance towards either of the fuel, whichever makes

economic sense. Last quarter, for that matter, we were 52% pet coke, and we can go up fu rther depending upon how the prices behave.

Indrajit Agarwal: Now as we are seeing prices declining, are we looking to

reduce our inventory of coal pet coke?

Or we still want to be well prepared for any production update that we are like...

Atul Daga: No. Irrespective of prices, inventories have to be carried. We do a thumb rule of 40, 45 days, 45 days of inventories can't take a risk or suddenly, if there is some mine shutdown or anything. Suddenly, if supplies are not available, then our operations will s uffer. So, this is a long distance, long lead item. So we can't compromise on inventory levels. That will be very speculative.

Indrajit Agarwal: Sure. And a couple of questions on the waste heat side. So we had a target of 318 megawatts by end of FY '24. A re we still on track for that? Can we...

Atul Daga: Yes, we'll exceed that, I think so. '24? We'll exceed that.

Indrajit Agarwal: This fiscal. So we will be like 34% green share that we are guided by next fiscal…

Atul Daga: Yes, that we are very confiden t. We would -- because see green share, the non -investment base is alternate fuel. We are continuously ramping up our alternate fuel, which ultimately forms part of my guidance on 34%. So it could -- we will definitely meet our targets, for sure.

Indrajit Agarwal: Sure. My last question is on the clinker conversion ratio. We are at about 1.41x. So not just in the near term, maybe a five, seven -year horizon, do you see this moving more towards 1.6x, 1.7x where the industry accepts more blended cement? Or you think there will be a sharp distinction between the infrastructure projects, which will continue to have higher OPC? Are you seeing any change...

Atul Daga: There are two sides of the coin to this. One is with infrastructure continuously being a bellwethe r of demand, demand, the consumption of OPC will continue to remain high, which means the conversion ratios cannot improve dramatically. However, there is a lot of advocacy, which is happening around blended cement usage in infrastructure projects. It depe nds on how successful the industry is to circulate that message down. And we could see improvement in overall conversion norms. 1.6x, I can't do the math around 1.6x. This quarter ended 1.41x was average, but quarter ending was 1.42x. We have once in a whi le touch higher than 1.42x also. And in the near future, maybe 1.5x could happen.

Indrajit Agarwal: Sure. Thank you sir.

Moderator: Thank you. The next question is from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah: Hi, sir. Thanks for the opportunity. A couple of questions. Sir, first one is on the legal side. Sir, how should we read point 8 notes to accounts pertaining to the Dalla asset?

Atul Daga: The Dalla asset, it's under arbitration, let that process get completed, we'll then tak e over that asset.

Ritesh Shah: Sir, can you specify how much is the cement and clinker over the asset which is under artificial?

Atul Daga: 2.3-million -ton clinker only. No grinding capacity at that location.

Ritesh Shah: And sir, corresponding limestone?

Atul Daga: The limestone mines would be about 100 million tons over there.
Ritesh Shah: Okay. Perfect. Sir, you wouldn't like to comment anything on the course of actions incrementally or possibly how it landed in arbitration?
Atul Daga: It's good point, Ritesh. Next question, please.
Ritesh Shah: Sir, next question, any specific cost initiatives besides the green power and AFR that we are working on, eit her on lead or moving from road to rail or exploring more of coastline , DFC, I mean anything...
Atul Daga: I think it's -- this topic might take half an hour of discussion by itself, but there are lots of initiatives that the organization is taking whether it's on digital ways of working, which is helping reduce our operation cost or optimizing my lead distance or optimizing my freight costs, there are lots of initiatives. I think the leading question would be

you might ask me what is the target number? I d on't have a target number because these are continuous improvement programs. So we have improvement programs happening in our maintenance cost, in our power consumption. Some are investment -led, some are improvement in efficiency, mining operations for tha t matter. There are dedicated specific task force and actions being taken to improve the cost of mining. So you name the field, work is continuously on. There's never a status quo that we would reach.
Ritesh Shah: Correct. Sir, just last question. You indi cated we are positive on demand. You also indicated I think batting order, middle order and tail will follow and we are upbeat on volumes. So my question is, and you also indicated at the India level utilization level is still not at the desired level. Sir , what would be the probability for the cement prices to remain at the current level if the cost curve goes down and what you indicated utilization at the India level is not at the desired level?
Atul Daga: You would tell me, you are there in the field, what will happen?
Ritesh Shah: So pricing should go down logically, but I would like to have your thoughts, sir.
Atul Daga: No, I think there would not be too much pressure on prices. I don't believe so. We have seen in the heat of the January - March quarter. If volumes are so high, then prices should have corrected, prices did not correct. We have maintained our prices as we were in the last quarter. So nobody wants to just crash prices for volumes.
Ritesh Shah: Sir, adjusting for seasonality, tec hnically, it has to come off because volumes will dip.

Atul Daga: July-September quarter is always a weak quarter, but my sense is, otherwise, prices should remain stable.
Ritesh Shah: Sure sir. More questions, sir. I'll join back the queue. Thank you so much.
Atul Daga: Thank you.
Moderator: Thank you. The next question is from the line of Amit Murarka from Axis Capital. Please go ahead.
Amit Murarka: Hi, thanks for opportunity. Just a couple of questions. Sir, firstly, on demand slide around the various demand drivers that you present shows a relatively weak performance by the Infra and Commercial segment, whereas the housing segment is what is driving the demand. So with the healthy budget, which is seen for FY '24, like are you already seeing infra seg ment also picking up or still sluggish as of now?
Atul Daga: Yes. So one important aspect, and I've mentioned it in the comments also is when the harvest time happens, the normally labor availability goes down for the infra projects, and that's where new p rojects taking off also is slow. So it's about new projects not taking off at a point in time, which results in a mild slowdown. I think a sneeze should not be considered as a flu. So it's a very mild thing. But given the impetus on infrastructure that the government has, given the fact that this is election year, I believe demand will continue to grow very strong.
Amit Murarka: Okay. Understood. And also on exports, like this quarter, you've shown a higher export volume and so has the Sri Lanka situation f ully normalized now, or how are we placed?
Atul Daga: Yes. I think it's almost normalized, and we have started getting back our volumes. At the peak of the problem time, we had almost INR250 crores outstanding from Lanka, everything, the last penny has bee n received, volumes have started picking up. The economies started picking up. So our exports are also going up.
Amit Murarka: And the subsidiary financials, in the presentation, you've disclosed other expenses have actually almost come down to zero in Lan ka. Is there any major change in the like operating structure, which you have made there?
Atul Daga: No. What is this, Ankit?
Amit Murarka: The other expenses line item, this is in slide 34 it shows that it was INR

84 crores last year, it is INR6 crores this ye ar.
Atul Daga: No. I'll ask Ankit to get back to you on this, Amit.

Amit Murarka: Okay, sure. And just last question, like on the fuel cost, you mentioned $194 consumption cost right now. What we understand is on the spot level, the pet coke costs have dr opped to like around $140, $145 per ton. So like by when will these current spot prices start reflecting? Generally like it's 45 days that you take to consume the fuel...

Atul Daga: I would give about two months. Just one second, the clarification.
Ankit Asawa : Amit, that other expenses include exchan ge loss because last year in Lanka, there was a currency devaluation , which was very high.
Amit Murarka: Understood. Okay. That is all from my side. Thanks.
Atul Daga: Thanks.
Moderator: Thank you. The next que stion is from the line of Prateek Kumar from Jefferies. The line for the current participant has got disconnected. The next question is from the line of Rashi Chopra from Citigroup. Please go ahead.
Rashi Chopra: Thank you. At the last quarter, you had men tioned that fourth quarter the EBITDA per ton will cross INR1,000 and then more medium term, you are expecting INR1,000 to INR1,200. So obviously, you've delivered on the fourth quarter number. But what are the thoughts on the INR1,000 to INR1,200 medium t erm given the way costs have come up?
Atul Daga; I believe we deliver on what we commit.
Rashi Chopra: So I think my question is, is there upside to that?
Atul Daga: Upside to what?
Rashi Chopra: INR1,000 to INR1,200 medium term?
Atul Daga: Well, I wouldn't want to count it so soon. Let Q1 play out, we'll see then.
Rashi Chopra: Okay. Also, the green power in this quarter, was it 20%?
Atul Daga: Total green power. 25%. Which includes WHRS plus renewables .
Rashi Chopra: Right. And what was the working capital release in the quarter?
Atul Daga: In the quarter, how much is the working capital release? INR2,300 crores.
Rashi Chopra: Okay. Thank you.
Moderator: Thank you. The next question is from the line of Navin Sahadeo from ICICI Securiti es. Please go ahead.
Navin Sahadeo: Thank you for the opportunity. Sir, two good questions. One, are there any efficiency measures or any other special initiatives the company is taking on other expenses front because on an absolute basis, even at, let's say, volumes of nearly 32 million ton, the total amount is actually less than what we saw even when the volumes were just 23 million ton. So I understand it is partly fixed, partly variable. So I'm just trying to understand, are there any initiatives or any efficiency gains, which have been factored here?

Atul Daga: No. Navin, there's nothing extraordinary. I think I would say it's an operating leverage play. And if I'm trying to think, the biggest other expenses would be something like advertisements . Yes. So that, I really cannot predict or cannot have a standard flow depending upon events when campaigns are run. So that would be a bit of a yo -yo. You might see in this quarter, the other expenses are slightly higher because there will be a huge amoun t of ad spend, could be. Other than that, there's nothing abnormal, which comes to my mind.
Navin Sahadeo: Sure. And sir, just directionally, while, of course, previous participants did ask you about pricing and fuel cost. My just one question directionall y. April as a month in terms of realizations would be better versus the March quarter, or would be a tad lower? How would you look at it directionally?
Atul Daga: It's positive direction. It's not declining, so.
Navin Sahadeo: Understood. Great. That’s h elpful. Thank you so much.
Moderator: Thank you. The next question is from the line of Rahul Gupta from Morgan Stanley. Please go ahead.
Rahul Gupta: Thank you for taking my question. Daga sir, I have a couple of questions. Sir, if I do back of the envelop e math, it suggests that fuel cost would come down by around 15% over the next two quarters, of course, assuming everything remains same, is that a fair understanding? And secondly, given fuel costs have surprised positively on spot basis over the past few months, is it fair to expect that the focus would be, again, on volumes and are the positives that one would get from fuel prices would be offset by the cement prices during the year?
Atul Daga: I lost your first question. What was the first question?
Rahul Gupta: Sorry, what I was alluding to was when I do my back of the envelope math, your fuel cost should decline by around 15% over the next couple of quarters. But of course, this is assuming everything remains same.

Atul Daga: Yes, I think everything remains the same, then the math would work. But spot prices are never on the spot, they are changing on a daily basis. If the trend is continuously down south, then yes, you will be proven right.
Rahul Gupta: Yes. And just to take this point for ward, does that mean we get more leeway to play on or focus on volumes or -- sorry for the work at the expense of cement prices during the year, given we have a...
Atul Daga: Rahul, ultimately, we play for EBITDA per ton and not for a single lever. And nob ody in the right sense and the right mind frame would want to lose on EBITDA per ton.
Rahul Gupta: Great. Make sense. Thank you so much.

Atul Daga: Thank you.
Moderator: Thank you. The next question is from the line of Sumangal Nevatia from Kotak Securit ies. Please go ahead.
Sumangal Nevatia: Yes. Thank you sir. I got disconnected. Sir, first question on the capital structure over the medium term. We've deleveraged quite impressively without compromising on growth. So now as we're approaching net cash, sh ould we expect a higher payout or we will look to accumulate cash on books over the next two, three years?
Atul Daga: One is, this year, our dividend payout is almost 22% of profit. It will keep on going up steadily as a percentage of profit in my view. Of course, the Board will take a final call. But the reading that I have is it will keep on improving.
Sumangal Nevatia: Okay. Sir, over the last several years, we've been quite active on M&A. I mean how is the landscape now? Are there meaningful assets stil l on the block or it's largely going to be organic going forward?
Atul Daga: See, we believe in India growth story, and we want to continue to participate in India growth story. So we will grow, whether organic or inorganic is a second thing. And inorganic is always opportunistic. It also has to -- in my definition, it has to give us a profitable growth opportunity in that scenario, we will examine it. If it does not make sense, we'll drop it.
Sumangal Nevatia: Okay. And just one last thing on April prices is not very clear. I mean since the month is almost over, is it possible to share some regional sense on how the prices have moved versus March?
Atul Daga: I don't want to comment on month -to-month numbers.
Sumangal Nevatia: Okay. Got it. Thank you and al l the best.
Atul Daga: Thanks.
Moderator: Thank you. The next question is from the line of Prateek Kumar from Jefferies. Please go ahead.
Prateek Kumar: Yes. Hi, sorry, my call got disconnected. My question is on clinker capacity. So you were quoting like 84% utilization for cement for FY '23. What would be your clinker utilization for the year? And what is your clinker capacity post this first days of expansion?
Atul Daga: So clinker capacity utilization was about 91% Q4 FY '23.
Prateek Kumar: So what w ould be that for full year? You said 84% for full year for cement, right?
Atul Daga: Yes. So what are you asking?
Ankit

Asawa : 83%.
Atul Daga: For what?

Ankit Asawa : Full year.
Atul Daga: Cement is 84% full year. Clinker is 83% full year.
Prateek Kumar: And what could be our clinker capacity?
Atul Daga: Clinker capacity, do you have a number guys? Surprisingly, we don't have a clinker capacity number immediately. I'll give it to you separately.
Prateek Kumar: Okay. So second question is on pricing. So last quarter, was there a material difference in regional pricing trend in various regions?
Atul Daga: No, it almost remained flat, a rupee here or a rupee there within regions.
Prateek Kumar: Okay. So there is no change in competitive inten sity in any region specifically...
Atul Daga: No.
Prateek Kumar: And lastly, on other expense. So other expense growth seems lower on an year -on-year basis versus volumes. That's largely related to -- I mean, as you comment on operating leverage benefit, but is there some expense which is missing this quarter?
Atul Daga: No, nothing is missing. Nothing has been stopped. It's purely operating leverage.
Prateek Kumar: Sure. Thank you. These all are my question.
Moderator: Thank you. The next question is f rom the line of Ashish Jain from Macquarie. Please go ahead.
Ashish Jain: Hi, sir. Good evening. Sir, my first question is on this 25% green power that you said, can you

break it up between how much is AFR and how much is WHRS?
Atul Daga: 15% is WHRS and balance is renewable energy.
Ashish Jain: Okay. And sir, AFR, is it even cheaper on a calorific value basis or whichever ways you measure is more about attending the green target that we have?
Atul Daga: No. We take calorific value basis. We don't want to forcefully put it in.
Ashish Jain: Sir, secondly, on WHRS, like you had this target of 324, which you said you might exceed. But once we go to 150 c apacity , what is the potential on WHRS we have because it should be increased substantially with the kind of clinker we are adding, is that right? Because the reason I'm s aying otherwise, your share on green could decline in case we don't match it with incremental WHRS. Just want to understand where we stand on that?
Kailash Jhanwar; Yes. Ashish, actually I would put this. And now all the new plants are done with WHRS actua lly. And as far as new plants are concerned on a -- about 55% power can get generated from WHRS for the new plants. So average obviously certain old plants where there is no possibility or layout

does not permit or there are other challenges. But new plant s can give up to 55% of value on power…
Atul Daga: Further to that, Ashish, we are not adding any thermal power capacity. So balance, we are depending on grid as India improves in terms of power supply and PLF grid supply is becoming a safer way of supplyi ng -- absorbing power in our units. So irrespective of organic capacity going up or WHRS maturing on our current capacity, future capacity will remain balanced with green power.
Ashish Jain: Sir, if I ask this a differently, so the 324 number, if my unders tanding was right, it was based on the 111-million -ton capacity basis, is that right? Or this included this, or is it based on 134 million ton? I'm not clear about that?
Ankit Asawa : So on 130 million ton, it was around 303 megawatts.
Ashish Jain: Right. So once we go from 130 to 155 or 154, we should be adding roughly another 100 megawatts, is that right?
Ankit Asawa : Around 60, 65 megawatts, which will take us to 360 megawatts, 370 megawatts.
Ashish Jain: Okay. Got it. Thank you so much.
Manage ment: Thank you.
Moderator: Thank you. The next question is from the line of Devesh Agarwal from IIFL Securities. Please go ahead.
Devesh Agarwal: Yes. Good evening, sir. Thank you for the opportunity. You did mention that probably

pricing
may not go up, but given your high utilization, do you think that the share of premium product in your overall mix can go up and that can support the pricing?
Atul Daga: Yes, it is already going up. We have crossed 20% in terms of premium products and which also directly indirectly help average realization.
Devesh Agarwal; Any target sir, for FY '24?
Atul Daga: Yes, I'll tell you at the end of '24.
Devesh Agarwal: And sir, on a net basis, how much more do we earn out of premium products?
Atul Daga: Incremental mar gin on premium product, we have multiple -- do we have an average number? Just one second.
Atul Daga: So my colleague tells me INR10 a bag, would be an average earnings. There are multiple products. So that clearly is INR200 per ton.
Devesh Agarwal: Understood. Okay. Thank you, sir.

Moderator: Thank you. The next question is from the line of Keshav Lahoti from HDFC Securities. Please go ahead.
Keshav Lahoti: Hi, sir. Congrats on great set of numbers. I just want to und erstand one thing. If I look back your Kcal costing, you are industry leader on many operating fronts, but Kcal of Dalmia is picking about 2.06 in this quarter and you are at 2.5 Kcal. So will this difference narrow down in upcoming two, three qua rters with the proper understanding?
Atul Daga: Some mysteries can never be solved. Having said that, our largest footprint is in all the infrastructure projects. You name a infrastructure project where UltraTech is not present. And that is where the wh ole tilt is because we are supplying OPC as compared to other players who are not supplying so much of OPC. Everything has a challenge.
Keshav Lahoti: Okay. Got it. As you again reiterated your stand at once the industry capacity utilization, which is 85%, we get a pricing power, but somewhere that thing does not play out in quarter 4.
Atul Daga: So you see only three or four results have been published. You'll have to wait for other results

to come out, then you'll know what the average capacity utilizatio n of the industry is. Clearly, we operating at a significantly higher base and higher capacity utilization. I believe we would have gained; we would have made significant inroads in the market.
Keshav Lahoti: Yes. Like if you operated at, let's say, near 1 00% in March, obviously, I believe industry might be above 85% in March, but that pricing play is still missing. That's what I'm trying to understand.
Atul Daga: So but I don't think India is operating at 85% -plus as yet.
Keshav Lahoti: Okay. Got it. One last question from my side. You are talking about 34% green power. Can you give a ballpark number? How much is by WHRS and how much will be green power?
Atul Daga: 26% was our target on WHRS and 9% or 10% was our target on renewable energy.
Keshav Lahoti: Okay. Thank you. That's it from my side.
Moderator: Thank you. The next question is from the line of Ritesh Shah from Investec. Please go ahead.
Ritesh Shah: Hi, sir. Quick two -three questions. First is where are we on RAK. Post RAK, how has the mix shifted of Top 2 , volumes versus what we source from RAK and has our market strategy changed specific to White Cement and Wall Care Putty? So that's the first question. Second is on Construction Chemicals what was the...
Atul Daga: I will forget, let me just tak e one -by-one question. So you said, where are we on RAK. RAK is in Ras Al Khaimah and it's very much there. So we have -- sorry, that was a bad joke. But I think the operations are now coming under control. We have started rebranding the entire RAK output into Birla White. Birla White bags are already in place at RAK White. And they are shipping Birla White as a product from there. Prices for white cement have seen a consequent

improvement in the country.

There is a consequent improvement in our market shar e as well in the white cement space. This was a strategic investment, which, to my mind, is playing right at the moment.
Ritesh Shah: Right. Sir, I think we were just at about 50%, and we had indicated we could increase the stake further. So any timelines on going to 80% or 100%? That is one. And you indicated on market shares, so is that possible for us to quantify something?
Atul Daga: Going to -- sorry, what?
Ritesh Shah: Sir, RAK stake , Sir, economic interest.
Atul Daga: Stake. So we are working on it. Hopefully, in this financial year, we'll be able to consolidate, make it our subsidiary.
Ritesh Shah: Okay. And sir, on market share, you indicated that market share has increased. Possible for us to quantify?
Atul Daga: No, I don't have that data. But the very fact that I'm importing that RAK White product as our product name is out of the market and it got replaced by Birla White, clearly, there is a market share gain.
Ritesh Shah: Sure. Sir, c onstruction chemicals, any headline numbers for the fiscal revenue and EBITDA and any target?
Atul Daga: The EBITDA is not measurable. We have clocked about INR550 crores of revenues in Construction Chemicals this year.
Ritesh Shah: Sure. And sir, we had plans on captive manufacturing over here, any updates over there?
Atul Daga: So there is a lot of captive manufacturing happening in all our construction chemicals.
Ritesh Shah: Sir, you had indicated we'll put up more plants across our factories and the revenue run rate for the…
Atul Daga: That's what I meant by captive manufacturing, we have both models, a lot of places we are using because it doesn't require so much of space. We are using space available in our factory premises depending upon the cl osest to the market or doing contract manufacturing outside.
Ritesh Shah: Just a quick data point, sir. Same thing on RMC, any change in strategy. We have the numbers for the full year, but are we upping the number of accounts that we should look at...
Atul Daga: We are going full steam ahead on RMC. We have already reached 23 1 plants. March, we ended with 231 plants and further few more plants would have got added in April. We will continue to grow and hope to double t his number very soon. And 39 physical locations that our contract construction chemical manufacturing is happening.

Ritesh Shah: Sir, just two quick ones. Bulk cement terminals and railway sidings, what's the number right now? And do we have any numbers ta rgeted for the next two years?
Atul Daga: What was the first one you asked?
Ritesh Shah: Bulk cement terminal and railway sidings?

Atul Daga: Bulk terminals is 7 and railway heads almost 300.
Ritesh Shah: Sir, targeted numbers for next year?
Atul Daga: I don't have a target number. And bulk terminals are as part of our 22.6 million ton, there are two more bulk terminals planned, one in UP and -- one in Karnataka and one in UP.
Ritesh Shah: Sure, sir. This is helpful. Thank you so much.
Atul Daga: Than k you.
Moderator: Thank you. The next question is from the line of Amit Murarka from Axis Capital. Please go ahead.
Atul Daga: Amit is not there. Let's take the last couple of questions, please.
Moderator: As there is no response, we'll move on to the nex t question from the line of Anupama Prakash Bhootra from Arihant Capital. Please go ahead.
Anupama Bhootra: Thank you for taking question. So I have a specific question on Eastern regions. So I wanted to understand your perspective as far as East India markets are concerned and the company's plans in Eastern region for coming years?
Atul Daga: We will continue to grow in the Eastern markets. Eastern markets were one of the most deep markets in terms of growth potential, highest density of populatio n, lowest level of development

that still continues to plague that market. So there's a huge amount of opportunity that we see in the Eastern markets.
Anupama Bhootra: So like what kind of capacity expansions are -- is the company planning the coming years ?
Atul Daga: Out of the 22 million tons that we have announced, close to 5 million tons or 6 million ton is coming up in the Eastern markets. We are today present with almost 22 million tons of capacity in the East, which will go up by 5 million more tons in the next two years.
Anupama Bhootra: And how much like clinker backing for the team?
Atul Daga: We are always clinker backed.
Anupama Bhootra: Okay. Thank you so much. That’s it from my side.

Atul Daga: Thank you.
Moderator: Thank you. The next quest ion is from the line of Ashish Jain from Macquarie. Please go ahead.
Ashish Jain: Hi. Sir, in your presentation, in Slide 24, you have given breakup of capex under various heads. Can you give some color on what is included in ESG, other capex and strategic investments?
Atul Daga: So strategic investment was RAK White, ESG, largely is WHRS and all the capexs, which are power saving related, which help me reduce our AFR investments.
Ashish Jain: And others?
Atul Daga: Others will be balanced modernization, t here is a huge amount of stuff which would keep happening in our live operation. It could be some building also or some plant modernization, anything is possible. Various infrastructures will be there.
Ashish Jain: Okay. So WHRS is part of ESG and not in those capex?
Atul Daga: Yes, absolutely. Absolutely.
Ashish Jain: Got it. Thank you so much.
Atul Daga: Thank you.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today. On behalf of UltraTech Cement, that concludes this confe rence. Thank you for joining us, and you may now disconnect your lines.

Call: Jul 2023

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26th July, 2023

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Scrip Code: 532538 The Manager
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The National Stock Exchange of India Limited
“Exchange Plaza”, Bandra- Kurla Complex,
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Scrip Code: ULTRACEMCO

Sub.:
Transcript of Q 1 FY-24 Earnings Conference Call of UltraTech Cement Limited (“the Company”)

Ref.:
a. Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“Listing Regulations”)
b. ISIN: INE481G01011

In terms of Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirement), Regulations 2015, please find attached transcript of the Q 1 FY-24 Earnings Conference Call conducted after the meeting of the Board of Directors of the Company held on 2 1st July, 2023, for your information and record.

The same is available on the website of the Company viz. www.ultratechcement.com

Thanking you,

Yours faithfully,
For UltraTech Cement Limited

Sanjeeb Kumar Chatterjee
Company Secretary and Compliance Officer

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“Ultra Tech Cement Limited

Q1 FY '2 4 Earnings Conference Call ”
July 21 , 202 3

MANAGEMENT : MR. ATUL DAGA – EXECUTIVE DIRECTOR AND CHIEF
FINANCIAL OFFICER – ULTRA TECH CEMENT LIMITED
MR. K.C. JHANWAR – MANAGING DIRECTOR–
ULTRA TECH CEMENT LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the UltraTech Cement Limited Q1 FY'24 Earnings Conference Call. We must remind you that the discussion on today's call may include certain forward -looking statements and must, therefore, be viewed in conjunction with the risks that the company faces. The company assumes no responsibility to publicly amend, modify or revise any forward -looking statement on the basis of any subsequent developm ent, information or events or otherwise.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call , please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Atul Daga, Executive Director and CFO of the company. Thank you, and over to you, Mr. Daga.

Atul Daga: Thank you so much. Good evening, everyone, and welcome to the Q1 FY'24 earnings call for UltraTech. This is the third year in the running, seeing a high consumption of cement. Going by the positive movement seen in the first quarter, we ar e excited to see a double -digit growth in volumes this year as well.

You are aware of the erratic heavy monsoons that we have seen earlier on during the last couple of months, that has hit almost all the regions in the country, resulting in disruption in d ispatches early on. But the good part is that the fear of El Nino seems to be subsiding. Things are going well for our economy. FDI is gaining momentum; inflation seems to be under control; fuel costs for cement are on the decline; interest rate hikes have taken a pause; infrastructure in India is improving rapidly.

What I can quote -- as one of my friends said, Gods up there seem to be Indian. I want to share some more data points on road infra in particular. The government has given a directive to spend almost 80% of the budgeted allocation of INR2.7 lakh cro res by December '23. Almost INR 1 lakh crores has been spent by mid -June Balance spending of INR1.2 lakh crores as was advised by the ministry or will be completed on schedule.

They want to ac hieve a speed of 40 kilometers per day of road construction this year. We'll most likely reach the targeted kilometer per day going by the speed at which the execution is taking place. This quarter was the highest road execution progress. Though new orders were less, but we don't get bogged down by slowing down of orders, which is to my mind, very temporary.

But it's not just a roads, it is the good infrastructure has a captivating effect on overall economic activity in the country and some index who participate in the growth story. Let's talk about our own work. We have commissioned 4.3 million tonnes of capacity till now beyond and going beyond June as well. And our cash flow seems in good shape.

These new capacities will further strengthen our presence in the North , East and Western markets. As for our cash flows, after a cash spend of INR1,796 crores o n our ongoing capital in this quarter, we have further reduced our net debt by INR233 crores, which I think is a fabulous

achievement. We have completed the first phase of our expansion plan, which was announced in December '20, taking our all India capaci ty to 131.25 million tonnes.

During the course of various expansion programs, we have identified some debottlenecking opportunities, which will be completed during this year, giving us an incremental capacity of 4

million tonnes, that has spread in 4 or 5 locations as we complete these, we will keep on announcing that.
We expect as I mentioned, we should be able to complete all these programs within this financial year, taking our

overall capacity from 131.25 million tonnes to 135.25 milli on tonnes in India.
Another very important point to note is the improvement we have made in our clinker conversion factor , specifically included a chart in our presentation, an improvement of 0.04 will generate an additional volume on an annual basis of 3 million tonnes.
Let me now talk about our sustainability agenda, and we take it very seriously. We are fast - tracking our green energy program. For that, we are participating in a hybrid solar wind project of 648 megawatts taking our total renewable energy basket to 1.25 g igawatt when the program is completed. And also, we intend to increase the footprint of our WHRS to reach 425 megawatt from 232 megawatts that we ended Q1 FY'24 with.
These programs will be completed by the end of fiscal '26. , and whe n all these projects are completed I'm happy to tell you that we have more than 60% of energy as green energy on our expanded base. WHRS accounting for around 25% and renewable energy, which is solar and wind accounting for more than 35%.
Depending upon the prevailing cost structures at that point in time, it will still be a sustainable addition to our bottom line. Two points which I want to bring to your notice more from an academic interest point of view. F irstly, on fuel prices. Today, p et coke is trading around USD 115 per ton after USD 100 level for a very few days.
However, most of the time, the spot prices are for ship loading, which is –average 2 months later and give a 45 - to 60 -day shipping time, 10 -odd days of inland movement and existing inventories of anywhere between 45 to 60 days, it gets into consumption, maybe around 5 or 6 months later from the date you are talking about the booking the contract.
Second important point to keep in mind is the moisture loss. For us, the landed cost is almost 10% higher on account of moisture losses, which is what we consume and what we report. Last quarter, on a net basis, our cost was USD 194 per metri c ton, which has reduced to USD 178 per metric ton for this quarter.
Depending on the availability of pet coke, we keep on optimizing the fuel mix the quarter this quarter, pet coke was about 42%. Another point for your academic interest, this is about lead distance. At UltraTech, you would have heard our lead distance being more than 400 kilometers. To be precise, last quarter, we were at 410 kilometers. But an important point to note is that this

lead distance includes lead distance fo r movement of clinker from the integrated plant to the grinding unit. More important to keep in mind is our ability to serve our customers. With the current network of our grinding units, bulk terminals across the country, more than 120,000 channel partne rs and a dense network of warehouses that we have, our lead distance from the point when cement is available to service the customer is only 270 kilometers.
This has come down from 281 kilometers last quarter. And I think this is a real lead distance for our customers. So we are practically able to serve any customer around the country within 300 kilometers of our servicing point . And that's why I say we continue to lead by a mile. Thank you, ladies and gentlemen, and over to you for questions.
Moderator: Thank you very much. Your first question is from the line of Amit Murarka from Axis Capital. Please go ahead.
Amit Murarka: The first question is around the new tax regime now. So have you moved to the new tax regime for all entities like including Nathdwa ra?
Atul Daga: Yes.
Amit Murarka: Okay. And on the fuel cost, like when the consumption cost was USD 178 in Q1 and spot you said USD 115. So by Q3, we should expect like assuming 1 15 continues, we should assume 115 to flow through by Q3, right?
Atul Daga: Yes. So 115, if it's a price, you mark it up for moisture losses. So consumpt

ion will be USD 125
to USD 130.
Amit Murarka: Okay. Understood. And what would it mean directionally for your power and fuel cost , let's say, either in rupees Kcal terms or as a percentage?
Atul Daga: 2.34 was our Kcal cost this quarter.
Amit Murarka: Okay. And assuming like pet coke of 115, like should it go down to like 1.7, 1.8, like 115 would be I guess 1.8?
Atul Daga: It is downw ard. I haven't done the math because the mix will also have a pla y here.
K.C. Jhanwar: I would like to add, here,. See the availability of pet cok e is also not too high because 115 to 125

happened within a weeks -- 10 days time. And as you all know, the availability of the pet coke is very limited, actually, and it's coming maybe a part of the pet coke is coming from U.S. So again, there is a cycle of about 60 to 65 days. So it all depends on how much , what kind of prices set out going forward.
Atul Daga: Amit, to add further, it's a very dynamic situation. I had seen one data point and which I can share with everybody. The heat wave, which is going on in China and more parts of the Europe, the coal consumption is going up. Last year, China generated the highest ever power from its

coal sources, and they are still consuming only captive coal. Our philosophy , not philosophy, our hypothesis is that as and when China opens up and they will start impor ting sometime soon, costs may not remain at these levels.
Amit Murarka: Okay. Understood. Sure. And early on this blending ratio of 1.4x that you achieved, can we now expect like 1.5x, maybe a year, 1.5 years...
Atul Daga: It will improve while not able to quantify, but it will improve further.
Amit Murarka: And also Infra is taking now blended cement?
Atul Daga: Very miniscule.
Amit Murarka: Okay. Understood. And just the last one from me. Like you've already achieved 90% capacity utilization in Q1. Like as we gradually get into Q4, this is 3 quarters down the line, but commissioning, I believe mostly are happening later in '25 and on. So coul d that be an issue where some capacity tightness or unavailability of some capacity to maintain ?
Atul Daga: No, I think as I also mentioned, there will be surplus cement available from our increase in clinker conversion ratio, the debottlenecking, which will give me additional 4 million tonnes of capacity, and we will try and bring in some more capacity at a much fast er pace as and when we are ready, we will let you guys know. But I don't think we will fall short of capacity. We will not lose a single customer.
Moderator: We have the next question from the line of Sumangal Nevatia from Kotak Securities.
Sumangal Nevati a: The first question is, overall, I mean, a very strong growth in this quarter. If you could just share what is the sense what would have been the market growth and I believe it looks like we have gained market share. So in case you can add some regional color as to which region we have outperformed quite substantially versus peers or the industry?
Atul Daga: I think we would have done pretty well across the country because again, 89%, 90% capacity utilization, which means average 85% -plus utilization in m ost markets, the only market like South where we are , our base is small. So we would have a lesser impact as compared to that practically everywhere. We would have outperformed by a mile.
Sumangal Nevatia: Okay. Sir, what would be the industry growth as far as?
Atul Daga: Too early to comment. I would wait for some more results. But certainly, like last quarter, there would be a wide gap between us and the industry.
Sumangal Nevatia: Okay. Given a Pan -India presence, 20% growth, in some region, we would have grown 15%, 18%, some 23%, 24%. So some regional color you can share?

Atul Daga: I just told you, yo

u benchmark me with my capacity utilization everywhere. We are more than 85% capacity utilization. The bigger point is that the entire co untry , all regions in the country, East, West, North South , Central, are seeing huge demand.
Sumangal Nevatia: Okay. Got it. Sir, second question on the prices, I mean, do we expect the cost saving to drive margins? Or I mean, we are entering seasonally weak period. So should we how should we see margins shaping up over the next 1, 2 quarters, given some pressure on prices that we should see?
Atul Daga: We have seen marginal or insignificant not to rejoice or party, but we have seen price increases in North and West. Some increases in the month of July South and East are still not showing traction in prices. But from our perspective, when we don't have capacity available, our efforts would be to service our customers who are paying the maximum price.
Sumangal Nevatia: Got it. If I can just ask one more question. Overall growth for the next 5 -odd years, if you look at last 10 years, inorganic has been a substantial part of our growth. But now we don't see our participati on in few ongoing acquisition opportunities. So is it that inorganic is largely behind us as far as growth is concerned in future next 3, 5 years should be largely dominated by organic. Is that the right way to think?
Atul Daga: No, one or two plac es which you don't see our name that doesn't mean that you can say,

Ultra Tech is not interested. We evaluate opportunities. And of course, given the network that we have, by network I mean our physical plant network. Unless an opportunity is value -adding, value -adding from both growth and profitability, we will not deploy capital in those assets. And yes, we will keep growing. So if not inorganic, organic will lead the way.
Sumangal Nevatia: Got it. Sir, in terms of market share, there is no constraint. I mean, we can still grow inorganically.
Atul Daga: Yes. Barring, I would imagine West not West, sorry, East where because the inorganic target sizes will be large, so we will be hitting some roadblocks in East. Barring that, I don't see a challenge anywhere in the country.
Moderator: The next question is from the line of Pinakin Parekh from JPMorgan.
Pinakin Parekh: Yes. Sir, my first question is on pricing. Now earlier in the mo rning, one of your competitors highlighted that Eastern India, they have lost market share. And they want to prioritize volumes over there. Now Eastern is also seeing a lot of new capacity come through. So in terms of pricing, particularly for East India, what is the company's outlook for the same for the remainder of the year?
Atul Daga: I think we have mentioned earlier also East with given the kind of growth that Eastern markets have and the new capacities coming in, each will continue to re main very tight market in terms of prices.

Pinakin Parekh: Understood. Sir, my second question is that I'm just trying to understand the energy cost math better. Slide mentioned USD 178 as the consumption cost in Q1, which, at today's pet coke prices, works out to around USD 125, that's a broad 30% decline. Now pet coke is broadly 40% to 50% in terms of the overall energy basket. If pet coke prices were to sustain at today's level for the remainder of FY'24, should we assume a 30% energy cost decline? Or will the overall energy cost decline be lower than this headline pet coke cost decline because of the other fuel?
Atul Daga: Yes. So if everything remains status quo, and let's say, today, pet coke prices are at USD 125 and that prevails throughout then, obviously, you would see it translating into a 20% to 30% decline in energy costs. Again, Pinakin, I tried to explain the math around it. Spot means 2 months forward loading, blah, blah, blah. So today' s spot, which is what July end, will come into consumption

only by January. So that's how the math stack up.
Moderator: We have the next question from the line of Prateek Kumar from Jefferies.
Prateek Kumar: sir, my first question is on your recent flow around some change in simple dynamic from BIS required for component cement and this also there is on passing on LC3 as an acceptable product requirement .
Atul Daga: You are not very clear and audible. Can you speak a little louder?
Prateek Kumar: Yes. So I was asking regarding recent change in regulation or modification regulation on composite cement and then acceptance of LC3 as a product, how does that impact industry and us?
Atul Daga: So we are growing big in composite cement. Now compos ite cement requires 45% clinker. There are some players who are doing much lower clinker, which they will get impacted negatively. We have started with 45% clinker. So we are pretty bullish about it. Composite cement is getting very well accepted in the ma rket there's one reason why one of the factors driving our improvement in our clinker factor. Also, competition is still not settled down across the country. So as it settles down, you could see a further improvement in clinker factor.
K.C. Jhanwar: Coming to the LC3 Cement, I think it's a long story because on that as of now there is identified large deposits where the cement plant can be set up based on the LC3 deposits actually. And obviously, it requires a real high investment compared to the n ormal conventional cement plant. So yes, it is good for future, but I don't think anything is like.
Prateek Kumar : 4, 5 years, 7 year?
Atul Daga: So you might not see anything for the next 4, 5 years.
Prateek Kumar: Sure. And the se cond question on other expense. So there were increase in other expense, 4% to 5% on a quarter -to-quarter basis while volumes were actually lower. So is there any one -off expense which was part of this quarter and was not part of last quarter?

Atul Daga: Advertisements were a bit higher. Anything else So Q4 maintenance was lower and this quarter, the advertisement and maintenance costs were higher. So nothing no one -offs. These are routine expenses.

Prateek Kumar: On freight expense, you mentioned in PPT that had an impact because of the cyclone and less profit. So is that only which isn't for increase on a Q -on-Q basis?
Atul Daga: Yes, yes, yes. That was one -off impact I will defer though I would not have been there, we would have robbed the market with another 30 million tonnes of sales.
Moderator: The next question is from the line of Ashish Jain from Macquarie.
Ashish Jain: Sir, my first question is...
Moderator: Sorry to interrupt sir, but the line for you is not loud enough. If y ou could please use the handset and speak closer to the mic, it would help.
Ashish Jain: Is it better now?
Atul Daga: Ashish, you're not very clear. There's a lot of static noise.
Moderator: The next question is from the line of Indrajit from CLSA.
Indraji t: Few questions from my side. We have reduced our usage of pet coke. Is it just because of availability or on landed basis, coal is now cheaper than pet coke for us?
Atul Daga: Availability. So on landed basis pet coke is far cheaper in energy terms, which is quite unusual it is more about the availability of pet coke.
Indrajit: And what would have been our alternate fuel usage in this quarter?
Atul Daga: Not sure how much. 5%.
Indrajit: And how do you see that progressing?
Atul Daga: So yes, we have taken a target to grow up to 9% to 10% by the end of next fiscal year. Lot of investment was required, which we have taken up in this financial year, close to INR250 crores. Yes, clos e to INR250 crores of investment is happening in this financial year for shredders and clearing systems, handling systems for alternat ive fuel. And accordingly, we are tying up also fo

r alternat ive fuel.
And if we look at it in volume terms, it's more than 1 million more than 1.2 million tonnes of alternat ive fuel that we are already handling on an annual basis, that's huge volume. But anyway, as a percentage it is what it is, so.

Indrajit: No, tha t makes sense. And given that we have now embarked on a small form and debottlenecking, any change in our capex plan? Or what would be...
Atul Daga: We do not have too much of capex . So it's all within my capex plan.
Moderator: Next question is from the li ne of Satyadeep Jain from A mbit Capital.
Satyadeep Jain: Couple of questions. One on the entire renewable energy , just want to understand would UltraTech , I know this is a subsidiary , Aditya Birla Renewable Energy but would be the growth of UltraTech be putting capital to this or will you buy it from outside? And based on where we are, what is the cost difference between the power reduction in renewable assets versus your own CPP. I'm n ot sure these will replace CPP or grid. So any difference in costing ?
Atul Daga: Yes, yes. So first and foremost, we will do a group captive scheme. So we have to participate with about INR297 crores of equity into the SPV. And the second question that you asked was about pricing, so effectively and because we are supplying power to multiple states, Average landed cost because there are transmission losses, open access charges, average landed cost would be around INR5.25 per unit. As compared to that, the cost of power currently would be around -- INR7 to INR8 per unit.
Satyadeep Jain: INR7 to INR8 is both CPP and Grid?
Atul Daga: Yes, I'm talking about average cost of power for our individual units.
Satyadeep Jain: And secondly, on the capacity expansion, one of the peers have talked about accelerating their target that they had earlier the capacity you know, UltraTech also mentioned some time back a 200 million target figure. Now that you have visibi lity for the next couple of years. Would you also look to accelerate given multi -volume growth, market share gain to start date beyond the current one that you have?
Atul Daga: No. So, as we mentioned, we are reaching 155 plus More, let's say, 159 already . And we will announce perhaps , -- maybe if not September , December quarter for sure , our next phase of growth, which will take us further up from 155 upwards. So we are not going by what peers are doing. Ourgame plan is very clear. We see India as a growth market, and we are investing behind growth.
Moderator: We have the next question from the line of Sanjay Nandi from VT Capital.
Sanjay Nandi : Congratulations on good set of numbers. Sir, can you please guide us what kind of drop in the like pet coke prices we can visualize in the coming quarters? Just a kind of guidance.
Atul Daga: Very difficult, very difficult. If you can tell me what the index will be after 2 days and I will tell you what our price is. Can you? To be honest, it's very volatile. Within 10 days, the prices have galloped up from 110 to 125, which can come down also, it can go upwards. So I have no idea.

Moderator: The next question is from the line of Amit Murarka from Axis Capital.
Amit Murarka: Again. So on this next phase of expansion, like the last 2 phases that you've announced, you've seen that the capex cost per ton has been quite low at USD 65, USD 70 per ton on an average. Is it fair to say that the next phase of expansion could be like more greenfield and therefore, the cost could be a bit higher?
Atul Daga: No. We will because it will be continue to remain a mix. And if I look at my next phase I was just doing a mental math on what is happening. So it will still be a mix of green and brown and cost will be very competitive.
Amit Mur arka: Got it. Got it. And I think earlie

r, you had mentioned that you have a target of 200 million ton capacity, of which you are ready for 185 million tonnes. So like that numbers still hold for the potential...
Atul Daga: Absolutely, absolutely, ban g on. So we will clearly by 2030, or anywhere between '2 8 to '30, we will reach a 200 million ton mark. And as I mentioned, the blueprint of our next phase of growth. Phase 3, if I were to call it is almost ready. I t will go to our Board, perhaps next quarter, we are giving it final touches. Hopefully, it goes to our board next quarter and I can announce in next quarter.
Amit Murarka: Got it. It's helpful. And also on Super Dalla, is there any update or time line for the arbitration?
Atul Daga: Arbitrations never have time lines, it can go on for pretty long.
Amit Murarka: Okay. Understood. And lastly, on the FY'24 capex , like can you just have a refresh on that number? Or do you guys give capex guidance?
Atul Daga: It will be anywhere between INR6,000 cores, INR7,000 crores.
Moderator: The next question is from the line of Pulkit Patni from Goldman Sachs.
Pulkit Patni: So you had to explain some time back how we are running at high capacity utilization and we would endeavor not to lose out on customers, and that's not a bad problem to have if the demand is so strong. Now given the fact that y ou are at such high capacity utilization, can you give a 12 - to 18 -month roadmap of how prices are going to head? I understand it's difficult to predict in the near term, but any sense on....
Atul Daga: We will sense then Pulkit. So the undercurrent, i f I can sense it . The undercurrent , even in the heavy monsoon months we have seen price increases happening, which it is never heard of. It's INR 23 or 5 increases have happened in certain geographies and they are sticking. So which is good enough. That's what I'm saying the undercurrent is very strong. And you're talking about 18 months, I'm talking about 9 months. January, March will '24 new election, n ew capacities available, we will ramp up and we're bringing them more capacity. I already told you about 4 million tonnes coming in this year, some more capacity, we are working with brick and speed ,

we might try and commission some of our capacities earlier. Markets will be very strong, which will entail price improvements.
Pulkit Patni: Got it. Let's hope for that.
Atul Daga: Don't hope. I am telling it's going to happen.
Pulkit Patni: Okay. That's reassuring. My second question is, if I look at your presentation, is it fair that this quarter, you've seen the trade has grown faster than non -trade?
Atul Daga: I don't know how you are saying that.
Pulkit Patni: 26% growth, I think, non -trade.
Atul Daga: Yes, yes. So I mentioned that statemen t. I'll give you one additional data point that rural markets is 65% of trade, and that is growing at 24%. So yes, trade is growing at a much faster pace. .
Moderator: The next question is from the line of Ashish Jain from Macquarie.
Ashish Jain: Sir, my first question is on the fiscal '26 green power number that you gave of 1,200 megawatts. So that 60% that you said is not on operational basis, right? That is more on your capacity share, I think?
Atul Daga: I didn't understand, so you see on if I am consuming 1,000 require 1,000 megawatts of power, I will have 60% as green power.
Ashish Jain: Okay. Based upon this 1.2 gigawatt that you said you...
Atul Daga: We will reach 1.2 gigawatt of renewable energy and 425 megawatts of WHRS. Both are green. As for 155 million ton, how much power is required? About 1,200 megawatts of power will be required. So 720 megawatts will be green energy. That way highly remunerati ve. Nobody asked a question, which is very good. But, yes.
Ashish Jain: And sir, secondly, in terms of capex , what is the capex we will need? Is it just the INR300 cro

res
that you set the equity investment or...
Atul Daga: Yes, that will be our participati on.
Ashish Jain: Sir, secondly, in terms of growth on clinker, are we operating close to 100% utilization now given you on cement cases itself, you are at 90% for the quarter. So can you give some sense of our clinker utilization?
Atul Daga: It's more than 90% for sure. Actually it is more than 90%.

Ashish Jain: Got it, Sir, lastly, on power, I just wanted to ask like given our view on power, are we today heavily booking pet coke at the prices available given it is clearly attractive pricing? Or we are still speaking to whatever strategy we have in terms of booking...
Atul Daga: No, we are also dynamic. I have increased my inventories. March quarter, we were at the end of March quarter, at38 days of stock. Today, we are at 58 days of because as I mentioned, if you have heard me about China, I still feel China might start importing. So prices could rise in the near future.
Ashish Jain: And sir, for the balance, the 58% of our fuel o utside Pet coke, what is the price trend there? Because I think that is mostly imported coal, right? Or is it apart from.
Atul Daga: Maximum is imported coal. We also have our FSA, which is the linkage coal, but maximum is imported coal. So if I were to look at percentages then So 46% is imported coal, 7% indigenous coal, 42% Pet coke, 5% alternate fuel and lignite.
Moderator: The next question is from the line of Shravan Shah from Dolat Capital.
Shravan Shah: Most of the question has been an swered. Just a couple of things. So, first, in terms of the WHRS so currently 232 and we say 425 by FY '26, so by FY '24 or by FY '25, if you can help us how much more we will be adding...
Atul Daga: We will have By FY '24, we'll reach 300 and I think between '25 and '26, the remaining obviously.
Shravan Shah: Okay. And same way in terms of the solar and other.
Atul Daga: So maximum will come by end of '25.
Shravan Shah: Sorry, sir, by end of FY '24how much more.
Atul Daga: By end of '24, which project, there is maybe 100 megawatts more is in pipeline yes, 60 to 100 megawatts is in pipeline before March '24.
Shravan Shah: Okay. And for this WHRS, so when we say INR6,000 crores, INR7,000 crores capex for this year and next year also, I believe, th is also improves the capex for the WHRS?
Atul Daga: Yes, absolutely. It includes my expansion capex , modernization, routine capex , WHRS capex order and fuel and everything.
Shravan Shah: Okay. Okay. And sir, when you say we are looking at double digit volume growth. So is it fair to say that it should be mid-teen kind of number that one can look at?
Atul Daga: I will comment not on that. So I'm already giving you guidance that industry will definitely s ee more than 10%.

Shravan Shah: Okay. But in terms of the considering the broader cost savings, including the lead distance reduction and everything, on broadly and plus now the power and fuel. So broadly on from now onwards, we should be seeing impr ovement in EBITDA per ton on Q -o-Q basis?
Atul Daga: Yes. Most certainly. Q2 I hope, in spite of monsoon, maintenance costs, I think we should do well.
Shravan Shah: Okay. But this quarter till now since June in terms of the blended realization for us. Still, we haven't you mentioned that we have seen a INR2, INR5 hike in some places. But on the overall blended basis, until now, we haven't seen any decline in prices for us.
Atul Daga: No decline.
Moderator: The next question is from the line of Navin Sahadeo from ICICI Securities.
Atul Daga: Yes, can't hear you.
Moderator: Sir, the current participant seems to have dropped from the question queue. The next question from the line of Raghav Maheshwari from Asian Markets.
Raghav Maheshwari:

Sir, can you please break down the 640 renewal power into the -what is the first what kind of the solar and wind power in this?
Atul Daga: 200 is wind and 400 days solar, if I remember it right. Just give me 1 minute, I'll tell you. If you have any other questio ns, then I can come back and tell you this.
Raghav Maheshwari: Yes, sir. Sure. Sir, what is the blended mix for this renewal power at a blended level for this 648

megawatts we are looking for PL F generation for this, particularly ?
Atul Daga: 40%, 45%. 200-megawatt is wind is 368 and solar is 260.
Raghav Maheshwari: Okay. And sir, last question is from my side for the next 1 and 2 years, where we are seeing the heavy infrastructure demand primarily in the non -trade in the OPC segments. How will you see the price difference between the trade and non -trade versus PPC, OPC? Primarily non -trade and trade.
Atul Daga: Non-trade is stronger in prices.
Raghav Maheshwari: Any chance you will see for the gap reduced between the non -trade and trade further?
Atul Daga: Trade prices will go up, yes. Non -trade is already high. The trade prices will go up.
Raghav Maheshwari: Okay. No further increase in the non -trade is it difficult? Prices in the non -trade?
Atul Daga: No, I don't really know that. It al l is dependent upon how the projects are coming up and how we can negotiate. Obviously, aim will be to realize more.

Moderator: Next question is from the line of Jyoti Gupta from Nirmal Ban g.
Jyoti Gupta: Thank you for a good set of numbers. I only had one primary question to ask that to see reduce on a lead distance? Could there be a saving which could have been reflected this quarter, Second is we do have a benefit in terms of the clinker conversion because I've seen your presentation to something like 1. 44. So while I was expecting that the fuel mix will impact the reduction of the cost will actuall y be reflected in this quarter.
But apparently, it's not to the extent that were expected even at the price has gone by INR100 per ton, the impact of the fuel reduction would have offset the reduction in the prices. So and second quarter, obviously, you are saying that we will see improvement in the EBIDTA per ton.
So what allfactors will actually contribute in the improvement of EBITDA per ton?
Atul Daga: So first question was about lead distance. The benefit that we accrue because of efficiency improvement are eroded by the busy season surcharge was was one major item because business premium surcharge kicked in eating our most of the improvement.
Jyoti Gupta: Is it are we now having a railroad like say 70 -30, I'm sorry, correct me if I'm wrong and lead distance surcharge has earlier, it used to be on a seasonal basis, but it's now full year round the year.
Atul Daga: It is full year. Yes.
Jyoti Gupta: So will that actually I mean, will that not be negated, I mean like this must have been factored in the freight costs.
Atul Daga: No, this adds on to my 30% rail, and it's pretty high, . On the 30% rail network that adds on to my overall cost, which negate the benefit that we are able to achieve on efficiency improvement.
Actually, crude prices or diesel prices have n ot hardened over last quarter.
Your last question is I remember was about what will be the drivers for profitability improvement. Of course, other than prices, you will have the benefit of fuel price reduction logistics cost improvement an d the increasing green energy share, which has my bottom line.
Jyoti Gupta: So will that really reflect in the second quarter number despite...
Atul Daga: No, not second quarter. See, the green energy projects are coming up by FY '25. The big projects, which we spoke about on this call will come up by June '25. That is where it will reflect second quarter , I would not want to comment because its rain. Third quarter, yo

u will see the benefit of
improvement in prices followed by fue l price gain. Logistics, if there are some other levies, which taken or enter, logistics will also drive home the benefit.
Jyoti Gupta: Prices I believe, have been actually dampened by a lot of B and C players actually supplying movement of a lot of cement across the region. So I mean, I'm sure you are that positive about the price improvement after facilities. I'm sure there will be some improvement in the price.

Atul Daga: Yes, yes.
Jyoti Gupta: And I don't think that will be more than INR5 per bag If at all that happens.
Atul Daga: If it is INR5 per bag on 100 million tonnes, we are selling 200 crores bags, so that's a huge amount of money.
Jyoti Gupta: But anyway, that will be negated by no improvement in your cost because if you can say that the green power will actually come by FY'25.
Atul Daga: This big project of 648 -megawatt will commission by June '25. There are several small projects which are getting commissioned as I said about 100 megawatts is another project, multiple small, small projects, which are coming in during this year.

Jyoti Gupta: So effectively, we will not see much gain coming from the fuel price impact. I mean, just that my calculation on the composition where, as you said, I have something like 46% on the pet coke side, 85% on the AFR, but it looks like there is no improv ement assets that we'll be seeing in the third quarter on the fuel side, isn't it?
Atul Daga: we will see an improvement in fuel. We will see an improvement in fuel because of U.S. Fuel prices or the power and fuel chart that you see will be a decli ning chart in UltraTech.
Jyoti Gupta: Yes, because power I believe I mean, if I take a 70 unit and as 6.5, if it goes steadily decreases by in 30 paisa, 40 paisa somewhere there should be, again, significant gain of …
Atul Daga: Absolutely.
Moderator: I am sorry to interrupt ma'am, we request you to please rejoin the queue for follow -up question. The next question is from the line of Uttam Kumar Srimal from Axis Securities Limited.
Uttam Kumar Srimal : Sir, my question pertains to your RMC business. This quarter, we have grown by 37%. So this growth will continue for the remainder of the year?
Atul Daga: I hope so. And I think it will.
Uttam Kumar Srimal : Okay. And sir, how much currently RMC plants are operating? And what would be our target for addition of RMC plug in next 2 years?
Atul Daga: 232 plants are in operation. We hope to reach a milestone of about 300 -plus plants by the end of this year, yes.
Moderator: The next question is from the line of Navin Sahadeo from ICICI Securities.
Navin Sahadeo: Sir, a couple of questions. One, on the debottlenecking of 4 million tonnes. So is that got to do with the increase in blending ratio that gives an opportunity or we are having a committed clinker

debottlenecking of roughly around 3 or I mean, around 2.5 million tonnes, 3 million tonnes, which will help get those volumes?
Atul Daga: We have sufficient clinker Navin and these 4 million tonnes is grinding. These are all grinding capacity.
Navin Sahadeo: Okay. Primarily, so this debottlenecking is largely on the grinding side.
Atul Daga: Grinding, yes.
Navin Sahadeo: Okay. Then the other thing I just wanted to ask was about this other operating income. I see in this quarter, it has gone up by almost INR92 crores on a sequential basis. So just wanted to get some color if there any more booking of incentives that has happened this quarter? Or is it normal ?
Atul Daga: This is not normally consistent, I will give... No there is nothing on income tax. There's no abnormal incentive , my colleague is just checking on it . So Pali as a unit started getting its incentive, but that is INR14 cro

res or something. That was only INR14 crores. Operating I thi nk.
Nothing. So it's volume linked, maybe I don't really have an answer.
Navin Sahadeo: Sure, sure. I just wanted to get a sense because...
Atul Daga: No, there is nothing abnormal, nothing abnormal.
Navin Sahadeo: Sure. I was just seeing that March volume s were higher and June was sequentially a little lower, but...
Atul Daga: Lower that, nothing that comes to my mind which is abnormal, but I will just get the team to double check and Ankit will revert to you directly.
Navin Sahadeo: Sure. Sir, just one last bit you said pricing, of course, is healthy in current markets, in fact in some markets you said have seen an increase. So and the expected fuel cost benefits, demand continues to grow. So very broadly for an exit FY '24 Q4, lik e in last quarter of this fiscal, the EBITDA per ton that we could look at should be would you guide something like 1,400, 1,500, kind of a number for that March quarter, of course, things remaining same, the pricing and cost and everything?
Atul Daga: No. Everything remaining same, it will improve. I will not guide to a number, but it will be significantly higher from this quarter. Navin, the point is everything remaining equal And it's not a static world.
Navin Sahadeo: Yes, yes. Of course, I understand that. But like I said you mean.

Atul Daga: Things are looking more positive. That's the most important element. I think, Navin, my colleague clarified it's generally incentives, which have started kicking in the other operating income that yo u were asking..
Navin Sahadeo: Sure. So from an annualized -- so let's say from a quarterly run rate INR200 crores of run rate

going ahead?
Atul Daga: Should be possible according to this.
Navin Sahadeo: Sure. And just one last bit, if I may repeat. You sa id pricing, of course, in current environment with demand being strong is, of course, looking good and it should pick up coming quarters. But next year, which is like after the elections next year, typically demand may get a little soft like it happened in FY'20 that FY'19 saw a 13% plus kind of a growth, but 20% was just flat. So that happens even in that scenario, would you be confident on pricing? Or it's too far to talk about?
Atul Daga: It's too far to talk about, but yes, I think the market generally suffering also for a few months after elections.
Moderator: Ladies and gentlemen, we will take that as the last question. On behalf of UltraTech Cement, that concludes this conference. Thank you for joi ning us. You may now disconnect your lines.
Atul Daga: Thank you so much.

Call: Oct 2023

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23rd October , 2023

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Scrip Code: ULTRACEMCO

Sub.:
Transcript of Q 2 FY-24 Earnings Conference Call of UltraTech Cement Limited (“the Company”)

Ref.:
a. Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“Listing Regulations”)
b. ISIN: INE481G01011

In terms of Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirement), Regulations 2015, please find attached transcript of the Q 2 FY-24 Earnings Conference Call conducted after the meeting of the Board of Directors of the Company held on 19th October , 2023, for your information and record.

The same is available on the website of the Company viz. www.ultratechcement.com

Thanking you,

Yours faithfully,
For UltraTech Cement Limited

Sanjeeb Kumar Chatterjee
Company Secretary and Compliance Officer

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and US90403E2028 Singapore Exchange
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ISIN Code: US90403YAA73
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“Ultra Tech Cement Limited
Q2 FY '2 4 Earnings Conference Call ”
October 19, 202 3

MANAGEMENT : MR. ATUL DAGA – EXECUTIVE DIRECTOR AND CHIEF FINANCIAL OFFICER
MR. K.C. JHANWAR – MANAGING DIRECTOR

Moderator: Ladies and gentlemen, good day, and welcome to the UltraTech Cement Limited Q2 FY '24 Earnings Conference Call. We must remind you that the discussion on today's call may include certain forward -looking statements and must be, therefore, viewed in conjunct ion with the risk that the company faces. The company assumes no responsibility to publicly amend, modify or revise any forward -looking statement on the basis of any subsequent development, information or events or otherwise.

As a reminder all participant lines will be in the listen mode. There will be an opportunity for you to ask questions after the presentation concludes. Should need assistance during the conference, please signal an operator by pressing star and then zero o n your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Atul Daga, Executive Director and CFO of the company. Thank you, and over to you, Mr. Daga.

Atul Daga : Good afternoon, good evening, everybody. Welcome to the second quarter earnings call for UltraTech. With me, I have my Managing Director, Mr. K.C. Jhanwar and my colleagues from the finance team so that any questions that arise can be answered fully.

Let me start by saying -- talk a bigger picture about cement as an industry. I personally believe cement is not for the weak -kneed people. Go anywhere in the world, it's a long-term story, connected to the fundamentals of the economy. So if you're looking for a growth story, then emer ging markets cannot be ignored.

And within emerging markets, I'm sure everybody agrees that India is the fastest -growing large sized economy. And then that's the place to invest in. If you're investing in India, then infrastructure sector is surely generating growth, which is likely to s ee investments. And for infrastructure, cement is one of the key pillars for growth.

Let me now jump on to the burning topic of costs and how it has been impacting the industry. When Russia war started, coal shot up to close to $400, pet coke was close to $260. We have seen ups and downs from there. And it is not prudent according to me to annualize the cost from a given date, input costs are never stat ic, every day can be different.

Pet coke cost floated with about $100 mark for a very brief period in the first week of June or somewhere around that time, June or July and now have climbed very rapidly, they climb back to $140. Whoever was able to book shipments in that period will probably have a short honeymoon in Q3.

Besides coal or power and fuel is not the only cost driver. Second quarter is always a very high maintenance cost quarter for cement industry. At UltraTech, we had almost 24 kil ns under maintenance shutdown, which is a routine operating parameter. Besides we are still celebrating our 100 million tons of production dispatch in sales in one financial year, which happened last year, for which a one-off special bonus was given to the employees amounting to almost INR40 crores. I thought of calling it out as a one -off. And we have to wait and watch how crude behaves given the global scenarios t hat are emerging.

Similarly, selling prices are also keep fluctuating. With the recent price hikes that have happened, it's definitely a good thing to have on the P&L, but I believe it should be a wait -and-watch game. Given the pressure on costs, we expect that the prices should hold unless some companies are not able to sell at a higher price and they start behaving differently in the markets. As of today, so beyond the quarter ended September, I would definitely want to highlight how the prices are shaping up with -- comparing to the exit of June, all India prices are up 7% to 8%, which was about 3% to 4% or thereabouts from June exit to Septem ber exit.

But if you were to
look at the quarter average prices, quarter average prices were marginally up 1% or 1.5% over the previous quarter. Each region has been experiencing good traction in prices.
And as we speak, currently, all the prices are holding steady. We have seen price increases now depending upon the comparative period, I am looking at comparison over June exit. The prices in East are almost up 7%, 8%. Similarly, Maharashtra is up 7%, 8%, South would be maybe 5%, 6%, North again, 6%, 7%, Central is perhaps flat at the moment.
Let me now quickly touch upon our expansion. The 22.6 million tons capacity expansion, which is in progress. Work is going on in full swing. We are confident of meeting our time lines. In addition to the 22.6 million tons of capacity that is ongoing, we ar e adding 3 more slag mills totaling to 1.8 million tons, which will get commissioned alo ng with this 22.6 million tons.
So effectively, the second phase of growth will be 24.4 million tons. At the end of this second phase of growth, we should be reaching 159.65 million tons of capacity in India, the target is, let's say, June '25, plus/minus. But as we start commissioning projects there we will gradually keep commissioning projects one after the other and we will update you closer to the date of commissioning. As I already mentioned, most of the locations are tracking very well on execution.
During this quarter, which is very visible with the kind of cash spend that we have had. We have spent almost INR 2,545 crores on capex . A large portion of that capex was towards our expansion programs. In addition to that, upwards of INR600 crores was spent on working capital. We consciously build inventories of fuel given the short window that was a vailable where prices were low.
We expect to bring down our fuel stocks back to normal levels of 45 days of inventories by the end of March '24. We continue to remain negative in spite of bulking up our working capital.
We continue to remain negative working capital company. Our net debt at the end of this quarter had risen to INR4,917 crores from the previous quarter. This is the consolidated number. But this is as per plan, and we are not really concerned about it.
We will be able to push our net debt down further as we progress into the season time for cement industry beginning this quarter. You would have seen that we have grown 15% in domestic volumes, along with international volumes, the effective growth is clos e to 16%. This is in spite erratic monsoons playing havoc in different parts of the country, disrupting smoother movements of material.
I want to again call out the cement lead that we have achieved, we have achieved about 403 kilometers of lead. And the secondary lead, which is from our warehouse or rail hedge to the customer is dropped to about 40 kilometers only. This clearly shows our capability and ability

to serve our customers, which is supported by -- at nearly 1,100 warehouses, 280 railway sidings as also 52% of our dispatches are directly to our customers without having any stoppage in between.
The commentary will be incomplete if we don't talk about environment issues. Some people do get concerned about cement sector because of its high emission norms. Well, India needs -- as I said in the beginning, Indian needs infrastructure, which needs cement and cement manufacturing as of now is still with limestone and fossil fuel and fossil fuel remain to be the main source of fuel in the country.
So there will be emissions. It is important to keep in mind how we are investing behind the reduction of carbon emission and continuously progressing on that part. But as we speak, our various investment programs that are in place will take us to 60% non -fossil fuel energy by the time we complete our current phase of growth.
You would have already heard India is

bidding for 2036 Olympics. That sounds fabulous for the
country and it's music for our years. With that, thank you, ladies and gentlemen, and I hand it over for questions.
Moderator: Thank you very much. We will now begin the question-and -answer session. The first question is from the line of Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka: So on the expansion program, I think earlier you had mentioned in the last call that the next phase of expansion is being worked on. So is there any progress or by when can we expect a formal announcement of the same?
Atul Daga: Yes. So it's almost stitched up. We will put up to our Board and come back to you within the end -- before the end of this calendar year.
Amit Murarka: Okay. And this is in line with that 185 million to 200 million ton capacity...
Atul Daga: Yes, absolutely, absolutely. In fact, our Chairman had already put down his vision, articulated the game plan of doing 200 million tons of cement in India, we are on -- very much on course for that.
Amit Murarka: Okay. And the first half, capex seems to be a bit high versus the guidance. I think guidance was INR6,000 crores to INR7,000 crores, but we seem to have spent about INR4.5 crores already. So...
Atul Daga: True. Now so again, don't annualize it. My guess is while there's a bulk of spending has happened now, we might not have a similar level of spending, but INR6,000 crores to INR7,000 crores for the year should be the capex spend. And in case the team is abl e to race ahead, we are more than happy because the faster we complete the projects the faster we'll be able to bring cement to the market.
Amit Murarka: Sure. Got it. And any guidance on fuel cost for subsequent quarters?
Atul Daga: As of now -- so if I look at it, this quarter, the consumption price was $138.

K C Jhanwar: Pet coke.
Atul Daga: Pet coke. Pet coke was $138, sorry. So -- but pet coke is only 39% for us. As of now, October, December quarter should also see southbound movement in prices of fuel.
K C Jhanwar: Yes. Just to add upon, I'm K.C. Jhanwar here. The fuel market is very volatile, in particular because of these geopolitical disturbances, etcetera. So let's see how it moves forward, if the geopolitical environment gets stabilized, then there won't be much of movement here and there. Otherwise, it's difficult to predict actually.
Atul Daga: So Amit, to be specific, I think we have put it down in the presentation itself, the effective consumption cost -- blended fuel consumption cost was $162 against $178 and pet coke was $138.
Moderator: Thank you. The next question is from the line of Rashi Chopra from Citigroup. Please go ahead.
Rashi Chopra: Just on the pricing, you've given the change in trends versus the June exit, but where are you versus the average of the quarter that you just reported?
Atul Daga: Average of which quarter you're asking about?
Rashi Chopra: The July to September quarter, where are spot prices versus that?
Atul Daga: So from July to September average about 3% up. No, one second. Average, it was 5% up. So in fact, I have indicated that Rashi, in the presentation also slide 18, it's about 5% up. That's October '23.
Rashi Chopra: Correct. No just reasonably, is it possible to give that split the way...
Atul Daga: It's difficult, let me work it out and I can share it separately.
Rashi Chopra: Okay. Sure. Then what was the proportion of trade volume this quarter?
Atul Daga: 67% trade.
Rashi Chopra: All right. Just in the 2.5 million tons capacity that you've added in this quarter, 1.3 million was in West Bengal in July. Where is the remaining 1.2 annually?
Atul Daga: So that was part of the debottlenecking?
K C Jhanwar: Yes.
Atul Daga: Yes. So we had announced that 4 million tons debottlenecking out of that 1.2 million was the Magdalla grinding

unit in Gujarat.
Rashi Chopra: Okay. So now you are less to 3 million tons of debottlenecking this year?
Atul Daga: Yes, 2.8 million to be precise.

Moderator: The next question is from the line of Navin Sahadeo from ICICI Securities. Please go ahead.
Navin Sahadeo: Yes. Congratulations on the good set of numbers. Sir, first question was on the fuel cost. So you already gave numbers that blended as 162 and pet coke is around 138 and current spot rates, as you understand, pet coke could be more like 130, 135 and import ed coal also around 140, 145 range. Could you share what was the average imported coal cost for Q2? If I'm not wrong, it could be more like $180. I'm just trying to do some backward...

Atul Daga: Yes, yes, you're right. Hang on, about $181.
Navin Sahadeo: Right. So versus that, if the current spot rate is still at 140, 145 it could still mean at least INR100 per ton saving in fuel cost in the coming quarter?
Atul Daga: No, no, which quarter would you estimate that?
Navin Sahadeo: December, because you would have inventory and 180...
Atul Daga: Navin, let me explain the concept of the spot prices. When the spot prices are being quoted, let's say, 19th of October, they are for 2 months ahead of -- loading is 2 months ahead. That's point number one. Those are spot prices. Then give or take 45 days to 60 days of shipping time, clearing time, reaching the plant. You have -- I didn't put the slide or I didn't mention it, but I'm carrying inventory of 60 days as at the end of this quarter. So the spot price that we talk about will not come in to consumption before March '24.
Navin Sahadeo: Agreed, but sir, by that logic, I would actually want to pencil in a much higher savings because in mid -July or in month of July, the imported rates were well below $120 also.
Atul Daga: Okay. I will tell you, typical of stock market, if you put a buy order for 10% of our company, what will happen to that stock price? It will go through the roof, all right. No, no, on a serious note. Pet coke market is a very, very small market. Today, if anybody steps out to buy bulk quantities, the prices will get shot up. So it is identical the way the market behaves, pure phenomena of demand and supply. So please don't annualize because that's the mess age which I tried to give in the beginning of the call, don't annualize the cost or any number.
Navin Sahadeo: No, appreciate it, then I'll -- let me just put it simply, how much more savings can we expect in the coming 1 or 2 quarters?
Atul Daga: Good question. Next question, please. So I know, I'm not able to reveal that on the call, Navin. So this is especially for -- the call is for this earnings performance. On a serious note, not to – to -- not to leave Navin unsatisfied, the cost curve is moving southwards. Yes, next question please.
Moderator: Thank you. The next question is from the line of Indrajit Agarwal from CLSA. Please go ahead.
Indrajit Agarwal: I'm just trying to bridge the net debt trajectory from June quarter. So we had about INR2,469 crores, last quarter and now we have about INR4,920 crores. I understand that capex and working capital is taken together with having INR3,100 crores kind of outf low and my back of the envelope calculation...

Atul Daga: Sorry, plus the dividend gets paid out 100% in this quarter. That is close to INR1,100 crores. Yes.
Indrajit Agarwal: All right. Sir that was missed. And just to remind us again, how much inventory we are carrying right now versus 45 days average?
Atul Daga: 60 days.
Indrajit Agarwal: And mix-wise, it is still the same, the inventory that we are carrying that to -- in the sense...
Atul Daga: Yes. So the consumption of pet coke from 40% could go up to 50%. It would be range bound like this.
Indrajit

Agarwal: Okay. And on a landed basis, pet coke, how does it fare versus coal today?
Atul Daga: On a landed basis, effectively pet coke becomes cheaper. Certainly, the traded price is also economical.
K C Jhanwar: Yes, but the gap is not too big actually, because the pet coke prices they are now -- now pet coke is getting traded around $140 or so actually. So now not a big gap actually. The coal is also at $140, but yes, some weightage of calorific value. That's why the effect to price of pet coke is still marginally cheaper.
Indrajit Agarwal: Sure. And my last question is based on your experience, what moves pet coke more? Is it crude prices or on the demand side dynamic?
Atul Daga: Demand, supply.
K C Jhanwar: Demand, supply, by and large, it's nothing to do with the crude prices. It's purely, as Atul said..
Atul Daga: Demand supply.
K C Jhanwar: It's demand supply...
Atul Daga: Next question please.
Moderator: The next question is from Jashandeep Singh from Nomura. Please go ahead. Mr. Jashandeep Singh from Nomura, you may go ahead with your question.
Atul Daga: I think, he is dropped out. Take the next question.
Moderator: Yes we move to the next question. The next question is from the line of Satyadeep Jain from Ambit Capital. Please go ahead.
Satyadeep Jain: First question on the capacity expansion. So Daga, you mentioned achieving 160 million tons, give or take by June '25. So beyond that, the next leg of expansion should we assume that the company will start committing to it after this expansion is complete, so the -- whatever, 25 million tons, 30 million tons capacity comes 24 months odd from there? Or is there a potential

to maybe start working on it relatively soon so that it doesn't get so staggered. And tied to that

would be how much more debottlenecking capacity potential could be there in the existing capacity base?

Atul Daga: Okay. To your first question, we will not wait to complete so that -- the reason being that we should have a continuous supply of capacity available, given the high growth trajectory that we are seeing in the Indian market. So we will definitely start work on the second phase of -- third phase of growth very soon. The moment we get a nod from our Boards, which as I mentioned, we will be presenting before the end of this calendar.

As for debottlenecking, I think as we progress, if we unearth something which we'll be more than happy to pick-up on the side. As of now, on the existing projects, that are ongoing, nothing significant has been identified.

Satyadeep Jain: Okay. Thank you. Secondly, on the Eastern market, you mentioned rains and different factors led to slow down, any ballpark estimate on in your estimate, what could have been the industry volume growth for India as a whole and maybe East could have been maybe low single digit and given that now the quarter has ended and going into October, have you seen maybe a recovery to more normal volumes in line with rest of year?

Atul Daga: East continues to be slow and our expectation is maybe 4% to 5% growth is what we'll see for the industry in the Eastern corridor against which we have grown better than that. And all India, again, average expectation from the basis -- on the basis of what ever we have seen in the marketplace, industry should show a growth of close to 9% or 11%, maybe double -digit growth, yes.

Satyadeep Jain: Okay. Just one housekeeping question on this slag contract is signed with sale. Any maybe pricing indication? Is it much below spot pricing or kind of pricing arrangement have you had for this slag contract?

Atul Daga: Yes, why do you want to know so many details? If you look at the EBITDA performance next quarter.

Moderator: Thank you. The next question is from the line of Ritesh Shah from Investec. Please go ahead.

Ritesh Shah: I'll just pick up from

Satya's question. Sir, what is the sort of cost inflation that you are looking for both fly ash as well as slag? And do we have any long-term contracts on a percentage basis, which are indexed to WPI, something like that sort which c an ease up on fly ash and slag for us.

Atul Daga: So I'll take the second question first. The contracts are normally not more than a year. Nobody does longer period contracts. And they are not linked to WPI. These are, again, negotiated contracts. If I were to deep dive, again, it's a demand and supply phenomena, depending upon the appetite in the market and availability, how the prices perform.

K C Jhanwar: Generally, the price discovery is used through the tender process or e -bidding kind of thing. So that's the way generally it happens.

Ritesh Shah: Right. But sir, has the slag inflation been quite steep in recent times, basically, what we picked up is it is just more expenses than clinker costing.

Atul Daga: Ritesh, the reason we called out slag and fly ash because these are the two biggest raw material cost items.

Ritesh Shah: Okay, that's fine. Sir, secondly, Yes. Sir, then you indicated we have around 60 days of inventory. Is it possible for you to qualify how much of the average cost over that?

Atul Daga: Cost of holding?

Ritesh Shah: Yes, sir, inventory costs?

Atul Daga: Yes, so it's around $162.

Ritesh Shah: That's the average cost of inventory. This is on a blended basis...

Atul Daga: Blended basis, yes.

Ritesh Shah: $162. Hello?

Atul Daga: Yes.

Ritesh Shah: Yes, sir, that was for the quarter, I'm saying quarter end basis…

Atul Daga: Yes. It's almost the same, exit is almost the same.

Ritesh Shah: Okay. That gives a fair indication, this is useful. Sir, thirdly, how are you looking at other Birla Group assets I'm asking a question more from an inorganic GA standpoint, there has been a lot of news flow around a lot of assets. How does the group approach it? What's the thought process over here, sir? There are companies which have some problems on the balance sheet side as

well. So is the company open to say something like a preferential or the idea is to go for an entire asset or we won't be even open to it. How should I understand this?
Atul Daga: Ritesh, I am so ground in UltraTech, so much things to do that I don't get time to see what is happening in other group companies. I really don't know -- I don't have any answer for your question.
Ritesh Shah: Fine. Sir, let me put it the other way around, sir, if there are any assets available, is there any particular region which will be of more interest, let's say something in Central India, Southern India, will we look at it, or it's a pass?
Atul Daga: We will, yes. So one thing very clear is that almost entire geography of the country from a regulatory perspective, I think we can still acquire capacities. That should not be a constraint barring perhaps east which -- because the size of assets themselves are significantly large. So then the next point is we keep on evaluating assets and it has to give us a profitable growth opportunities. Then only it would make sense for us.

Ritesh Shah: Sure. And sir, last question, if you could provide some color on the white cement and putty markets, that would be great. And there is something called Birla Pivot but I'm not very sure whether it falls under our umbrella or any other Birla Group entities? Last two questions.
Atul Daga: Birla Pivot is Grasim. They are doing something over there. So you'll have to ask them. White cement and putty market prices were subdued. We've seen volume growth happening the RAK, we have been getting volumes from RAK White also, it has been rebranded as Birla White and consolidated, we are seeing volume improvement.
Moderator: Tha

nk you. The next question is from the line of Rajesh Ravi from HDFC Securities. Please go ahead.
Rajesh Ravi: Yes. My question pertains to, first, on the regional demand and utilization in Q2. So could you throw some color you mentioned the East growth would be to the tune of 4% to 5% and on a pan-India versus 9% to 11%. So which market grew more than 10%, 11% and also re asonable utilization?
Atul Daga: Very difficult to quantify individual regions. If we are growing 15% this quarter, UltraTech has grown 15% this quarter with 75% capacity utilization on 132 million tons. That gives you a fair perspective that it's fairly balanced. There would be sparks of high growth somewhere or mediocre growth elsewhere.
Rajesh Ravi: And this demand any flavor, which market or by regional basis, which market grew at what rate?
Atul Daga: I just said I think 15% is what we have grown, practically all markets are doing well.
Rajesh Ravi: Okay. And sir, on the fuel cost you -- on a per kilo cal the fuel costing was how much in Q2? Is it this...
Atul Daga: INR2,184.
Rajesh Ravi: INR2,184, okay. Okay. INR2,184 there is a slight cool -off. Sir, you mentioned this debottlenecking, you did 1.2 million tons at Magdalla.
Atul Daga: Yes, please.
Rajesh Ravi: Okay. So from 0.7- odd million tons it is now close to 2 million tons. And which are the other places where this debottlenecking would happen?
Atul Daga: There are a few opportunities which we are tracking. We will come back once everything is done.
Moderator: Thank you. The next question is from the line of Rahul Gupta from Morgan Stanley. Please go ahead.
Rahul Gupta: Very good numbers, Mr. Daga. There have been a lot of questions around fuel cost, but I don't want to bore you. I just want to understand one thing. The company has seen around 20% deflation on fuel cost over the last three quarters, right? I mean from $20 0 to $162. If I do just

back of the envelope math, is it fair to say that we would see another 7% to 8% decline and that would be the end of it given where current prices are. I know you can't comment on how prices would move on a daily basis, but given the inventory levels?
Atul Daga: So even if I took $10 or $11 reduction seems to be possible, but very difficult to forecast. As we saw, $100 remained for a very brief period, shot up to $140, $135. But yes, if everything remains steady no more global upsets, then yes, you could see reduc tion of $10.
Moderator: Thank you. The next question is from the line of Pratik Rathi from Macquarie. Please go ahead.
Atul Daga: Take a next question.

Moderator: So we'll move to the next question. The next question is from Raghav Maheshwari from Asian Market Securities. Please go ahead.
Raghav Maheshwari: Sir, congratulations on a good set of volume growth, firstly, Sir, my question is for the pet coke and the fuel side. You mentioned in your presentation, your blended consumption at $162, where you have mentioned that pet coke is particularly $138, is it r ight?
Atul Daga: Yes, sir.
Raghav Maheshwari: Sir, and the users of the pet coke is the 39% of the total mix -- fuel mix, this 39% is for the -- only for the kiln or the entire TPP level also?
Atul Daga: Let's talk about kiln only and pet coke goes was only in kiln.
Raghav Maheshwari: No. The 39% is only for the kiln, right?
Atul Daga: Yes, please.
K C Jhanwar: Sir, n ow pet coke is not allowed to be used in thermal power plant legally.
Raghav Maheshwari: Yes. Sir, my question is from that why -- what was the restriction for? We are just using 39%. Because is the availability side issue or it's the kiln specifications efficiency issue?
Atul Daga: No, it's more about availability.
Raghav Maheshwari: Okay, sir. And sir, what is the status for the pet coke, it's particularly available at a domestic side? Or is it most

ly the imported only?
K C Jhanwar: Imported, mostly imported.
Atul Daga: Pet coke is imported.
Raghav Maheshwari: Okay, sir. Thank you.
Moderator: Thank you. The next question is from the line of Sumangal Nevatia from Kotak Securities. Please go ahead.

Sumangal Nevatia: Yes. Good afternoon, sir. Just two quick clarifications. One is this 160 million to 200 million tons of aspiration, which we have. Over what period are we looking at? What would be the end year, if you could just clarify that.
Atul Daga: I'm sorry, I missed your question. Can you repeat, please?
Sumangal Nevatia: Sir, this capacity expansion in the next phase, Phase III, which you are talking or which you are evaluating from 160 million to 200 million tons, what is the end year for that, over which period are we kind of working on?
Atul Daga: Till '28. The next phase of growth will not take us to 200 million tons. Again, so we will do in blocks of 20 plus minus 20 million tons. So that from -- so like '20 -- mid-'25, mid-calendar '25, we will reach 160 million. I'm just using a rounded number, then again, a 20 million tons, which will get completed by '27 -- calendar '27. So that will take up to 180 million tons.
And then again, before we complete, I'm sure we will be ready for the next phase of growth. So every year, we will keep on looking at balancing our capacity book in line with the growing market.
Sumangal Nevatia: Understood. And versus say few years back, given the growth and the market share gain which we are seeing, some front -loading of expansion plan is expected, right? Can we safely assume that?
Atul Daga: Yes, absolutely.
Sumangal Nevatia: Okay. Got it. And just one, sir, last clarification. The employee cost and other expense. Are there any one -off or is just purely seasonal? And then it should normalize?
Atul Daga: In fact, I mentioned about it close to INR70 crores would be one -off.
K C Jhanwar: Yes, INR40 crores plus some other bonus, yes.
Atul Daga: Close to INR70 crores is our one -off cost.
Sumangal Nevatia: So is it noncash or it's cash but not likely...
Atul Daga: Cash.
Sumangal Nevatia: Okay. Got it. All right. Thank you so much, sir and all the best.
Moderator: Thank you. The next question is from the line of Jashandeep Singh from Nomura. Please go ahead.
Jashandeep Chadha: Hello. Hi, sir. Thank you for the opportunity. Just wanted to understand from you, how you are seeing the rural demand. And also, if I'm not wrong, last quarter, we mentioned some market share -- marginal market share loss in South. So have we been able to recoup that? My first question.

Atul Daga: The rural market for us has been growing.

K C Jhanwar: Yes. The rural market is still robust. Actually, there is -- we have not seen the kind of probably -- FMCG companies are probably having the problem. But by and large, it is still robust because in rural also, there is a lot of infrastructure and local bod y work, etcetera. So still, I would say, rural market is not impacted, marginally here and there, there would be some pockets maybe.
Atul Daga: So to add further to what Mr. Jhanwar said, if you look at Slide seven, I have called it out. rural sales were at 63% of trade grew 15% for the quarter. So that's how rural markets are performing. And again, a bigger picture, the definition of rural market s is continuously evolving, rural is no longer the old rural which you are -- which is pure agri as Jhanwarji was mentioning, there's a lot of infrastructure growth happening in the so-called rural market as well.
Jashandeep Chadha: All r ight, sir. And on the South India market, sir, that you mentioned last quarter, that margin loss was there, this quarter, have we been able to regain that? Sir, in the last quarter, we men

tioned we lost certain marginal market share in the South India. So whether we will be able to regain that?
Atul Daga: No, I don't think so.
K C Jhanwar: I think, we don't recollect having said...
Atul Daga: Nothing like that.
Jashandeep Chadha: Okay. No issue, sir. And sir, on the linkage coal, what will be the percentage of domestic coal, if you can share that?
Atul Daga: Domestic coal is about 6%.
Jashandeep Chadha: 6%. Okay...
Atul Daga: In kiln, I'm talking about in kiln.
Jashandeep Chadha: In kiln. Right, sir. And sir, if I can squeeze one more. Since we are now moving towards 200 million tons by FY '28-'30, just wanted to understand, if there is also enough cash balance and the company has become one of the biggest -- it is one of the bigge st cement manufacturers. So is there any related sector also that the company is evaluating like we have some exposure to the chemical building. So I just wanted to understand, whether the management is thinking on that line as well?
Atul Daga: If you look at cement as a sector in India, what is the size of cement ? 385 million tons? In billion dollars, it's $30 billion. So looking at the size of cement business in the country, there is no other adjacency, which looks meaningful. And we will not do any diversification.
K C Jhanwar: Unrelated activities.
Atul Daga: So cement is -- I was saying $30 billion, it's actually $35 billion worth of market. There's no other adjacent business. Now whether it is tiles, whether it is -- whatever else you will have in

mind paver blocks, tiles or sanitary ware, etcetera, nothing is so big. We are already present in White cement, RMC, we're doing pretty well, growing very rapidly. Gr ey cement remains our forte.
Moderator: Thank you. The next question is from the line of Raj Kiran Gandhi from SBI Mutual Fund. Please go ahead.
Raj Gandhi: Hi, thanks for the opportunity. Sir, just here, if I were to go by saying that you will reach 200 million tons by 2030, as you mentioned, it will translate to a CAGR FY '23 to then of about slightly over 7%, which seems to be a bit lower versus what your peers have guided in their strate gy. So just any comments on that? And also in light of the bunch of capacities that we are seeing in the ordering and also, how do you see the pricing from a medium -term basis?
Atul Daga: So what is your question, whether our growth plans are inaccurate or not enough? Or I didn't get your more point of the question?
Raj Gandhi: In terms of your pure growth path, which they have guided being significantly higher versus the capacity growth guided by you. So in that sense, how do you read that? So that was one.
Atul Daga: No. So to answer that, you'll ask -- either have to ask them on what their plans are. I really – I am not in a position to comment on their plans. When we give out our plans, it will be with nuts, screws and bolts, everything stitched together. You will know, where our capacity is coming, how much capacity is coming unlike some figment of imagination.
So when we are announcing our expansion plans, they are very rock solid with an underlying economic hypothesis basis, we understand the Indian market very well. We know how Indian market will grow, where it will grow. Accordingly, we will add capacity.
K C Jhanwar: And more so it's a revolving one.
Raj Gandhi: Sure. Okay.
Moderator: Thank you. The next question is from Shravan Shah from Dolat Capital. Please go ahead.
Shravan Shah: Yes, just to clarify, INR70 crores extra one -off, you said this is only for the staff cost?
Atul Daga: Staff cost and others, yes, which are one -offs.
Shravan Shah: For staff costs, how much one can think of one -off so from next quarter, how much one can

think of too lower?
Atul Daga: INR40 crores, INR50 crores will be out of it.
Shravan Shah: Okay. And rest INR20

crores, INR30 crores would be the maintenance cost, extra…
Atul Daga: Yes, extra maintenance costs, yes.

Shravan Shah: Okay. Got it. Second, on the pricing, sir, you mentioned that 5% current prices are higher versus the 2Q average. In terms of the nontrade also, the similar trend one can look at?
Atul Daga: Yes, please.
Shravan Shah: Okay. That's great. Second, in terms of the fuel mix, you said 6% is the domestic coal. So broadly 39% was pet coke. So how much was entire coal imported, domestic, everything coal was evolved how much?
Atul Daga: 51% imported coal, pet coke 39%, alternate fuel 4%.
Shravan Shah: Okay. And sir, on the green share particularly, both WHRS and Solar. So last time we have talked about to reach a 1,250 megawatt by March '25 or maybe 1Q when we will complete this 22.6%. So -- not -- 22.4% will complete. So broadly, how one look at from c urrent by March '24, by March '25, how much one can look at in terms of the increase in both capacity and the green share, so currently 22%, so how one can look at?
So ultimately, what I'm trying to understand is by FY '26, my broad calculation says, we should see at least incrementally INR60, INR70 per tons kind of a savings from -- only from the incremental green capacity that we are adding?
Atul Daga: So I don't want to quantify that saving because the rates also not for renewable energy, but for other activities, rates could change. But yes, in terms of percentages, we have reached 22%. We should be reaching more than 50% or actually 60% by '25, '26.
Shravan Shah: Okay. So currently, broadly, is it fair that the grid cost would be a INR6.5 or INR7 and the solar cost for us would be INR2.5.
K C Jhanwar: Yes. The grid rate is varying from INR6 to INR8 yes, it is from...
Atul Daga: And renewable energy is not INR2. It's INR4.
K C Jhanwar: Yes. That -- differentially it is not more than INR2 actually because there are a lot of government levy and wheeling charges and some cross subsidy in certain.
Atul Daga: See the generation costs, you are right but that is at the generation point from there for transmission, wheeling charges, et cetera, loaded, it comes close to INR4. It goes to close to 7 bucks.
Shravan Shah: And then in terms of the lead distance, it's great that it is slowly reducing so 406 now. So by when we complete this 24.4 million tons , how much one can think of 30, 40-kilometer further reduction is possible? Structurally, I'm saying.
Atul Daga: It won't be so much, but yes, it should be downward only.
Shravan Shah: Okay. Okay. Okay. And then broadly, in terms of the -- this out of this -- the next phase, by 1H of FY'25, is it fair seven million to nine million ton come up by next September and rest maybe by March or June.

Atul Daga: Yes, possible.
Shravan Shah: Okay. And in terms of the clinker also, roughly 15 million tons would be the clinker to support this expansion?
Atul Daga: Yes, we are already clinker add.
K C Jhanwar: Yes.
Shravan Shah: Okay. Great and thank you and all the best.
Moderator: Thank you. The next question is from the line of Pathanjali Srinivasan from Sundaram Mutual Fund. Please go ahead.
Pathanjali Srinivasan: Yes. So my first question is on what is our margin as being like for the RMC and white cement business because it looks like we've done much better there compared to the previous quarters.
Correct me if I'm wrong.
Atul Daga: So margins for RMC are -- RMC is an incremental margin business, 3% to 4% is their margin that we can...
K C Jhanwar: 5% to 6% margin. 4%.
Atul Daga: 4% margin is what we have now, incremental margin. So we do a transfer pricing from cement to RMC.
Pathanjali Srinivasan: Okay, sir. And one more thing. The realization wise, have we taken any price hikes tow

ards the
end of the quarter and what has been the decision from our end for this because a lot of news about companies taking price hikes came in?

Atul Daga: I think you were not there in the beginning of the call. We have taken price -- I think September, mid-September onwards we started seeing price improvement happening across the country.

Pathanjali Srinivasan: So if you could just tell me what about closing price, sir even the last -- like the end of the month what price did you close at?

Atul Daga: There is nothing called as closing price, but each market and I don't know which city you are in and if in Mumbai, the price in Andheri and price in Thane will be different. So difficult to say a closing price but if you want to look at increase in prices, 5% to 7% increase has already happened since June.

Pathanjali Srinivasan: Okay. Okay, sir. Sure. Can I take it as maybe some realization from the previous quarter. It should be like 5%, 6% above that?

Atul Daga: In this quarter?

Pathanjali Srinivasan: Yes.

Atul Daga: Yes, in this quarter, obviously, if the prices hold, then you could see an improvement -- proportionate improvement.

Pathanjali Srinivasan: Okay. No, I'm just trying to get the number quantified from you.

Atul Daga: And I'm not wanting to quantify it.

Pathanjali Srinivasan: Yes. Okay. Thank you.

Moderator: Thank you. The next question is from the line of Navin Sahadeo from ICICI Securities. Please go ahead.

Navin Sahadeo: Yes. Thank you for the follow -up. Sir, you mentioned that Phase three is about to be announced by end of this calendar year, but you said that it will largely get completed in '27. So I'm just trying to understand because typically, any capex takes about two years or 2.5 years. So by that logic calendar year '24, '25. So maybe around '26 shouldn't that be a reasonable expectation? Or do you think there could be some greenfield sites, which could take much longer period?

Atul Daga: Yes, it's a mix. Now it will always be a greenfield brownfield mix and you were saying two to 2.5 years, we have done a record of shooting greenfield further than 15 months also. So again, it depends on the site, there were advantages that we had on that s ite. There was a huge effort from the team, no doubt about that. So you cannot straightjacket us in any shape and form.

Navin Sahadeo: Fair point. And just one thing to confirm. In the previous call, Q1 results you have talked about debottlenecking of a total of four million tons that was to come in FY'24.

Atul Daga: Yes, correct.

Navin Sahadeo: So is that -- so when you give these numbers as that the end capacity, I don't think you are including that in the numbers.

Atul Daga: Now I'm including that when I said 159.65 million tons to end by -- at the end of this phase we have included that four million tons as also another 1.8 million tons of slag capacity that we -- I just mentioned in this call, we are going ahead.

Navin Sahadeo: Understood. That's really important. Thank you so much.

Moderator: Thank you. The next question is from the line of Prateek Kumar from Jefferies. Please go ahead.

Prateek Kumar: Yes, sir, my first question is on your pricing. So like we have -- let's say has taken a pricing action. Is there any impact on demand? Like we understand in September, there was -- demand was very soft, but has the increased pricing has the same impact on demand during Q3 as well?

Atul Daga: Too early to say anything at this point in time with just 19 days. The biggest thing is prices are holding. There might be some markets somewhere, some slowdowns, some resistance, but I think that will pass over.

Prateek Kumar: Okay. And in relation to like several states have announced election dates. So in relation to state el

ections or coming up of national election. Is there any moderation in working capital release from the state government or central government…

Atul Daga: According to me, the governments want to maximize execution of projects. So they should not -- that's a logical analysis that they should not hold back payments for all the contracts. Otherwise, it will impact progress of work. Hence, the working capital o f all the in fra company should remain strong as far as their receivables are concerned on government projects.

Prateek Kumar: And the last question on your other operating income that on a quarter -on-quarter basis seems to be slightly higher from around [INR225] crores this quarter. Again, a specific component one -

off there.
Atul Daga: Incentive. Then what was there extra. No, this -- how much is other operating income is INR281 crores versus INR271 crores. Is that a significant difference.
Prateek Kumar: No. So we were looking at INR277 crores for this quarter versus for Q1. So we...
Atul Daga: So consolidated INR277 crores last year was INR297 crores. It has fallen.
Prateek Kumar: Okay. So I was just seeing quarter -on-quarter. Okay. Maybe we should see year -on-year.
Atul Daga: So quarter -on-quarter, yes, one or two incentives would have kicked in. Quarter -on-quarter, yes. Quarter -on-quarter, yes, but some additional incentives kicked in. Hello, Prateek.
Prateek Kumar: Sure. So these are my questions. Okay, thank you.
Atul Daga: All right.
Moderator: Thank you. The next question is from the line of Vaibhav from PhillipCapital. Please go ahead.
Vaibhav: Thank you. Good evening, sir. Sir I had only one question. You mentioned in earlier remarks that pricing can be very different in different parts of the cites itself or maybe different parts of the country. So like UltraTech was earlier contemplating and what we gather is that you were talking of one India price or one district pricing or one regional pricing. Can this be a reality for the industry in the long term that we have one city or one district or one region...
Atul Daga: We never said that.
K C Jhanwar: Vaibhav I think to best of our knowledge, we have never said that one price -- one country, one price because...
Atul Daga: It's not possible Vaibhav.
K C Jhanwar: It's not possible because you know the logistics issue, cost structure is different in different parts of the country. So to me, it looks difficult, some -- long back, somebody must have.
Atul Daga: No, no. No, no

K C Jhanwar: But Atul is reconfirming that we have never talked about that.
Atul Daga: It cannot be, not logical Vaibhav. It's not possible.
Vaibhav Agarwal: Yes, sir, I know that sir, I understand, I understand I was just asking from a perspective, can we have one district or one city or one state, something like that uniform -- more uniformity in pricing rather than what is current, what I was asking actually so that was my question.
Atul Daga: So I will explain to you separately, that's a very small experiment, not all India pricing is one small geography.
Vaibhav Agarwal: Okay, sir. Understood, sir.
Moderator: We'll have to take that as the last question. On behalf of UltraTech Cement Limited, that concludes the conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.
Atul Daga: Thank you so much.
K C Jhanwar: Thank you. Thank you.

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25th January , 2024

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Sub.:
Transcript of Q 3 FY-24 Earnings Conference Call of UltraTech Cement Limited (“the Company”)

Ref.:
a. Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“Listing Regulations”)
b. ISIN: INE481G01011

In terms of Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirement), Regulations 2015, please find attached transcript of the Q 3 FY-24 Earnings Conference Call conducted after the meeting of the Board of Directors of the Company held on 19th January, 2024 , for your information and record.

The same is available on the website of the Company viz. www.ultratechcement.com

Thanking you,

Yours faithfully,
For UltraTech Cement Limited

Sanjeeb Kumar Chatterjee
Company Secretary and Compliance Officer

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“Ultra Tech Cement Limited
Q3 FY '2 4 Earnings Conference Call ”

MANAGEMENT : MR. ATUL DAGA – EXECUTIVE DIRECTOR AND CHIEF
FINANCIAL OFFICER
MR. K.C. JHANWAR – MANAGING DIRECTOR

Moderator: Ladies and gentlemen, good day, and welcome to the UltraTech Cement Limited Q3 FY'24 Earnings Conference Call. We must remind you that the discussion on today's call may include certain forward -looking statements and must therefore be viewed in conjunction with the risk that the company faces. The company assumes no responsibility to publicly amend, modify or revise any forward -looking statement on the basis of any subsequent development, information or events or otherwise.

As a reminder, all participant lines will be in the listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Atul Daga, Executive Director and CFO of the company. Thank you, and over to you, sir.

Atul Daga: Thank you so much. Good evening, everybody, and welcome to the earnings call for quarter three FY'24 for UltraTech Cement Limited. I will try and keep myself brief today and giving more opportunity for questions.

One of the most critical points which has been doing the rounds is about demand, whether there's a slowdown. We believe that this quarter, the industry should grow somewhere around 3% to 4%, not more than that. And there are several reasons around it. And I should clarify it upfront before too many theories start doing the rounds.

Q3 is a festive season, which is generally subdued due to absenteeism of workers from project sites. And this has been a routine phenomenon year after year. Besides, a large country like ours will have something or the other going on. Such issues do hamper the movement upwards. Specifically in this quarter, we had election in four major states, Chhattisgarh, Madhya Pradesh, Telangana, Rajasthan.

Fiscal challenges in the states of Bihar, Jharkand, West Bengal. There were floods in Tamil Nadu, cyclone in Andhra, sand and aggregate shortages in some parts of the country, NGT related construction banned in NCR since last quarter, which still continues and severe weather as we speak. We also had rains in Himachal, which impacted the movement of goods.

You must already be aware that the first two days of January were also impacted by the truckers' strike, which would impact not just us but entire economy per se. So one should not panic because of such situations. There have been news items like government orders have slowed down. I believe if so, it is only temporarily. India is fundamentally poised for a huge in fra-growth, which will benefit all the cement players alike. The bigger point is that any projects that has been initiated will go on, and we ar e seeing substantial construction activities across the country.

So long story short, fundamentals around growth of cement -- growth for cement in the country continue to be the same. We have already started seeing improvement in demand since the

middle of December. Slower demand leads to correction in prices and most of the gains achieved initially have been surrendered while Q -o-Q and Y -o-Y, there has been an improvement in prices for the quarter, but towards the end of December exit, prices had corrected largely.
You are all monitoring daily prices, but I wish to reiterate that prices are always guided by demand. As and when demand improves, prices are bound to improve. It's a pure economic phenomenon.
Jumping on to our expansion plans. I think we are happy to tell you that all our expansion plans are on schedule, and in fact, some of them are ahead of schedule. Given the way we are seeing cement consumption going up in the country, we are quite satisfie d with the way our expansi

on
plans are panning out. On the last announcement we made for 21.9 million tons of capacity, which we call internally Phase 3 , orders have already been placed for critical technology items. Civil work has commenced on a few site s. We are confident that the plants will be commissioned as per schedule.
This year, our capex cash flow will exceed our initial plans, which we have outlined, and we will spend around INR9,000 crores. Next year, also, we could see our cash flows on capex being around INR9,000 crores. Working capital has taken up some opportunistic bets on purchase of coal and pet coke, because of which, our working capital is slightly extended.
Both of these elements added to a marginal increase in our debt position at the end of December '23. And given our belief that Q4 will be a high throughput quarter, we should be seeing a further improvement in our cash flows and shrinking net debt. Everyth ing else remaining the same, we are working towards reaching a zero net debt position by the end of March '25.
Going forward, we keep seeing an improvement in costs. As per current data, imported coal and pet coke do not seem to be spiking up, albeit the ocean freight flare up due to the war issues. We achieved a fuel cost of 2.048 per k -cal this quarter against 2.184 per k -cal last quarter. Blended cost of fuel consumed net of moisture was -- in dollar terms was $150. We use very limited domestic fuel, which is around 6% of our total fuel consumption, and maximum energy is from imported coal and pet coke. We expect to see a further r eduction in our fuel cost in the foreseeable future.
With 455 megawatt of renewable energy and 264 megawatts of WHRS, we are now at about 24% of non -fossil fuel -based power, and work is in progress to nearly double this percentage by the end of FY'25. To give you some more numbers, we today, in all, have 44 kilns in operation, out of which 29 kilns have already been covered by WHRS. Work is further in progress on five more kilns. The ongoing expansions by the -- which is at the end of completion of Phase 3 by fiscal '27, we will have in all 48 kilns, and 41 kilns will be covered with WHRS. All future expansions, current and further, will always be with WHRS and zero thermal power. That is our commitment to sustainability.
I have covered briefly, touched briefly upon costs, demand and our expansion plans. Last but not the least, I must communicate about the recent acquisition that we have announced of -- cement assets of Kesoram Industries . We have already filed the scheme with the stock

exchanges. CCI application should be filed shortly, perhaps by the end of this month. And after that, there will be an NCLT process. two NCLTs will be involved, which is namely Mumbai for us and Kolkata for Kesoram. The effective date of merger has been kept at 1st April '24. And as and when the merger gets completed, the numbers will be consolidated with retrospective effect once all regulatory approvals are in place.
That's all I had to share with you today from my side, and look forward to questions from you and any more inputs that you may have. Thank you, and over to you.
Moderator: Thank you. The first question is from the line of Amit Murarka from Axis Capital. Please go ahead.
Amit Murarka: Good evening. Thanks for the opportunity. The first question is on other expenses. So like doesn't Q2 has higher other expenses which we saw and Q3 simply witnesses a drop at this time. That drop is not visible. First thing I wanted to highlight was -- I wanted to check, was there any one-off in other expenses?
Atul Daga: So it's not a one -off, but when we saw the slowdown -- I should say slow down, or lukewarm response in the markets during October, November, we did some pre-emptive or early preponement of some maintenance costs, which would have become part of the ove

rall cost
during this quarter.

Amit Murarka: Okay. So recently, this campaign has also been launched with Shahrukh Khan, of course. Congratulations on that , but that is already in the P&L or Q3 ? Or will that come ?
Atul Daga: Sorry, who is Shahrukh Khan? Yes. Obviously, we will book their expenses. We don't keep anything for a later date.
Amit Murarka: Okay, okay. And just lastly, I see the slide on the capacity commissioning schedule. Like what will be the clinker capacity addition in Phase 3 ? And where will you go on total clinker capacity at the end Phase 3 ?
Atul Daga: I think I had already mentioned last time, 10 million to 12 million tons, but not getting into details on clinker capacity, but 10 million to 12 million tons. So we will always be clinker backed , that is most important aspect. Just one second, Jhanwar ji wants to speak .
K.C. Jhanwar: Yes. See, the first of all, Atul has already just said that our all capacities are always clinker backed . Actually, we never put the supply grinding facility and not having the clinker on the back side.
Atul Daga: Okay. Sure. I'll come back and thank you.
Moderator: Thank you. T he next question is from the line of Navin Sahadeo from ICICI Securities. Please go ahead.
Navin Sahadeo: Congrats on a good set of numbers. Sir, two questions. First, I'll take on prices. So you said by the end of December, prices has turned fairly weak. So this exit of the current...

Atul Daga: It's not weak, I wouldn't say weak. But the gains which were there in the quarter were largely surrendered.
Navin Sahadeo: Fair. So can we say that the cost price like in January is at least, let's say, 2% or some number, so it's lower than Q3?
Atul Daga: Lower than Q3, yes, prices will be currently lower than Q3.
K.C. Jhanwar: Marginally.
Atul Daga: Yes.
Navin Sahadeo: Okay. marginally. Fair. And sir, my second question was on your recently incorporated company in Northeast and a very peculiar name to it. So I'm just trying to understand, it seems like something has already firmed up and very soon, we could see either a greenfield expansion or some venture in that state. If you can throw some light on this ?
Atul Daga: So I will throw some light when I have the torch with me. So sorry, not to -- I don't know why I started joking on the call. But we will come back, Navin, We are making progress on our expansion in the Northeast. It has been long overdue. As per the legal requirements, we need a separate entity with local partnerships, local directors, etcetera. So that has been structured. We will come back with details as and when we are ready.
Navin Sahadeo: I mean my only question was, given the peculiarity of the name, I could sense that it could be a greenfield venture because there, you don't have to really go into an auction of a mine as such. If you have land already in place, you can start.
Atul Daga: Yes, absolutely. Absolutely .
Navin Sahadeo: Great. Thank you. So much.
Moderator: Thank you. The next question is from the line of Ritesh Shah from Investec. Please go ahead.
Ritesh Shah: Sir, a couple of questions. First, sir, you used the word, "we have taken opportunistic bets on fuel." Sir, can you please provide some more color over here? You did indicate on a rupee per k-cal basis for the quarter. If you have taken some nice bets, does it mean it is lower than the prevailing spot prices? How should we look at it?
Atul Daga: So Ritesh, let's keep it for the next quarter. Why should I spill the beans right now? I have also mentioned that you will keep seeing our cost curve sliding down continuously. We will reveal the numbers as and when -- at the end of the next quarter.
Ritesh Shah: Okay. If I put the question the other way around, would we have taken...
Atul Daga: I can't turn either way around.

Ritesh Shah: Okay. Right. So probably I'll try to move to the next question then, sir, you did indicate that the incremental clinker capacity you had earlier indicated at 10 million to 12 million tons. This corresponds to Phase 2 and Phase 3 together?
Atul Daga: This was about Phase 3 .
Ritesh Shah: Phase 3 . And specific corresponding to Phase 2 ?
K.C. Jhanwar: 14 million.

Atul Daga: 14 million tons.
Ritesh Shah: Okay. And the incremental announcements which we have detailed, do we -- are we incentive -backed on most of the states? Because I see a few states where...
Atul Daga: I'll tell you which places have incentives. So you have Rajasthan, Rajasthan has incentives. Andhra doesn't have. Bihar has. Yes. UP also will have it.
Ritesh Shah: UP has. Tamil Nadu doesn't have?
Atul Daga: Punjab is in Phase 2 . So Punjab also -- In Phase 3 , you would have Rajasthan, UP, Bihar, yes. These states will have incentives.
Ritesh Shah: Okay. So AP doesn't have? I presume Tamil Nadu also would not have, right?
Atul Daga: Yes.
Management : Tamil Nadu is very small.
Ritesh Shah: Okay. And sir, when we give a IRR number of 15%, what is the...
Atul Daga: We don't take incentives into account.
Ritesh Shah: You don't take incentives into account, okay. That's useful. Okay. And sir, lastly, if you want to just touch upon probably the rationale behind Kesoram, and given we have already announced Phase 2 and three , would there be a motivation to look at further inorganic assets given we have a very strong pipeline already in place?
Atul Daga: So, Ritesh, inorganic is always opportunistic and each transaction has to be examined on its fitment with UltraTech given the fact that we are pretty densely present in the country. So each transaction has to be examined on its own merits. Both -- so funda mentally, I have maintained that we are looking for profitable growth opportunity. So it has to give us growth as well as has to be remunerative.
K.C. Jhanwar: So at the end of the day, it has to be value -accretive actually . Otherwise, there may be a number of opportunities. If it doesn't add value, I don't think it makes sense just to add capacity.
Atul Daga: Yes.

Ritesh Shah: And sir, my question was will there be anything specific that will make us move or motivate us to look at it? So something in Southern India, which is rich in limestone, would it be of interest?
Atul Daga: It's not about Southern India. Let me comment about whole of the entire country. So if it's a profitable growth opportunity, that's point number one. You seem to touch upon limestone. Obviously, it has to be limestone -backed.
Ritesh Shah: Okay. Sure. And sir, Kesoram, basically, the motivation to go for Kesoram?
Atul Daga: It has good limestone. We can certainly add value to ourselves, to our customers. We can service our customers in a much better way. Markets are very attractive.
K.C. Jhanwar: And also the good brand, the markets where they are present.
Moderator: Thank you. T he next question is from the line of Rashi Chopra from Citi Group.
Rashi Chopra : Just on utilization, your utilization was 77% in this quarter. So what are you expecting in the fourth quarter?
Atul Daga: Fourth quarter, historically, if you see, I would expect this quarter also to repeat. However, election date -- depends on election date as and when the election dates are announced and the code of conduct sets in. It's very, very confusing to put a number -- to put a finger to a number. As I already mentioned, mid -December onwards, we started seeing demand pick up, and the signs are very good. Still, if I have to put a number, we will definitely cross 80%, 85% for sure.
Rashi Chopra : Okay. And in your opinion, like for the full year, what should the industry demand growth be f

or cement?
Atul Daga: We were looking at close to double digits. So 8%, 9% for is a possibility.
K.C. Jhanwar: Yes. Anything between 8% to 9%.
Rashi Chopra : Just some bookkeeping. On your trade volumes and blended cement for the quarter?
Atul Daga: Trade was 64%.
Management : Blended, around 68%.
Rashi Chopra : And when you're doing a blended coal site, what was the pet coke price? Like last quarter, you would mention the pet coke was $138. This quarter?
Management : $126.
Rashi Chopra : So this should continue to go down?
Atul Daga: Yes. That's what the trend looks like.
Rashi Chopra : Okay. Sorry, $126 you said, right?

Atul Daga: $126.
Rashi Chopra : Okay. And lastly, on the waste heat recovery, your capacity is 264 megawatts right now. Anything more getting added this year?
K.C. Jhanwar: Yes, about 26 megawatt.
Atul Daga: Some more will come in. One or two more lines will come in.
Rashi Chopra : Sir, what's the total megawatt capacity expected by '24, '25 on waste heat recovery?
Atul Daga: About 16 to 20 megawatt additional will get commissioned by the end of March '24.
Rashi Chopra : Okay. And then beyond that in FY'26?
Atul Daga: '25 also, we'll have. So we have 5 existing lines under implementation, out of which you will see 16 to 20 megawatts getting commissioned by March. So three lines would have commissioning in the next fiscal year also.
Rashi Chopra : Okay. Sir, just on capex. Sir, just one last thing. I don't really want to discuss the EBITDA per ton for the next quarter. But generally speaking, directionally, prices are basically corrected. I know costs have come down or will come down as well. But I mean, this probably remains like a steady state number, what is reported in the quarter?
Atul Daga: Yes. I assume so. I think I'm confident that it's a steady state number.
Moderator: Thank you. The next question is from the line of Indrajit, an individual investor. Please go ahead.
Indrajit Agarwal: Sorry, Indrajit Agarwal from CLSA. Yes, after the capex, so INR18,000 crores in the two years, how much would be remaining for Phase 3 , till Phase 3 ?
Atul Daga: We had total cost of INR13,000 crores, INR12,000 crores, so INR25,000 crores. INR25,000 crores, out of which INR18,000 crores is getting completed. So the balance is there INR6,000 crores -- INR37,000 crores.
Indrajit Agarwal: And given that not all the capacity -- about 2 million tons of capacity at Kesoram is not clinker -backed, so could we look to realign some of our like organic expansion to support that? Or how do we...
Atul Daga: Yes, we are looking at it. I think in the next -- we have plenty of time. So once we are -- get CCI approval, we'll work more closely with them to understand their plans and how we can realign our capacities.
Indrajit Agarwal: Sure. And sir, last question, on this post -Kesoram, we will be at around 190 -odd million ton capacity, right?
Atul Daga: Very close to that number in India.

Indrajit Agarwal: And our target is 200 million by '28. So do we have enough organic opportunities for getting to that additional 10 million tons? Or we'll have to...
Atul Daga: Organic, most certainly, most certainly.
Indrajit Agarwal: Okay. All right. And all those organic, we are still confident it is truly lower than, like, say, $90 to $100 per ton, right?
Atul Daga: Absolutely. No doubt about that.
Moderator: Thank you. The next question is from the line of Ashish Jain from Macquarie. Please go ahead.
Ashish Jain: Sir, on -- you based your numbers on kilns with WHRS. And while that you said that currently, we have 44 kilns and by '27 we will have 48 kilns. So are we adding this 25 million tons between Phase one and Phase 2 just across four new lines? I was not clear about that.
Atul Daga

: Yes, there are four lines -- four greenfield lines getting added.
Ashish Jain: Of 24 million tons of clinker ? Okay.
Moderator: `Thank you. The next question is from the line of Prateek from Jefferies. Please go ahead.
Prateek: My first question is on last quarter's demand growth, you said it's around 3%, 4%. Would you have like region -wise distribution of how this growth was?
Atul Daga: Very difficult at the moment. We will wait to see numbers from regional players, then it will be better to comment on that.
Prateek: And your utilization of 77%, how would that be region -wise?
Atul Daga: More or less evenly spread, the highest being 80%, 85% and the lowest being 74%, 73%.
Prateek: Okay. So South the utilizations is half -- I believe the South number would be lower number of on the range. So South utilization for yourself and for the industry has like sustainably moved up? Or is it like we are operating at significantly high?
Atul Daga: So we are -- so when we are growing at a pace higher than the industry, our capacity utilizations will also be higher than the industry. That is one. South market has been consolidating and improving continuously. Gone are the days when Southern markets us ed to operate sub -50%. So you are seeing South markets also going up above 70%, for sure.
Prateek: Okay. And over the next six months, as you concur, like volume growth may like sort of get impacted. How do you see the pricing during this period?
Atul Daga: The pricing is, Prateek, determined by demand, good demand across the country and as seen in

the past also, when all India -- all India capacity utilization crosses 85%, prices become very strong. So it's a play of demand. If there's good demand, prices te nd to improve.

Prateek: Right. But versus last quarter, when we sort of seen the start of the quarter, we had 5% higher prices all of that roll back. We are sort of having a similar view on pricing we had that time? Or...

Atul Daga: My sense is if capacity utilizations in January, March, which has been -- which has precedent, if you go last two, three years, capacity utilizations have been strong, the prices could improve. However, we are heading into election periods. So there might be -- how demand pans out, it remains to be seen.

Prateek: Sure. And lastly, this INR25,000 crores of capex, you said INR9,000 crores, INR9,000 crores and maybe INR7,000 crores for three years. Is this maintenance capex also included in this?

Atul Daga: All in.

Prateek: Okay. So maintenance included, we have INR25,000 crores spend?

Atul Daga: Sorry, sorry. Phase 2 , Phase 3 , yes. So maybe INR1,000 crores or INR2,000 crores on maintenance capex, give or take. And the WHRS also, which is under implementation. But all put together, capex, which I'm seeing this year, we have already crossed about INR6,500 crores for the nine months. So we will very unit as INR9,000 crores on that, which includes both our growth capex as well as routine capex or maintenance capex. This is a trend which we see at least next year, for sure.

Prateek: Sure. So INR9,000 crores, INR9,000 and next year -- FY'26, we'll have like INR6,000 crores, INR7,000 crores plus?

Atul Daga: It will be higher only, not INR7,000 crores, because there will be maintenance capex also.

Prateek: And in between, there will be like acquisition EV of around INR7,500 crores of...

Atul Daga: Yes. Yes, that is coming in. That is coming in. So in my commentary, when I mentioned FY'25 net cash on the balance sheet, I am not taking into account this acquisition, which will bring in a debt of 18 -- INR2,000 crores.

Moderator: Thank you. The next question is from the line of Devesh Agarwal from IIFL Securities. Please go ahead.

Devesh Agarwal: Sir, firstly, in terms of cost, you did mention that the cost will continue to slide. But based on our

inventories, can you give some sense what would be the decline we can expect in Q 4?

Atul Daga: We are at $150, no? this quarter. So we are at $150 of consumption this quarter. I would expect 5%, 7% -- 7%, 8% reduction over the next 6 months for sure, it could be higher also.

Devesh Agarwal: Okay. And secondly, sir, based on our Kesoram acquisition, you do have some capacity addition plans in waste heat in Southern India. Can there be any rethink or those remain intact?

Atul Daga: So I think somebody had asked about this. In the next six months, we will come back in case there is any change in our existing expansion plans.

Devesh Agarwal: Okay. And sir, in our RMC business, what would be the margin for the quarter?

Atul Daga: In what, RMC business?

Devesh Agarwal: Yes, sir.

Atul Daga: RMC business generally delivers 3% higher...

Management: 4%.

Atul Daga: 4%, sorry. 4% margin over and above cement.

Moderator: Thank you . The next question is from the line of Satyadeep Jain from Ambit Capital. Please go ahead.

Satyadeep Jain: Just a couple of questions. One, follow -up to Navin's question. On the foray in Northeast, I just want a clarification. You already have some limestone assets there in Northeast?

Atul Daga: Identified, yes.

Satyadeep Jain: But not existing assets. Secondly, on Nawalgarh in the Phase 3 , we don't see Nawalgarh. So is there some land acquisition....

Atul Daga: No, no. There's -- that will come in Phase four. Land acquisition is half of it. Because right now, we are doing Kotputli expansion in Rajasthan, which is part of our Phase 2 , which will get commissioned. And then we will take up further expansion in Rajasthan in Phase four, if I can call it that way.

Satyadeep Jain: So land acquisition is still going on there?

Atul Daga: Sorry. And Nathdwara expansion, my colleague corrected me, Nathdwara expansion is also

happening right now.
Moderator: Thank you . The next question is from the line of Rajesh Kumar Ravi from HDFC Securities.
Please go ahead.
Rajesh Kumar Ravi: Am I audible?
Atul Daga: Yes, please.
Rajesh Kumar Ravi: Sir, could you share the breakup of the pending 2.6 million ton debottlenecking which was due in second half? And also the slag grinding units, which are expected next year?
Atul Daga: So slag grinding units, one is in South, one in West Bengal and third one?
Management: Two in Bengal.

Atul Daga: Two in Bengal and one in South. And as far as debottlenecking, I think I have corrected the numbers in this presentation as compared to earlier. So once we are through, we will come back with the details on debottlenecking.
Rajesh Kumar Ravi: Okay, okay. The debottlenecking there are changes and this Burnpur is already an amalgamated end of Q3?
Atul Daga: Yes. Burnpur, we had acquired the assets and not the company.
Rajesh Kumar Ravi: So this has already done, okay.
Atul Daga: It's already in our balance sheet.
Rajesh Kumar Ravi: And also, can you share the Phase 3 , you mentioned some 10 million, 12 million ton of clinker additions?
Atul Daga: Yes.
Rajesh Kumar Ravi: Across which -- what would be the re gion where clinker additions or kilns?
Atul Daga: That's happening in the East, North and South.
Rajesh Kumar Ravi: And what will be the breakup? Because South, we see that you are adding one last, brining six million tons in Andhra and then brownfield 3.7 million tons, which is in, again APCW . So almost 1 million ton addition?
Atul Daga: Rajesh, let's focus on cement capacity instead of getting into clinker details.
Rajesh Kumar Ravi: Okay. And total, you said, is how much, sir?
Atul Daga: Total of what?
Rajesh Kumar Ravi: Total clinker across these three regions would be how much?
Atul Daga: Give or take, 12 million

tons.
Rajesh Kumar Ravi: 12 million tons, okay. And sir, lastly, Q3 volume numbers for various reasons have been impacted. But in Q4, would you -- is it feasible to see a 10% plus growth. Do you have that capacity in place? Is that a reasonable number you're looking at, 10% plus growth in Q4?
Atul Daga: Right now given the weather conditions in North, so North is still not doing full steam. Otherwise, all the other regions are performing well. We should see a good improvement in our Q4 numbers. I don't want to comment on a number which is unnecessarily gi ving directional performance for Q4.
Rajesh Kumar Ravi: Okay. Sir, just sir, if you work out , even if sequentially, you're able to deliver 25% volume growth year -on-year, it would still look at some 7% to 8% growth. So the growth base effect will also come in play is what I was looking at.

Atul Daga: As I mentioned, Rajesh, I don't want to preclude or reach a conclusion on Q4 in this call. We are focusing on Q3 performance.
Moderator: Thank you . The next question is from the line of Shravan Shah from Dolat Capital. Please go ahead.
Shravan Shah: Sir, one data point, what's the premium, sir, for this quarter?
Management: 23%.
Shravan Shah: 23%. And second, sir, definitely, as you mentioned that in terms of the demand for fourth quarter, we are looking at it to improve. But overall, if you look at for FY'25 also, will there be some slowdown in the first half and net -net for the full year, will it be fair to say the max we can see a 6%, 6.5% kind of demand growth at industry level in FY'25?
Atul Daga: Maybe, I think so. It is a possibility.
Shravan Shah: But our growth will definitely will be much better than the industry growth.
Atul Daga: Yes, yes. We will have higher growth definitely.
Shravan Shah: Okay. And on the profitability front, sir, if you can repeat what you mentioned, I was not clear. Did you mention that the profitability still have a scope to improve given the cost curve is still

going to be on the declining side? Or will it be -- going f orward in FY'25, will it be more from
the pricing perspective, we can see the profitability to improve?
Atul Daga: I didn't comment anything on future profitability. What I said was you could see improvement
or reduction in cost of fuel further. It all depends on how volumes play, how other levers of the
P&L play out.
Moderator: The next question is from the line of Patanjali Srinivasan from Sundaram Mutual Fund.
Patanjali Srinivasan: Sir, am I audible?
Atul Daga: Yes, please.
Patanjali Srinivasan: Yes, sir. So firstly, congratulations on a good set of numbers. I wanted to know what a gray
cement EBITDA per ton would be?
Atul Daga: Gray cement EBITDA per ton, we are at INR1,200 per ton . Well, INR1,208 depending upon
operating EBITDA, how you calculate operating EBITDA, it would be around INR1,208 per
ton.
Patanjali Srinivasan: No, sir. So our India business, when we declare numbers and it includes our white cement, RMC
also. So I'm just trying to understand, if gray cement EBITDA would be slightly lower. But
because of RMC, it will be a blended number of INR1,208. Is my understanding correct?
Atul Daga: Yes. RMC is obviously part of our gray cement business.

Patanjali Srinivasan: Okay. And from a kcal perspective, what would be our cost -- fuel cost for the quarter, sir?
Atul Daga: From what perspective?
Patanjali Srinivasan: K-cal.
Atul Daga: I already gave it, I think 2.04.
Patanjali Srinivasan: Okay. And where do we see it going in the coming quarters?
Atul Daga: Yes, you should have been on the call earlier. I expect....
Patanjali Srinivasan: No, no, I was there. Sorry. Directionally. I just wanted to know how much will it be?.
Atul Daga: Directionally it will be re

ducing. Again, I also mentioned 6% to 8% reduction is a possibility. It
could be more, it could be less. I don't have a control on that.
Moderator: The next question is from the line of Ashish Jain from Macquarie.
Ashish G. Jain: Sir, my first question was on expansion. Like when we acquired Nathdwara, one of the
arguments was that we can easily double the capacity. But even in Phase 3 , there's only 1.2
million tons coming in Nathdwara and we have hardly added after the acquisition. So what --
and from profitability point of view also, I think in the past, we have highlighted that Nathdwara
is fairly profitable. So why are we going so slow on Nathdwara expansion?
Management: So Nathdwara actually what you are talking, 1.2 million is the cement actually. But the clinker
is 3.3 million tons. Obviously, the grinding has to take place, not entirely at the sub -site, but in
the market.
Ashish G. Jain: Right, right. So clinker wise, you're adding Nathdwara ? Got it. And sir, secondly, in terms of
Phase 1, is it possible to quantify the potential Kesoram offers given you said that one of ...
Atul Daga: I missed your question. Repeat, please?
Ashish G. Jain: Sir, I'm saying Kesoram. Is it possible to quantify the potential Kesoram has in terms of capacity
additions given that was one of the reasons you said for the acquisition?
Atul Daga: So whatever we studied their existing location in Karnataka, that definitely has limestone and
land available to expand.
Ashish G. Jain: Okay. Sir, my last question, like this quarter, if I see nearly 2/3 of your renewable power is
coming from wasted recoveries. Out of the 24% 16% is wasted recovery. In 2027, the 60% target
that we have, are we seeing the dependence on solar or wind going u p or the mix will be
maintained?
Atul Daga: Yes, no, no, it will go up.
Ashish G. Jain: So what will be the mix then ballpark if you have any -- I'm sure we will have a long -term plan.

Management : So solar, we are around 34% out of 60% and 26% would be WHRS.
Ashish G. Jain: Sorry, out of -- okay, okay. 34%.
Atul Daga: 34% would be renewable energy.
Ashish G. Jain: No, sorry, sir, I thought it's 60% target by 2025, right?
Management : Total. That is green energy, which includes WHRS also. 85% by 2030, which will be largely
delivered by renewable energy.
Moderator: The next question is from the line of Ritesh Shah from Investec.

Ritesh Shah: Sir, two questions. Sir, first is we have your long -term carbon intensity target of 62%. This includes Scope one reduction of 27% from the baseline and 69% on Scope two. Sir, is there a road map which is there to reduce carbon intensity? I would presume clinker factor would be one of the variables. So when we're looking at Phase 2 and Phase 3 , are we looking at this particular variable to shift significantly? That's the first question.
Atul Daga: So to answer, yes, clinker factor will be the largest driver for reducing the CO2 emissions. We have a concrete plan in place to reduce clinker factor. New products which are getting added, variants which getting added which helps improve the clinker conve rsion factor.
Ritesh Shah: Sir, would it be possible to guide any particular clinker factor numbers, say, by FY'26, '27 or say '28, something in interim before 2032?
Atul Daga: No, I would not want to reveal that.
Ritesh Shah: Okay. And sir, as you indicate, we will focus on clinker factors, then how should we understand the demand -supply dynamics for fly ash and slag? If you could provide some color over here and specifically on the cost inflation for both this variables.
Atul Daga: My sense says that the country will not have any shortage on account of fly and slag availability. Cement industry will not suffer because of that.
Ritesh Shah: Okay. But from a cost inflation standpoint?
Atul Daga: On these commod

ities?
Ritesh Shah: Yes, sir, fly ash and slag.
Atul Daga: It's a matter of demand and supply. For example, fly ash can vary from zero cost to INR500 per ton plus freight. So it purely is on demand and supply.
Ritesh Shah: Sure. And sir, you said new products getting added. Are we referring to, I don't know, LC3 or something else? Also I would like to have your thoughts given BIS has come up with the norms over here. So is it a variable that we will look at going forward?

K.C. Jhanwar: Yes. The LC3 is still not -- I would say, the commercialize some pilot scale production has started in the Western world, at least in India, nothing has happened. But yes, it is very much on the radar and we are working on it.
Ritesh Shah: Okay. So we have the product credit. It is just that we have not commercialized. Should we read it that way?
K.C. Jhanwar: It's not question of product because the product is not so important to produce. But I think the overall, that technology and the scale actually. Because if somebody can produce in, say, 1,000 TPT plant, but it should be scalable to a higher level. And at the same time, the raw material availability is also to be insured, actually at least for 30, 40 years.
Ritesh Shah: Sure. And sir, second -- last question, sir. Can you give some color around -- it's good to see bulk cement terminals being added. If you could provide some color on why, the rationale behind the locations where we are. And after Phase 2, Phase 3 expansion , any broader thoughts on distribution? So we -- I see a lot of jetties on the western coast line, but we have hardly anything on the eastern coast line. So how should we understand that and the location of the bulk cement terminals. Anything on the distribution?
Atul Daga: They are clearly determined by the market and -- the mild market and the kind of demand that exists in those markets. And for East Coast, Jhanwar Ji, do you want to say anything?
K.C. Jhanwar: The East Coast, because the again, the availability of the right kind of ports, et cetera, is generally hampering unlike the way the terminals are there in Southern India. And ultimately, it's a very composite subject. So there you have your integrated facility of cement and what are the markets which can be conveniently sold actually to those markets. So it's a question of taking integrated holistic approach of putting up either bulk terminal or grinding unit.
Ritesh Shah: Right. But again, sir, we don't see much of bulk cement terminals on the eastern coast line. So what we have is pretty few actually.
K.C. Jhanwar: Because in East, it is not there because everything needs to be mo ved by rail only, and the rail -- availability of rail itself is a major challenge in Eastern India as of now. So there is no -- like the sea movement which is happening from Gujarat to the southern side. It's purely the land movement because most of the ceme nt is coming to the Eastern India from Chhatisgarh cluster, actually.
Ritesh Shah: Sir, just one bookkeeping question. Will it be possible -- would it be possible for you to give a split of OPC, PPC, PSC and composite probably for the last fiscal or probably for -- probably I can take it afterwards.
Atul Daga: What did you ask?
Ritesh Shah: Product mix, OPC, PPC, PSC and composites.
Atul Daga: Everything is blended is one and rest is OPC.
Ritesh Shah: Sir, I wanted to break that thing up. Probably I'll connect offline afterward.

Moderator: Thank you . The next question is from the line of Sumangal Nevatia from Kotak Securities.
Please go ahead.
Sumangal Nevatia: Just one question left. So Grasim will be launching a Paint venture soon. And at the time of the foray, there was some sort of discussion that the white cement distribution network will b

e used
of UltraTech. So any sort of compensation or benefit we will get? Any quantification since it's very close to launch now?
Atul Daga: We are working on a business sharing agreement. But as far as dealer network is concerned, it's a free market, there is no really a royalty that we will get from them for accessing those dealers because they are not our private domain. They are not our pro prietary concerns. There are individuals who anybody can approach to do business.
Sumangal Nevatia: Okay. So nothing meaningful from this?
Atul Daga: They are working independently. We have no role to play in their working model or whatever they are doing.
Sumangal Nevatia: Understood, understood. And just if I may, a second question, I mean, if you see from an industry perspective, last 18 -odd months, there's been three or four big M&A announcements by us and by a few peers. Over the next, say, one, two years, do you see there's further consolidation happening in the industry? And any sort of broad capacity you would like to guide us to? And what sort of consolidation is left in the industry if that would happen?
Atul Daga: I think consolidation will be a theme for a few more years. Things will keep happening as we progress along -- as the industry progresses along. That is a given. There are lots of names, and I'm sure you would know them yourselves. Seems roughly for me to repeat them on the call. The names are quite evident, who will be there on the radar.
Moderator: Thank you . The next question is from the line of Vishal Periwal from IDBI Capital. Please go ahead.
Vishal Periwal: I think in the call, you briefly mentioned that cement prices in quarter four is slightly lower. Regio n-wise will it be possible to share how they are currently?
Atul Daga: I don't have that immediately.
Vishal Periwal: Okay. Fair enough. And second, I think you did passed upon the fuel cost will be lower in quarter four. So the 6% to 7% number that is for this particular quarter, quarter four on a quarter -quarter basis? Or it is six to eight months.
Atul Daga: Two quarters safely.
Vishal Periwal: Okay, okay. Sure. So one can say that probably a split between quarter four and quarter one.
Atul Daga: Yes.

Moderator: Thank you . The next question is from the line of Navin Sahadeo from ICICI Securities. Please go ahead.
Navin Sahadeo: Sir, just one question. You've given the plans of Phase 3 coming in end capacity by FY'27. But is there any indication how much we could see in FY'26 as such? Or it will be like a lean year as such?
Atul Daga: No, no, no. So it will be spread and keep coming gradually. And as we progress on work, we will give a further granular schedules. Because right now, as I mentioned, technology orders have been placed, a couple of sites have started civil work. Major work will start, I'm assuming in '25. Once there is traction, we will give a schedule -- the way we have given the schedule for Phase 2 , we will give a schedule for Phase 3 as well.
Navin Sahadeo: Understood. We look forward to that. And just one more question. You said for the quarter, the blended cost is around $150. And within that pet coke was more like $126. So at current spot rates, which are more like $115, $116 , the blended cost will be around $130, $131, which is roughly $20 savings from current levels?
Atul Daga: Everything gets converted. Everything is at $115 and you have the math.
K.C. Jhanwar: Yes. You are able to get at $150 shipments, actually. On shipment gets so far $115 but you all know well that the availability of pet coke is very limited. And with every parcel, the price gets charged .
Moderator: Thank you . The next question is from the line of Amit Murarka from Axis Capital. Please go ahead.
Amit Murarka: So my question was on the carbon trading, which the Indian government is

now looking to
implement, the CCT scheme, that is. So could you help understand, like I believe the trading will start in FY'26 and FY'25 will be the year when the monitoring starts. So where do you think the benchmarks will be? And is there any potential cost that would come in because of that?
Atul Daga: No idea whatsoever. I think I'd love to learn when you learn. Let me know if you come to know about something.
K.C. Jhanwar: I think there is a lot of talk, but I think it is too early to get a real sense because there are multiple levers the government is yet to take in.
Amit Murarka: Okay, okay. Got it. And also on the blended fuel cost of $150 and petcoke $126, so the coal, which means implies about $170, $175, correct? I mean, if I'm not wrong in assuming a 50 -50 split. And spot coal, as I can see, at least RB1 at all is now at close to $100, $105. So the difference seems to be quite big in that respect, just if my calculations are correct.
Management : So Amit, this is at the 7,500 CV.
Amit Murarka: Okay. Got it. So -- and -- but what is the split between pet coke and imported coal right now?
Management : 50-50 in terms of...

Atul Daga: 44-46.
Management : Yes, right. 44 -46.
Amit Murarka: Okay, okay. And lastly, Kesoram rebranding strategy, if you could highlight about -- like earlier, we have seen you shift quite fast into UltraTech brand. So will the strategy be similar here? Or will you go slower?
Atul Daga: We are not doing anything on Kesoram as yet. First focus is to get regulatory approvals. We'll start working on it after that. There's plenty of time.
Moderator: Thank you. The next question is from the line of Aman Agrawal from Equirus Securities. Please go ahead.
Aman Agrawal: One question from my end on the Eastern market. So many peers have been highlighting for quite some time about the slowness in demand in the Eastern market, especially in states like West Bengal and Bihar. What would be your take on that? What was the key reason why demand is still not panning out as buoyant as other regions?
Atul Daga: I think there have been -- as I mentioned in my commentary also, there have been fiscal challenges in the states of Bihar and West Bengal, because of which there has been a slowdown.
Aman Agrawal: Okay. Second, just lastly on industry growth that you would be expecting for 3Q. I'm sure you said that UltraTech has kind of grew better than the industry. Any number you would like to assign for the industry on...
Atul Daga: I mentioned, I think we expect the industry to be anywhere between 3% to 4%.
Moderator: Thank you. Ladies and gentlemen, that was the last question. On behalf of UltraTech Cement, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.
Atul Daga: Thank you.

Call: May 2024

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6th May, 202 4

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Sub.:
Transcript of Q 4 FY-24 Earnings Conference Call of UltraTech Cement Limited (“the Company”)

Ref.:
a. Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“Listing Regulations”)
b. ISIN: INE481G01011

In terms of Regulation 30 of the SEBI (Listing Obligation and Disclosure Requirement), Regulations 2015, please find attached transcript of the Q 4 FY-24 Earnings Conference Call conducted after the meeting of the Board of Directors of the Company held on 29th April, 2024 , for your information and record.

The same is available on the website of the Company viz. www.ultratechcement.com

Thanking you,

Yours faithfully,
For UltraTech Cement Limited

Sanjeeb Kumar Chatterjee
Company Secretary and Compliance Officer

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“Ultra Tech Cement Limited
Q4 FY '2 4 Earnings Conference Call ”

MANAGEMENT : MR. ATUL DAGA – CHIEF FINANCIAL OFFICER
MR. K.C. JHANWAR – MANAGING DIRECTOR

Moderator: Ladies and gentlemen, good day, and welcome to the UltraTech Cement Limited Q4 FY '24 Earnings Conference Call.
We must remind you that the discussion on today's call may include certain forward -looking statements and must be, therefore, viewed in consumption with the risk that the company faces. The company assumes no responsibility to publicly amend, modify or rev ise any forward - looking statements on the basis of any subsequent development, information or events or otherwise.
As a reminder, all participant lines will be in the listen -only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during this conference, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Atul Daga, Chief Financial Officer of the company. Thank you, and over to you, Mr. Daga.
Atul Daga : Thank you. Good evening, everybody. One more quarter and one more year has gone by and at UltraTech, we have not got tired up growing. We have not yet exhausted all our resources to keep doing that up. This year, again, we have achieved a double -digit volume growth and how? There's an increase in our base capacity. On a full -year basis, we have achieved a 13% growth, and this is a third straight year of double -digit growth. In the fiscal year '22, we grew 9%, 14% in '23 and again 13% in the current fiscal year in the report ing. And we are confident to deliver good performance year after year.
In absolute terms, we sold about 94 million tons of cement i n FY '22, which has crossed to almost 119 million tons in FY '24. This, I believe, is the power of UltraTech. For Jan -March '24, we grew 30% over the last quarter and 11% Y -o-Y in volume terms. We have delivered this performance obviously with the rapid growth in the Indian economy. The Indian economy is hiring and is expected to grow anywhere between 6.5% to 6.8% this cu rrent year. And cement and industrial products definitely grow that pace higher than GDP.
To give you a glimpse, a very brief perspective, NHAI spent a record INR 2,07,000 crores in construction of highways in FY '24, the highest ever capital expenditure so far, a jump of 20% over last year. Construction of highways starts a record 12,300 kilometers in '24, almost 34 or 35 kilometers per day. This is the second highest rate at which the construction of highways is being seen in the country.
Our growth has been possible only with the support of our 23,000 -plus employees, our 1.3 lakh plus channel partners, business associates, bankers and all other agencies involved. As we grow, we have also increased our pace of growth in the RMC business. We ended this year with 307 RMC plants serving our customers all over the country. RMC consumes almost 2.5 million tons of cement for us. It still is small and growing very rapidly. India is urbanizing. Vertical houses are increasing, but yet India still remains an individual homebuilder market. IHBs as they are called continue to be the biggest demand driver segment for c ement in India.

Another unique phenomenon, another important aspect to know about UltraTech still being an industrial commodity, we have the largest retail footprint in the country with over 3,900 stores at the close of this year and continuously growing. In quarter four, 16% of our sales were through this retail platform. We call it UltraTech Business Solutions or UBS stores. It is one -stop-shop for an individual homebuilder requirement for all building materials.

One thing which keeps everybody on their toes is the growth in supply of cement capacity in the country. Last year, 40 million tons of new capacity was commissioned, but at d

ifferent points in

time during the year, out of which UltraTech had a share of almost 1/3. Nothing to get worried about, since demand estimated for FY '23 was 388 million tons, which most likely is around 425 million tons for FY '24. This is another 40 million tons of incremental demand. Point to keep in mind is that incremental effect ive supply would have been lesser than incremental demand because the new capacity in the country would have come throughout the year and not having a 12-month run.

All India capacity utilization seems to have increased by about 200 basis points to 71%. UltraTech this year, yet again, has achieved a significantly higher capacity utilization for the year at 85%, thus consistently making inroads into the market.

Going forward, there might be some amount of moderation in FY '25 in terms of demand. However, our belief is that the slowdown should be shorter than earlier years, primarily because private sector housing has also picked up momentum. Industry could see a high single -digit growth this year as well. UltraTech should be surely doing better. Even though we had a 98% capacity utilization in January -March quarter, please rest assured we will have sufficient capacity available this year to grow and keep growing. We should be adding almost 15 million to 17 million tons this year, and our team's capability of commissioning a cement plant in time and then achieving a vertical start has been demonstrated time and again.

To talk about prices, our realizations dropped about 6% Q -o-Q, more or less this kind of a pattern was observed all across the country. However, an important aspect to note is that on a longer period average, the average prices have increased 3.5% CAGR ove r last five years. Costs also have increased about 3.5%, but yet, this differential leads to an improvement in margins. On prices this year, we expect the pricing environment to remain stable or improve only, not going down any further.

Let's just talk about costs. At UltraTech, cost efficiency, continuous increase in green power mix, lower fuel costs, increase in AFR and operating leverage continue to improve our cost parameters. Over the next three years, as we grow, you will see the operating costs continue to come down, and we should be seeing a reduction of almost INR200 to INR300 per ton. Fuel costs, which are always a burning issue, remain at the same level, has stabilized, but we cannot have a concrete guidance on the fuel prices given the large dependence on the geopolitical factors. Our fuel consumption cost for the quarter was INR2.03 per kilo calorie. The costs will keep sliding down during this year with material improvements being visible from January, March '25 onwards only.

A quick update on our capex program. All our organic expansions are on track. The Kesoram transaction, CCI approval has already been received. The plan is to merge with effect from 1/4/24 subject to all regulatory approvals. We are waiting a nod from SEBI and stock exchange before we file the scheme with the NCLT. Interesting to note is that they have already refinanced and reduced the cost of their debt by almost 50%. Keeping in mind the potential capacity that we will get from Kesoram in the same market, we have put on hold our Hotgi grinding unit expansion, which was a 2.7-million -ton ground clearance capacity. We will revisit it at an opportune time in future.

Last week , we had concluded the acquisition of a grinding unit in Southern Maharashtra, which and with available surplus clinker in the state, it gives us a unique opportunity to increase our footprint in the fast -growing state of Maharashtra. Dispatches from this unit have already commenced since last two days for UltraTech.

Before I conclude, I must tell you that we have started this year with an available -- fully available capacity of 146.16 mil

lion tons. Indian market will continue to grow, and we have

more capacity coming this year and the next. Our cash flows are strong and will strengthen further.

Thank you so much, and over to you for questions.

Moderator: The first question is from the line of Rahul Gupta from Morgan Stanley.

Rahul Gupta : I have a couple of questions. First, based on results that we have had until now, we have seen volumes surprising ly positive across the board. Given UltraTech's positioning in the industry, I

just want to understand if the industry is seeing front -loading of demand ahead of elections and monsoons? And if yes, is there a big risk for both volumes and prices over the next few mon ths? Any color on this would be appreciated. I'll have my second question after this.
Atul Daga : Rahul, I think I already clarified that there might be a slowdown in FY '25 and you put a name to that reason, but however, the slowdown should not be longer on. Because there are -- this year, practically, as we see all the verticals, all the engines for demand are firing up. So even if there is a slowdown in one sector of demand, there could be a positive impact on -- or the support would be given by the other drivers of demand, private sector housing, rural housing, rural infra, everything is growing. And the second point you mentioned about front loading, I think when demand is there, everybody would want to fulfil the needs of their customers and nobody would want to leave an opportunity. So that's the way I would read it. No more, no less.
Rahul Gupta : That's very comforting. My second question is you had made a point that you would see some deflation in fuel cost last quarter and we have seen better -than-expected performance this quarter. So is it fair based on spot prices, that fuel cost moderation is largely behind us? Or how should we look at from here?
Atul Daga : Again, one more point to keep in mind, now the last episode, which happened was the Baltimore crisis, the bridge, which collapsed with the accident took place , which is slowing down the movement of cargo from that side. So all these kind of events do have an impact. Now Iran war happening or anything else happening do have an impact. Having said all of that, we still don't

see -- again, I had mentioned in my opening remarks also, we don't see too much of a negative impact on the prices of fuel.
Next point to keep in mind is that a spot price is misleading because that spot price comes into consumption almost five months later because take into account the spot price itself is for ship loading at least 45 days to two months later, then you take the ocean freight time and everything else included, four to five months later. That is another point that you need to keep in mind.
Rahul Gupta : Maybe I was not clear. The point I was making that based on we not seeing enough moderation -- yes, sorry.
Atul Daga : Listen to me. So we expect the fuel prices to soften for us continuously. However, you will see a dramatic improvement or substantial, I shouldn't say dramatic, but a substantial improvement from January -March quarter from January -March '25 onwards.
Rahul Gupta : Perfect. No, this is very helpful, yes.
Moderator: The next question is from the line of Ashish Jain from Macquarie.
Ashish Jain: So my first question is on cost, you spoke about INR200 to INR300 decline in the next, I guess, two to three years. Can you give some color on that? What will be the key driver? And does it also factor any impact of lower coal prices because that's something which may or may not be considerable.
Atul Daga : No, these are all controllable drivers, Ashish. First one is, as I have talked about, our blended cement or conversion factor is improving, if you have noticed, this has improved to 1.44 and every decimal counts, that itself by 2027 should bring a large

part of the savings. Second thing
is our investment in Green Power continues. Green Power would be WHRS and renewable energy. Both of them today stack up to 24%. By '27, we would have almost 60% or even higher than 60% being contributed by Green Power.
The cost of Green Power, WHRS, all of you know, is almost 90% lower than thermal power and renewable energy would be 40% or thereabouts lower than the thermal power. So these programs are in -- under implementation, so the benefit will come through. As we expand, as I mentioned, 15 million tons to 17 million tons will commission this year, which is '25 and by the end of '27, we would be about 199 million tons to be exact, 199.6 million tons of capacity, that's global, right, including our UAE capacity.
So with that kind of dense network in India, we would have 70 locations servicing our customers. Naturally, my lead distance will come down. We know we have a plan in place, which will help me reduce my lead distance. Second, next point would be alternate fuel. We are ramping up the consumption of alternate fuel. We are still pretty low in -- around 5% to 6% only even if it goes to 15%, and we are investing behind it. So it's not dependent on external factors, we are investing behind it. That will lead to an advantage. And lastly, when we are operating at 200 million tons of capacity, imagine selling 80%, 85% of that volume bare minimum, would generate a lot of operating leverage. All put together, I'm pretty confident that we will generate those gains.

Ashish Jain: Right. Atul, can you speak a bit more about the freight cost savings, means if you have to quantify that number, what kind of lead business reduction can we think of?
Atul Daga : So we are at 400 kilometers of lead today. Per ton per kilometer cost would be a thumb rule of INR3 per kilometer. Even if a 25 -kilometer reduction happens, that is what would lead to INR75 gain.
Ashish Jain : Okay. Got it. And just a continuation of this point. So how should we think about -- again, I'm not looking for -- as in for a right or wrong answer, but how should we think about pricing in this context? Because you and one of the other larger players is also talking of a meaningful price cost decline all sustainable in nature. So how should we think about industry profitability in this...
Atul Daga : Profitability, it's going to improve. We will focus on EBITDA per ton, which will be on a northbound journey. And given again, Ashish I had already mentioned in my opening remarks that this year, it's too difficult to predict, but we expect the pricing environment to be stable or be positive only.
Ashish Jain : My question is not like -- if I get fiscal '25 for a moment. My question is with INR200, INR300 decline. That is a lot of leeway to have a healthy EBITDA per ton and still weak pricing on the way down. So I was asking more from that point of view because this kind of saving is a humungous number, right?
Atul Daga : Yes. So it is. It is. You should compliment -- won't you want to compliment us for delivering that improvement.
Ashish Jain : I would. Let's see that in the numbers. Okay. So my second question is on your cash flows.
Atul Daga : Ashish, this is a fourth question.
Ashish Jain : This is the second question. Those were subparts. Those were subparts. So my second question is on capex. Like this year, we have done a phenomenal job of managing our debt even with roughly INR10,000 crores of capex and we are kind of guiding for a similar capex for next year also. So how do we see leverage panning out from here? Do we see any upside risk to debt in the interval?
Atul Daga : Our target is to inch towards zero net cash on the balance sheet by the end of '25, not taking into account the Kesoram debt. But yes, if I take that into account, so INR2,700 crores of debt -- net debt that we have today, we

should be inching towards INR1,500 crores to INR2,000 crores of net debt, including Kesoram.
Ashish Jain: Okay. With Kesoram. Yes.
Atul Daga : Without that, I am net cash on the balance sheet.
Ashish Jain : By '25 end.
Atul Daga : Yes.

Ashish Jain : So just 1 last very small question. On Kesoram, do we expect further reduction in interest costs? Or do you think whatever they have achieved...
Atul Daga : Yes. So right now, they are on their own balance sheet. Once we get on to our balance sheet, we will look at reducing that cost further. They are now -- I can share with you, they were at -- they have dropped down to 11.5%, our cost of borrowing would be i n today's time, it would be 8% or thereabouts.
Moderator: The next question is from the line of Pulkit Patni from Goldman Sachs.
Pulkit Patni : My first question is if you were to just talk about consolidation in the sector. You mentioned that profitability from here should go up generally for the sector. We know Brownfield capex is happening at much, much lower rates. Does it mean that we see further consolidation from here? Or we don't see much given profitability probably has bottomed out for the sector? That would be question number one.
Atul Daga : So Pulkit, I said about our profitability and not commenting about industry's profitability. I would not be an expert to do that. But maybe you are deriving that comfort from the fact that we believe that fuel costs will remain benign and pricing environme nt should be positive. So in that scenario, as far as consolidation activity is concerned, there will be players and this is known about the Indian cement industry . There are players who would want to cash out when the going is good. So I really don't know as of now, I really can't comment on anything else.
Pulkit Patni : Sure, sir. I mean, the cash out if going is good or if things are getting bad. But either way, I think we'll have to...
Atul Daga : So the point, the bigger message is Pulkit, we are growing continuously year after year . As I mentioned, we would be physically present in almost 70 locations on our own excluding Kesoram location, so 72 locations with Kesoram. So obviously, and the kind of brand pull and the respect our product has in the marketplace, there is definitely a preference for UltraTech as

compared to another cement. So that would be a message for lots of players.
Pulkit Patni : Sure, sir. My second question is more bookkeeping. This Nathdwara scheme of amalgamation, does it show anything -- is it already impacted the numbers that you've published and will it impact the stand -alone for us, which means stand -alone numbers will show better growth? If you could just talk about that?
Atul Daga : So in my results presentations, we've always shown India operation that was with Nathdwara . And in the published results, the category publication that goes out is a consolidated number this year with previous year numbers reinitiated. So by volumes that we have reported are always with Nathdwara cement earlier also.
Pulkit Patni : No, that I'm aware, but I'm just asking that the stand -alone numbers that you have in your official publication, does that include Nathdwara or that doesn't?
Atul Daga : Yes, yes. Because the merger was effective 1st April '23.

Moderator: The next question is from the line of Raashi Chopra from Citigroup.
Raashi Chopra : On demand, you mentioned that the Indian industry grew at about 9% during the year. What is the number for the quarter, roughly?
Atul Daga : 7%, 8% or thereabouts.
Management : It should be around 7%, 8%.
Raashi Chopra : Okay. And when you say that FY '25 could moderate or not a lot. So there, you're expecting again the growth rate to moderate down from 9%?
Atul Daga : For the full year for the in

dustry, yes, it should be maybe 7% to 9% .
Raashi Chopra : Okay. And on the pricing side, have you seen any changes in prices in April or it is flat since March?
Atul Daga : There have been sparks of improvement.
Raashi Chopra : Across the board or a few regions?
Atul Daga : Several markets. So we've seen in Maharashtra. So there have been positive movements only practically across all the markets, except North, we have not seen so much North and West. West is already a well -priced market. So we have seen improvements, margina l improvements in Eastern corridor, Southern Corridor. Central is -- okay, Central also, I will call it flat. So Eastern, Maharashtra, South, we have seen improvements.
Raashi Chopra : Okay. And just coming back to the fuel costs, you're saying that largely stabilized and obviously, one can't predict them going forward. In the last quarter, you basically mentioned that we see a decline of about 6%, 7% over the course of the next two quarters. The bulk of that has largely played out. So incrementally, what will come will be a function of efficiency gains and the green energy.
Atul Daga : No, I don't know. If you're referring to fuel costs, like this quarter also we had our fuel cost at $150 per ton. We have to reach a number of $130 when everything remaining same as of current times. This should be traveling to a number of $130 per ton giv en our mix that we consume. So that's the kind of improvement that you will definitely see in the next three quarters -- three , four quarters, yes.
Raashi Chopra : And that 200, operating cost decline that you mentioned over the course of the next few years, the INR200 decline that...
Atul Daga : I don't include the pricing, no, no. I had narrated all the elements. Those are efficiency improvement. This is pure purchase price. It can go up also, go down. But as of now, indications are that most unpredictable. But as of now, the indications are that it will not go up.
Raashi Chopra : Okay. Just last trade volume for the quarter, how much, what percentage?

Atul Daga : Trade volumes for the quarter 65% was the mix.
Moderator: Our next question is from the line of Amit Murarka from Axis Capital.
Amit Murarka : So first question is on debt. I see from your presentation that the debt in stand -alone books have gone down Y -o-Y, but in the consol books is actually marginally up and then the difference basically between consol and stand -alone was INR1,100 crores in FY '23, it's INR2,200 crores in FY '24. So just wanted to understand like in the subsidiary books, why has the gross debt gone up so much?
Atul Daga : So this was an interest play opportunity that we had where we could raise debt locally and give them money to our subsidiary UAE, which the opportunity was over. So we repaid that debt in India, and they have borrowed it locally. So when we had given that money from India to the

UAE, it was in the form of preference capital. That's why it would not appear as -- that's why the number would look different to you that their leverage has gone up.
However, in their books, in the books of the UAE company, we always had that amount of money. Earlier, it was a preference capital. Now they have repaid their preference capital by replacing it with debt raised outside India. Clearly, there is an interest rate arbitrage and opportunity that we have benefited from.
Amit Murarka : Got it. That's clear. And also, the second question would be on Kesoram. I believe that the final approvals should come soon. So what would be the rebranding strategy over here? Like how would you shift to UltraTech branding in Kesoram? Will it be across m arkets or region -wise?
Atul Daga : So we will come to that, there's plenty of time and the final approval. We will get the approvals from SEBI and stock exchanges to file the scheme with NCLT, then there are sharehold

er
meetings, creditors meetings on both sides of the company to have both sides of the parties to happen. They have their ROC and their NCLT out of Kolkata. We have to -- we have Mumbai.
So the meetings and orders have to be completed, it will take almost a year, if no less, maybe.
We will reach a conclusion only by March '25. We'll look at it after that.
Amit Murarka : Sure. And if I could just sneak a clarification. So if I understood it right, you said the fuel cost will decline, but mostly in Q4 FY '25, right?
Atul Daga : Okay, let me clarify. So we will see marginal improvements quarter after quarter. And why this is so, because we had some high -priced contracts, which will get completely used up by the end of December. After that, we don't have any high -price contracts. S o we will see much better performance in January, March onwards -- January, March '25 onwards.
Moderator : Our next question is from the line of Sumangal Nevatia from Kotak Securities.
Sumangal Nevatia : First question is on the demand, which I'm trying to understand. If you could share what would be the region -wise demand in fourth quarter and FY '24? Just some broad numbers. And on the presentation, we are seeing East struggling in infra and commercial. If you could just share your outlook on how do we see FY '25 for this particular market?

Atul Daga : So as I see the data, western markets continue to thrive with a very high double -digit growth.
All other markets were hovering between 6%, 7% to 9% growth.
Sumangal Nevatia : Sir, this is for fourth quarter or for the full year?
Atul Daga : Fourth quarter.
Sumangal Nevatia : Okay. So East also, we were seeing mid -single -digit kind of growth?
Atul Daga : Yes. Yes. What our presentation reflects upon is two specific areas. Now this was, again, incidental because there was some transport strike taking place over there. And as we have mentioned earlier also, there have been fiscal challenges in the eastern states, which are surfacing in low demand in those inf ra markets.
Sumangal Nevatia : Okay. Okay. And sir, how different would that be for FY '24 as a whole, just to get some perspective?
Atul Daga : FY '24 as a whole, where we are looking at only central markets where central markets were below 10%. All other markets were high single digits -- I'm sorry, high double digits. I'm wrong.
Sumangal Nevatia : Yes, yes. Got that. And East would be the weakest, right, among these.
Atul Daga : No, no. Relatively weak because where South was strong and then East, Central, North, I would pick them in the same bucket.
Sumangal Nevatia : Perfect. Got it. That's helpful. Sir, my second question more from a top -down perspective on the market share aspiration that we have. I mean, being the leader, if we've been growing ahead of the market, at least theoretically, it would have some bit of a constant deflationary impact on the prices. So is there a particular aspiration target over the next three , five years, which we want to reach and maybe then maintain given our size and leadership?
Atul Daga : Sumangal, we want to grow with the market. In any case the Indian market is growing. We want to be present and participate in that too. There's no market share number that we can define or we decide. Its growth is an opportunity that we are looking at.
Moderator: The next question is from the line of Ritesh Shah.
Ritesh Shah : Couple of questions. First, sir, what do we make on the status of JP Super Dalla. We understand it's under arbitration, but how should we look at the time lines over here? And the second question, again on the status is pertaining to Letein Valley.
Atul Daga : Let me just complete the first question. So it's under arbitration, the matter is subjudice. I don't want to comment on that. Next one.
Ritesh Shah : Sir, time lines?
Atul Daga : I have no idea. You do

know how the court matters and judiciary matters get settled, there's no time line.

Ritesh Shah : Sir, second, again on status on Letein Valley, basically that we are planning in Northeast?
Atul Daga : Yes. So we have obtained a single -window clearance that is the license required. We will -- we have identified mines. We will -- we are doing due diligence on those mines so that we can fast track our growth in that market.
Ritesh Shah : Sir, any time lines over here?
Atul Daga : You will hear from us within this year, within this financial year.
Moderator: The next question is from the line of Indrajit Agarwal from CLSA.
Indrajit Agarwal : I have two questions. First question, sir, we have -- we are almost at the touching distance of 200-million -ton capacity by FY '27. And we will be a net cash company by end of this year. So what's next for us? So what are we planning? How do we see the progress from here on?
Atul Daga : India is a growing market. And if there's an opportunity, we will keep growing. We are a very focused cement company. We will grow further. 200 is not the point where we will stop. If India requires more cement, we will give more cement.
Indrajit Agarwal : And we will have the organic opportunity to grow that.
Atul Daga : Yes. Most certainly. We have mines. We have land in future years, and we're talking about 2030 and beyond, we will have more mines, more land and opportunities of growth. It all remains to be seen how India is growing. If India becomes top three economies in the world, then obviously, we will also be there to participate in that growth story.
Indrajit Agarwal : Sure. My second question is on pet coke consumption as proportion has consistently declined. This quarter also, we have seen from 44% to 36%. Is it a conscious decision given the cost? Or is it more about availability?
Atul Daga : It's more about availability because pet coke as a commodity globally is limited in supply compared to coal. As and when a parcel of pet coke is available, we bid for it. We don't want to increase the prices for pet coke unnecessarily. So it's more about availability, I would say.
Indrajit Agarwal : Just to follow up the high cost that you mentioned that is just for pet coke or both for coal and pet coke, the earlier contracts that...
Atul Daga : Coal, coal contracts.
Moderator: The next question is from the line of Navin Sahadeo from ICICI Securities.
Navin Sahadeo : So two questions. First is, of course, on the cost front and INR200 to INR300 per ton decline over three years is indeed a great number to be looked out for. And you also said that in that your CC ratio or the conversion ratio will play a major role. So at your presentation, if I'm just taking a look, the CC ratio in FY '14 was 1.3 to where we have come of 1 .4, which is a CAGR of 1% like each year. So from that perspective, just wanted to understand that how are we seeing

this CC ratio? And then in that same context, what is the trade -off impact then on our overall realization as a result of this change or increase in CC ratio?
Atul Daga : Very interesting point. So if we're not at 1.4, we are at 1.44 because every penny matters. And from here onwards, we are seeing an increasing penetration of composite cement, which will help fast track that percentage growth that you were looking at, if y ou have done a CAGR, I didn't see that CAGR. but yes, going forward, since our composite cement is increasing at a rapid pace.
Navin Sahadeo : Sorry, pardon my ignorance, but isn't it the clinker component in composite remains the same?
Atul Daga : No, it's lower.
Navin Sahadeo : Okay. Noted.
Atul Daga : So cost of that cement will also be to our advantage.
Navin Sahadeo : Yes. So my question really was, of course, if this can reduce. So that

INR200 to INR300 each year. So can we take about INR100 each year? And then in relation to the CC ratio, what do you see the impact or trade -off on realization as a result of this change?
Atul Daga : So realization, Navin, has nothing to do with our conversion ratio. It will be a pure demand - supply phenomenon. When I'm giving you a INR300 plan, it's not quarter by quarter or year by year. It's an end state. I'm not able to predict how much will you see each year.
Navin Sahadeo : Fair point. I appreciate that, and this is really very encouraging. Just that one point, composite cement, would it sell lower than OPC.
Atul Daga : Sorry, will it sell lower than OPC?
Navin Sahadeo : Is the price point of composite cement lower than OPC?

Atul Daga : Today, it might be lower, yes.
Navin Sahadeo : Fair, fair point. Sir, just 1 observation. Other operating income, and this is my second and last question. Other operating income sequentially has gone up by almost about INR100 crores. So is there anything like related to new capacity commissioning? Is this the run rate that we should see at roughly INR350 crores? Or it's purely linked to volumes?
Atul Daga : No, it's a mix. Everything, there is incentives that kick in with new capacities, volume play, everything comes to the party.
Moderator: Our next question is from the line of Satyadeep Jain from Ambit Capital.
Satyadeep Jain : A couple of questions. One on Kesoram after the acquisition if you look at your market share and asset footprint in that particular geography, do you think there is potential for you to acquire another sizable asset within the same geography, given the CCI constraints? That's the number one question.

Atul Daga : Okay. So let's address the number one question. South is a very, very fragmented market. It is, again, for you to analyse how, which market, which geography material is flowing in and flowing out. I believe there will be more opportunities for consolidation for us also in South.
Satyadeep Jain : Okay. Second question would be tied to the questions on capital allocation. As you can see, you're reaching almost net cash position. As you look at deployment on renewable energy, we can see one of your competitors is actually taking all that capex on its own balance sheet and the returns seem to be decent. Can we see -- I know it's not the core cement business, but it's also vertically integrated in terms of the cost .
Atul Daga : Satyadeep, I have evaluated it. And the other players are also getting convinced that it is from financial returns point of view, our method is generating higher returns.
Satyadeep Jain : Group capital.
Atul Daga : Yes, group capital scheme. It doesn't make sense to block capital and generate lower returns.
Satyadeep Jain : Okay. Just one quick question, if I can squeeze on the employee cost per ton. Again, one of the other peers, we're seeing the kind of numbers we've never seen in the cement industry, as employee cost per ton of INR150 per ton. The current gap between UltraTech and that number, is that -- how is that number possible? And is there a possibility for other players in the industry to bridge that cost gap?
Atul Daga : Well, if I'm bad, then we'll definitely try and improve further. Thank you for your input.
Moderator: The next question is from the line of Prateek Kumar from Jefferies.
Prateek Kumar : My first question is on your M&A. So with the Phase 1, Phase 2 and 3 round of expansion, does that restrict you from any reason in terms of your M&A possibility regarding CCI, you said South is not, what about other regions?
Atul Daga : So I think the markets are wide open. Markets are growing also. So I don't see a challenge. It has to be a profitable growth opportunity for us to get into the inorganic market.
Prateek Kumar : So there's no CCI issue, which can like sort of po

p up in any of the market, anything like sort of smaller units which may reflect...
Atul Daga : I foresee it. We did the very small unit Burnpur in East. So smaller assets, obviously, can easily get absorbed. We did 1 unit in Maharashtra just now. Western markets, we are -- if you count Maharashtra as part of West, we are very strong in the Western m arkets. South, I already mentioned, is -- should be -- because of the fragmentation that exists in South, we should be able to look at opportunities.
Prateek Kumar : Sure. Second question is on utilization. You talked about 98% utilization in Q4 and industry is not like sort of taken hikes at that point. Utilizations have -- how would you see utilizations in like maybe in April or Q1 because of this expected some deceleration in demand?

Atul Daga : There are so many uncertainties right now in the current quarter. I will not be able to take any directional call on how this quarter will prevail. April has gone by, May, still have elections happening. June will be -- we'll have to wait and watch. I don' t want to comment on that.
Prateek Kumar : Lastly, on other expenses, which is like largely remained stable Q -on-Q. Is this likely because of operating leverage? There's no 30% increase in volumes.
Atul Daga : I would imagine because there's nothing abnormal. If I did not recall in our presentation was that we mentioned operating leverage is the benefit. So there's no abnormal increase or decrease.
Moderator: The next question is from the line of Pathanjali Srinivasan from Sundaram Mutual Fund.
Pathanjali Srinivasan : Firstly, I wanted to know in terms of regions, East is getting a huge amount of capacity additions

in the next couple of years. So is there any specific reason why this is happening because it's kind of an oversupplied region based on my understanding?

Atul Daga : East remains to be the fastest -growing market. And there is a huge amount of IHB or a retail demand in the Eastern corridor. And that is why you see so much of capacity expansion taking place. These are temporary fiscal blips which are there, which will -- I'm sure post elections will get evened out.

Pathanjali Srinivasan : Okay. And just one more question, sir. In terms of realizations, given that it is a peak construction season and why do you think there was a big decline in terms of prices?

Atul Daga : More so because the markets were open and nobody wanted to let go of opportunity to service their customers. So nobody was focusing on prices. And volumes would have led to an improvement in profitability. I think that is what we would also look at where o ur profits -- cash flows are good. Profits are secured, that's what matters.

Pathanjali Srinivasan : Sir, but our sensitivity to price is much higher than that to volumes, right?

Atul Daga : Yes, you're right.

Pathanjali Srinivasan : Yes. So for every one percentage drop in prices...

Atul Daga : No, it's a standard phenomenon in India, when all India capacity utilization, all India, not one player, two players, one region. All India capacity utilization is higher, then prices go up. And now when costs are softening, I would imagine that the players have not thought about taking price increases because their profitability is being delivered.

Moderator: The next question is from the line of Aman Agarwal from Equirus Securities.

Aman Agrawal : I just have one question regarding the RMC business. We have seen good growth delivery during this quarter. Just wanted to understand on a broader basis, how do you see as a segment panning out for India? See, what we understand right now that for India, the conversion o f cement to RMC is pretty lower than what Western countries typical see of around 50% plus. So I just wanted to take a view on this. How do you see this segment to grow?

Atul Daga : It has to grow, and it has been growing still very small, you have rightly picked it up, and we see a huge potential for RMC as a play, and that is why we are also focused on it. When will we reach a 50% conversion, I don't have a science to tell you that, but it's on the right path.

Aman Agrawal : Okay. And just a related question on the possible impact on EBITDA when converted sold to RMC route, any possibility...

Atul Daga : RMC generated an incremental EBITDA, and we do a transfer pricing. So it's a good proposition.

Moderator: The next question is from the line of Shravan Shah from Dolat Capital.

Shravan Shah : Congratulations on good profitability. Sir, most of the questions answered. Just on the green share, so how do we see this current 25.7% green share by FY '25, FY '26? And I know you have mentioned more than 60% by FY '27, but just wanted by FY '25 and FY '26?

Atul Daga : So the programs are under execution. I don't have an immediate number for exit March '25, but I'm confident that all these programs under execution will be completed by the time. And lots of the programs are along with our expansion that are happening from the current 140 million tons have we progressed to 190 million tons or 200 million tons. So you will see improvement continuity. So 60% is definitely happening.

Shravan Shah : So at 50%?

Atul Daga : 60% or 65% is definitely happening by the end of fiscal '27.

Shravan Shah : Okay. But from here on in terms of WHRS, how much more is planned to be added in the next two years in terms of the absolute capacity?

Atul Daga : About 150 million tons of -- 150 megawatts of WHRS will get commissioned.

Shravan Shah : Okay. And in terms of the -- when we mentioned the broader INR32,400 crores kind of a capex over next 3 years. So this year, we have given a INR9,500 crores kind of capex. So similar INR10,000 crore, INR11,000 crores capex will be there for '26, '27 also?

Atul Daga : Yes.

Moderator: The next question is from the line of Milind S Raginwar from Bank of Baroda Capital Markets Limited.

Milind Raginwar : Yes. Two questions for me. One is, if I look at the other expenditure, whether it is sequentially compared to the volume growth, that is remaining slightly almost stable. So is there anything that we need to read into this?

Atul Daga : No. I think these are normal run rate expenses. If I look at an absolute quantum of money spend, you will see natural inflation. So absolute value of spend has slightly gone up, which is normal inflation, there's no abnormal expenditure that we are seeing.

Milind Raginwar : My question was like, if I look at on a quarter -on-quarter basis, the volume growth is something like very end 30 % odd and other expenditures like 2.5% growth. So I'm just trying to reconcile that.
Atul Daga : I really don't have any particular answer. Mukesh, anything specific?
Mukesh : 70% is volume, remaining based on fixed. Fixed is not interested.
Atul Daga : There's nothing more to read into it. These are all routine expenses.
Milind Raginwar : Okay. And the second question is when you speak of the blending or the mix where we have CC ratio 1.4 over the past decade, Incidentally, over the past decade, we have seen infrastructure size going up. Again, how do we read this? I mean, is it when the in frastructure size going up, our lending price going up. So anything that -- how is -- if you can just throw some light on this?
Atul Daga : So there is a gradual -- first and foremost, when the infrastructure size, it's not that all of them consume 100% OPC, they do a blending themselves also, part blending they do. Now that transition is happening, they are leaving the blending to cement companies. So that will help improve the blending ratios.
Milind Raginwar : Assuming that the infra profit is largely driven by the develop

ment of realizations, then would be -- how should we look at the realization is what I was just trying to drive the point?
Atul Daga : Realization is a generally stable and consistent in the infra markets.
Milind Raginwar : Okay. And just a small thing, if you can give incentive in the revenue If you can give that number?
Atul Daga : Sorry, what?
Milind Raginwar : The incentive percent in the revenue, if you can just share that number, please?
Atul Daga : INR60 a ton.
Moderator: The next question is from the line of Rahul Gupta from Morgan Stanley.
Rahul Gupta : I want to understand one basic thing. Given you will be broadly doubling your capacity from 100 million tons to 200 million tons in just eight , nine years. Is there any major cost improvement on cards because of newer plants being added? I mean, are there -- are new plants being a lot more cost efficient? And if yes, is there a way we can quantify it?
Atul Daga : Yes. So there is a lot of technological innovation that the team is able to bring about, the expertise that the team has to turn around a project, the design, the calibration of equipment, everything plays in. As we have been growing, we have been learning from our previous experiences and improving further.
Rahul Gupta : But there's no way we can quantify this, right? I mean there will be improvement we know, but...

Atul Daga : Other point to look at -- one second. One second, the other point to look at -- you should look at the capex cost in rupees per ton instead of dollars per ton. Then you will see that the reduction is gradual, and all those are efficiencies which the team brings in, whether it's in negotiations or execution.
Rahul Gupta : Yes, mix.
Moderator: Thank you. Ladies and gentlemen, we would take that as a last question for today. On behalf of UltraTech Cement, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jul 2024

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23rd July, 2024

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Sub.:
Transcript of Q 1 FY-25 Earnings Conference Call of UltraTech Cement Limited ("the Company")

Ref.:
a. Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations")
b. ISIN: INE481G01011

In terms of Regulation 30 of the SEBI Listing Regulations 2015, please find attached transcript of the Q 1 FY-25 Earnings Conference Call conducted after the meeting of the Board of Directors of the Company held on 19th July, 2024, for your information and record.

The same is available on the website of the Company viz. www.ultratechcement.com

Thanking you,

Yours faithfully,
For UltraTech Cement Limited

Sanjeeb Kumar Chatterjee
Company Secretary and Compliance Officer

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"Ultra Tech Cement Limited
Q1 FY '2 5 Earnings Conference Call "

MANAGEMENT : MR. ATUL DAGA –CHIEF FINANCIAL OFFICER –
ULTRA TECH CEMENT LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the UltraTech Cement Limited Q1 FY '25 Earnings Conference Call. We must remind you that the discussion on today's call may include certain forward -looking statements and must be, therefore, reviewed in conjun ction with the risks the company faces. The company assumes no responsibility to publicly amend, modify or revise any forward -looking statement on the basis of any subsequent development, information or events or otherwise.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing s tar, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Atul Daga, Business Head and Chief Financial Officer of the company. Thank you, and over to you, Mr. Daga.

Atul Daga : Thank you so much. Good afternoon, good evening, and welcome to everybody on this call for the Earnings of UltraTech Cement for Q1 FY '25. Let me begin by talking about -- a bit about demand and how we perceive it. I believe that the fundamentals, the foundations of our growth story remain unchanged, because we believe that incremental supply will always cha se incremental demand.

In this quarter, rural demand gained significant momentum, rightly so. For UltraTech, Q1 rural grew about 9%. Infra was a bit slow, but is expected to pick up in the coming quarters. At a state level, we are seeing new or resurgence of construction activit ies in the states of Bihar and Andhra Pradesh. Andhra Pradesh, obviously, with Amaravati City kicking in -- coming back for its growth story, the older projects, which were halted will start -- resume work, new projects are being launched. So , all in all, it sounds like a good story for the future.

One aspect which I want to talk about is capacity utilization in the country. FY '24, we started with a capacity of 585 million tons in the country. And the country ended with an overall capacity of 626 million tons installed. The estimated demand for the last financial year was about 425 million tons, thus, on an average, about 70% capacity utilization.

However, we all know that there are capacities which are not operational or shut down or inefficient. To my best estimate, there might be about 50 million tons of inefficient capacity in the system. Eliminating that, the capacity utilization for the country would be hovering around 76%. The country saw new capacity addition of 41 million tons during the last financial year. 32% of this belongs to UltraTech.

And we ended last financial year with a capacity utilization of 85% on an increased base. For the current year, we shall be adding almost 16 million tons, which seems to be approximately 40% of the new capacity getting commissioned in the country this year.

In spite of our hunger for growth remaining unsatiated, we continue to grow, and it's also evident from the fact that this quarter also on a higher base, our capacity utilization is around 85%. We

are big and continue to grow bigger. Let me share some other dimensions about our scale of

operations.
Alternate fuel to speak about, as a percentage for us, it might look small, but last year, we consumed almost 1.5 million tons of alternate fuel and 14 kilns out of the 47 kilns under operation. In some plants, AFR is more than 25% already. This is indeed a game changer towards reducing our carbon footprint.
The calorific value of alternate fuel would be almost 50% of the imported fuel, yet it is value accretive and reduces carbon emissions. This quarter, our alternate fuel consumption was about 6.5% and will keep growing . Another di

mension would be fly ash and slag. We consumed 33.6
million tons of fly ash and slag, which is a common industrial waste being used by the cement industry. I don't have to mention it but this consumption itself is significantly larger than overall capacity of some players in the country.
Let's get into gross adds of Q1. Q1 has been eventful for us. Firstly, we concluded an open offer for RAK White Cement in the UAE, consolidating our position at 54% in the company. The UAE economy is booming and provides us an opportunity to increase our f ootprint in the space of white cement and putty in that area -- in those markets. Our Star Cement operations in the UAE also continue to do very well and are the largest or the leader in Gray Cement in the UAE. From next quarter onwards, RAK White Cement w ill also become a subsidiary of UltraTech.
An update on the Kesoram Cement transaction. We had received the CCI approvals. The courts have also approved the shareholders and the creditors meeting to be held in due course. After the approvals from these meetings, the final scheme for amalgamation of the cement assets of Kesoram with us will be filed with the NCLT of Kolkata and Mumbai.
The effective date for merger has been set at 1st April '24, depending upon the receipt of the actual order of -- for the confirmation of the scheme. The accounts of Kesoram with respect to its cement division will be consolidated with retrospective effect with our results. Kesoram has already declared its Q1 results and you would have noticed a significant drop in their interest burden, which they have been able to demonstrate by refinancing their high -cost borrowings post the annulment of the scheme .
During this quarter, we also received the order for amalgamation of a fully owned subsidiary, UltraTech Nathdwara Cement with UltraTech. Somebody said that we had already anticipated the T20 World Cup victory for India, which led us doing several onetime expenses during this quarter, which reflects in our higher other expenses and impacting our P&L. But this is a onetime effort and our expe nses should normalize like any other normal quarter going forward.
We had in the last call mentioned about efficiency improvement program in our -- that we have undertaken. It is not a figment of imagination, but absolutely real with 100% touch and feel available on what is happening on the ground. The first of the programs to kick off is our logistics costs. Our lead distance has already shrunk from 400 kilometers to about 385 kilometers during this quarter. It saves almost INR45 per to n of cement.

You will all recognize that logistics is the largest cost driver for cement, and this is an important milestone. And we expect our lead distance to go down further as the network of our plant increases from current 59 locations to more than 70 locations by the end of our current phase of growth.
WHRS is worth mentioning about. We are continuously ramping up our capacity of WHRS. This quarter, 23 megawatts of WHRS was commissioned, ending the quarter with 301 megawatts of WHRS. You're all aware that the cost of -- average cost of WHRS power would be almost INR0.85 to INR0.90 per unit compared to our average cost of power around 7 per unit. On our production of 30 million tons, average per quarter, our approximate power consumption through WHRS has been 18.2%, that is being made up by thermal and gri d power and renewable power.
Talking about renewable power. We now have 650 megawatts of renewable power and growing, against the average landed cost of renewable energy is around 4 per unit, resulting in substantial savings in our power costs. This year, we are witnessing good monsoons almost across most parts of the country, though I hear that Northern parts are again facing some challenges. However, given the overall sentiment, I believe that the rura

l markets and the overall cement
demand will remain strong going forward. Q2 will be typical of monsoon quarter, not so much growth that we could expect, but Q3 onwards, the momentum will start p icking up.
With that, I end my commentary for this quarter and over to you for questions. Thank you so much.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question

is from the line of Amit Murarka from Axis Capital.
Amit Murarka : So, the first question is around other expenses. Could you quantify how much was this one -off in marketing spend? And what should be the recurring cost that we can build into our model?
Atul Daga : The recurring cost will come back to the normal levels. So I would imagine , if you look at 755 per ton, so average should be around 650 -- 649 was last quarter. Yes, I think 675 per ton is what we should go down to.
Amit Murarka : Okay. Got it. And generally, like your capacity utilization has been 85% pan -India. But could you break it down between regions as well, like earlier you used to give that comment around regional utilization as well.
Atul Daga : Yes. Obviously, everything is around 85%, 1 or 2 regions might be slightly higher . So you would have South and West almost at 85%, 86%. East was the slowest at 80%. The other regions were -- North and West 82% to 85%.
Amit Murarka : Got it. And on this INR300 cost reduction, with this -- so this lead distance reduction journey that you are saying that there will be more coming. Is there any target in mind as well on that?

Atul Daga : When we -- if you recall, Amit, we had mentioned -- we had taken a target of a 25 -kilometer lead reduction, not realizing that we'll be able to achieve 15 kilometers in the first quarter that we kicked off. So I'm raising the bar for ourselves, and I'm sur e there is more to come, as I mentioned, as our network of our plants increase -- densifies. I don't want to say a number and then again revise it in the next quarter, but it is definitely going beyond the 25 kilometers that we were looking at in the previous quarter.
Mod erator : The next question is from the line of Sumangal Nevatia from Kotak Securities.
Sumangal Nevatia : First question is on the prices. I mean, it's been continuously weak over the last few months. Is it possible to share what sort of realization or price decline did we witness? And how are July prices versus average? And how should we expect prices to move forward? Do we expect some strength only towards the second half .
Atul Daga : I think you answered the question yourself, Sumangal. It's only in the second half of the year that we could see any possibility of price improvements, particularly of monsoon quarters, we wouldn't venture into price improvements per se. What is the other point -- what the other point I totally forgot, Sumangal? Realization -- you were talking about prices. Yes, prices have been softer. We lost about 3% -- 2.4% to be exact, and July has been further soft only.
Sumangal Nevatia : And July would be versus average would be down 4%, 5%.
Atul Daga : What would you mean average?
Sumangal Nevatia : Average of 1Q versus -- say exit of 1Q July.
Atul Daga : About 1.5%.
Sumangal Nevatia : Got it. So generally, we've been growing ahead of the industry. So how should we look at this quarter? I mean industry demand, what is your sense would have been versus our growth of 6%, 6.5%?
Atul Daga : So we would expect about 3% or thereabout. Anywhere between 3% to 3.5%, we need to make some more results to come out, but our intel tells us about 3% to 3.5% growth for the industry.
Sumangal Nevatia : Okay. Understood. Understood. Sir, my last question regarding the recent corporate action we saw with respect to India Cement. Just want to know if you're in a position to share what is the long-term plan there? And in

case we remain at current levels of s take, will we look to get involved in the operations or collaborate in any way?
Atul Daga : No, no collaboration. It's a pure financial investment, as we mentioned, noncontrolling financial investment.
Mod erator : Thank you. The next question is from the line of Prateek Kumar from Jefferies.
Prateek Kumar : Sir, my question is on cost curve. So on variable costs, you have highlighted like $149, you like realized cost for the quarter on the fuel prices. How are you looking at fuel cost in near term?

You have indicated earlier that will remain in like sort of deflation trajectory for next many quarters. So how are you looking at variable cost ex of your own RE power initiative?
Atul Daga : So basically, if I refer to coal costs, essentially excluding RE power, yes, they will go down further. So interestingly, we have not been able to increase our pet coke mix. Pet coke mix was around 37% for this quarter. But going forward, I know for sure t hat we are ramping up our pet coke mix, which should go upwards of 45% for the remaining period -- for a full year purpose, not remaining period. So we will see an improvement in overall fuel prices.

Prateek Kumar : Okay. And on the other expense and the quantum, you mentioned of elevated marketing spend. So the quantum will be to the tune of like over INR150 crores this quarter, like how much would be like...
Atul Daga : I also answered that question. So if you look at -- I would look at it on a per ton basis. This quarter, we were at INR755 per ton.
Mod erator : Management line got disconnected. Please be online while we connect to management. We have the management line reconnected. Over to you sir.
Atul Daga : Thank you so much. Sorry about this, we have some issue with Microsoft problems world over today, our telephone lines are also giving some trouble. Sorry about that. Can you pick the next question please?
Mod erator : We'll move to the next question, which is from the line Jashandeep Singh Chadha from Nomura.
Jashandeep Chadha : I just wanted to understand what's the status of the 6 million ton greenfield projects that we are putting in Andhra Pradesh? I mean, what's the stage they are at, the ones that are coming in FY '26 and '27?
Atul Daga : They are on track, our GU Visakhapatnam is on track. Dhule, Nathdwara, is next year, So yes, it's on track. There's only one grinding unit of Visakhapatnam. 3.3 million tonnes
Jashandeep Chadha : The equipments have been ordered, the land has been...
Atul Daga : Yes. Land already tied in long back.
Jashandeep Chadha : Okay. And sir, I just wanted to understand your view on the Southern market. There are a lot of consolidation happening, a lot of expansion happening, the prices are low. So how do you see -- is there enough volume and demand there to absorb the upcoming capacity in the south m arket?
Atul Daga : Yes. I guess so. In fact, I alluded to how Andhra is going to shape up. That is one of the markets, big markets. So I believe that there will be enough demand rather to absorb all the new capacity coming in.
Mod erator : The next question is from the line of Ritesh Shah from Investec.
Ritesh Shah : Two questions. Sir, you did indicate specific for India Cement, it's a noncontrolling financial investment. I just wanted to understand what is the motivation behind this? Historically, I'm not

sure whether we have done anything of the sort. So why right now, how should we look at it -- look at this?
Atul Daga : So Ritesh , there's always a start to everything. So that is -- having said that, we found this as a good opportunity to buy in. And I'm sure the way markets are, it should prove to be a good investment.
Ritesh Shah : Sir, my second question is, how should we look at -- I think J aypee has

been put under NCLT.
And one of our assets is also under arbitration. So how does the situation evolve for us?
Atul Daga : We are waiting to hear back from the RP, but I think the arbitration will continue, and RP will step in the shoes of J aypee .
Mod erator : The next question is from the line of Indrajit Agarwal from CLSA.
Indrajit Agarwal : A few questions. First...
Atul Daga : Only two questions, Indrajit. No few .
Indrajit Agarwal : No. Okay. I will zip into two. So the INR 2 per K cal cost of fuel, while the industry has moved to 1.6, we understand there was some long -dated contract. Can we get to that 1.6, 1.7 levels by fourth quarter?
Atul Daga : I would imagine that we will see those kind of levels in the next fiscal year. And Q4 would be far better than the current quarter. Because all those long -term contracts will be over by December, Jan. So not able to put my finger on the exact number for Q4 , but we will begin April, June quarter on an absolutely clean slate, very competitive clean slate.
Indrajit Agarwal : Sure. This is helpful. Secondly, I just wanted to understand more like a bookkeeping question, the accounting for this financial investment. So would you mark -to-market every quarter and whatever the gain/loss, would it be passed to the OCI?
Atul Daga : No, it will not go to the P&L, it will go to OCI.
Indrajit Agarwal : Okay. And it will be mark -to-market every quarter, right?
Atul Daga : Yes, it will have to.
Mod erator : The next question is from the line of Rahul Gupta from Morgan Stanley.
Rahul Gupta : Sorry, Mr. Daga to harp again on India Cement investment. Given this is a financial investment, is there a way that you would look to increase stake from the currently stated 23%? Or are you happy with the noncontrolling financial investment of 23%?
Atul Daga : Yes, it's a non-controlling financial investment c an't go beyond that at the moment.
Rahul Gupta: Okay. Understood. Thank you.
Moderator: Thank you. The next question is from the line of Rashi Chopra from Citi Group. Please go ahead.

Rashi Chopra : Just the question on the last quarter Atul you had mentioned that you're looking t o reduce your cost by about INR200 to INR 300 per ton over the next 3 years and i s this still intact this 200 to 300 per tons ?
Atul Daga : Yes, so I would leave 200 behind and I will start matching above 300 because the way our lead distance is performed I am getting bullish on how things are shaping up and we will have far higher improvements.
Rashi Chopra: Okay s o 300 plus.
Atul Daga : Yes because if you remember the breakup that we had given we had looked at only 25 -kilometer reduction and we have already achieved 15 kilometer in Q1. Given the network of plants that we will have at the end of our expansion plan by -- in the middle of '27 -- more than 70 locations from 54 or 55, 59 locations as of today. I t will be a good place to operate. So you will see further reduction in lead distance plus the logistics cost. All our other parameters are working in the right direction.
Rashi Chopra : Understood. And on realization you indicated that July prices are 1.5% softer versus the average of 1Q?
Atul Daga : The average or exit one second this too confusing. It's over -- yes over Q1 average.
Rashi Chopra: Okay. And just last you already mentioned this, but I missed it region -wise utilization level what did you say?
Atul Daga : It was 82% to 85% between North and Central. 85% to 90% was West and South and East was the lowest at 80%.
Rashi Chopra: Okay. Thank you.
Moderator: The next question is from the line of Pathanjali Srinivasan from Sundaram Mutual Fund. Please go ahead.
Pathanjali Srinivasan: Hi sir. Thank you for the opportunity.
Moderator: I am sorry to interrupt. Sir we are unable to hear you.
Pathanjali Srinivasan: I want to know what

is the volume growth guidance for this quarter as in for this year, sir?
Atul Daga : We are looking at the industry growth of around 8% -- 7% to 8%, I would imagine and we should be doing double digits for the full year yes for the full year.
Pathanjali Srinivasan: Okay, sir. And in terms of capacity like what would be CCI limits fo r capacity addition? Is there anything, but any reason where you ...
Atul Daga : As far as c apacity is concerned there is no restriction on capacity addition.
Pathanjali Srinivasan: Sorry , could you repeat what you said I didn’t hear you ?

Atul Daga : Just one second. As far as organic capacity is concerned there are no restrictions.
Pathanjali Srinivasan: Okay, sir. And what about acquisitions, sir?
Atul Daga : There is no n umber which is defined by CCI. So t hey examine case to case.
Pathanjali Srinivasan: Okay. Sure sir and just one last question what could our..
Moderator: Sorry to interrupt you sir. Can you please join back the queue we have participants waiting for their turn.
Pathanjali Srinivasan: Okay.
Moderator: Thank you. The next question is from the line of Shravan Shah from Dolat Capital. Please go ahead.
Shravan Shah : Sir just a couple of data points, trade share and blended cement for this quarter?
Atul Daga : Trade was 68%, blended was 71%.
Shravan Shah : And capex how much we have done a nd last time we talked about 9,000...
Atul Daga : Our cash outflow was about INR2,000 crores. So we will do our INR 8,000 crores to INR9,000 crores of capex in this financial year.
Shravan Shah : Okay. And for '26, '27 it wo uld be INR 11,000 -odd crores number too?
Atul Daga : No 8,000 crores, 9,000 crores only not more than that.
Shravan Shah : Yes. So for this year, but overall what we initial ly talked about in terms of INR 30,000 -odd crores kind of capex?
Atul Daga : There could be some retention money etc. So cash flow might not be there, commitment will be completed.
Shravan Shah : Okay. And then of the green power sir from currently 29.4% by end of this FY '25 and '26 where it will reach?
Atul Daga : 60% by end of '26, '27 and 40% to 45% by the end of this year.
Shravan Shah: Okay. Thank you.

Atul Daga: Thank you.
Moderator: Thank you. The next question is from the line of Sanjay Nandi from VT Capital. Please go ahead.
Sanjay Nandi: Thank you for the opportunity sir. S ir can you please guide us on the current clinker utilization for this quarter?
Atul Daga : Somewhere around 85% -86%.

Sanjay Nandi: Okay. What was cement to clinker conversion ratio sir?
Atul Daga : 1.46.
Sanjay Nandi: Okay. That's it. Thank you from my side. Wish you all the best.
Atul Daga: Thank you.
Moderator; Thank you. The next question is from the line of Amit Murarka from Axis Capital. Please go ahead.
Amit Murarka: Thanks for the opportunity again. S o on the expansion plans while you have given out the schedule for the expansion, is there a similar schedule for green power like when you said it will reach 45% by end by 60% ?
Atul Daga : As far as WHRS is concerned yes there will be which I can put in our next presen tation So I will share it with you. It's all there.
Amit Murarka: Okay. And you said that WHRS INR0.85 paisa to INR0.90 paisa per unit . Currently captive power, thermal power cost will be coming at what level?
Atul Daga : Thermal power is about 7.3.
Amit Murarka : Okay. And the group captive so lar that you're doing that would be what...
Atul Daga : Renewable is 4.3.
Amit Murarka: Okay got it. Thanks a lot.
Moderator: Thank you. T he next question is from the line of Ritesh Shah from Investec. Please go ahead.
Atul Daga: He is not there.
Moderator: Ritesh Shah may we request you to please go ahead with a question.
Ritesh Shah: Sir whe

n we refer to the logistic cost savings, is there any change in mix basically road, rail and sea that we are looking at besides the deal what you indicated?
Atul Daga : No, road remains aro und 75%. Yes, that's the range i f I'm looking at my data sheets, it's about 73% to 75% is road, 23% to 25% is rail and 2% would be sea.
Ritesh Shah : So are we looking to increase sea o r is it more focused on road and rail and basically reducing the lead?
Atul Daga : Yes, reducing the lead and efficiency improvement. So it's not just the distance cost, but there's a lot of other costs that is there which helps us drive efficiency improvement of turnaround time, waiting time, loading time etc. So lots of stuff distances, right distances, right amount of travel. Lots of areas are there to improve logistics cost.

Ritesh Shah : Okay. Fair enough. And sir second and one of the companies which has reported so far indicated on a sequential basis there was some tweak on discounting, is this something that we also witnessed or is it something which was more company specific? Is it more of an industry phenomenon?
Atul Daga : I don't know about other companies. We don't have such a policy shifts quarter -on-quarter.
Ritesh Shah : Sure. And sir last one s ir is there any target clinker ratio that we have in mind whe n we have given a number of INR 300?
Atul Daga : 1.54.
Ritesh Shah: Thank you sir. That helps. Thank you so much.
Atul Daga: Thank you.
Moderator: Thank you. The next question is from the line of Satyadeep Jain from Ambit Capital. Please go ahead.
Satyadeep Jain : Firstly on the expansion just wanted to understand Mr. Daga in the UltraTech has obviously been expanding capacity across India. In your experience in the last few years, have you seen land acquisition or regulatory ap provals improve or deteriorate a nd is there any state -specific or region -specific trend you've noticed where it's become more difficult or easier compared to other regions?
Atul Daga : No. It's very difficult to point a finger , but it's not an easy process s omewhere it could -- it all depends on the land parcel that -- if it's a private land available, a large parcel is available, it can be done very fast as compared to that. Otherwise, we start buying our land parcels well in

advance. Before announcing of ou r projects we would target completing 50%, 60% or even higher percentage of land purchases. It's a slow process in the country yes. Other than that environment approvals etc these are give or take a year window.
Satyadeep Jain : Secondly on the inorganic opportunities. When you look at -- and given your own experience there are certain acquisitions in the past the assets that may be out there, some may have an older footprint in terms of technology one stage, two stage, three stage preheater and maybe wet I'm not sure how many of it. Is it possible to upgrade some of these plants into standard similar to the current technology?
Atul Daga : I wasn't witnessed the acquisition of L&T assets, but I have seen in my time the assets of L&T that time being upgraded. So upgradations are possible depending upon obviously we would undertake upgradations depending upon the return on investment that is generated.
Satyadeep Jain : Okay. Thank you.
Mode rator: Thank you. The next question is from the line of Milind Raginwar from BOB Capital Markets. Milind . Please go ahead with your question. Your line is unmuted.
Atul Daga : I think he's not there. Take the next question, please.

Mode rator: Sure. We will move to the next question is from the line of Rajesh Kumar Ravi from HDFC Securities. Please go ahead.
Rajesh Kumar Ravi : Sir, my question pertains to this realization. If I look at your Grey cement realization trend, we see that it pe

aked somewhere close to 5,390 in Q3 FY '23. And thereafter, it has been drifting lower. FY '24, we have seen 40 -odd million ton of capacity additions, as you mentioned and incrementally a few of the under -stress capacities are also being acquired and hence they would be ramping up adding to the volume pressure. Incremental capacity additions are too on a rise. And third point, if I look at yours Adani and Ambuja, Dalmia all of these are talking about INR200 to INR300 incremental cost reduction. So are we headed towards a situation where next 2 to 3 years we may not see any price improvement at all because compan ies are benefiting from cost reduction and they will be more than happy delivering INR1,000 to INR1,100 EBITDA margin I mean, the frontline companies.
Atul Daga : I have a very standard answer to this kind of a question but it's too difficult to forecast beyond next quarter for prices. You're actually to talk about 2 years and 3 years later. So it's very difficult to see how the markets pan out. If the demand is ver y strong all -India capacity utilizations for -- yes, all India capacity utilization starts going up above 85%, you could see dramatic price improvements. It all depends upon demand and supply. And in the beginning of my commentary, I think I had started off, if you were there when we started the incremental supply will always be chasing incremental demand in the country. That's a very good sign.
Rajesh Kumar Ravi ; And just last question, how much clinker capacities are getting added in this financial year and FY '25, '26, '27 in line with the grinding additions that are happening?
Atul Daga : If you look at the chart, Page 8 on our presentation, there are 4 IUs getting added, green or brown 2 IUs is already commissioned in Q1 each IU would be around 3.5 million tons.
Rajesh Kumar Ravi : So even incremental additions that would happen would have similar clinker size?
Atul Daga : Yes, please.
Moderator: Thank you. The next question is from the line of Shravan Shah from Dolat Capital. Please go ahead.
Shravan Shah : My question got answered.
Moderator: Thank you. Ladies and gentlemen that was the last question for today. On behalf of UltraTech Cement that concludes this conference. Thank you for joining us and you may now disconnect your lines.
Atul Daga : Thank you so much.

Call: Oct 2024

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23rd October , 2024

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Transcript of Q 2 FY-25 Earnings Conference Call of UltraTech Cement Limited (“the Company”)

Ref.:
a. Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 (“Listing Regulations”)
b. ISIN: INE481G01011

In terms of Regulation 30 of the SEBI Listing Regulations 2015, please find attached transcript of the Q 2 FY-25 Earnings Conference Call conducted after the meeting of the Board of Directors of the Company held on 21st October , 2024, for your information and record.

The same is available on the website of the Company viz. www.ultratechcement.com

Thanking you,

Yours faithfully,
For UltraTech Cement Limited

Sanjeeb Kumar Chatterjee
Company Secretary and Compliance Officer

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“Ultra Tech Cement Limited
Q2 FY '2 5 Earnings Conference Call ”

MANAGEMENT : MR. ATUL DAGA –CHIEF FINANCIAL OFFICER –
ULTRA TECH CEMENT LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the UltraTech Cement Limited Q2 FY '25 Earnings Conference Call. We must remind you that the discussion on today's call may include certain forward -looking statements and must be, therefore, viewed in conjunction with th e risks that the company faces. The company assumes no responsibility to amend, modify or revise any forward -looking statement on the basis of any subsequent development, information or events or otherwise.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Atul Daga, CFO of the company. Thank you, and over to you, Mr. Daga.
Atul Daga : Thank you. Good evening, everybody, and welcome to this Earnings Call today. This quarter, I believe, has turned out as expected. Pre -election slowdown followed by a slowdown in April, June, with elections and then monsoons, which have been intense in most parts of the country and also the longer duration of monsoons this season. Some p arts of the country have been witnessing rains as of now also.
All of this put together has resulted into UltraTech's capacity utilization at 68%, delivering a 3% growth in volume terms. Good monsoons is not good for the short term but results in a good season for rural markets in the long run with improved cash flows , thus we envisage and expect good rural demands in the coming seasons.
Agricultural production for both summer and winter crops is likely to be higher as reflected by the sowing activities during summers and increasing water reservoir levels, which bode well for the winter season. We have to also keep in mind global events, w hich have an impact -- which do not directly impact our business because it's domestic, but global events being of the nature that they are can always have an indirect impact, ocean freights to name one of the key elements, which can go up and impact our input costs.
China has introduced a stimulus package. We have not yet seen the big impact on the global markets, but I'm sure there will be some positive, some negative out of that. Let me come to the burning question of all quarters, fuel costs. Our high -cost fuel contracts have almost come to an end with a very small impact left in Q3. You would have noticed pet coke ratios have gone up 54% this quarter and rupees per kcal has dropp ed to INR1.84 from about INR2 in the last quarter, a decline of almost 8% Q -o-Q.
The most important factor would be demand, which we need to keep an eye on. Urban Housing has been doing well so far as has been visible from the growing number of registered projects across the country. We believe that new infrastructure project orders wi ll start gaining

momentum, although it has been a subdued start from Q1 and during the quarter in the reporting, we believe that things have started moving and awards have started picking up.
589 kilometers of road projects have been awarded by NHAI and MoRTH, though lower on a year-to-year basis. During the quarter, various projects approved to improve country's infrastructure have come to light. Some of them are Chennai Metro, INR63,000 crore s; Mumbai ring roads, INR58,000 crores, Pune ring roads, another INR42,000 crores, the PMGSY for INR70,000 crores, out of which INR62,000 crores is for roads, central government approval for Bangalore Metro Phase 3, approval for Thane integrated metro rai l project and so on and so forth.
So, the list will keep on increasing, we are very confident that there is no

t going to be a
slowdown. These are just few announcements, as I mentioned. With government's continuous thrust on infrastructure, investment outlay is estimated to increase to about INR75 trillion over the next 5 years, increasing to 1.6x from investments of INR47 trillion over the last 5 years.
Housing launches are continuously growing at double digits since last 3 years. Urban population in the country has increased from 26% in 1990 to about 36% in 2024. And we believe that the pace of urbanization will continuously accelerate further. Urbanizat ion is going to lead to increase in demand for housing across all categories, affordable, mid -level, luxury, ultra -luxury.
Also , we have to keep in mind that this is forming a low base. This quarter is forming a low base, which will generate good growth in percentage terms. We are also seeing improvement in demand in the commercial space, which is represented by commercial offices, warehouses, data centers and the likes.
Talking about our own growth plans, our expansion projects are on track, and we will commission another 8 million tons of capacity in H2, taking us to 157 million tons of capacity by the end of fiscal '25. And as per our announced organic growth plans, we should be reaching 184 million tons of capacity by FY '27 in India. Onto the acquisitions. RAK White, a white cement company, which we had invested in a couple of years ago became a subsidiary with effect from 10th of July this year.
The results of RAK White have been incorporated in our consolidated financial statements. The cement business of Kesoram that is under acquisition. The transaction is in its last phases with the NCLT hearing scheduled on 25th October and 12th November for Kesoram and UltraTech, respectively. We hope that there are no delays in these processes. And this being the last step, the transaction should see a conclusion in Q4 FY '25. With respect to the acquisition that we had announced for India Cements, we are a waiting CCI approvals for the transaction, after which the open offer will be launched.
Let me come back to the efficiency improvement program we had talked about, I think, a couple of quarters ago. Our efficiency improvement program is very specific, precise and measurable.
We started tracking this program from the close of fiscal '24 and le t me reiterate the various line items included therein. WHRS capacity we had ended the financial year with 278 megawatts.

Currently, we are at 308 megawatts and we'll reach 450 megawatts by fiscal '27 end. Renewable energy capacity, we were at 612 megawatts at the beginning of the year, we have reached 681 megawatts as of now, and we will be reaching 1.8 gigawatts by fiscal '27. Clinker conversion ratio is again on track from 1.44 to 1.54 by FY '27 . Alternate fuel mix is set to rise from 5% at the end of fiscal '24 to 15% at the end of fiscal '27.
Lead distance, as already we have spoken about, has started dropping, and we will see further drop and definitely reach about 360 kilometers by fiscal '27. Over and above that, there are smaller areas like power consumption reduction, efficiency improvement in operations, operating leverage. All of them will be delivered in each year step by step.
And to summarize, UltraTech today is at 150.66 million tons of capacity. March '25, we should be reaching about 159 million tons of capacity. By the end of Q2 fiscal '27, we should be touching around 180 million tons of capacity, wherein I'm not including the acquisitions in progress and anything in future. All the efficiency improvement programs that I've talked about will be delivering delta gains on the expanded base. And this is what, to my mind, is a sustainability agenda for us.
With that, I don't have anything else to add further in this commentary, and I hand it over for questions. Over to you.

Moderator: The f

irst question is from Amit Murarka from Axis Capital.
Amit Murarka : So the first question is on the fuel cost. So you had guided for a normalization of fuel cost by the Q3. And it's good to see a sharp drop in Q2 itself. So could you help understand like in Q3 or by Q4, what could be the expected fuel cost when you kind of normalize back to the spot cost level?
Atul Daga : It should drop further, Amit. And as I mentioned, on an average, we would have a consumption of, give or take, 3 million tons of fuel between coal and pet coke. It's not just the cost of purchase, but the fuel mix also is equally important. And you would have noticed that we have gone up on pet coke significantly, which will keep on go ing up further. What will the number be like , difficult for me to give you an exact estimate, but we will be going down south only.
Amit Murarka : Sure. And also on your cost. So I see that there's a sharp jump in employee costs. I know you do annual increments from Q2, but it's almost a 24% Q -o-Q jump. So is there any one -off, one -time bonus or anything like that?
Atul Daga : Yes, there have been one -time bonus or extra bonuses, which were given during this period. So our average increase should be around 9%, 10% and over and above that would be one -off.
Amit Murarka : Okay. And lastly on other expenses as well, like last quarter, you had said that you had higher marketing spend. But the other expenses, at least on a per ton basis have gone up another INR100. So how do we think about other expenses now?
Atul Daga : Other expense, right.

Management: Maintenance cost is the one...
Atul Daga : Okay. In the printed accounts because all the maintenance costs are included in other expenses. This being the quarter for maintenance, that is where you will see other expenses always being higher as compared to remaining quarters.
Amit Murarka : No, no, I know, but I thought that Q1 was a bit elevated because of some one -off marketing spend...
Atul Daga : No. So Q1 had that one -off expense, which will not be there now or in future. This quarter, we had maintenance shutdown costs, which are part of my other expenses.
Moderator: The next question is from Raashi Chopra from Citigroup.
Raashi Chopra : So could you just tell us a little bit on pricing in the sense that what's happened after the quarter?
Atul Daga : How come I missed on the favorite question for everybody ? Prices have been improving, whilst the average for the quarter will be a misrepresentation of things going forward. August to September also we saw improvement in prices and September to October also, the prices have been steady. So we have seen an improvement of -- from INR347 was August exit to about INR354 currently.
Raashi Chopra : And on average versus the 2Q?
Atul Daga : So one sec, the Q2 average was about INR348, which is now INR354.
Raashi Chopra : Got it. And in this quarter, the other operating income seems to have moved up sequentially. What is that attributed to?
Atul Daga : Yes, there were plant incentive which kicked in, long overdue.
Raashi Chopra : Okay. So this should continue?
Atul Daga : No. This was again -- there will be small portions left, but not forever. Maybe 1 or 2 more quarters, we might see additional incentive income.
Raashi Chopra : Okay. And on -- the last question on India Cements, the CCI approval is awaited. Is there any sort of delay or I mean... ?
Atul Daga : No, it's a normal process. So there was first query list which was received, which we have responded to on the 12th of October. There might be one more list of queries. If it comes in, otherwise, nothing else. So they ask a lot of questions around details of markets and where we are selling, where India Cements is selling, etcetera.
Raashi Chopra : So likely closure within this fiscal?
Atul Daga : Yes. Within this fiscal, the co

ntent level is very high.
Moderator: The next question is from Prateek Kumar from Jefferies.

Prateek Kumar : Yes, sir, my first question is on pricing or profitability versus volumes. So our current quarter EBITDA per ton is like sort of probably 4, 5 year s low on a quarterly basis at least. So is there

a point where you as a company or industry probably like look at the profitability versus volumes? Or how should we look at going forward?
Atul Daga : Demand is the key for any industry. So if demand is good, everything falls in line. So we would fundamentally focus on how India is shaping, how India is growing in the next few years. And I guess, the hypothesis of 7% to 8% growth is still there, will be there and India will deliver that growth, which means we will deliver that growth higher than that. So I think maybe I have not answered your question fully. If there is growth, obviously, there will be profitability.
Prateek Kumar : Yes of course, growth will be in the profitability, but like your whole cost -saving initiatives, say industry cost, payable cost coming seems to already more than passed to the consumer. Historically we have, as an industry, like looked at better profits g enerally. It seems there is a significant deviation from there and even unlike for second half, not sure how much EBITDA per ton we are looking for improvement overall. But maybe a related question, like if there is a prolonged slowdown in d emand, do we really relook at our organic expansion plans at all? Or like how should we look at capacity expansion...?
Atul Daga : No, no, no. So these 1 quarter, 2 quarter slowdowns will not impact our underlying hypothesis of growth. We are not slowing down on our growth agenda. That's very clear because we don't get disturbed by these 1 quarter, 2 quarter upsets. Fundamentally, we need to believe that India will deliver a 7%, 8% CAGR growth. That is happening, and that is why I downloaded some data, which I read out just now on various projects which the government has started announcing, rural markets have started growin g.
Rural housing has started growing. If you're looking at a short -term window, then good monsoons, which have depressed cement sector this quarter will be a positive gain for April, June quarter when crop harvesting takes place. And which we are already seeing right now, rural demand, the FMCG sector is positive about rural demand. We are seeing a positive trajectory in rural demand also.
Prateek Kumar : Okay. And one other question is on white segment revenues, which like sort of slipped 10% year-on-year this quarter. Any specific reason there?
Atul Daga : I'm sorry what?
Prateek Kumar : The white segment revenues was like lower year -on-year by around...
Atul Daga : Putty prices were depressed. Putty prices have taken a beating this quarter.
Prateek Kumar : Okay. Is that continuing? Or like is it expected to revive?
Atul Daga : No, no. I think they have stabilized. We have not seen decrease in prices as of now.
Mod erator : The next question is from Rahul Gupta from Morgan Stanley. Please go ahead.

Rahul Gupta : Atul sir, I have one broad question, which may not be a near -term thing. Just want to understand one thing, you have been continuously surprising positively on realization versus what we see on pan -India prices. If I compare numbers for the last quarter, y our trade segment has not changed much. So what drives UltraTech's continued delivery on realization versus the industry? Just to understand this better.
Atul Daga : So I think this is a complement for us. Thank you for that. Rahul, it all boils down to us being building solutions, provide -- or us being top -notch in quality, us being able to meet our customer requirements with our strong dealer network footprint. And

being consistently brand A player,
we have maintained our positioning, brand positioning, our quality parameters, never compromising over there, which is helping us deliver whatever we are delivering.
Rahul Gupta : Sir, just a follow -up on this. Is it fair to say that apart from being a preferred brand, you being a pan-India player helps you cushion some of the regional disturbances on prices? Or is it a more...
Atul Daga : Certainly, it does. Pan -India presence, the diversity of our physical presence comes to our advantage as well as disadvantage. So when, let's say, there is an imbalanced movement in one particular region, that will have an overhang on our results. But luck ily, as we are growing forward, our own capacity would be balanced across all regions. That will help us to be a really diversified player and will not get impacted by any regional imbalances.
Mod erator : The next question is from Sumangal Nevatia from Kotak Securities. Please go ahead.
Sumangal Nevatia : Sir, my first question is on industry demand. Is it possible to share your sense, what would have been the industry demand growth in second quarter? And in your presentation, we see a lot of down arrows across regions. Is it possible to give some color as to some regional color and in our growth, I mean it looks like we would have grown in some region, and we would have seen some decline. So some region -wise color specifics will be very helpful, sir.
Atul Daga : So Sumangal, all India, I believe the demand would be negative or zero or between minus 0.5% to 1%. As for specific regions, I wouldn't have exact percentage colors, but the direction which we have indicated our basis, whatever information we have but till we have competition results declared, we will not be able to comment on that.

Sumangal Nevatia : Okay. But sir, east and south, I mean there are a lot of down arrows, I mean a firm decline on our volumes in these 2 regions or...?
Atul Daga : We have grown.
Sumangal Nevatia : Okay. Got it. Sir, second question on the fuel cost versus what we are doing at around INR1.85. I mean I understand that trajectory is downwards and difficult to, say, guide on the time line. But just for our understanding, at the spot level of pet coke sa y around $95 -odd, what would be the cost? I mean, of course, time line will depend on inventory, but some...
Atul Daga : No. So from our INR1.84, we could drop 10 points further. As for current prices, I think it has plateaued. We'll have to wait and watch the global events on how markets shape up, not seeing too much of volume in terms of supplies taking place at these leve ls.

Sumangal Nevatia : Okay, understand, understand. And just the last one. I mean for India Cements, we are expecting the CCI by about November end or December ?
Atul Daga : No, it's difficult for us to comment. Typically, after we have responded through their queries, it could take 2 months, it could take 3 months, depending upon any further queries.
Sumangal Nevatia : Okay. But based on the queries, do we see any risk or any ?
Atul Daga : No risk. It's only a matter of time. These are, I would say, statistical questions, which CCI also needs to be sure about by analysing the way they ask questions that there is no consolidation or there's no monopolistic situation in any micro market. That is what they analyze, so we don't foresee any challenge in getting the approvals. It's a process one has to follow.
Sumangal Nevatia : Thanks Sir, all the best .
Moderator: The next question is from Parth Bhavsar from Investec.
Parth Bhavsar : Sir, I have 1 question. So we are adding approximately 15 million tons this year, and we have acquired Kesoram and India Cements . So going ahead in a situation where the demand is not strong so would we go after market share gains? Or how would we go about the market share?
Atul Daga :

And so our game plan, long -term game plan is always profitable growth. I think these two would sum up what we want to do. We want to grow. We want to deliver profitability also.
Parth Bhavsar : Okay. So you would like holdup your pricing like just in case and you won't go after market share?
Atul Daga : Why I would drop prices, it's day -to-day business. So tomorrow, God forbid, if there is a war, then anything could happen. So as of now, given the status quo, we expect the demand should start rising. And I'm still looking at double -digit growth for H2, wh ich will deliver our numbers. And you will see improvement in profitability.
Moderator: The next question is from Shravan Shah from Dolat Capital.
Shravan Shah : Yes. Sir, double -digit growth for us for H2 and for industry, how much we are looking at for H2?
Atul Daga : I think we will deliver better than the industry.
Shravan Shah : Okay. Okay. Got it. And is it possible, sir, in terms of the 68% utilization for second quarter, can you break it down region -wise for us, how was the utilization?
Atul Daga : Would be average plus/minus here or there.
Shravan Shah : Okay. And capex for full year, last time we said INR8,000 core to INR9,000 crores so...
Atul Daga : We will spend that money. We are on track. We will spend that money.
Shravan Shah : For next year also the similar run rate one can look at?

Atul Daga Yes. Because after concluding this year, we would have almost 20 million tons of expansion to complete, which will see its regular outflow.
Shravan Shah : Okay. And in terms of the cost saving that previously we have talked about around INR300-odd per ton. Definitely, we have also given in terms of the line item -wise but how much we have already achieved this year and next year possible, if you can say how much more cost reduction from here on we can look at?
Atul Daga : Yes. So instead of doing on a quarter -to-quarter basis, it is not logical and I'll explain that to you. We will definitely showcase at the end of the year, what the achievement has been. And now to come to the point why each quarter is not relevant because for example, lead distance, we have reduced substantially.
But being monsoons, lead distance went up 1 kilometer or 2. Does that mean that I have lost? No. The downward movement in lead distance is ongoing, and we will reach our targets. So at the end of the year, we will publish the performance against the target s which I spoke about, I

was vocal about each and every number. We will publish our performance at the end of the year.
Moderator: Next question is from Navin Sahadeo from ICICI Securities.
Navin Sahadeo: Two questions. So, while we are awaiting regulatory clearances at both Kesoram and India Cements deal, is there any initial assessment done as to the capex that may be required at both these entities to bring the quality of the plants at par to our operating standards?
Atul Daga : So, after CCI approval for Kesoram was received, we have done our deep dive, and we will invest in WHRS for Kesoram. And there will be other minor capex program, which will be undertaken. Rupee terms might be INR400 crores, INR500 crores over a period of 2 years to bring it up to the level of performance of UltraTech. As for India Cements, nothing as yet. We will follow the law. We will await CCI approval before we start engaging with them.
Navin Sahadeo: Understood. And I'm assuming that the yearly targets that you have given -- and thank you so much for giving that, but it gives us more conviction to build in that -- those kind of cost savings. The yearly target that you have given for waste heat recovery , I'm assuming they are not...
Atul Daga : I think I -- let me pre-empt you, it does not include the acquisitions.
Navin Sahadeo: Understood. And sir, second is just a clarification. Did you mention that the

current pet coke at
the current low levels of pet coke prices, not much transactions are happening?
Atul Daga : Correct.
Navin Sahadeo: So, is it because the seller is not willing to or we are expecting further decline? How should one look at...?
Atul Daga : If the seller was willing for a decline -- waiting for a decline, there is a problem, we want because we are regular consumers. So, we will keep buying. So there seems to be a possibility that prices might go up. That is why sellers might be holding on to their inventories and offers.

Moderator: The next question is from Ritesh Shah from Investec .
Ritesh Shah : Hi, sir. Thanks for the opportunity. C ouple of questions. Sir, first at industry -wide, what is the sort of capacity additions that you are expecting say this fiscal and next two fiscals?
Atul Daga : Full year, we would see about 30 million tons of capacity this year out of which UltraTech would be 50%. Next year, again there should be 30 million tons and UltraTech being a main driver for that growth.
Ritesh Shah : Sir, earlier you had given a number of 35 to 40. So is it a few companies are scaling back to your knowledge, how should one read into this?
Atul Daga : No, not scaling back, there are delays. So it might not get commissioned on time is what I meant, Ritesh. That's why the number gets scaled out.
Ritesh Shah : Okay, that's helpful. Sir, my second question is you have indicated on sustainability bond, I think the prior one the coupon was at around 2.8%. Is it possible that you can break up that number of less than 7.25% into hedging cost and the actual coupon?
Atul Daga : Sure. Saurabh, do you want to give that?
Management: Yes. The cost of the bond is -- the hedging cost is about 3%. The total cost of the bond including the spreads around 4%.
Ritesh Shah : Sir, I could not hear, sorry.
Management: So the spread including the SOFR is around 4%. The hedging cost is around 3%.
Ritesh Shah : That helps. And sir, last question.
Atul Daga : And since you touched upon it, I feel so glad or thrilled about it that the domestic market borrowi ng cost would be about 7.5%. So, UltraTech is capable of raising dollar -denominated debt fully hedged at very competitive prices.
Ritesh Shah : Yes sir. Sir, last question, y ou emphasized a lot on cost. My basic question was, do you consider discount as a cost. And the reason to ask is if I look at that number over a 5 -year CAGR, the number has increased very, very steeply at almost 19% CAGR which probably is a reflection of competitive intensity in the marketplace. Sir, any though ts on this particular variable a nd would you not consider it as a cost as well?
Atul Daga : Discounts normally get netted off from selling prices and there are some promotion expenses which would be in other expenses. So I don't know where you're -- where are you picking this number up from, but it will be good if you can catch up with Ankit separately to -- and while you can do that, but I can assure everybody that our sales promotion spends or discounts will not vary -- would not have varied over a longer period of time.
Ritesh Shah: Sure sir. I will connect with you on this separately. Thank you so much for the answers. Thank you.

Moderator: Thank you. The next question is from the line of Sanjay Nandi from VT Capital. Please go ahead.
Sanjay Nandi : Hello. Thank you for the opportunity. S ir, can you please share the regional utilization for our company across different regions?
Atul Daga : As I had mentioned earlier with an average of 68% almost all the locations would either be at 75% or 65% in that range only.
Sanjay Nandi : Okay. Got it. And what has been the clinker utilization for our company for this quarter, sir?
Atul Daga : Clinker utilization, I think it r

emains strong. Just one second. Do we have it here?
Management: 70%.
Atul Daga : 70%, yes. 73%.
Sanjay Nandi: Okay sir. That's it from my side. I will come back in the queue. Wish you a very Happy Diwali in advance.
Atul Daga: Thank you. Same to you.
Moderator: Thank you. N ext question is from Sukant Garg from Equible Research . Please go ahead.
Sukant Garg: Sir, my question is regarding guidance on the further acquisitions that the company is in plan with. So after India Cements, what kind of acquisitions the company is looking into as of now?
Atul Daga : Acquisitions are always opportunistic. So I really cannot comment on that.
Sukant Garg : No. I want to say, are there any in the pipeline as of now currently?
Atul Daga : I really can't comment on that.
Sukant Garg: Okay. No problem. Thank you. Most of the questions were answered again.
Moderator: Thank you. N ext question is from Prateek Maheshwari from HSBC. Please go ahead.
Prateek Maheshwari: Thank you for the opportunity, sir. Sir just wanted to ask you if there is anything to call out in your cash conversion. So I just saw that your year -- versus last year, your cash conversion has dropped to some 65%. And I think the main reason has been the decrease in your trade payables and other liabilities. So is t here -- is it a seasonal thing o r is there any change in terms? I just wanted to understand that?
Atul Daga : Cash conversion means operating cash flow, EBITDA to OCF. Yes, operating cash flow. Yes, operating cash flow was lower because of July, September, we have built our inventories slightly receivables go up. It's typical of July, September quarter and we will start seeing positive OCF going forward.
Prateek Maheshwari: And sir, anything on the trade payables decline and other liability, we saw similar thing, similar trend with the other peer as well. Is it related to your fuel as well?

Atul Daga : One sec ond, I'm just checking. It's normal, I think so there's no abnormal trend. My credit -- I think this question was asked earlier also by somebody. Has my credit terms changed? No , our credit terms are standard. There might be some payments for capex creditors which might have increased, but I don't see any adverse situation in our OCF.
Prateek Maheshwari : Okay. And sir, just wanted to understand on the second half demand driver so would you see that the infra increasing and so the non -trade share increasing ?
Atul Daga : You see, H2, you will see infra, you will see rural growing, infra growing, urban markets continue to grow.
Prateek Maheshwari: So very similar to your 1H drivers in terms of trade, non -trade?
Atul Daga : Yes.
Prateek Maheshwari: Got it sir. Thank you so much for the opportunity.
Moderator: Thank you. Next question is from Amit Murarka from Axis Capital. Please go ahead.
Amit Murarka : Hi, thanks for the opportunity again. S o given that we are very close to now Kesoram integration, could you provide a brief overview of 1H financials of Kesoram?
Atul Daga : 1H financials. I think they declared their results.
Amit Murarka : Yes, but they didn't have the cement in that.
Atul Daga : No, no, I'll share with you. They delivered volumes of about 1.7 million tons. EBITDA per ton on cement was INR264 per ton. On a capacity utilization of 74%.
Amit Murarka : EBITDA per ton was only INR264 you...
Atul Daga : INR264.
Amit Murarka : And also, what will be the rebranding strategy there now?
Atul Daga : I think once we step into that asset, then only we will want to move forward on rebranding, if at all. We will tell you about it as and when we step into it.
Amit Murarka : So, I believe by Q3, I think we should be able to kind of include that in our numbers also.
Atul Daga : Yes. So NCLT hearing as I told you about the dates, now it all depends upon NCLT hearings taking place. Once --

the process is once the hearing is done, order is passed, might take 15, 20 days to get the printed order, which has to be filed with the registrar of companies to conclude and then we step in big bank. It could happen in October, December quarter, sailing with January, March seems to be definitely happening.

Moderator: The next question is from Rajesh Ravi from HDFC Securities.

Rajesh Ravi : My question pertains to the cement -- margins. If I look at the blended and reported number INR725 is already multi -year low performance. If I exclude the contribution from RMC white cement and the other operating income, this number would be closer to INR600. So as an industry leader, if that is operating at, say, close to INR600, where do we see a bottom in terms of the pricing and -- because why I'm talking about this, everyone, including you and other major players .

You're all talking about INR200 to INR400 cost reduction happening over next two years. In that context, what is the certainty of these prices recovering to a respective level of, say, where margins on the cement business turns up north of INR1,000?

Atul Daga : First and foremost, INR600 is a wrong analysis.

Rajesh Ravi : Anything between INR600 and INR650.

Atul Daga : So from a INR732, it might come down to somewhere around INR700 if you have to -- or INR710, INR720. Not more than that because the -- if you look at the percentages, the overall percentage of RMC or anything else is very small. And as far as other incomes is concerned, that's part and parcel of the business. It is -- for example, fiscal incentive, it's a regular phenomena for cement industry. It will be there. So it's regular. I wouldn't want to say to call it out as one -off.

Rajesh Ravi : Agree. No, my point is, for you, you're one of the most significant players with better brand positioning. If you have to operate at such low levels, why should the prices not go up? And obviously when you're giving those numbers, other will also be report ing similar numbers. So where we were looking at INR1,300, INR1,400 margins for the industry, how should that shape up?

Atul Daga : Rajesh, we will talk about the same thing. I'm noting down your questions and we'll talk about it at the end of next quarter results. Then your question will change totally. So, the point is cement industry, you cannot measure on a quarter -to-quarter basis. It's a long -term play. When an asset is being built, it does not get built in one quarter. This quarter – and I have been telling all investors that not to – well in advance before this quarter started also that this quarter is going to be depressing.

How depressing or how low that I would not be able to gauge whilst beginning of the quarter. But yes, it was -- everybody knows the way the monsoons have been this quarter, it impacts dispatches. It has been -- the intensity of monsoons has been highest this year as compared to several years, which, for us, it was impacting dispatches. It was incr easing our costs, which will not be there in Q3, Q4, and Q1 next fiscal.

And good part is we will -- we are already seeing positive traction from rural markets, which will -- which should be very positive in the coming months. So my guess is whilst we have – looked at INR732 as a bottom this quarter, we'll bounce back. Very confident.

Moderator: Next question is from Ashish Jain from Macquarie.

Ashish Jain : Sir, my first question is on your capacity additions so while -- if I look at the regional breakup of the capacity addition, it's heavily skewed in favor of South and Eastern India and some of the acquisitions, which we will do which are not factored there are also South, West centric. So how do we plan to grow market share or volumes in North and Central, where I guess you're operat

ing
at very high utilization and not much capacity is there in terms of the current pipeline at least?

Atul Daga : So, for North, you will see organic capacity addition as part of our Phase 4 in future years. And Central being central by itself, and I'm seeing the chart that you've already seen, we have got about 5.7 million tons getting added in the next couple of years in Northern market. And this is what I -- in fact, in one question I had clarified Ashish, our diversity is our biggest strength if you look at it, 30 million to 35 million tons average, we will have in all the regions.

South was having a low weightage in terms of our overall capacity balancing roughly 20 million tons. And if I go back in history, we were at 20 million tons of capacity for a very long time.

Yes, the two acquisitions India Cements, as and when it gets completed is South dominant. It has a small capacity, which will get add ed in to north. And Kesoram is S outh, you rightly said

South and West. So we are balanced.
Ashish Jain : No sir, I completely get that. My only point was that while we are getting balanced mix from a capacity point of view is in my view, worsening because share of weaker profit markets are -- is actually going up based upon this number at least, I was...
Atul Daga : But Ashish, if you look at the announcement by the CM of Andhra Pradesh, within 3 years, he wants to complete Amaravati City, the kind of development which is taking place, I heard from my marketing colleagues, the kind of development of new townships and cities that is taking place, you will have huge amount of demand growth in South markets also.
Ashish Jain: Sir, secondly, some of the optimism you shared for, let's say, second half profitability, is it fair to assume that a large part of it, if it comes through will be price -led and normalization of seasonal cost. The normalization of seasonal cost is well und erstood, coal and all is not a major tailwind, I guess, from...
Atul Daga : So Ashish, pricing is -- if I look at, as I mentioned, August to September, September to Octobe r, I already see a delta of 200 per a ton minimum.
Ashish Jain: Yes, so basically it's price -led, right, because on the cost side...
Atul Daga : Yes.
Ashish Jain: Okay, thank you so much.
Moderator: Thank you. The next question is from the line of Sanyam Chhangani from JPMorgan. Please go ahead.
Sanyam Chhangani : Yes. Just wanted to ask whether -- what is the current limestone capacity for UltraTech and like do we -- what is the expiry schedule like in the next 2, 5 years, how many limestone?

Atul Daga : Next 2 years, no expiry. FY '30, there will be a couple of mines which will expire, our limestone reserves are long -ended. We have more than around 10 billion tons of reserves all India put together. So we're not really worried about it.
Sanyam Chhangani : Okay. And what kind of bids do we expect to place in the coming 2 years to 3 years, let's say, for further additions in limestone reserves?
Atul Daga : It all depends on where the limestone mine auction is taking place. What is the reserve. What is the market potential, what is our intention of growth in that market place. Accordingly, we'll make our bidding strategy, cannot be done at this time because the government has also not announced long -term or, let's say, 3 year, 4 year plans of mine auctions. They happen on a day -to-day basis.
Moderator: Thank you. The next question is from Rahul Gupta from Morgan Stanley. Please go ahead.
Rahul Gupta : You mentioned that 30 million ton capacity would get added each in this year and next year. And you also mentioned that there have been some delays. Just want to understand, are there structural issues...
Atul Daga : Not our side, delay is not our side.
Rahul Gupta : No, I understand that. I'm asking more from the industry perspective. An

d the reason I ask this question is because if I look at industry outside large players, even normalized profitability levels would make almost impractical to add capacity. Sir, does t his mean that you will see accelerated market share gains even on organic capacity addition basis? Or how should we look at the industry dynamics from the next 2, 3 years' perspective, given how profitability levels are?
Atul Daga : You asked the question and answered it yourself. What can I say?
Rahul Gupta : Sir, so let me ask the question differently, sir. Is there a risk that capacity expansion delays may happen structurally for the industry over the next 2 years?
Atul Daga : Really cannot comment about the capability and ability of competition to execute their expansion. But whatever I knew from ground realities, I told the forum.
Rahul Gupta : Okay . Thank you so much.
Moderator: Thank you. The Next question is from Pulkit Patni from Goldman Sachs. Please go ahead.
Pulkit Patni : Sir, most of my questions are answered. If you could just give a sense for the first 20 days of October, what has been the kind of demand pickup that will be helpful for us to get confidence in the thir d quarter demand number, please?
Atul Daga : Pulkit, like several other industries, cement also plays up big time in the third quartile of the month, the last 10 days is bigger. And as of now, it's not a decline or a dramatic improvement. It is steady build -up.

Pulkit Patni : Sure, sir. But the last couple of weeks will be impacted by Diwali. So looks like it will be only

post-Diwali...
Atul Daga : October month yes sorry, I should have mentioned that. Glad you did that. October month will be a slow month , because Diwali is also happening here, Diwali, Dussehra, Durga Puja, this Puja, that Puja, all the Puja is happening here. So this month will be slow. But which creates a pent-up demand, which creates a backlog. November, December onwards, it should be very buoyant.
Pulkit Patni : Thank you, sir.
Moderator: Thank you. The next question is from Jashandeep Singh Chadha from Nomura. Please go ahead.
Jashandeep Chadha : Sir, most of my questions are answered. Just 1 question, before that a clarification, you said that in this quarter, UltraTech also paid onetime bonuses over and above the usual bonus that you pay in second quarter. And excluding that, the employee cost wo uld have increased 10% quarter -on-quarter. Is that understanding right, sir?
Atul Daga : Yes.
Jashandeep Chadha : Okay. And sir, my question is largely on the Tamil Nadu limestone auction. Has there been any update?
Atul Daga : Nothing. No update there.
Jashandeep Chadha : Thank you, sir, most of my questions are answered . Thank you for this.
Moderator: Thank you very much. We'll take that as the last question. On behalf of UltraTech Cement, that concludes this conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Call: Jan 2025

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28th January , 2025

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Sub.:
Transcript of Q 3 FY-25 Earnings Conference Call of UltraTech Cement Limited ("the Company")

Ref.:
a. Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015 ("Listing Regulations")
b. ISIN: INE481G01011

In terms of Regulation 30 of the SEBI Listing Regulations 2015, please find attached transcript of the Q 3 FY-25 Earnings Conference Call conducted after the meeting of the Board of Directors of the Company held on 23rd January, 2025, for your information and record.

The same is available on the website of the Company viz. www.ultratechcement.com

Thanking you,

Yours faithfully,
For UltraTech Cement Limited

Sanjeeb Kumar Chatterjee
Company Secretary and Compliance Officer

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"UltraTech Cement Limited
Q3 FY25 Earnings Conference Call "

Moderator : Ladies and gentlemen, good day and welcome to the UltraTech Cement Limited Q3 FY25 Earnings Conference Call.

We must remind you that the discussion on today's call may include certain forward -looking statements and must be therefore viewed in conjunction with the risk that the Company faces. The Company assumes no responsibility to publicly amend, modify, or revise any forward-looking statement on the basis of any subsequent development, information or events, or otherwise.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing " *" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Atul Daga – Chief Financial Officer of the Company . Thank you and over to you, sir.

Atul Daga: Good afternoon and welcome all of you to our Earnings Call for Q3 FY25.

First and foremost , wishing you all a very successful and a Happy 2025. We often talk about a lull before the storm. Most part of the Calendar '24 was a lull for cement industry for multiple reasons known to all of you, which we have been discussing from time -to-time. The lull ended somewhere in December on a positive note. The storm is a positive storm, and we have benefited from a continuous increase in demand which has also boosted the sentiments on cement prices.

We have seen a movement in realizations. Q3 average 1.4% vis-à-vis Q-o-Q. North and West saw the best performance in terms of price improvement s, which was more than 3%. January, we have further seen improvement in prices in Central and West. North remains the star performer, as I said, increasing prices an d profitability to the highest.

And talking about S tar, well, this was an offer on the table which we chose to invest into. I am talking about our investment in Star Cement. As you know, it's only a non-controlling financial investment. We have been trying to identify opportunities to deepen our presence in the Northeastern markets. Hopefully, this investment will help us understand the markets better and what are the opportunities in those markets for us to grow. When we had done the transaction, there were lots of different numbers floating in the market. I want to clarify; we have purchased 8.42% in the Company at a total investment of Rs. 776 crores.

Let me now touch upon India Cements :

Open offer was subscribed 110%, concluded on 21st of Jan at a price of 390 per share . We will now hold about 81.49% equity in the Company and there are regulatory processes to be followed to bring it down to 75%, which we will be doing as per timelines allowed. This will result into our average cost of equity at 359 per share. Net debt in the Company as at 31st December 24 is Rs. 877 crores. Thus, the EV of the Company at our acquisition cost works out to about Rs.

12,075 crores for a capacity of 14.45 million tons. I leave it to your calculators and your exchange rate interpretations to derive the dollar per ton cost of this acquisition, which is certainly not $120, but it's below $100 per ton.
Further added to that, the debt will get reduced with cash generation from non-core assets, which the Company has. We have started engaging with our team at ICL and studying the opportunities that lie before us . And the initial review gives us an opportunity of de -bottleneck ing some of the capacities, 2 or 3 plants there is a de-bottlenecking opportunity as well as some brownfield expansion opportunities exist in another set of 2 or 3 plants which will help us in our growth journey in years to come.
Our focus is to turn around the performance of ICL in le

ss than 12 months starting January 25. There will be some return based CAPEX plans which are being worked upon. As you know, we entered the Company only on 25th of December and have not spent even a month studying their operations. Allow us one quarter to revert with our full plan.
Kesoram :
We are awaiting the last of the approvals for transfer of mines in Telangana and Karnataka and we are tracking every step. There are multiple steps within the transfer formalities. We are tracking all these steps, and we expect to consolidate the assets of Kesoram within this financial year.
Organic CAPEX:
All our project sites are progressing well. We target closing this year at 185 million tons of capacity. This includes the two acquisitions of Kesoram as well as India Cements . Let's talk about demand. Demand seems to be opening up, which is good for the industry. We are seeing it across all sectors , pent up IHB demand, infra -growth , urban housing growth. Urban housing growth is maturing or slightly slow but still continues to consume cement. Rural markets are of course driven by the housing demand and continue to grow strong.
A point worth mentioning here is that rural demand should be positive with the good monsoons that we have seen, good crops and good harvest which will generate good cash flows for the rural market s.
CAPEX programs have been gaining momentum from the end of Q3, but it is still a long way to go. There are stimulus for mass housing programs which are coming back. Cement demand clocked an improvement in December 24 after being subdued in October and November and is likely to further increase as we speak in the current quart er four F Y25 with a pickup in government capex and demand overall. Central government capex which c locked 20% plus YoY growth in 2024 was down about 12% in April to November 24. State government CAPEXes were also down. CAPEXes by PSUs were also not growing very strong. We believe that the

government CAPEX will start improving and consequently cement demand shall start improving from January 25 onwards .
Whilst April to November was a slow period for cement industry , cement demand in India, I believe that the demand momentum is picking up and it will remain strong in the years to come. And Indian cement industry is gearing up to meet the surge in demand in the coming years. At UltraTech , work is in full swing for adding additional 10 million tons to 15 million tons of organic capacity in the year 2026. This will take us to 211 million tons -212 million tons of capacity at the end of our expansion program.
Talking about our efficiency improvement programs, which are also on course , clinker conversion ratio of 1.45 for this quarter as compared to 1.44 in Q4 last year. Lead distance is at 377 kilometers this quarter as compared to 400 kilometers when we started this journey on efficiency improvement program. WHRS was at 324 megawatts , up from 278 megawatts at the end of Q424. As far as WHRS is concerned, we had spelt out our targets to reach 450 megawatts for UltraTech capacities. This target will go up to 511 megawatts of capacity, taking into account the additional WHRS expansion which will be done at India Cements and Kesoram. 511 megawatts of the WHRS, which will be completed by F Y27, on our 211 million tons of capacity at that point in time, will account for 24% of our power requirement. Similarly, renewable energy is up at 752 megawatt at the end of this quarter from 612 megawatts. And as for targets, we had given out a target of 1.8 gigawatts by the end of F Y27. Taking into account the requirements and opportunities thrown up by India Cement s and Kesoram . This target is now standing at upwards of 2 gigawatts, about 2.1 gigawatts is what we are looking at to complete. And this will support about 30% of our power requirements on the 211 million metric tons of capac

it y.
Lastly about fuel, at our size of operations we don't have too much of a choice but to use coal also as a fuel given the overall global supply situation for pet coke. However, we have been
continuously increasing our pet coke consumption with the fuel mix reaching about 58% of pet
coke this quarter. Our fuel costs have come down accordingly to about 1.76 kcal from 1.84 per
kcal in last quarter based on current spot prices. We expect our fuel costs to be around 1.7 kcal
in the near future. And to conclude , we achieved an EBITDA per metric ton of 964. This quarter
we jumped more than 30% over Q 2 and we expect further improvements going forward.
Thank you. Over to you for questions.
Moderator: Thank you very much. We will now begin the question-and -answer session. We will take our
first question from the line of Sumangal Nevatia from Kotak Securities. Please go ahead.
Sumangal Nevatia: First on the volume growth, is it possible to share what would be the contribution of whatever
6-7 days of India Cement s in the results, number one ? And if you could give some more regional
color as to which other regions , I mean, this 10% growth which region we have grown versus
the industry higher or lower ? Yes, I mean, that's my first question and ask the second one later .

Atul Daga: Or else I will forget your question. So, we haven't taken into account the volumes of India's
segments in those last seven days for reporting our growth numbers. It does not make any sense.
This is only the U ltraTech organic growth. I've already forgotten your second part of your
question.
Sumangal Nevatia: Sir, I just wanted some regional color. Which regions have done better than the other regions?
And where we gain ed local share?
Atul Daga: North and West continue to do well. I would imagine East was at the lowest run as compared to
the other regions.
Sumangal Nevatia: And South will be the lowest or the weakest?
Atul Daga: I would imagine would be the lowest. And south, then you climb up to central, north and west.
Sumangal Nevatia: And what is our sense of industry growth in this quarter?
Atul Daga: Industry growth, I think We will have to wait and watch for some more numbers, but my sense
is we should be looking at somewhere around 5%.
Sumangal Nevatia: It's quite heartening to see every quarter we manage to beat the industry. So, great work.
Atul Daga: We are the leaders of the pack.
Sumangal Nevatia: Yes, clearly. Sir, my second question is more on the south region. Now we have seen four
acquisitions in the last year to where we have been involved. I mean, what would be our strategy?
I mean, whatever you can share with respect to south or the coming year with respect to our brand penetration, use of India Cement s, Kesoram brands, and then any market share target
versus where we are today?
Atul Daga: So, there are no market share targets , that's the easiest one to answer without having a target but
yet we would definitely want to keep growing. If I look at the capacity utilization of India Cements, they were at about 57% for the quarter. Certainly , there is an opportunity for improving
the capacity utilization from that target entity. Out of their 14.45 million tons, 13 million tons is
in the South. About 1.5 is in North and 13 million tons in South. So, there is the opportunity to
increase capacity utilization. Second point, Kesoram , yes, they are slightly better off in terms of
capacity utilization. They are operating at about 70 % more. I don't remember last quarter. 70%
is what they were operating at. So, it might not be too much of headroom to improve, but maybe
4% or 5% we could improve capacity utilization in the southern markets for the Kesoram set of
operations. As for brands, all are powerful brands, we will wait and watch. It's too early to say how we will look at the various multiple br

ands of Indi a Cements . Kesoram brand is also equally
powerful. So, it's more about, there's no rush to change the brand, but at the same time, brand
transitions will happen at the right time.

Sumangal Nevatia: Just a follow up, sir. I mean, last time, I mean, the profitability of these assets are quite low, even
in terms of efficiency, et c. So, earlier also when we had merged JPA, there was some dilution
on the blended and which eventually got transited to our levels of margins and efficiency. So,
what should we expect when we start reporting all these consolidated and blended numbers?
What is the transition time we are looking at to bring these assets to our level of efficiency and
margins?
Atul Daga: We look at least 12 months to improve the performance of India Cements to bring it up to a
reasonable level . And as I mentioned that there are WHRS investments which have to be done
for India's cements also, which is a return by itself. So, WHRS investments would typically take,
if I am counting work start from January 25, we would start seeing the benefits of that only

towards October -December 26 quarter. So, there will be one leg of improvement that you will see towards the end of 25. And then further improvement after, efficiency improvement based CAPEX programs get completed. Similarly, on Kesoram , there are opportunities to improve the cost of production as well as realization. There are a lot of opportunities that exist to improve our logistics cost. On a consolidated basis now from 25, we had how many, we will now reach about 60 million tons of capacity in South from 20 million tons of capacity. So, obviously the density of our network increasing will help us reduce the logistics cost significantly. So , there are lots of opportunities that lie ahead of us.

Moderator: Thank you . The n ext question is from the line of Amit Murarka from Axis Capital. Please go ahead.

Amit Murarka: My first question is on India Cements. So, is there any thought around like any brand transition or tolling arrangement for India Cements as well or will it be sold in the coromandel ?

Atul Daga: I think , give us some time, Amit. We are studying the opportunity. We have just entered the Company from 25 th of December. So , perhaps next quarter results we will be in a better position to give more clarity.

Amit Murarka: And like CAPEX, I think you had earlier guided for a number, but including the Kesoram and India Cements, I think you had guided 8,000 crores to 9,000 crores earlier for 20 26 as well. So, what would it go to now?

Atul Daga: 8,000 crores to 9,000 crores of CAPEX is on our Ultratech balance sheet. India Cement s balance sheet need to be studie d, and i t has to have its cash flows to meet those CAPEX requirements also. As for Kesoram , I think we were looking at 400 crores -500 crores of CAPEX for Kesoram , which gets baked into my overall numbers of plus minus Rs. 9000 crores for next year because Kesoram will, these are the units which we are acquiring which will get absorbed in U ltaTech from day one , India Cements is a separate listed entity.

Amit Murarka: And just lastly on fuel cost, you had earlier mentioned that by December all your higher price contracts will get over. Is that done now?

Atul Daga: Yes, that's done.

Amit Murarka: But I think you said Rs. 1.7 Kcal , that would still be higher than I think market price. I think it's 1.4, 1.5 I think for pet coke.

Atul Daga: That's why I qualified that statement by saying that we will have a fuel mix of coal as well as pet coke. We will not be able to do only pet coke. Had I been in a situation to do only pet coke, the cost could come down dramatically since we will be using a mix, it will remain slightly higher. And if it is 1.7, it could become 1.6, depending upon spot market. My colleagues were telling me between two days, the spot prices of pet coke have gone up by $4. So, this is, it's a continuously moving target.

Amit Murarka: And lastly, for Kesoram, could you provide 9 -months financials as well?

Atul Daga: We haven't seen that here. It would be there on their own website .

Amit Murarka: No, I think they're not showing cement business.

Atul Daga: It's there. Anyway, I am asking Ankit to share that with you separately.

Moderator: Thank you. Next question is from the line of Rahul Gupta from Morgan Stanley. Please go ahead.

Rahul Gupta: Atul sir, I understand like you said utilization rates for Kesoram and India cement s will improve over a period of time. Can you help us understand how to look at the overall volumes for next year? How does Kesoram and India cement s high utilization rate help you gain further market share on volumes. So, that's first question.

Atul Daga: So, we will go in to the next financial year with about 185 million tons of capacity. It's in decimal, but I am just using a rounded number of 185 million tons. We would look at a double -digit growth next year on our expanded availability. And I would assume a capacity utilization of anywhere around 80% to 85%.

Rahul Gupta: That's heartening to hear. Thank you so much. My second and last question is I remember until last quarter you used to give a comparison of fuel cost on a consumption basis and fuel price. So, I see fuel cost has come off by 6% sequentially. Can you help us understand where the price are on a blended basis?

Atul Daga: $125 per ton.

Moderator: Thank you. Next in line is P rateek Kumar from Jeff eries. Please go ahead.

Prateek Kumar: My first question is on your leverage. We have not been given consolidated net debt that was last quoted for 2Q at Rs. 8,800 crore . Including India Cement s now open offer where are we looking at our current net debt?

Atul Daga: Rs. 3,142 crore is the cost of open offer. India net debt was Rs. 12,141 crores December. I will request you to note down the number there, can do the math. Rs. 877 crores is India Cement s that takes us to Rs. 13,018 crores. Open offer will be about Rs. 3,142 crores. That would be the consolidated net debt. Rs. 16,160 crores at the end of open offer.
Prateek Kumar: And why do you say India Cements net debt has like Rs. 877 and not like they used to have like Rs. 2500 crore net debt , clarification there?
Atul Daga: They have Rs. 877 crores only, that's the magic of U ltraTech Cement . Sorry, that was in a lighter way. As I said, the earlier expectation was that the EV per ton we have paid is $120. It's not $120, it's about $97 or $98 per ton. The debt actually as of December is Rs 877 crores.
Prateek Kumar: So, there will be still publishing their finances , right ? So, that will now reflect a lower number versus …
Atul Daga: Two days ago, they had their board meeting. They have published their result They haven't published their balance sheet, but their press release carried. I have seen their press release which carried the debt number .
Prateek Kumar: Okay, I will take that . And just one question on this again India C ement s. Is there also evaluation of potential merger between two companies and you like sort of issuing like in case of Kesoram share swap likewise can happen in India C ement s?
Atul Daga: Too premature, too early to comment on that. We have to evaluate t he assets and how we operate them . What is the profitability that we can bring it up to? There are lots of litigation that need to be resolved from that Company . As I mentioned, there are a lot of non -core assets which we will want to sell. There's no point in transferring those non-core assets onto the UltraTech balance sheet. So, as of now, I think give us some time before we can spell out clear plans.
Prateek Kumar:

And the last question on your realization, we report ed 1.5% for the quarter average. How is the exit pricing versus the quarter average for third quarter?
Atul Daga: Sorry, exit, there are too many, exit , December.
Prateek Kumar: Exit December pricing?
Atul Daga: Exit December over Q3 average. So, it was marginally up. A percentage up.
Moderator: Thank you. Next in line is Jashan deep from Nomura. Please go ahead.
Jashandeep: My first question is on limestone, especially in Tamil Nadu. Even if you look at India Cement s, I think most of their limestone reserves are in Andhra Pradesh, Telangana region. How is both Ultra Tech and India Cement s placed on longevity and brownfield optionality in Tamil Nadu? Is there enough limestone in Tamil Nadu with India Cement s?

Atul Daga: Yes, as of now, we have availability of more than 25 years of life on the India Cement s capacity . They are old plants, so Sankarnagar and Sankari. The two plants which are old plants, and they have a visibility of more than 25 years of life.
Jashandeep: And my second question is largely on operating cost, I understand that on organic basis , Ultra Tech has set a target of reducing it by Rs. 300 per ton. But on a consol level, will the FY26 will see a significant increase in operating cost given that India Cement s is on the highest end of the cost curve. And since before acquiring this asset also, you would have , this asset you would have studied. So, any idea of how much CAPEX or a ballpark figure would be required to bring it to the efficiency level of UltraT ech? That's my second question.
Atul Daga: So, the second part of the question, we entered the assets only on the 25th of December. We are studying where will be CAPEXes. The no -brainer that the WHR S has renewable energy which are return based , but there will be some upgradation CAPEX also which the team is studying and we will revert back on th e CAPEX that we want to do. As far as operating costs are concerned, I think we have started seeing reduction in their operating costs in the first month itself. A nd whilst I don’t have an exact date or exact period by which the costs will align, but you will have end 26, October -December 26 is when WHRS implementation, that's a long lead CAPEX project which will get completed. So, by that time you would see an alignment of their costs with our costs.
Jashandeep: And just the last thing on the Sankarn agar plant, if I am not wrong, there was some, I think they had applied for an EC extension or something. Have they sorted on that front? Just a clarity on that.
Atul Daga: I will have to find that out myself. Not aware.
Moderator: Thank you. We will take our next question from the line of Pulkit Patni from Goldman Sachs. Please go ahead.
Pulkit Patni: In the previous acquisition that we have made, rebranding has been a very big kicker in terms of the differential realization that Ultra Tech gets versus other brands. Now in this case, if rebranding is going to happen over time, at least not immediately, what are the levers where you can see such a significant cost cut that we can be able to improve profitability? So, first of all,

what today is the realization differential between Ultra Tech and India Cement s in the same micro
market?
Atul Daga: Selling price basis about Rs. 20 to Rs. 25 a bag is the difference. As I said, we are evaluating. There are low -hanging fruits in rebranding at the ICL units. We will start seeing rebranding as we progress. So, day one, you will not have 100% rebranding, but in due course of time, maybe 9 months, 12 months, you will have a rebranding effort. But first quarter, also, we will start seeing some plants doing rebranding.

Pulkit Patni: And also, Sanghi, you used to give a quarterly roadmap of when your EBI

TDA per ton would
actually merge with the main brand. Any sense on how that will be for Kesoram and India Cement s? 8 quarters, 10 quarters?
Atul Daga: It is the call on Ultra Tech Cement.
Pulkit Patni: Yes, sir. We are trying to project profitability of Ultra Tech Cement only.
Atul Daga: No, no. But d on't ask me questions about Sangh i Cement.
Pulkit Patni: No, I am just saying that in terms of projecting that improvement in EBITDA per ton, is there a roadmap whether We will be able to do it in 6 quarters, 8 quarters, 10 quarters earlier? I mean, just a sense of that.
Atul Daga: I don't know why you mentioned Sanghi Cement in our call. That's why.
Pulkit Patni: Sorry, I meant Bi nani.
Atul Daga: We are looking at , at least 12 months to turn around the performance of the India cement s assets.
Pulkit Patni: And when you said turn around, you mean the same profitability that our mother brand gets or…
Atul Daga: No, not the same maybe Rs. 200-Rs. 300 lower .
Moderator: Thank you. We will take our next question from the line of Ritesh Shah from Investec Capital. Please go ahead.
Ritesh Shah: Sir, first one, are we looking at any contingent liabilities specifically after the Supreme Court judgment which has allowed states to levy taxes on minerals, including limestone?
Atul Daga: So, first and foremost, that we also hear that the re is t hinking within the central government to do something about this judgment because there are a lot of PSUs getting impacted in a far significant way. Secondly, we are impacted by the levy only in the state of Chhattisgarh and Rajasthan. We are not impacted. However, Indi a Cements had a liability. No , we are not looking at any adverse liability. However, now you would have read about Tamil Nadu wanting to levy a new tax, Karnataka wanting to levy a new tax. So, these things will surface for the future periods .
Ritesh Shah: Okay, so nothing adverse.
Atul Daga: No, nothing adverse.
Ritesh Shah: So, second is that industry level, what is the sort of supply that we are looking at based on your estimates for say FY25, FY26, FY27, broad numbers would be quite useful.

Atul Daga: So, as I mentioned, we would do about 15 million tons of capacity and taking other bigger players we would see about 50 million tons of capacity getting added in F Y26.
Ritesh Shah: And sir, you have given separately a revenue number for UBS on slide number 26, is it possible you quantify the number for nine months and also EBITDA and PA T numbers? And if there's an incremental game plan over here?
Atul Daga: Don't have it immediately, I will share it with you Ritesh, later on please.
Ritesh Shah: Sure, and sir, what's the game plan on UBS stores? The count has increased, I think one of the slides mentioned the significant contribution of grey cement sales by UBS. So, are we looking to monetize this? How should one understand it?
Atul Daga: This is the way we are monetizing it. It is helping us sell big volumes of cement in the retail market. If you're talking about listing it as a separate entity, no, there's no plan like that.
Moderator: Thank you. We will take our next question from the line of Naveen Sahdev from ICICI Securities. Please go ahead.
Naveen Sahadev: My question was first on this Northeast plan t. So, I think a year back we had floated this or incorporated this Company by the name L etein Valley if I am not wrong. So, what is the progress there? Is there like, I mean, since you incorporated, I believe could have been with the local partner and land and like, you know, the location is identified, but we haven't heard anything there.
Atul Daga: Yes, so because mines is required and Northeast is seemingly a complicated market with involvement of tribals in land ownership, mines ownership. So, we haven't been able to identify a clean mine land as

yet. And as soon as we do that, we could, you will hear from us.
Naveen Sahadev: My second question was then on the outlook for pricing in South. One of your peer s in South mentioned of expectation of huge, like intense competition or competition further rising with the ramp up of P enna and India Cement s, even Kesoram to some extent . So, would you concur with that that rising in South could continue to remain subdued despite demand picking up or how should one look at it ?
Atul Daga: If demand picks up my guess is prices will also improve .
Naveen Sahadev: And the last question, sir, can you just mention what is the consol net debt?
Atul Daga: I just gave that number a minute ago. I will go back to it again.
Naveen Sahadev: It was the enterprise value calculation I am saying.
Atul Daga: Rs. 16,160 crores after taking into account the money required for open offer.

Naveen Sahadev: Rs. 16,000 is the current net debt, understood.
Moderator: Thank yo u. We will take our next question from the line of Pat hanjali Srinivasan from Sundaram Mutual Fund. Please go ahead.
Pathanjali Srinivasan: Sir, one thing I noticed in our presentation, so our power cost per ton has actually stayed more or less flat like in over a year , whereas a share of green energy has gone up from 24% to 33%. Can you tell me why the drop in cost has not really happened here?
Atul Daga: From 424 to 402, that's the drop that has happened and if I were to, I think index it with the coal cost, coal cost might have gone up. The delta will be small between solar power generation cost versus landed cost. There is about 35 % to 40 % difference between renewable energy and the thermal power cost. So, this is what it is. I will in any case deep dive and revert to you.
Pathanjali Srinivasan: And just one last question, our CAPEX numbers for 26 and 27?
Atul Daga: So, 26 will be around Rs. 9,000 crores, and 27 will taper down, maybe Rs. 6,000 crores , Rs. 7,000 crores to complete our expansion program.
Moderator: Thank you. Next question is from the line of Bhavin Ch heda from Enam Holdings. Please go ahead.
Bhavin Chheda: A few questions. One on the consolidated debt which you mentioned, 16,160, that includes the number of what you said, India cement s, 877 crores?
Atul Daga: Yes, please. And the open offer money which will get paid on the 4th or 5th of February.
Bhavin Chheda: But sir, when I am seeing the India cement s numbers which were available for September 24, their debt was roughly above Rs. 2000 crores. So, what has happened in the last three months or is there some different calculation what must have happened between these 3 months? How could India cement s debt come down so sharply in 3 months?
Atul Daga: So, they have announced December number. I don’t know what was their September number.
Bhavin Chheda: December, t he balance sheet was not disclosed.
Atul Daga: They have mentioned it in their press release. And we have taken over a debt of Rs. 877 crores.
Bhavin Chheda: That's roughly a net debt number.
Atul Daga: Yes, net debt number.
Bhavin Chheda: Any additional questions on that press release itself is what I was going to the press release with the revalued assets which you would be consolidating. So, there is a revaluation of roughly 5,300 odd crores where the land, mining land and plant and machinery was revalued before the

Ultra Tech taking over consolidation. So, can we assume that the large part of revaluation has happened on the land part?
Atul Daga: Mainly on land.
Bhavin Chheda: So, we should assume that could be the unlocking potential when it comes under our fold?
Atul Daga: As I mentioned, there are lots of assets, non -core, which I count. So, a large part of the land is required, because that's the mine land

and the plant land. Besides those, they have lots of land which are not fit for a cement grinding unit or an integrated plant or a bulk terminal. So, those we would want to monetize.
Bhavin Chheda: And there's a last question on the lead distance. Very good to see a reduced lead distance in the quarter, which was, I think you mentioned the number of 377 kilometers. And now with new acquisition coming into fold, so you have much more capacity where yo u can service the market from nearby plants. So, would there be enough space to again reduce this lead distance when you look at your overall portfolio?
Atul Daga: Certainly, we would look at this number dropping down further 5% -6%. Before we take the next question, I wanted to clarify about the question which was asked previously on the power cost. There was a one-time charge which was levied by Andhra Pradesh government which amounted to about 48 crores which we had to account for in the December quarter. And that is why the December quarter number is

looking slightly higher. The impact of Rs. 15/t, so 402 would drop
down to 387.
Moderator: Thank you. We will take our next question from the line of Rashi Chopra from Citigroup. Please go ahead.
Rashi Chopra: Just continuing on the cost, so from here on, how much more improvement can we see? I think earlier on you were mentioning about Rs. 300 by September -26, so how much of that is already done and how much can come?
Atul Daga: So, let me complete it in the March quarter, Rashi, we will revert, We will give it in the presentation.
Rashi Chopra: Then on the realization you mentioned that the December exit is about 1% higher than the pre - Q average, right?
Atul Daga: Yes, please.
Rashi Chopra: And January, there were further increases in Central and Western India.
Atul Daga: Roughly 1.5%, yes.
Rashi Chopra: In January, 1.5%.

Atul Daga: Yes, as of now.
Rashi Chopra: And what are the expectations for the remaining quota?
Atul Daga: Yes, we definitely want prices to go up further. That's our expectation.
Rashi Chopra: And then lastly, on the CAPEX, so this year, what will be the full year CAPEX? Next year, you said it was 9,000 for FY'25.
Atul Daga: Also, we should cross 9000, touch and go, it should be 9000. We are already at Rs. 6300 crores. We have already completed Rs. 6300 crores. January, March should be doing Rs. 3000 crores more.
Rashi Chopra: This doesn't include Kesoram, right? This 9,000?
Atul Daga: Yes, this does not include Kesoram .
Moderator: Thank you. Next question is from the line of Satyadeep Jain from Ambit Capital. Please go ahead.
Satyadeep Jain: Just one question on coastal transport. You already have S ewag ram. I just wanted to understand, there was obviously another asset in play in the vicinity. But I didn't see U ltraTech, maybe competition with CCI since you're already there. I just wanted to understand what's your experience being, is that plant would be similar in utilization and profitability to other plants you have ? And when you look at the overall mix in transport, for you going forward, do you see a higher share of coastal transport in the mix?
Atul Daga: Yes, we will see an increase but in the overall ratio, today it's about 3%, will not go beyond 5% of the overall mix. As far as the Sew agram plant, the Kutch plant is concerned, it's a low draft area which has made it challenging for berthing bigger vessels. So, my belief is, rail is becoming available in that market very soon. So, rail network will start improving the capacity utilization from that market.
Satyadeep Jain: Even for Se wagram, you would see... So, currently, utilization level, you're indicating for that plant would be lower, but with the railway line coming up, utilization...
Atul Daga: It will pick up. It's a hot market; it will pick up.
Moderator: Thank you.

We will take our next question from the line of Shravan Shah from Dolat Capital.
Please go ahead.
Shravan Shah: Just a couple of things, sir. In the fourth quarter, how much demand at India level we are looking at? And if possible, for FY26, how much are we looking at cement demand growth?

Atul Daga: FY26 it will definitely be a double -digit growth and quarter four generally it's a very high quarter. What is the base that you are comparing it with? Over Q3 obviously it will be a growth over Q3 easily.
Shravan Shah: Sir, I am looking from an industry perspective and not from your, definitely you will say that you will be growing double digits.
Atul Daga: Industry would do about 6 %-7% growth. We will do about 10% plus growth, is what our game plan is for next year also.
Shravan Shah: And for this quarter, fourth quarter at industry level, 6%, 7%, that's the number one can look at, or it could be much ahead?
Atul Daga: Easily. It should be higher, I think. The way January, March quarter is, it should be higher.
Shravan Shah: And sir, what was the clinker utilization in the third quarter, and is it possible how much clinker capacity we would have added in this nine months? And what is more are we planning to add?
Atul Daga: So, clinker added during this period is 6.7 million tons of clinker was added. Another 3.35

million tons is about to get launched in this quarter , clinker capacity. And the next question that you asked was about 76% is the capacity utilization.
Shravan Shah: And in F Y26 also, would be a close to 10 million tons kind of clinker capacity will be add ing?
Atul Daga: 10 million tons, exactly 10 million tons.
Shravan Shah: And sir, you mentioned that the cost reduction plan previously you said Rs. 300 odd that we were looking at by F Y27. That now we will be disclosing this number after the fourth quarter result. That's what you mentioned?
Atul Daga: Yes, sir.
Moderator: Thank you. We will take our next question from the line of Anuj Jain from Globe Capital. Please go ahead.
Anuj Jain: Just want to understand, I mean in today's presentation you have mentioned that for the merger of Keso ram will take, require additional approvals for those two mines, Telangana and Karnataka. And in opening remarks you have said that by financial year end you will integrate Keso ram with Ultra Tech. Just want to understand generally these states, you know, take much longer time than we anticipated. So, how much delay one can expect for the integration?
Atul Daga: So, I have kept sufficient buffer in my hands before telling you the end of the year. So, as I mentioned, these are at the last stages, towards the approval spending within the authorities, which should get completed very soon. And we are very confident there will be no slippages beyond March 25.

Moderator: Thank you. Next question is from the line of Rajveer Tandon from Ventura Securities. Please go ahead.
Rajveer Tandon: So, the first question I had was for the Rs. 8,000 crore to Rs. 9,000 crore CAPEX, that you are planning, will you be taking any additional debt for that?
Atul Daga: No, this can be funded by internal accruals. We expect our debt to start going down from next financial year in small steps. Next year, because CAPEX plan is big, so you will not see too much of debt reduction, but it will not go up.
Rajveer Tandon: So, this Rs. 8,000 crores to Rs. 9,000 crore figure is for how many years?
Atul Daga: For next year. The CAPEX, if you're asking, Rs. 8,000 crore - Rs. 9,000 crore is next year and the year 27 will be much lesser. There will be the remaining elements of our organic growth plans which has to be the completion stages. So, 6,000 crores plus minus is what we are looking at.
Rajveer Tandon: So, my second question was, do you see

the EBITDA per ton figures for India Cement s and Kesoram to reach the level s of UltraTech by FY27?
Atul Daga: Yes, please.
Moderator: Thank you. Next question is from the line of Sanjay Nandi from V t Capital. Please go ahead.
Sanjay Nandi: Most of the questions are answered, sir, can you please help us with the regional utilization levels, if possible, sir?
Atul Daga: I think I had answered that question, and we had East which was below 70% and other regions were in the plus minus 75%.
Moderator: Thank you. Next question is from the line of Prateek Kumar from Jeffreys. Please go ahead.
Prateek Kumar: I have just a couple of clarifications . Firstly, on FY27 CAPEX of 7,000 crores. So, that would be excluding India Cement s-related upgradation of...
Atul Daga: Yes, Prateek . Yes, this is only on our expansion program, which is going on .
Prateek Kumar: So, including CAPEX on, which you said Kes oram is like not so material, but India Cement s CAPEX included your CAPEX may again like sort of still be 8000 crores –9000 crores kind of.
Atul Daga: Yes, if you have to count the CAPEX of India Cements , I don't know how much will it be. It will be certainly more than Rs. 500 crores. The Rs. 500 crores was what is being earmarked for Kesoram.

Prateek Kumar: And one clarification on branding. So, India Cement s has like host of brands and then obviously there are associations like IPL etc. So, when we integrate these brands, so these will like migrate to Ultra Tech. You said that there is Rs. 20-Rs. 25 gap there and then all these other associations like IPL also like sort of moves to you or there is some royalties there? How does that work?
Atul Daga: IPL? No, there is no cricket with us. So, that Company CSK has already been hi ved off long ago and there's no IPL , as in cricket IPL, right?
Prateek Kumar: No, that was the branding partner, right? India Cement s is used as a branding partner for CSK .
Atul Daga: No. We will not be branding partners for cricket, that is one. And you asked something else also.
Prateek Kumar: And the various brands of India Cement s move to UltraTech ?

Atul Daga: All the various brands are part of India Cement s owned by the brands , are owned by India Cement s as a legal entity. They continue with to be with that Company. So, CSK as a cement brand exists which will be owned by us , but there's no association with cricket.
Moderator: Thank you. Next question is from the line of Kamlesh Jain from Lotus Asset Managers. Please go ahead.
Kamlesh Jain: Just one question on the part of, sir, are there any loans and advances which have been given to India Cements which have resulted in lower net debt , just a bookkeeping questio n?
Atul Daga: No. UltraTech has not given any loans and advances.
Kamlesh Jain: So, can you summarize like what was the reason for the debt to go down? Has there been land sales there? Because I believe in such a short period such things can't happen at like say...
Atul Daga: They have monetized assets which has helped release cash flows to reduce debt.
Moderator: Thank you. Next question is from the line of E shwar Arumugam from i thought PMS. Please go ahead.
Eshwar Arumugam: So, the first question I had was the S outh side cement prices sir. It has been very dull this quarter of the price increases have not been here in the six months . Moreover, there used to be a disparity between the team Kerala prices and Andhra and Karnataka prices. But team Kerala used to be better priced than Andhra and Karnataka. But the prices are converging now. Is it because players are fighting to gain market share? Or is it just because of the demand?
Atul Daga: I really won't be able to comment on that micro analysis that you are doing. But my belief is Andhra Pradesh is going to improve demand sentiment, and it will help, it will benefit the en

tire
South which will help improve prices in the respective markets.

Eshwar Arumugam: You said that you have grown from 20 million tons to 60 million tons in South. So, what would be the approximate market share gain for the Company in terms of volumes?
Atul Daga: In terms of capacity, I believe South is 180 million tons, 196 million tons of capacity. So, we are very close to 30% capacity share.
Eshwar Arumugam: And what is your outlook and future plan for UBS? Is there an increasing trend you see of people in urban areas prefer building material solutions instead of cement? What is the outlook there?
Atul Daga: Outlook is very bright, especially in Tier -2 towns and Tier -3 towns. UBS as a platform is convenient for individual home builders. It becomes a one -stop shop for the home builder to get all his needs and our interest obviously remains wide to service the customer as also to increase the throughput of our sales.
Eshwar Arumugam: And one question I had was, the inland waterways used for th e grinding unit in Patliputra project , is there any plan to ramp up the capacity and if we do ramp up, how much logistics cost can we look at?
Atul Daga: So, it's too early, I think we will definitely want to ramp it up. It is eco -friendly, cost effective, a high-volume opportunity, it will be definitely of big benefit.
Eshwar Arumugam: So, this was more of a test run?
Atul Daga: Yes, please. And you know, there were a couple of questions asked about how much have we completed on our Efficiency Improvement Program and the reason I am not able to comment on that because quarter to quarter it will vary. The monsoon quarter is a depressed quarter. January, March will throw up another number and hence it is better to look at the efficiency improvement program deliveries at the end of the year. Having said that, we have already quantified the lead distance, the implementation of renewable energy and implementation of WHRS, which are very, very measurable and from 400 that we started, and we reached 3 77, 23 kilometers, 23 kilometers is almost 60 bucks . 23 is almost Rs. 70 benefit which is available as part of the efficiency program. Similarly, WHRS implementation on the increase in the capacity of WHRS, the power cost keeps dropping by almost 90% on the incremental capacity. These are measurable numbers, but I would still w ant to reserve my comments for the end of the year .
Moderator: Ladies and gentlemen, we will take that as the last question for today. On behalf of Ultra Tech Cement Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Mar 2025

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4th March, 2025

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Scrip Code: 532538 The Manager
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Scrip Code: ULTRACEMCO

Sub: Transcript of Conference Call of UltraTech Cement Limited ("the Company")

Dear Sirs,

We are attaching the transcript of the Conference Call of UltraTech Cement Limited held on 28th February, 2025, for your information and record. The same is also available on the website of the Company viz. www.ultratechcement.com .

The transcript is being disseminated to the stock exchanges as a good governance practice though not mandatory under the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015.

The same is for your information and record please.

Yours faithfully,
For UltraTech Cement Limited

Sanjeeb Kumar Chatterjee
Company Secretary and Compliance Officer

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"UltraTech Cement Limited Conference Call"

February 28, 2025

MANAGEMENT : MR. ATUL DAGA – CHIEF FINANCIAL OFFICER ,
ULTRA TECH CEMENT LIMITED

Moderator : Ladies and gentlemen, good day and welcome to the UltraTech Cement Limited Conference Call.

We must remind you that the discussion in today's call may include certain forward-looking statements and must be therefore viewed in conjunction with the risks that the Company faces. The Company assumes no responsibility to publicly amend , modify or revise any forward-looking statement on the basis of any subsequent development , information or events or otherwise.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Sh ould you need assistance during the conference call, p lease signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Atul Daga - Chief Financial Officer of the Company . Thank you a nd over to you, Mr. Daga .

Atul Daga : Thank you so much. Good afternoon, everybody, and welcome to this call. I guess you are all wired -up today, but we are here to unwind you.

Let me first talk about Grey Cement because that is our core and a very high growth business : I am sure you are all already aware of the quantum of development taking place in the country in terms of real estate, infrastructure and allied sectors and the resultant cement demand. This demand is going to continue till we reach a stage of maturity which is not anywhere in the near term. In fact, in the long run , in the distant future, we may replicate the demand reflected in the developed economies. For your reference, for FY24 , per capita consumption of cement in India had reached about 295 kgs . The w estern was when they pe aked in terms of their cement consumption , the cement consumption was somewhere around 600 to 700 kgs per capita before maturing and settling down to a level of about 500 kgs.

Clearly, India has a long runway for cement and at UltraTech , we are extremely focused on aggressively pursuing the cement industr y's growth in the country. At the end of FY25, we will be at 182 .8 million tons of capacity in India, which will be approximately 28% of the industry's capacity. We have been growing faster than industry and will continue to do so in pursuit of the growth opportunity that exists in the country. By the end of Fiscal '27 , we will be at 209 million tons of capacity and continue to participate in the high growth story of cement in India organically or inorganically. The doors are wide open. Over the years, we have created a well - balanced bouquet of product offering from UltraTech . We are the largest manufacturers and sellers of Grey Cement in India. We have the largest network of RMC in the country. Globally , ready mix concrete is the most common form of cement. However, in India we are still under

5% as RMC and set to grow significantly. UltraTech is already gearing up for the future and hence growing its RMC business very rapidly. We are v ery strong player in white cement , in fact, Birla White , our brand is synonymous with white cement in the country.

I have often spoken to you about adjacencies. We at UltraTech have been continuously exploring adjacencies for Grey Cement to add value to our end customers , to gain a higher share of wallet from the individual homeowner in the overall construction value chain. The construction value chain can be segmented in our view in five phases , design, construct, enable, decorate and service.

Several years ago , we started our building products division or what we call BPD. Within BPD, we have already launched multiple products such as mo rtars, waterproofing agents, A AC blocks, grouting materials, and many others. Today , we serve the construction industry with almost

90

SKUs. As part of extending our offering from B PD, we examined multiple other adjacencies , pipes, tiles, wood adhesives, s anitary fittings, lights and fans and dropped all these product categories because they were not a strategic fit. Cables and Wires came right on top as the only strategic extension as these products are on the back of the wall which we are already presently building. This is the only product, mind you , this is the only product that we thought prude nt to add to our portfolio of products.

Let me get into a little more detail on why Cables and Wires s:

Like cement , Cables and Wires is not a repeat purchase for the homeowner. It is not a discretionary spend. Wire segment , almost 85% of wires market is covered by the residential markets and 65% of cement demand comes from the residential market. Let me deep -drive into residential markets also . Residential markets, r ural markets, which are highly retail markets, drive about 35% of demand for cement. The IHB in the rural markets , retail market depends on the contractor who deploys m asons and electricians. Ult raTech has existing relationships with the contractor s and can leverage on the same.

We also have a very strong presence through UltraTech Business Solutions , our UBS Retail Stores, which will provide some head start as compared to any other new player . Today , as a part of the offering from our UBS Stores, we have several products , sanitary fittings, Cables and Wires are already being sold from there. We are also selling water tanks , paints , white cement , of course, cement is the main product and many other products . If I look at urban housing, urban housing constitutes about 30% of cement demand. The builder community takes a decision on cement and wires along with the MEP , EPC consultant that they want to deploy. UltraTech connects with corporate real estate players alike as well as the EPC players and hence we thought it prudent, and we thought it Cables and Wires should be a very strategic fit and easy for us to deal with. India is urbanizing, which will result in higher requirement of wires with more white goods penetration.

Cables , co-market for cables :

I would imagine would be infrastructure like metros, airports, railways , residential complexes, renewable energy , EV projects and as you are aware, UltraTech is present in all the metro projects that are taking place in the country. Hence, we believe we are very well entrenched in the residential market s as well as the infrastructure markets for playing the cable and wire proposition as well. We will go live with the production by December 26. Situated at J hagadiya in Gujarat , it is less than 100 kilometers away from raw material source copper, which is about (+/-75%) of the overall raw material. This will help us manage our working capital also well.

When we look at the financials for Cables and Wires , they look highly attractive. Industry is going in double digits and expected to grow at a similar pace for a long time. High asset turns , it could range from 5- 7x, higher return on capital and a capital light asset light model IR Rs of upwards of 25%. Working capital will not be an issue for us on the back of UltraTech ’s purchasing power.

To conclude :

By the time these Cables and Wires operations peak , cement capital employed will be almost 1 lakh crore against the stated Rs. 1,800 crore s CAPEX required for this business. We believe this will be a value accretive for our shareholders along with our continued focus on core operations of cement.

Thank you a nd over to you for questions.

Moderator: Thank you very much. We will now begin the question-and -answer session. Anyone who wishes to ask a question may press ‘*’ and ‘1’ on the ir touchtone telephone. If you wish to remove yourself from the question queue, you may pres

s ‘*’ and ‘2’. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. The first question is from the line of Ritesh Sha h from Investec.

Please go ahead.

Ritesh Shah: Hi, sir. Thank you for the commentary and the opportunity to ask question . Sir, you did indicate several categories that we have excluded ; however, you did not indicate faucet wire fittings , is it a subset of sanitary fitting and?

Atul Daga : Sanitary fittings, y es and we also look at furniture. We also looked at , did I miss anything? Ye s, we looked at everything practically.

Ritesh Shah: Sir, would it be possible for you to provide some assurance that we would not venture into any of these categories, say over next 5 years? The reason to ask this question is, I think the investors

who are worried about capital allocation into something Ex cement that is why the specific question , sir?
Atul Daga : Yes, we are not venturing into anything else.
Ritesh Shah: Sir, over next 3 years, 5 years ?
Atul Daga : Next 5 years, next 3 years, next 5 years. But as I said, the products which we have dropped will not become attractive in future unless there is some act of God, which makes things very attractive, which is highly unlikely.
Ritesh Shah: This is very helpful. Sir, quickly, second question, you indicated that ROCE of 20% and asset turn you indicated up around 5-7 x, what is the underlying assumption on the margins we are looking at? Again, the reason to ask this question is we will have some advantage on the working capital. So what is the underlying assumption on margin profile that we are looking at?
Atul Daga : So EBITDA margin will be akin to the industry.
Ritesh Shah: Fair enough. And lastly, next phase of expansion after Rs. 1,800 crores, what is our asp iration? Typically, w e end up being 123. Ot herwise , we don't enter any particular space. A gain, there is a lot of CAPEX, which has already been announced by the incumbents, hence this question?
Atul Daga : We don't have any plans for future CAPEX as of now. I think it is most important that first we put this up, ramp it up and it will go up to at least 30- 31 where we ramp up to full capacity.
Ritesh Shah: Sure.
Atul Daga : So that takes care of your 5 years, t hat takes care of my initial CAPEX plan of Rs. 1,800 crores. Point is, we are not spending more than that as of now.
Ritesh Shah: Perfect sir. Thank you so much. All the very best. Thank you.
Moderator : Thank you. The next question is from the line of Ind rajit Agarwal from CLSA. Please go ahead.
Indrajit Agarwal : Hi, sir. Thank you for hosting the call and thank you for the opportunity. J ust one question, at Rs. 1,800 crore s, if I do.
Moderator : Sorry to interrupt you, Mr. Agarwal, m ay we request you to speak a bit louder .
Indrajit Agarwal : Yes. Thank you for the opportunity. So at Rs. 1,800 crores CAPEX , if I do a 5x asset turn, it is roughly about Rs. 9,000 odd crore of topline . As things stand today, i f I were to take today's number, you will be the number 2 player and if I take , let us say, even 5 years out, you will

probably not be in the top 3. So again, what would be our right to win in terms of the brand over here? I understand the distribution channel and all , there is a lot of similarity. So would we go more aggressive on pricing or would it be more like we will see a significant change in distribution, how is the approach on the marketing and sales side?
Atul Daga : We are going to follow our distribution model, which is akin to the industry. Our rights to win as I already indicated in the document which we uploaded , a brand which is very well respected and recognized , our UBS network, which gives us

a head start , our B2B relationships, very strong relationships with the builder community and we have access to the end users and the influencer’s community like nobody else. We are the only Company on cement, wh ich is truly Pan India and with a connect of over 135,000 touchpoints, our technical services team, which is almost 2000 people plus, t echnical services team 2000 people plus who are there on the field who have the Intel on where, what project is going on? What is the requirement? I think i t is the UltraTech advantage which will come to play.
Indrajit Agarwal : Sure. My second question is, if I look at the industry, while it has grown at 13 %-14% CAGR in the last 5 -6 years in topline, part of it has also been helped by higher copper prices, depreciating rupee and all and CAPEX cycle has been l ike never before. Now with a deceleration in government spend on CAPEX, if I add up all the capacity announcement in the Cables and Wires segment, it is already about Rs. 10,000 crores , adding to it, your Rs. 1,800 scores of ballpark Rs. 12,000 crore. So on a Rs. 80,000 crore industry, we have roughly about Rs. 50,000 odd crore of incremental revenue potential. So do you see pricing pressure in the industry as a whole, not just because of UltraTech , but overall in the industry because of the capacity expansion by the incumbents as well ?
Atul Daga : I don't think so, because I believe the industry size would be close to Rs. 60,000-Rs. 70,000 crores . Sorry , it is close to a lakh crore of rupees and even if it is growing at 13% -14%, the incremental capacity expansion is justified. And we believe there is room for one additional player. That is all. So don't think it requires any price, there wil l be any pressure on prices. And with the growing market, we will also be able to find our place.
Indrajit Agarwal : Thank you. That is all from my side.
Atul Daga : Thank you.

Moderator : Thank you. The next question is from the line of P rateek Kumar from Jefferies. Please go ahead .
Prateek Kumar: Hi, sir, a couple of questions . Firstly on, can you share like some feedback from your channel partners, you may have had regarding the launch of new segments including UBS and maybe elsewhere?

Atul Daga : Prateek, I didn't understand your question.
Moderator : I am sorry to interrupt you, s ir. You are n ot audible, Prateek. It is breaking a lot. Sir , may be requested to please check your connection and rejoin the queue. Thank you. The next question is from the line of Ashish Jain from Macquarie, India. Please go ahead.
Ashish Jain : Hi, sir. Good evening. My first question is, in terms of adjacencies, is there something which we haven't evaluated in this round or with whatever you listed in terms of pipe , tiles, everything is done?
Atul Daga : Ashish, I have not evaluated air. I can't supply air in the house. But the point is we have evaluated everything logical and possible. We are not looking at consumer durables, if you count that as an adjacency because it is something in the house that is way out. So wha tever goes into construction value chain is what I talked about , Ashish, we have looked at everything possible, everything logical. The room which I am sitting in there is a carpet on the floor which is part of flooring , but no , we are not getting the re. There will be N number of things, b ut core construction value chain we have examined and kind of put to that .
Ashish Jain : Sir, if I can just harp on this a bit more like a lot of the cable and wire companies have ventured into, let us say lighting , switches , I know it is very farfetched ?
Atul Daga : I already mentioned it i n my commentary, we have also examined lights for houses, lights and fans what is it called FMEG, w e are not getting there.
Ashish Jain : Got it. And this capital number of 1800 is at least

in 2030 -31, w e are well ?
Atul Daga : Yes, shade under that. As of now, it is shade under that, given the design and all the plan of the facility.
Ashish Jain : Right. And s ir, secondly, in terms of technology and all, how do we get it? Is there a cost attached to it? Are w e talking to?
Atul Daga : It is part of my CAPEX cost.
Ashish Jain : But you are talking to like some third party who will be hand holding us and is there a cost attached to it because that will a bearing on the margins and all ?
Atul Daga : So we will be looking at technology partners with us, but the cost has already been factored in the Rs. 1,800 crores of CAPEX that has been provided. A nd what we also understand is that this techn ology is readily available .

Management : So when we took advice on , Ashish , on the overall CAPEX cost and the sources of technology, I think that is how we got help and assistance in building the business model and the CAPEX plans .
Ashish Jain : So just to confirm it, tech related cost is a onetime cost you are saying if you are factoring it in your CAPEX.
Management : What is tech related cost?
Ashish Jain : No, basically the technology r elated ?
Management : Yes, it will be onetime co st.
Ashish Jain : Onetime cost and i n terms of the product mix, are we planning to be more wired versus?
Management : There will be, I think, 60- 40 wire cable.
Ashish Jain : 60-40 wire cable. Fine. Thank you, sir. Thanks. Best of luck.
Management : Thank you, Ashish.
Moderator : Thank you. The next question is from the line of Rahul Gupta from Morgan Stanley. Please go ahead.
Rahul Gupta : Hi. Thanks for taking my question. So, j ust one question , I know this 18 billion CAPEX is a small number in an overall scheme of things, but any inclination how this will be divided over the next couple of years or most of it would come in the front loaded or towards the Fiscal ‘27 ?
Management : My guess is more or less equal, but it will obviously like any other CAPEX money, it taper s down towards the end when 1800 and from cash flow point of view will be retention monies which will be held back , so don't have a very clear guidance on that, but it should be evenly spread out.
Rahul Gupta : Great. And Atul, sir, this would be too premature to ask , but would you be building a team separately or it would be in -house putting?
Atul Daga : No, there will be specialists and there will be generalists , so generalists can be from within our

team. I will be a generalist. I am not letting my portfolio to be taken away by anybody else. But there will be specialists who manufacture, w ho know the tech part, the distributor or the sales guys will be separate because we cannot compromise on the sales time of our sales people for cement.

Rahul Gupta : Got it. This is very helpful . Thank you so much and all the best.

Moderator : Thank you. The next question is from the line of Amit M urarka from Axis Capital. Please go ahead.

Amit Murarka : Hi, g ood evening, Mr. Daga Atul . Beyond this Rs. 1,800 crores, will there be any working capital requirement or let us say some investment on brand building and marketing that will be required in the initial years?

Atul Daga : So brand building will be part of my P&L , of course and working capital, I am working towards a very minimalistic working capital. A mbition is like UltraTech , like a cement business , we will want to be negative working capital.

Amit Murarka : So broadly, the two talking points we can think?

Atul Daga : And the ambition, don't hold me to it, but that is what we are working towards.

Amit Murarka : Got it. So total capital employed itself will be, let us say Rs. 2,000 crores ballpark?

Atul Daga : Not more than that. If there is initial year of , not more than that,

because there will be some initial spending before revenue start kicking in, not more than that.

Amit Murarka : And the 60-40 split that you gave for wire cable, is it for CAPEX or revenue target?

Atul Daga : Revenues .

Amit Murarka : And CAPEX split would be want the n roughly?

Management : Also, some of the facilities are common, so it is very difficult to break that out because what we understand is that the technology is common up to a particular extent and then it gets di vided between Cables and Wires , so n ot possible to segregate fully.

Amit Murarka : And just lastly on the cement c apital employed of 1 lakh crore that you mentioned, so I believe it will be roughly Rs. 80,000 crores by F Y27 once we are at 211 million tons , is th at the way to look at it, beyond that, we ?

Atul Daga : Amit, we are already at Rs. 80,000 crores and if you saw the chart, I think we are spending next 2 years Rs. 20,000 -Rs. 25,000 crores on cement.

Amit Murarka : Right . So beyond 27 , plans will be announced maybe annually when we are closer to it.

Atul Daga : Yes, will be announced. I gave you in my commentary I already gave you indication , we are already at 28% of India' s capacity. India is growing. We will grow faster than the industry organically and inorganically.

Amit Murarka : Sure. Thanks a lot. That is all for me.

Moderator : Thank you. The next question is from the line of Sanjeev Singh from Motilal Oswal . Please g o ahead. Sanjay Singh, please go ahead with your question. Your l ine is unmuted.

Atul Daga : Next question, please.

Moderator : Next question is from the line of Pat eek Kumar from Jefferies. Please go ahead.

Atul Daga : He is not there.

Moderator : Prateek Kumar, we will request you to go ahead with your question. As there is no response, we will move to the next question, which is from the line of Piyush Khandelwal from Motilal Oswal. Please g o ahead.

Piyush Khandelwal : Thanks for the opportunity. I just wanted to ask on this team building as well. Will there be a separate CEO for this division or you would be considering the same set of people be running the business?

Atul Daga : There will be specialists, certainly, and I think beyond that, once the team is in place, we will let you know, but there will be specialists required for this business , like for our BPD, what we call Building Products Division, I have a separate CEO running that operation, maybe he will manage it if he has a bandwidth.

Piyush Khandelwal : Got it. And when I look at your PPT, you mentioned that especially in the cable side, you are looking at LT c ables , I just wanted to ask, would you be looking at some high tension, medium tension cables or EHV cables as well? Or is it just the wires and low -tension cables?

Management : So currently, the plan is to only go after low tension c ables. We are not evaluating the HT and EVH at this stage.

Atul Daga : The next question , please.

Moderator : Thank you. The next question is from the line of Prate ek Maheshwari from HSBC Securities. Please go ahead.

Prateek Maheshwari : Hi, sir. T hank you for the opportunity. Sir, I just wanted to understand if you could give any color on how much , like how are you guys thinking between wire and cables and if there is any bifurcation in mind on how much the CAPEX could be between the two?
Atul Daga : No, I think the question is asked Prateek, because there will be a lot of common facilities, so it will be very difficult to segregate.
Prateek Maheshwari : But time to market first wires and then later cables is correct for this side ?
Atul Daga : Yes.
Prateek Maheshwari : And sir, second thing, just wanted to understand this from my ambition perspective like how much is the ROCE that you would be looking at for this business stay some

where in FY 31-32?
Atul Daga : 25ish .
Prateek Maheshwari : Thank you so much.
Moderator : Thank you. The next question is from the line of Raghav Malik from Jefferis. Please g o ahead.
Raghav Malik : Hi. Thank you for the opportunity. So just a few questions, t he first one was, is there any kind of feedback that you have got from your channel partners maybe at UBS as well, sort of about this if there has been some initial conversation around this segment coming in, that is a first question?
Atul Daga : As far as my U BS partners are concerned, they are very excited because the kind of brand loyalty and brand traction that we have, they will definitely be excited to have a product from UltraTech on the shelf.
Raghav Malik : Got it. And those are actual source of indication you can give on the kind of marketing or promotional kind of spends that you woul d be doing for wires and cables or maybe even together like as a percentage or quantum ?
Atul Daga : Difficult to pin down a number, but obviously in the initial year, it might be high and then settle down in line with the industry . That is a new product launch we have to do to get it going.
Raghav Malik : And we are expecting like similar margins to other industry players eve n right of the back from 31 when you get full scale of revenue ?
Atul Daga : 31 will be a mature state. That is obviously in line with the industry. Initial year might be much lesser because we would be building, r amping of the capacity and building the network, building the brand, establishing ourselves . 31 will be a mature state.

Raghav Malik : Got it. And sorry, just last one , like paint which was talked about in 2021. So is there some like sort of like now that this is out, is there some sort of timeline for this idea or you sort of conceptualized it to now you are going to execute the wires and cables division, if you could give any color on that ?
Atul Daga : You mean w hen did we start thinking about it?
Raghav Malik : Yes, something on that.
Atul Daga : Let me give you a bigger picture. In a Company like ours , in a group like ours, there i s a think tank which keeps on evaluating ideas and if an idea is attractive, any Company would latch onto it and our think tank I believe has been working on this idea for some time before concluding it, finalizing it and bring ing to the table , so not really a zero start date or end date.
Raghav Malik : Got it, sir . Thank you.
Moderator : Thank you. The next question is from the line of Akshay Gatt ani from UBS. Please g o ahead.
Akshay Gattani : Hi, sir. Thank you for the opportunity. So in terms of channel mix for cable and wire business , which you will be doing, so wires, I believe it will be mostly distributor led, but in cables , you will be doing complete distributor lead or you will be also doing institutional business as well ?
Atul Daga : Mix because as I mentioned that is the advantage which UltraTech brings to the table whether our connect with infrastructure community or real estate community , we are directly in touch with them. And distributors also will be used , sales promoters will also be there as well as our direct connect with our customers.
Akshay Gattani : Alright, thank you, sir . And other questions are like board approval has received a couple of days back only . So ground breaking is yet to happen, but in terms of plant and machinery and organizational structure , like plant and machinery vendors identified and in terms of organizational structure, like any progress you made or it will be subsequent development ?
Atul Daga : The team structure identified people are being taken on board , location identified as I mentioned, it is very close to copper facility , copper source, l ocation identified , the plant layout , engineering started , design d one. So we are good to go and deli

ver on or before December 26.
Akshay Gattani : And plant and machinery is also identified ?
Atul Daga : Yes, sources identified but without board approval , I can't place the order . Now that the board has approved it , we wi ll get into the next stage.
Akshay Gattani : Got it. Thank you.

Moderator : Thank you. The next ques tion is from the line of Neha r Dave from II FL Capital. Please go ahead.
Neha r Dave : Hi, sir, good evening. Sir, just o ne question sir, in terms of the paint business also, it is a similar sort of situation wherein the Birla House has gotten into a market that is sort of dominated by a few players . So what are some of the strategies that you would like to implement from that implementation into Cables and Wires s?
Atul Daga : The industry is growing at a healthy 12% -13% has shown that growth and will continue to grow and whilst industr y is growing 12 %-13% , my team tells me organized market might be growing at a faster pace. Given that scenario, I guess we will settle in very well within the overall ecosystem.
Neha r Dave : And sir, any reason that this is not into Grasim’s books and in UltraTech books, is there a particular name?
Atul Daga : As I explained, the construction value chain design, which is an architect work construct which is cement and then comes electrification . So, in a way, I would say , we build a wall and now we are wiring the wall or we are getting behind the wall. So that is the coexistence, design construct enabling as wiring and electrification , etc. Decoration is where paint comes in and that is why it was not as an immediate adjacency for us. This is an immediate adjacency for us, makes more sense because we h ave a business connect , we have a connect with the individual home , we have a connect with contractors who influence the electrician , we have a connect with the EPC companies who do all the mega in fra projects, whether it is an airport or anything else and that is why it makes more sense for us to do this project.
Neha Dave : Got it. Thank you very much , sir.
Moderator : Thank you. Ladies and gentlemen, that was the last question for today. On behalf of UltraTech Cement that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: May 2025

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2nd May, 2025

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Corporate Relationship Department
Scrip Code: 532538 Listing Department
The National Stock Exchange of India Limited
Scrip Code: ULTRACEMCO

Sub.: Transcript of Q 4 FY-25 Earnings Conference Call of UltraTech Cement Limited ("the Company")

In terms of Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached transcript of the Q 4 FY-25 Earnings Conference Call conducted after the meeting of the Board of Directors of the Company held on 28th April, 2025 , for your information and record.

The same is available on the website of the Company viz. www.ultratechcement.com

Thanking you,

Yours faithfully,
For UltraTech Cement Limited

Sanjeeb Kumar Chatterjee
Company Secretary and Compliance Officer

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"Ultra Tech Cement Limited
Q4 FY 25 Earnings Conference Call "
April 28 , 2025

Moderator: Ladies and gentlemen good day and welcome to the UltraTech Cement Limited Q4 FY '25 Earnings Conference Call. We must remind you that the discussion on today's call may include certain forward -looking statements and must be therefore, viewed in conjunction with the risks that the company faces. The company assumes no responsibility to publicly amend, modify or revise any forward -looking statement on the basis of any subsequent development, information or events or otherwise.

As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded .

I now hand the conference over to Mr. Atul Daga, Chief Financial Officer of the company. Thank you, and over to you, Mr. Daga.

Atul Daga: Thank you so much, Michelle and good evening, and a very warm welcome to all of you for this earnings call for Q uarter 4 , FY '25 for UltraTech. It's a maze of numbers, which we'll try and help you decipher.

I believe the world is redefining its ways of working. The uncertainties around the U.S. tariffs are making people wonder what to do next. I believe investors and industry captains globally must be revisiting their business strategies. But we, in cement in India, continue our work with a renewed focus on the growth opportunities that are unfolding in the country.

To give you a heads up, this year cement industry has ended with a capacity of about 655 million tons, up from 625 million tons . And at UltraTech, out of this 30 million tons of new capacity addition, almost 57% has been added by UltraTech. However, our overall capacity share in the country has gone up from 140 million tons to 184 million tons, an addition of 42.6 million tons under our fold with the 2 new acquisitions that we had done.

We believe that this quarter, cement demand overall for the country would have grown around 4%. And in that backdrop, UltraTech has done close to 10% volume growth. Last quarter of fiscal '25 was very eventful for us at UltraTech. After a tedious long -draw n process, we successfully completed the transfer and registration of mines in Telangana and Karnataka for the cement units that we acquired from Kesoram.

With effect from 1st of March 2025, we have fully taken charge of these units. After obtaining an unconditional CCI approval, we had started working with these units earlier on, helping them improve their performance. Happy to inform that our efforts have been reflected in their performance in the first month of operatin g control that we took charge.

We started operating these assets from the 1st of March '25 , though as per NCLT approval, the financial performance of Kesoram with effect from 1/4/24 has to be consolidated with the financials of UltraTech. As a result, in the quarter ended March '25, whilst effectively we were

managing the operations from 1st March '25, the results for the quarter are a mix of performance by old management and the new management.

India Cements, we took over the company from the Christmas of December '24. I'm delighted to inform you that the company has achieved an EBITDA breakeven in the first quarter after the takeover. Second case of sweet success was sales of more than 1 million metric tons in the month of March by India Cements.

With prices improving in the South markets from April, this will only reflect in further improvement in the company's performance. During this year, we target to cross an EBITDA per metric ton of INR500. FY '27 should be crossing INR800 and thereafter, a 4 -digit mark. The team has chalked out

a capex plan of about INR1,500 crores for India Cements, out of which INR1,000 crores is towards WHRS and other profit improvement opportunities with a payback period of less than 3 years. This will be spent in fiscal '26 and '27 and the benefits will start reflecting in the performance of the company in the quarter of Jan, March '27.

We have also identified brownfield expansion opportunities in the network of India Cements for future. At UltraTech, we never have a dull moment. We grabbed a small opportunity to
strengthen our position in the white cement business with the acquisition of cement putty
manufacturing facility. This is a small transaction, which should get concluded in the next few days.
Good things have a cost. Yes, we have leveraged our balance sheet, but are not alarmed at all
with the current position. Net debt -to-EBITDA is what we ended with 1.16x at the end of March
'25. With the sales volumes continuously increasing, performance of the company continuously
improving, EBITDA profile improving, the debt will start receding rapidly.
To tell you about capex plans, we spent about INR 9,000 crores on our organic capex this year.
FY '26 also would amount to about INR 9,000 crores to INR 10,000 crores of capex , out of which
INR7,000 crores is towards strategic investments, the ongoing expansion program, which will
take us from the current capacity of 184 million tons , 184 million includes India Cements and
Kesoram capacities also from 184 million to take us to close to 212 million tons of capacity in
India .
Cost improvements, we are on course to deliver the overall plan in the 3- year time window. Last
quarter, several questions had been asked, and I promised to present to you the annual
performance because quarter -to-quarter measurement might not be meaningfu l. Hence, we have
disclosed a detailed calculation of the cost improvement, efficiency improvement that we have
achieved already by the end of fiscal '25. This program will continue as promised.
We will deliver upwards of INR300 per ton in efficiency improvement. As for demand, we are
seeing positive movement in government spending. Several new projects have been contemplated, which will assist in a steady cement consumption year -on-year. The beginning of
the year is slightly weak becaus e of very heavy heat or high heat that is prevailing, the heat wave
that is prevailing in the country, which slows down the construction activity in a bit.

States like Andhra and Bihar, in particular, are seeing renewed focus in terms of spending on
roads and other infrastructure growth. I believe once this heat subsides, in fact, Bihar, I
understand rains have already come in and temperatures are coming down , we should start seeing
improvement in sales performance or volume uptick in all the parts of the country.
Urban real estate has shown some signs of slowdown, but this, I believe, as per experts is only temporary and will start seeing -- we will start seeing urban housing demand to go up further.
As for costs, fuel prices, as you're all aware, increased during the early days of the quarter.
However, it seems to be in check with the continuous increase in oil output of the U.S. refineries
and softening global crude prices, the overall cost of coal, pet coke have not seen too much of movement.
We've also seen the various initiatives or various announcements which the U.S. government has made about the tariffs, which are having an indirect impact on ocean freight also, but we'll have to wait and watch on how things settle down and how the costs behave. As for prices, the
quarter and the current month saw some improvement in prices, but I'm sure you are all very aware of how things are moving, and you have more information around that.
To conclude, this quarter, our organic capacities, if I were to measure like-for-like, we did an
EBITD

A per ton of INR1,270 per ton . With the performance of Kesoram added for full quarter
January, February, March '25, this INR1,270 drops down to INR 1,238 per metric ton. I think the
going is good.
The capacity utilization that we achieved was 79% on an effective capacity available for the year
of 150 million tons . Mind you, the effective capacity is important to know, whilst our year -
ending capacity was significantly higher, the effective available capacity weeds out the impact
of non-availability of capacity through the 12 months.
New capacity that were added have already given us a head start. This 150 million tons becomes
about 158 million tons of capacity available. And further to that, the 25 million tons of the
acquisitions, that is what makes up our available capacity to take advantage of the growth
opportunities that will be available in the country.
Thank you, and over to you for questions.
Moderator: The first question is from the line of Prateek Kumar from Jefferies.
Prateek Kumar: Congrats for great results. My first question is on your remark in the press release. I understand like most other sector part -- industries are saying that there is generally an improvement in on
the ground macro overall. But we have mentioned that the sector may face short -term challenges
while the long term is better. Any specific reason for this remark? And how should we look at volume?
Atul Daga: Prateek, I'll define my short term as this quarter. As I mentioned, the heat impact is very high.
Otherwise, things are going very good.

Prateek Kumar: What is the expectation on volume growth? I mean, while you mentioned like 7% to 8% like long term, but for FY '26 because heat wave impact was there last year also.
Atul Daga: Prateek, we expect to grow double digit this year on a higher base.
Prateek Kumar: Double digit on like -for-like or this is including -- of course , including India Cements, you should probably grow 20%, including the 2 new entities?
Atul Daga: Yes, like -for-like double digits. So I think I was informed about the concerns about the last line in our press release. But short term is really short term from that perspective, it's perhaps April and the month of May, which is essentially linked to the high temperatures that are soaring in the country.
Prateek Kumar: Lastly, on prices, can you just throw some light on the current pricing versus average last quarter pricing?
Atul Daga: I think I would have asked you that question. You know the prices on the ground better than we do. So generally, in fact, I had mentioned that prices have seen improvements in this month as compared to last quarter or as compared to March end.
Moderator: The next question is from the line of Indrajit Agarwal from CLSA.
Indrajit Agarwal: A couple of questions. First, the 10% volume growth that you mentioned, that is organic like - for-like, right, versus 4% for the industry?
Atul Daga: No, that takes into account the Kesoram volumes also that we have rebranded as UltraTech also.
Indrajit Agarwal: Broadly, excluding that, we will still be above mid -single -digit, right? I mean organically?
Atul Daga: Yes.
Indrajit Agarwal: And you mentioned about the profitability trajectory for India cement and that the benefits come through in 4Q '27. So in this period in FY '26, '27, what are the levers that will take the profitability from breakeven to let's say 500 and 800...
Atul Daga: So let me again clarify or explain properly what I mentioned. The investments which are being done in things like WHRS, alternate fuel, renewable energy, et c, renewable energy will happen earlier. WHRS is the most long lead. There are some cooler upgradation. All those elements will start delivering returns after completion of work, which is the last quarter of fiscal '27. So that is one aspect.
Second, from here

onwards, where this quarter, their operating EBITDA or total EBITDA was INR40 a ton , improvement in volumes, which is capacity utilization at India Cements,
improvement in margins by way of prices, by way of cost efficiency, improvement in logistics cost, overhead optimization, practically, all elements of the P&L are getting addressed f or improvement.

Indrajit Agarwal: Sure. And lastly, one more. In terms of Kesoram, are we looking to rebrand it entirely to UltraTech or we retain that brand?
Atul Daga: Over a long period of time -- long period as in short period, long period is very confusing. Over a period of time, yes, it will get rebranded.
Moderator: The next question is from the line of Amit Murarka from Axis Capital.
Amit Murarka: So just on India Cements as well. So Kesoram will be gradually rebranded, but India Cements will stay an independent brand? Or will you enter into some tolling arrangements?
Atul Daga: We will -- same thing, we will enter into a tolling arrangement and gradually convert India Cements brand also into UltraTech. India Cements, they themselves have some very powerful brands. So it will be a mix and match. And we will get into the rebranding exercise for India Cements also.
Amit Murarka: Sure, sure. So any sense by when can we expect a full transition of India Cements into UltraTech brand?
Atul Daga: 2 years' time, which is fiscal '27 -- by end of fiscal '27.
Amit Murarka: Sure. And I believe by then the upgradation program also gets completed for India Cements, as you mentioned.
Atul Daga: Yes, please, because quality upgradation is very important. So...
Amit Murarka: Okay. And the last question will be on the blending ratios. So there has been a consistent increase in your CC ratio now 1.45. So what is the number that we should think of 1 year hence or maybe like ultimately, if you have any target in mind to go to 1.6 or something like that?
Atul Daga: So we have already spelled it out. By the end of fiscal '27, we are targeting to reach 1.54.
Moderator: The next question is from the line of Ritesh Shah from Investec.

Ritesh Shah: A couple of questions. First is, sir, on the leverage.
Atul Daga: Nobody is saying good set of numbers, why is that?
Ritesh Shah: Good set of numbers, sir. Congratulations.
Atul Daga: Thank you.
Ritesh Shah: Sir, a couple of questions. One is, what sort of leverage will we be comfortable with on net debt to EBITDA?
Atul Daga: 0.5x.

Ritesh Shah: Any time lines to reach that?
Atul Daga: Then I have to give you a forecast.
Ritesh Shah: That's what I want.
Atul Daga: I'm a little smart.
Ritesh Shah: Okay, fine. Sir, my question...
Atul Daga: On a serious note, Ritesh, you have seen UltraTech's performance. In the past, when we had leveraged, in fact, to 3x, we brought it down rapidly in about 2 years' time. I think this is -- and now when we are at 1.16x on India balance sheet, volumes growing up, EBITDA improving, we will bring it down rapidly.
Ritesh Shah: Okay. Sir, second question is on the supply at the industry level. As per your estimates, what are we looking at 40 million tons , 50 million tons for FY '26, FY '27 as future average?
Atul Daga: Anywhere between 40 million tons to 50 million tons and our 16.8 million tons is guaranteed.
Ritesh Shah: Okay. And sir, have you noticed anything difference in pricing and discounting trends, specifically in South? Given demand hasn't moved much, but pricing is one way up. How should we understand this?
Atul Daga: I don't think so any difference is there.
Ritesh Shah: Okay. Sir, possible to indicate the current prices versus March exit or Q4 averages?
Atul Daga: No, too difficult, yes, it's 28th of the month. But all I had said was, yes, we have generally seen an improving trend.
Ritesh Shah: Sure. And sir, just last question. You indicated on India Cements, we are looking at certain brownfield optionalities as well. Can you provide some color over here? And we understand there's a lot of lease expiry, which India faces come 2030. So how are we looking to overcome that particular variable?
Atul Daga: So as I mentioned, there are opportunities identified. Timing not decided. Timing will be decided taking into account the demand opportunity that exists in the marketplace. And just one second, Jhanwarji, go ahead.
Kailash Jhanwar: Yes, KC Jhanwar here. So I think as Atul said rightly, because it is a little early, yes, we have identified certain areas where we can do the brownfield expansion. And the lease of 2030 may not pose a problem because even as per the first right of refusal would be to the existing leaseholders. So it can be a little bit price, but not anything to do with the rescope the lease .
Atul Daga: So nobody will lose their min e, Ritesh, rest assured.

Ritesh Shah: Sure. Sir, just a follow -up. There was expectation about basically mines being auctioned in the state of Tamil Nadu. Has there been any progress over here? And would UltraTech also be interested if any of the events play out?
Atul Daga: We will be interested, but there is no date yet. As of now, I think May 4. We are in April. May 4 or 5 is a technical bid submission, the last date, which I remember. No extensions have been announced as yet.
Moderator: We'll take the next question from the line of Rahul Gupta from Morgan Stanley.
Rahul Gupta: Atul sir, I have one question, just a clarification on medium - to longer -term understanding of cost improvement. So you have guided for INR 300 cost improvement and towards that, we have already achieved INR 86 in fiscal '25. Now how do we see this from the lens of Kesoram and India Cements consolidation, given majority of the cost benefits will start reflecting from fiscal '27 end? Does this mean that we will see some tail benefits on the consolidated entity fiscal '28 and beyond? Just trying to understand how should we look going forward?
Atul Daga: Let me try and answer that question. When we made this plan, this was on our existing UltraTech operations, did not include India Cements and Kesoram operations. As for India Cements, we have started off this quarter with an EBITDA per ton of INR40, which will cross a 4 -digit mark in fiscal '28, which is I'm giving us 3 years to deliver that. So their efficiency improvement program, of course, there are investments which are being done.

The efficiency improvement will be carried out in parallel for India Cements set of operations. So is the case for Kesoram set of operations. There, I believe they are already -- they are ahead of India Cements, and they will start delivering by 1 year pri or to India Cements. So the efficiency improvement program for those entities or that capacity, 25 million tons of capacity will run in parallel without compromising on our 300- plus efficiency improvement for UltraTech as is. I hope I am able to answer yo ur question.

Rahul Gupta: Got it. So just to understand this -- just one small clarification. So we may not have apple-to -apple comparison by fiscal '27, but we would continue to see benefits and India Cements and Kesoram would really start seeing fiscal -- every year actually.

Atul Daga: Every year, every quarter.

Moderator: The next question is from the line of Pulkit Patni from Goldman Sachs.

Pulkit Patni: And thanks for putting that slide where you've spoken about individually which are the cost line items and what is the contribution. Now if I look at the numbers that you have, your guidance for FY '27 and in case of renewables FY '30, plus what you are sa ying for India and Kesoram in terms of EBITDA improvement, then even if the ind

ustry doesn't take any price increase, for us as a consolidated entity to go up about INR 250 to INR 300 EBITDA per ton from here till FY '28 should be fairly easy. Is that understanding correct? Or in your assumption, there is some

price increase that you have baked in when you talk about India's INR 500 and Kesoram slightly higher EBITDA per ton next year?

Atul Daga: Pulkit, on our Excel spreadsheet, everything kept constant, yes, INR 250, INR300 is very likely. It is happening. But there are so many moving parts in the country. Take the case of the royalty, which was imposed in the state of Tamil Nadu, which is INR 150 a ton or something else that happens. So those factors have to be taken into account as well or pet coke prices moving up. So many moving parts, it's really difficult to put all of them down in the Excel model. However, these efficiency improvement programs and if somebody were to do a math on lead distance, my team is so specific that they have calculated the advantage only o n primary freight, okay? So we are very, very specific. If you look at the calculation on renewable energy, it is on the basis of capacity utilization. It is on the basis of PLF that the renewable energy projects will deliver. So we are going very, very specific, very precise inst ead of giving you a rounded ad hoc number.

This 300, which is actually going to be upwards of 300 on our existing capacity will happen. Whether that amount gets translated into -- 100% of that amount gets translated into EBITDA per ton, I have -- I don't have an answer.

Moderator: The next question is from the line of Sumangal Nevatia from Kotak Securities.

Sumangal Nevatia: Thanks for the Slide 24 with a lot of granular details. Just a few clarification on this. So this INR300, which you are saying is above this INR 86 or it includes this INR 86? Just what is the base here?

Atul Daga: I can be greedy. You don't be greedy. So we had made an INR 300 program, out of which this is INR86 delivered.

Sumangal Nevatia: Okay. Understood. Understood. Got it. Okay. Atul, on FY '25 industry growth of 4% and our growth, is it possible to share some region-wise color, I mean, in terms of volume growth?

Atul Daga: So capacity utilization, if I look at, UltraTech operated at an average of 90% capacity utilization, which would vary, range from 85% on the lower side to 97% on the higher side.

Sumangal Nevatia: All right. Can I just ask one last question on the CW segment, since the time we had this call last month, any new update in terms of hiring, any tie -up, anything which you would like to share?

Atul Daga: Critical positions, 1 or 2 critical people have been hired or sorry, offers have been made. Orders have been placed for long lead item, drawings work has been completed, and we are committed to start revenues as planned by December '26.

Moderator: The next question is from the line of Raashi Chopra from Citigroup.

Raashi Chopra: And just on India Cements, Atul, you said that the EBITDA per ton should likely cross about INR500...

Atul Daga: This year, Raashi.

Raashi Chopra: Yes. So this is essentially -- I mean, is this largely to do with the whole rebranding? I mean if

you could sort of break up the slide a little bit.
Atul Daga: Difficult to break up, a lot of efficiency improvement, which is being driven by working capital, improving the working capital cycle, which means cost of purchase is coming down, production efficiency is being improved.
Raw mix -- technical team is changing the raw mix design, which is helping reduce the costs.
Prices will support overhead rationalization, which is taking place because we don't need same set of -- same kind of overhead, what else? So fuel efficiency is co ming in. Everything is helping add to the improve

ment program.
Kailash Jhanwar: And just to add, I am Jhanwar here, because there are multiple moving parts, so it starts right from the cost side up to the marketing cost stage, as Atul already explained. It's difficult to quantify. But yes, the plan is very much in place.
Atul Daga: So Raashi, all elements are being addressed and attacked. I mean I was so thrilled when I saw March volumes, and I mentioned it on my -- in my commentary. March volumes, India Cements have never done 1 million tons in their history. It speaks for itself.
Raashi Chopra: Got it. Just to rephrase my question, is any of the INR 500 going to come from pricing? Or this whole thing is on the cost and efficiency as in rebranding price?
Atul Daga: Price improvement also to the extent Jhanwarji you tell.
Kailash Jhanwar: Yes. Maybe the logistic cost optimization.
Kailash Jhanwar: Because fundamentally the NCR is also driven from the logistic cost. So the logistic cost, again, is in the 2 parts. One is the cost optimization, then the placement of product and some synergy benefits here and there. So it's an overall game plan to impro ve the working.
Atul Daga: To supplement what Jhanwarji just mentioned, it's market mix change. So we -- as we add one more plant to the network, our efficiency keeps on improving. There, I will not shy away from saying that prices can play a benefit, but we are not counting on that.
Raashi Chopra: Understood. And on Kesoram, if you were to exclude the Kesoram volumes and how much -- what was your volume growth or if you could just share the Kesoram volume?
Atul Daga: 6% to 7%.
Raashi Chopra: And here, I would imagine that there's not a lot of scope for the EBITDA per ton improvement.

Atul Daga: There is. No, no, there is. So we would touch a 4 -digit mark for Kesoram set of assets in the last quarter fiscal '26. But mind you, again, it is very difficult for us to draw a P&L by plant because it's at a zonal level. Now just to give you further -- let me try and explain again.
We have Sedam one plant, which we acquired from Kesoram, and we have our existing capacity also in the same -- very close to the same location. Both combined start meeting the market requirements. So drawing up a P&L at a plant level is not practical from our perspective.
Moderator: The next question is from the line of Satyadeep Jain from AMBIT Capital.
Satyadeep Jain: A couple of questions. One on capital allocation and the other one on the acquisition. First, on capital allocation, given you have now 2 assets that you're looking to integrate, you have the wire and cable business also. Would you say that your plate is f ull and maybe any additional opportunity would not be of interest at this stage? Would that be a fair assessment?
Atul Daga: No. I think we are always hungry for growth and a good opportunity. Good opportunity has several parameters. So if something exciting is there, we will not shy away.
Satyadeep Jain: Okay. Second, on the acquisition. So first on the profitability for India Cements, you are suggesting INR800 per ton by next year.
Atul Daga: Fiscal '27.
Satyadeep Jain: Initially, the expectation was that this would be similar to UltraTech asset. So once the entire heat consumption, heat rate and power consumption comes down, would you expect this to be at parity with UltraTech assets or there are structural issues which might limit...
Atul Daga: It will be at par with our South assets. Because when we look at UltraTech EBITDA per ton of INR1,270, North markets would be doing significantly higher. So you cannot compare it with our average.
Satyadeep Jain: So typically, your southern assets would be at the lower end of that entire pie of EBITDA per ton that you...
Atul Daga: As of now...
Kailash Jhanwar: As of now, but maybe a year back or 2 years back, Southern

was doing extremely well. So on the cost side, if I may add, actually, we would be well aligned with UltraTech, but the cost cannot
be average of UltraTech because the zone to zone, even within Ult raTech cost differs depending

on the quality of limestone and so much -- so many technical parameters, hardness of the limestone and so on. So -- but yes, broadly, we would be in line with UltraTech.
Atul Daga: Tamil Nadu at one point in time was delivering more than INR 2,000 of EBITDA per ton. So it will be in line with our South performance.
Satyadeep Jain: Just a follow -up to that EBITDA per ton that you mentioned in Tamil Nadu ...

Moderator: May I request you to please re-join the queue for follow -up. There is a long queue that is awaiting to ask questions . Thank you.
We'll take the next question from the line of Navin Sahadeo from ICICI Securities.
Navin Sahadeo: Sir, two quick questions. Sorry, I missed this. Kesoram volumes in Q4 was how much?
Atul Daga: Ankit, how much volume?
Atul Daga: 1.53 million tons .
Navin Sahadeo: 1.53 million tons. And just my second question sir was since we took charge of this asset from 1st of March, so brand transition will happen over time in the sense or there is a fair amount of brand transition already happened? I'm only asking to understand from a perspective that South as a region has seen, I think, a decent price improvement in April. So will it be fair to assume that Kesoram gets a higher delta of brand conversion and the price hike?
Atul Daga: Difficult one. But yes, as brand conversion progresses, they will get an advantage.
Navin Sahadeo: And just one last clarification. When you give capex guidance of around INR 9,000 crores to INR10,000 crores for FY '26, it includes the one for cables and wires business, right?
Atul Daga: Yes, they won't have too much of spending.
Moderator: The next question is from the line of Sanjeev Kumar Singh from Motilal Oswal Financial Services.
Sanjeev Kumar Singh: I have 2 questions. First, on the Building Products segment. So revenue is at INR 921 crores, impressive growth of 21%. How are we looking at this segment in next 3 to 4 years? And can you guide us on the return ratios, ROCE which we make in this segment? Because we believe that it's largely related to construction chemicals.
Atul Daga: So easier questions first and nicer questions first. The ROCEs are upwards of 30% to 40%. Growth trajectory, we have achieved, let's say, INR 1,000 crores of revenues. This should go up to INR3,000 crores to INR 4,000 crores in -- INR3,000 crores not INR4,000 crores, sorry, INR3,000 crores in 3- year time window. So every year, we should see an expansion of INR 1,000 crores of revenues.
Sanjeev Kumar Singh: Okay. And second question is regarding the South region prices. It has been discussed a lot on this call also. And historically also, we have seen that the price hike announcement is much higher in the South region. And that also follows the pricing in the East region. But over the next 2, 3 months, historically, we have seen that entire price hike, which has been taken over and that gets diluted. So are you seeing any change in the competitive intensity or any change in the player beha vior in the South region, which gives us...

Atul Daga: I really don't know. I think it's a wait-and -watch game. You guys know about prices far higher than we do. We come to know only after we draw up our monthly accounts. And prices, to my mind, will remain a play of demand and supply.
Moderator: The next question is from the line of Rajesh Ravi from HDFC Securities.
Rajesh Ravi: Congratulations on strong numbers for sure on the margins front. On the demand front, could you share what was the industry growth in Q4?
Atul Daga: Our expectation

is that it should be around 4%.
Rajesh Ravi: Okay. So it did not like inch up to 8%, 9% as was anticipated at the start of the quarter?
Atul Daga: No.
Rajesh Ravi: Okay. Because your like -to-like volume growth also seems to be around 5% for the quarter, excluding Kesoram and India Cements?
Atul Daga: 6% or thereabouts, yes.
Rajesh Ravi: And for the full year, how much is the Kesoram volumes which you are incorporating in the numbers?
Atul Daga: Full year Kesoram volume is 6.86 million tons or 6.87 million tons .
Rajesh Ravi: 6.87 million tons . Okay. And sir, if I compare the presentation with previous presentation, the corporate presentation, I see the WHRS expansion program has been curtailed because in the

current program, which you have shared, I would assume you would be incorporating 50 m illion
tons for India as well as Kesoram, including 9 so -- around 60 million tons , so 60 megawatt.
But if I look at the numbers in the presentation that is absolute number for FY '27 is lower versus what you had guided earlier.
So ideally, it should have gone up by 50 megawatt, 60 megawatt,
but the reported numbers are 10 megawatt, 15 megawatt lower for FY '27 target.
Ankit Sodani: It will come in FY '28, till FY '27 number which is...
Atul Daga: Till FY '27, the number. So, we are adding -- I have given you specifically the numbers on
Kesoram assets, 24 megawatts. And ICL is about 22 megawatts. That's about -- 22 and 24, 46
megawatts of additional which will get added into our network.
Rajesh Ravi: Correct. So now FY '26 -- for FY '27, say, you have guided 500 megawatts, which will include
this 46 megawatts plus 9 megawatts of India Cements so around 56 megawatts. So this 500
megawatts would otherwise -- the earlier presentation was 511 megawatts, wh ich would
obviously not be factoring in India and Kesoram's number.
Atul Daga: Correct.

Rajesh Ravi: So your organic expansion, are there any -- you have curtailed on any WHRS programs on the
like-to-like assets?
Atul Daga: No. No. So once second, just go back to the Excel, that sheet you have. This does not include
these assets, the Kesoram. I'll have to do a reco on that. No curtailment on our WHRS, 44
megawatts will get added further, but to the larger capacities.
Rajesh Ravi: Okay. And lastly, as you guided India Cements, for Kesoram, what was the total EBITDA for
the year as a whole, which you are factoring in?
Atul Daga: For the year as a whole?
Rajesh Ravi: FY '25.
Atul Daga: INR112 per ton .
Rajesh Ravi: INR112 per ton , okay.
Atul Daga: I think somewhere around INR 112 or INR115 per ton . Previous periods, I really don't have a
handle. I'm just doing a console...
Rajesh Ravi: Lastly, if I just -- the volume growth for FY '26, have you given any guidance, if I missed out?
Factoring in the 2 new assets in place?
Atul Daga: We will be growing double digit on our organic capacity.
Rajesh Ravi: So excluding Kesoram and India Cements, you're saying you'll be growing double digits.
Atul Daga: Yes. So that will be an added.
Moderator: The next question is from the line of Pathanjali Srinivasan from Sundaram Mutual Fund.
Pathanjali Srinivasan: Good set of numbers. I wanted to know some details on the region- wise profitability and volume
growth.
Atul Daga: Very difficult. As I mentioned earlier, the average capacity utilization for us is about -- for our
like-for-like is 90%, lowest being 85% and highest being about 97% capacity utilization. That's
the best that I can give. Average...
Pathanjali Srinivasan: Industry level, would it be possible for you to share?
Atul Daga: Average EBITDA per ton of INR1,270 on our existing assets. North would be higher -- highest
and others would fall in line because it's best to measure contribution instead of doing an
EBITDA profiling at a regional level.
Pathanjali Sr

inivasan: Sure. And one question related to our acquisition. So the remaining stake that is, what is the plan
there for us? And what would be our payback period for these assets, sir?

Atul Daga: Payback period for cement acquisitions would go to 7, 8 years. We are holding 81.49% 81.49%
of India Cements. The first requirement will be to do an MPS to bring it down to 75%.
Pathanjali Srinivasan: Okay. So we -- would that mean that we would not be acquiring the remaining? Is that the right
understanding or...
Atul Daga: Yes, yes, not required. With 75%, we have good control on the performance of the company.
Moderator: The next question is from the line of Indrajit Agarwal from CLSA.
Indrajit Agarwal: I just want to understand your Northeast strategy. Any change in thought process over there?
We have a stake in Star. So how do we wish to progress more organically or increase stake there?
Atul Daga: So we've been exploring the geography there. We created our entity to comply with all the

regulations. There's something called single -window clearance that approval we have taken. But
when we go down in that geography, there's a lot of issues that are sur facing.
It's not an easy terrain to operate because even if you find mines and plant land, the access roads are not really there and the economics of operating the plant go for a toss depending because of
the various issues that are existing. And hence, we -- since that opportunity came about, we are
investing and holding that -- our position in Star Cement. That's all.
We will continue to work on the Northeast market for a good clean mines and land parcel become
available with access to the various things that are required for a cement asset, access to railway
siding, close proximity to railway siding, access to the highway, if such an opportunity comes
up, we will be the first ones to pounce on that.
Indrajit Agarwal: Sure, thank you so much.
Atul Daga: Just one second.
Kailash Jhanwar: One second, but as far as our presence is concerned, we are present in Northeast. We are
supplying from our existing plants, and we are ramping our volumes in Northeast. So that would
be -- continue to be there. So we have reasonably good presence, not to the level of the local
players. But yes, we are moving forward as far as our presence is concerned.
Moderator: Ladies and gentlemen, we'll move on to the next question, which is from the line of Devesh
Agarwal from IIFL Capital.
Atul Daga: Take the next question. He's dropped out.
Moderator: As the current participant is not answering, we'll move on to the next question, which is from
the line of Raashi Chopra from Citigroup.
Raashi Chopra: Just a bookkeeping question. The realization increase sequentially was 1.6%, including India
Cements and Kesoram. Do you have that with both of them, sequential move?

Atul Daga: This was only UltraTech, I mean, like -for-like.
Raashi Chopra: Yes. So if you -- do you have it with India Cements and Kesoram?
Atul Daga: No, we haven't computed that way. India Cements is a separate balance sheet and P&L. It will
be an arithmetic exercise, Raashi, I don't have it.
Raashi Chopra: Okay. And I don't know if I missed this, but you gave INR 112 as the EBITDA per ton for
Kesoram for the year. And what was it for this quarter?
Atul Daga: INR400 -- INR399.
Raashi Chopra: And 1.53 was the volume.
Atul Daga: Yes.
Moderator: The next question is from the line of Shravan Shah from Dolat Capital.
Shravan Shah: Most of the questions have been answered. A couple of things. Just to understand, sir, if I remove the India Cements and the Kesoram volume for this quarter, the number on like -for-like comes
-- the growth is 5% and for year also 6%.
But do we think that this is -- are we satis

fied with this number or given even the organic
expansion that we have done, obviously, it is throughout the 4 quarters, though the capacity is
not available for full year, but still don't you think that this num ber is on the lower side?
Atul Daga: What should I say? I mean, we want more -- obviously, "Dil Mange M ore wali baat hai" . We
will definitely want to increase our volumes and growth. As I mentioned, next year, we are
targeting a double -digit growth for UltraTech stand -alone, which will get further bolstered with
the capacity -- the sales volumes of Kesoram assets. India Cements assets will be visible
separately in their own P&L.
Shravan Shah: Got it. Second, sir, what was the clinker utilization for the fourth quarter and if possible, for full year at consol level or whatever way you want to say?
Atul Daga: I think I focus more on cement utilization. Clinker utilization is obviously higher than cement utilization. So we achieved 90% cement utilization this quarter, 79% cement utilization for full year on UltraTech.
Shravan Shah: Okay. Got it. And second, sir, the INR 300 cost reduction that we have spoken, so this is by FY
'27 or FY '28, we are saying?
Atul Daga: '27.
Shravan Shah: Okay. Got it. Got it. And for FY '27, what would be the capex number, sir?

Atul Daga: '27. We'll talk about it next year. But it should come down because most of our -- the expansion plan will start coming to a close. So it will not be as high.
Moderator: The next question is from the line of Ritesh Shah from Investec.
Ritesh Shah: Quick 2 questions, sir. Any update on the JP asset under arbitration? Any time lines?
Atul Daga: No, it's still -- award is still awaited.
Ritesh Shah: And sir, any time lines?
Atul Daga: I'll ask a judge and come back to you, Ritesh.
Ritesh Shah: Okay. Sir, second question, you -- basically, pet coke prices haven't come down as probably was anticipated. You did indicate in the initial remarks around indirect impact of ocean freight. Can you provide some more color over here? Is it specific with res pect to the dry bulk cargoes we are looking at? Or are there any other variables which are coming to play?
Atul Daga: No. So see, ocean freight is spiking up, could spike up further. That is one. I have noticed Brent prices have been going down. U.S. output is going up. U.S. crude output is going up, which means availability of pet coke from U.S. refineries should be better. I don't know how China - U.S. trade will behave, how much pet coke will China consume. This will -- this is too difficult to quantify, Ritesh.
Ritesh Shah: Sir, just possible to break up the freight part out of, say, $120, $122 what you have indicated in the presentation?
Atul Daga: $37 to $40 is freight.
Moderator: Ladies and gentlemen, we'll take that as the last question for today. Thank you, members of the management. On behalf of UltraTech Cement, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Jul 2025

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24th July, 2025

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Corporate Relationship Department
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Listing Department
Scrip Code: ULTRACEMCO

Sub: Transcript of Q1 FY26 Earnings Conference Call of UltraTech Cement Limited ("the Company")

Dear Sirs ,

In terms of Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached transcript of the Q 1 FY26 Earnings Conference Call conducted after the meeting of the Board of Directors of the Company held on 21st July, 2025, for your information and record.

The same is also available on the website of the Company viz. www.ultratechcement.com .

Thanking you,

Yours faithfully,
For UltraTech Cement Limited

Sanjeeb Kumar Chatterjee
Company Secretary and Compliance Officer

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"Ultra Tech Cement Limited
Q1 FY '2 6 Earnings Conference Call "
July 21, 2025

M
ANAGEMENT : MR. KAILASH C. JHANWAR – MANAGING DIRECTOR
MR. ATUL DAGA – CHIEF FINANCIAL OFFICER

Moderator: Ladies and gentlemen, good day, and welcome to the UltraTech Cement Limited Q1 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing star then zero on your touchtone phone.
I now hand the conference over to Atul Daga, Chief Financial Officer of the company. Thank you, and over to you, sir.
Atul Daga: Thank you so much , Reyo. G ood morning, good afternoon, and good evening to everyone, and welcome to our Q1 F Y '26 Earnings Call. Let me straight away dive into burning issues with demand. We believe that the markets have been steady to say the least. Fundamentally, the government spend on roads continues with announcements of some new projects and push for expediting land acquisitions. The government capex program has shown a marked improvement in the first two months of this quarter on the low base of April -May '24. We are seeing rising state government spend . States like Bihar, Andhra, Gujarat, Maharashtra are doing much better than the other states Y -o-Y. The country has already built 2,108 kilometers of highways in the first quarter of the current financial year, marking an 8.9% increase Y -o-Y.
Mega projects like Vadhavan port, some dams, Maharashtra Shaktipeeth Expressway - the 802-kilometer Expressway between Maharashtra and South Konkan are starting off. On a full year basis, we believe that the government capex will generate a good growth, marked by a low base of FY '25. This should be all in al l, very good for cement demand.
Diving into our current quarter , actually, we had got used to the double -digit growth until FY '24 year after year, quarter after quarter, and anything less seems to be slow. Consolidated UltraTech Cement has grown at 9.7% Y -o-Y, including Kesoram in both the periods, though for all ends and purposes, Kesoram cement business got consolidated with us or we started managing the operations effectively from 1st March '25. It's been just 4 months. But as per the NCLT scheme, we have consolidated the financials of Kesoram in the last reported quarter, which is April -June '24 which also has been recast ed to include it in our results.
Weather gods, as usual, have been generous this quarter, giving the country relief from the heat waves, but the heat waves caused a lot of turmoil in the initial part of the quarter. T he monsoons now having spread across the country wil l be good for the rural market. Rural markets continue to be doing their swan song and we expect them to grow favorably in the future months and future quarters.
As per some IPC reports, u rban housing has been slow in first half of the calendar . But the number of deals being signed up, land purchases already registered and transactions being undertaken, clearly speak about a rebound, which should be visible in the future quarters in the redevelopment market. The redevelopment market remains strong for Mumbai and Pune, and we are seeing continuous launches of new projects. These new projects, which get launched, would see cement consumption commencing only after 12 months to 18 months of their launch.

This is very important to mention because Mumbai as a city might be close to 3% of all India Cements demand.
One more important point that I want to make at this juncture , we had stated during the last quarter, and this is just anecdotal, we have stated in the last quarter that cement demand in the country was around 4% for January-March '25 and there were talks and reports of the growth being actually 6.5% to 7% from various quarters. Well, I admit I was wrong because considering the performance of 9

0% of the installed capacity of 655 million tons in the country,
Q4 '25 was not 4%, but 4.3% growth. This is just to set the record straight about UltraTech and its analysis of the cement markets.
I want to talk about India Cements now, the company that we had acquired , concluded the

transaction on 25th of December 2024. It's been 6 months or 2 quarters that we have been in charge of that company and the company is on a recovery path and growing and working as per the plan. The team has done a full assessment, as mentioned earlier, and we will be undertaking a capex plan for efficiency and productivity improvement going forward. Most of these projects will have an attractive payback period and will generate positive returns. Projects would include WHRS , speed modification, cooler upgrades, alternate fuel technologies to name just a few.
Today, the cost of production is higher than average, but FY '28 will see substantial improvements in operating costs as we complete the capex program. We are increasing the renewable energy quotient with 21 megawatts of WHRS and 219 megawatts of renewable energy, thus taking the green power quotient for India Cements from 3% to 86% of their power requirement in FY '28, helping us reduce its carbon footprint.
Capex program s, the details of which we will definitely share in the next quarter , will be all funded with debt and internal accruals and we expect to reach debt level of under INR50 crores by the end of the program. And thus, reaching almost a net cash on the balance sheet.
Fuel costs, as you have always been tracking have been in control, which will also help the operations of India Cements . This performance of India Cements , which recorded about operating EBITDA of INR 400 per ton was after taking into account, the introduction of limestone royalty of INR160 per metric ton in the state of Tamil Nadu.
We are rapidly integrating the operations of India Cements with UltraTech and are getting the advantage of brand UltraTech as we move along, and we are confident of reaching an EBITDA per metric ton in excess of INR 1,000 by FY '28. Beyond that, we are nearly completing the integration of Kesoram assets which have blended in very smoothly with our operations and are on a course for capacity expansion in terms of capacity utilization and improving their efficiency further with WHRS installations.
Costs have had some impact. There were global price volatilities. Fuel costs have been higher. In fact, they went up. Pet coke prices consumed during the quarter were slightly higher as compared to previous periods, which is reflected in the overall fuel c ost. Other than that, there is nothing much that we are concerned about.

In conclusion, I would like to reiterate that UltraTech Cement continues to be well positioned in the Indian c ement s markets. Our strategic investments in new capacities, cost optimization initiatives and commitment to green technologies position us for continued growth in a competitive environment. We believe our results this quarter demonstrate our ability to adapt to the changing market scenario whilst we deliver on our financial commitments.
I'd like to thank all of you for joining us today and look forward to taking your questions now.
Thank you so much.
Moderator: Thank you very much. We will now begin the question-and -answer session. The first question is from Rahul Gupta from Morgan Stanley. Please go ahead.
Rahul Gupta : Hi, thank you for taking my question. Fi rst of all, congratulations on a very good set of numbers. I have two related questions Atul, sir. First, we have seen India Cements numbers improvin g at a fast pace over the past two quarters. Now I understand cement pricing was supportive in first quarter. But is there a case that operating performance f or both Kesoram and India Cements run faster than yo

ur earlier guidance of clocking INR1,000 per ton by F Y '26 and FY '28, respectively?
Atul Daga: It could happen. Pricing, as such, nobody has a control. As of now, the prices are favorably poised in spite of heavy monsoons . The prices have not taken beating yet or they hold. I have seen prices improving in July also over the exit quarter. So , prices are holding up, obviously, which could help us achieve our targets earlier. But besides prices, most important is the integration effort and there's a lot that happens in an integration effort. It's not just pricing. It's right from people, processes, product, quality, logistics, everything is getting integrated, which helps us realize our goals.
Rahul Gupta : Got it. Now my related question is, I understand South price hikes sustained a month after month during the quarter. Now this was also on back of multiple months of unsustainable weak pricing in the region. And second, demand was pretty good in the region during the quarter. Now my question is how should we look South from here ? I mean, should this continue or is there elevated competitive landscape can bring back what we saw last year? How should we look at the entire region? What's your view on this?
Atul Daga: So you want to look South, go North, don't go S outwards that's in the lighter vein. O ur sense is that the South markets is getting consolidated are in good shape. So we should not feel any negative pressures as of now. Luckily, there are mega projects, which are happening in the Southern states. If I look at the c ommercial markets for data centers, offices, warehousing,

everything is adding up. So it should be good. Let me request Jhanwar Ji to add his thoughts.
Kailash Jhanwar: Just to further add upon what Atul said, the S outh prices were so low that the entire industry suffered very badly in last one year. So that's number one. Number two, I think there is a good trigger on the demand side, particularly the change of state leadership in Andhra Pradesh where now again, the new capital is being planned and a lot of infrastructure projects have been announced. Even in the Telangana, which is still not up to the market, actually, but there are

good green shoots that they will also pick up. Tamil Nadu is also going for election after some time. So I think S outh in terms of demand should do well.
Atul Daga: So South could be a new North.
Rahul Gupta : We look forward to it, sir. A ll the best. Thank you so much.
Atul Daga: Anything Rahul ?
Rahul Gupta: No, I'm good. Not much in the results.
Atul Daga: There's so much in the results here. I am thrilled with my results.
Rahul Gupta : No, my point is that your boarding number should be good.
Atul Daga: All right. Thanks, Rahul.
Moderator: Thank you. The next question is from Raashi Chopra from Citigroup.
Raashi Chopra : Just a question on the realization that 2.2% increase that you see sequentially , is that when you say it's UltraTech brand that includes Kesoram as well?
Atul Daga: No, that's at UltraTech level. Because Kesoram still has its own brand sales and fast migrating India Cements also has its own brand. Of course, India Cements is not included in the number. But this is speaking about UltraTech as a brand. And that's what I've highlighted on the slide also.
Raashi Chopra : If you could give us a stand-alone realization as an UltraTech plus Kesoram, not India Cements , but UltraTech plus Kesoram, what is that differential sequentially?
Atul Daga: Considering the volumes, Raashi, it might be up, 0.1% or so lower. That's it. The size is very small . So it will be 2.3%, not beyond that, Raashi.
Raashi Chopra : Got it. All right. And possible to share the building products number for 1Q last year revenue?
Atul Daga: Around INR185 crores, Ankit tells me that.
Raashi Chopra : And lastly, what was the capex during this quarter?
Atul Daga: It has been around INR 2,000 crores. Generally, that's been the run rate every quarter. I don't remember the exact number, but it should be around that level only.
Raashi Chopra : This doesn't include what you are planning to spend on Indian c ements or what have you spent on?
Atul Daga: No, no. So India Cements will fund its own capex.
Moderator: Next question is from Amit Murarka from Axis Capital.

Amit Murarka : Just firstly, on the brownfield expansions, like so you will be reaching 21 2 million ton and I believe like that's going to happen in like 15 to 18 months of time. One is like how much more brownfield expansion scope is already there in the expanded portfolio? And by when can we expect the next round of expansions to be taken up?
Atul Daga: Amit, I think I must have told you also that we have the blueprint for the next phase of growth. It is getting stitched and ready and we will present it to our Board. And before the end of this calendar or worst case, before the end of this financial year, we will come back with the next phase of organic growth. You'll have to wait for that . Let me request Jhanwar Ji to add his thoughts .
Kailash Jhanwar : So fundamentally, as Atul said, rightly, I can only say that the UltraTech would continue to partner in the growth story of the country. So, we all know the cement demand is growing anything between 5% to 7%. So obviously, UltraTech would like to partner in that growth journey. And as Atul said, we have to plan out our growth on a regular basis.
Atul Daga: So Amit, you've got the answer. If industry is growing at 5% to 7%, we will not get left behind to be able to support the growth of the economy and the industry. T here are enough opportunities for us, for doing brownfield and greenfield opportunities are also coming up. And this will be our fourth phase of growth that we'll be announcing, there will be a fifth phase of growth which the team has started working now, which will come up at an opportune time.
Amit Murarka : That's great to hear. And also on the rebranding strategy for Kesoram India Cements and is there some tolling happening between India Cements and UltraTech?

Atul Daga: Yes, please. So the way we are dealing with it, whatever output is getting converted into UltraTech brand and the prices that UltraTech is able to realize on that , everything is passed on to India Cements , except for a small margin which takes care of the marketing expense, which UltraTech incurs, which is roughly INR10 a bag or INR200 a ton. And if I were to account that component in India Cements ' P&L, the reported INR400 per ton would actually be INR458 per ton.
Amit Murarka: So you mean to say the volume that you are selling the UltraTech name, that benefit is also being passed on to India Cements ' P&L ?
Atul Daga: Yes, absolutely . And in Kesoram, t here is no pricing because Kesoram sits as part of UltraTech P&L. So there's no differential.
Amit Murarka : Right. Any volume you could provide , like how much is in Coromandel brand and how much would be UltraTech coming out of India Cements ?
Atul Daga: Yes. So actually, I wouldn't want you guys to your mind getting diverted with quarterly numbers because month -after -month, the volumes are ramping up, and we should be able to conclude the brand transition program before the end of fiscal '27 next year, we should be able to compete 100%.
Moderator: The next question is from Prateek Kumar from Jefferies.

Prateek Kumar: Congrats on good results. My first question is on pricing. You said it's like 2%-2.5% increase in pricing. I guess, is this largely related to South ? How are the other regions just stand out in the quarter?
Atul Daga: South and East to which had trail

ed behind took the maximum advantage or maximum gain followed by North and West.
Prateek Kumar: I was saying that in July also, you said like prices are slightly higher. So how are that region-wise?
Atul Daga: I would say East continues to rise. And we've seen increases in other markets, except North. North and West, we have not seen any increases because they are already very well priced. Other markets are seeing very small increases.
Prateek Kumar: Is it possible to give out Kesoram volumes in the base so that we can adjust our quarterly base of volumes?
Atul Daga: 1.58 million tons was Q1 fiscal '25 .
Prateek Kumar: No. I mean quarterly, like for next 2 quarters also.
Atul Daga: Prateek, I'll ask Ankit to give it to you offline. I don't have it readily. You want each quarter breakup?
Prateek Kumar: Yes.
Moderator: The next question is from Pulkit Patni from Goldman Sachs.
Pulkit Patni : Sir, mine is also a bookkeeping question. If you could just break down the volume a little clearer. So 2.18 million is India Cements and 32.46 is the rest of it. Now within this, what is UltraTech and what is Kesoram, if you could help us split that?
Atul Daga: It's 34.64 is including India Cements . India Cements was 2.18. Now further splitting is very difficult because we go on market basis and markets could be operating from various plants. So Pulkit, it's next to impossible because when we have multiple plants in the same market, for example, Kesoram, Sarlanagar plant and our Rajashree Cement plant, both are in Karnataka. They supply to Kanataka, they supply to Maharashtra and various other market s so it becomes a little difficult for us to segregate. I'll request Jhanwari to add further.
Kailash Jhanwar : No, I think it has been explained very well. I have nothing to add because it's the question of the overall optimization of UltraTech, whether it's a product optimization, cost optimization, the market optimization and at time, the customer optimization. So we don't look now as a separate unit or a separate company. The entire focus is fundamentally the integrated approach, what makes sense for the company. A t times, some plant is inefficient, we don't operate plant to that extent.
Pulkit Patni : Sir, I fully appreciate that. What I'm trying to come to is what is the kind of annual volume growth that we are looking at, given the base has changed, it's making a little difficult for us to

be able to calculate it, which is why a base number would help ? But if not, if you could give us a sense of what's the annual volume growth approximately that you are looking at ?
Atul Daga: We would target a double -digit growth given the fact that we have got new capacities into our

fold. We would be commissioning. We have already commissioned 3.5 million tons this quarter , which will get stabilized by the time we reach January, March. We'll have further close to 10 million tons of new capacity, which will get commissioned as we move along. But on the base of FY '25, we'll do a double -digit growth, definitely.
Pulkit Patni : Sure. Sir, my second question is on your finance cost. Again, at the consol level has come down meaningfully. Is there scope for that to come down more? Has the interest rate been reset across the board? How should we look at that also?
Atul Daga: So there's one more reset . The last RBI rate cut, which happened has not yet come in, and I believe there could be 1 or 2 more rate cuts within the Indian interest rates, which will benefit us. My average cost of borrowing would be 7% . For the previous quarter was 7%. This 7% will come down with the rate cut, which have already been announced and further, if at all, anything happens. Pulkit , we have also been able to reprice, refinance India Cements borrowings also.
They are also getting rated A AA with more or less the same kind of range, s

ame rates.
Moderator: Next question is from Ashish Jain from Macquarie.
Ashish Jain: Sir, firstly, the double -digit growth you spoke about in fiscal '26 is with Kesoram in the base or that is without Kesoram?
Atul Daga: With Kesoram in the base. Ash ish, long story short, we will grow higher than the industry.
Ashish Jain: There's no doubt on that because Kesoram can make a big difference to that. That's why.
Atul Daga: Not really. Because Kesoram is 14 million tons and out of our 186 million tons, it's less than 8% or 9% of our total capacity. We will not make too much of an impact. We'll still be able to grow .
As a moot point, w e made an investment. So , it will generate returns.
Ashish Jain: Sir, secondly, just on capacity, I had 2 questions. One is if I go back 3- 4 years, when you first spoke about this 200 million ton target by 2030, if I remember right. Now we have achieved that or we will achieve it much, much ahead of 20 30. So, would you be able to put a number to capacity that we can think, let's say, in the following 3, 4, 5 years because at some point of time, shall we start thinking that there's enough capacity in the industry and that can reflect in our expansion or do you think we are far away ?
Atul Daga: Ashish, l et me give you a bigger picture answer. All of us know India requires a lot of growth, a lot of cement is required as yet. W hilst we call ourselves fourth largest economy, but look at Japan's infrastructure and look at our infrastructure and everything else that is around infrastructure. There's a huge amount of growth potential. And I think next 10, 15 years and I'll request , once I finish, I'll request Jhanwar ji also to give his inputs. But there is a long way that India will keep seeing growth. And as long as India keeps seeing growth, I don't have a number,

but we will grow in line with India's growth requirements of cement. Yes, we might reach a saturation point in the distant future.
Ashish Jain: I just want to add one more point. Sir, because we have heard this for many, many years, and some of it has played out also in terms of growth. But then I'm just struggling to understand why cement growth is through volatile let's say, even 4Q, if it was 4.3% growth, I mean, why are we not seeing that prolonged period of high single -digit growth or, let's say, 7%, 8% growth at least.
Atul Daga: Ashish, we can have a long discussion offline and to understand what happens in the industry. But there are multiple factors. Last year, what happened and year before last year, fiscal '24, we saw double -digit growth after COVID , coming out of COVID. The industry saw double -digit growth year after year , fiscal '25 had its own challenges. If I recall, fiscal '17 had its own challenges because GST was introduced , then RERA was introduced. So there have been structural changes in the economy, which have had their share of impact on demand. But structurally, as you see the number of kilometers of roads that need to be done in India is
humongous . And once the infrastructure growth comes, the big incentive is all around the development of newer town cities, social infrastructure, commercial spaces, etcetera, which will get developed. Jhanwar Ji, do you want to add?
Kailash Jhanwar : That's what I was about to say. Fundamentally, even if we see the that demand model or the growth model in any country, actually, the first trigger is infrastructure growth actually and once the infrastructure growth happens , then as Atul said, just now the housing, social infrastructure, new cities coming , there will be a lot of migration of people moving from cities to the suburb and the distant places because the infrastructure becomes very efficient commut ing from one place to another. So , we believe it is going to follow at some point of time once we reach a reasonably good infrastr

ucture. Number two, because just now, I said and Atul also explained, we are very clear that the countr y has huge potential for the overall economy to growth and the cement is a basic building block. So we would definitely like to partner actually in this growth

journey. And I don't see personally at least this growth is going to taper down, at least in next one decade actually. And you must have seen that recently, the day before yesterday, even our road ministe r, Mr. Gadkari also says that we are targeting 100 -kilometer per day rather than 35 years. We have challenges in the country in terms of land acquisitions, slow award of contract , executions and so on. But I think government is conscious about it and speeding up all infrastructure projects and so on. So huge potential.
Atul Daga: Let me delve into one project example, Vadhavan port. It's 300 million ton cargo handling capacity. Do you know what is the peak cargo handling by JNPT, it maybe less than 100 million tons. Somewhere around that . It’s a huge project. Whilst it consumes cement, but the ancillary industry growth that takes place, the employment opportunities, the increase in housing income that takes place. opens up the floodgates of growth for companies like us. And there are going to be several such projects in the country. I think we will be bus y producing and selling cement.
Ashish Jain: Okay. So just last question on power and fuel, will we see further increase?
Atul Daga: No, no. I think we will see declines now.

Kailash Jhanwar : I think it should remain in the range bound. Yes, range bound, not really increase .
Atul Daga: This is one element which we don't have a control on at some global event takes place and prices go haywire , which will impact consumption going forward. So as of now, as Jhanwar ji also mentioned, range bound or it should not go up, let me put it this way.
Ashish Jain: Okay. Thank you so much. Thanks.
Atul Daga: Thanks, Ashish.
Moderator: The next question is from the Ritesh Shah from Investec. Please go ahead.
Ritesh Shah: Hello.
Atul Daga: Yes. Hi, Ritesh.
Ritesh Shah: Yes, hi . Hi, sir. A couple of questions. Sir, first is the...
Atul Daga: Did you like my numbers , Ritesh? Ritesh, you didn't like my performance.
Ritesh Shah: No, no, sir, it's pretty much in line. Thanks for that. Sir, a couple of questions. First is intercompany elimination has been mentioned by value and volume. How should we be read into this? And how should we look at this number going forward?
Atul Daga: So intercompany elimination is between UltraTech and IC EM now, right? Sorry, this is between like cement, which is supplied to our own captive consumption for RMC . This is going to be part of life. But on a INR20,000 crore s of revenue, this quarter is about INR500 crores.
On a current scale of operations, you can factor in the INR00 crore s number. Because we are growing our RMCs. We are growing our BPD , the construction chemicals. We are growing organically on our projects where we consume our own cement . So that elimination has to be done.
Ritesh Shah: Okay. Sir, my second question is, you did indicate on pricing trends. But would it be possible for you to give some color on the trade and non- trade price gap, specifically in South, given what we understand that the price increases on the non -trade side have been significantly sharp versus trade?
Atul Daga: I always ask you guys to help me with this information, you know it better than I do.
Ritesh Shah: Okay. So I'll move to the third question, sir, how should one link Birla Pivot to UltraTech? How are the linkages between the 2 entities? And does UltraTech benefit out of Birla Pivot by any means?
Kailash Jhanwar : No, not really , only sometimes if they use our network. .
Atul Daga: So cement and our product , any other produ

ct that we manufacture under our Building Product division, we deal with it directly. They are selling any other product directly.

Ritesh Shah: Okay. And sir, any update on wires and cables?
Atul Daga: Major orders have already been placed, long -lead items. People have started joining , land leases being finalized. We 're looking at some locations in Gujarat. And last I checked, we are on track.
We'll remain within our capex plan of INR1,800 crores, we might have some savings only on that capex plan.
Ritesh Shah: And sir, just last one question. Sir, any specific plans you would like to lay out on RMC given competition is actually moving quite quickly? I'm referring to the unlisted player who is there in the marketplace.
Atul Daga: As my late Chairman once said, Mr. Aditya Birla , we are not afraid of the competition , let the

competition be afraid of us. So that's a very serious statement. And I think, we are focused on our growth. We know that RMC will keep growing. We have already crossed 400 mark this year, we'll keep growing. And Ritesh, you know that they are all margin accretive, which means over and above the EBITDA, they generate a contribution.
Ritesh Shah: Sure, sir. Thank you so much for the answers. Thank you.
Atul Daga: Thank you.
Moderator: The next question Navin Nameshwar Sahadeo from ICICI Securities . Please go ahead.
Navin Sahadeo: Thank you for the opportunity. My question was on demand. So if I adjust to the volumes of India Cements , I think organically, our volume growth is just 2%. And I believe UltraTech grow s much higher than the industry. Is this observation correct in the first place? And if the industry is nearly flattish in Q1, we are into monsoon season. So then what gives the confidence of a 7%, 8% growth for the full year ? Thanks.
Atul Daga: So Navin, let me answer the second part of the question first. More than 40% to 45% of demand for cement in the country is in the last quarter. January-March is the biggest quarter. Second point to make is cement is very, very seasonal in India. The real season for cement starts post festivals , post Diwali actually. So when labor starts returning. So it is effectively, I don't remember when is Diwali this year, but let's say, post middle of November till the heat wave start setting in the real season is November to April or May. That is the real season for cement.
I believe, yes, we will grow much rapidly in the subsequent quarters. As to your point on some numbers that you were looking at. I don't think so that's a number. And Pulkit had asked me this question on the call, I don't have the ability to split between what is Kesoram sale because now it's all part of our system integrated. There's one billing mechanism excluding ICS.
Navin Sahadeo: It's a very simple arithmetic. I don't see a reason of any confusion actually. It's a very simple arithmetic. From a domestic volumes, I simply reduce India Cements and to last year's domestic volume, I simply add Kesoram. That's a 2% growth that I'm getting.
Atul Daga: No. Firstly, I don't like your aggressive tone . Secondly, the way to look at is if I look at UltraTech brand because as I mentioned, we have been rapidly rebranding UltraTech which has grown

6.5%. So I know there will be some amount of jigsaw puzzle in our sales mix because what we will focus on is UltraTech brand sale, which has actually grown 6.5%, whichever way you want to cut it, that's the real number.
Kailash Jhanwar : Yes. I think because the entire focus is on the s ales, sometimes it depends on which plant is more accretive in terms of the delivery cost and from where the dispatches are to be made. So it is really difficult to differentiate actually the plant-wise kind of thing. But the brand has grown by 6.5%.
Navin

Sahadeo: Great. Great. And if I may just ask a second question. Lead distance is like very happy to see our lead distance reduction from 384 in the previous quarter to 370, as we say. B ut I'm just trying to see the savings in actual numbers in the sense of 14 kilometers of sequential savings even if I assume a ballpark INR3 like per ton per kilometer, even then that's almost over INR40 per ton of sequential savings. I'm not able to see that in the numbers. Am I missing anything here , sir? Thanks.
Atul Daga: So in our graph that we show you, INR1 ,182 to INR1 ,158. This is a INR24 saving, which is visible . My accounting might not be as aligned and linear with the costing. That's the only answer I would have. But the fact is, yes, the lead distance has gone down. And if I do the math of PTPK, it should reflect. But besides the lead distance, there are lots of other costs which are attached, let's say, handling cost, warehousing costs, everything would get added in my logistics cost, forwarding costs, agents involved. So there will be lots of other elements of costs involved. So Nav in, maybe I don't think mathematically, it will stack up. You will have a INR40 benefit .
Kailash Jhanwar: Railroad.
Atul Daga: Then there's a railroad, Jhanwar Ji pointed out , there a railroad mix also . Rail is 40% lower than road costs, lots of moving parts to this. And as I said, quarter -on-quarter, last time also I had mentioned, and we disclosed transparently our savings due to all these efforts. At the end of the year, Navin, we will definitely show the outcome. Quarter -to-quarter, next quarter, you never know the lead might go up. INR370 could become INR371, INR372 or it could fall further. My hunch it will fall further because as the network of number of plants is increasing, our lead distance will come down.
Moderator: The next question is from Satyadeep Jain from Ambit Capital . Please go ahead.
Satyadeep Jain : Hi. Thank you. Mr. Daga , first question on India Cements and then second was UBS. The India Cements , I just wanted to understand, I think you're mentioning that adjusted for marketing spend, maybe adjusted EBITDA was INR458 per ton . Last quarter, you mentioned southern plants, typically for UltraTech would be lower EBITDA per ton given lower pricing historically,

given where pricing is, just trying to understand the profitability gap between India Cements and rest of UltraTech plants in Sout h maybe ballpark directionally ? And how do you plan to bridge that gap? We see you have preheater, WHRS, maybe just some ballpark directional number.
Atul Daga: So as for the two ways, this is a good question, certainly. The UltraTech brand being generated from ICL plants gets the same price barring the INR10, which I'm keeping in UltraTech . Cost of production of that output might be still be higher because of the inefficiencies that exist. And

as we progress , fiscal '28, the costs also will get aligned, prices will also be aligned. We will have parity between the profitability of ICL plants or UltraTech existing cement plants in the southern markets. Jhanwar Ji?
Kailash Jhanwar: Yes. So as far as the cost side is concerned, we have once we carry out this capex plan actually. And once it is completed, then compared to the UltraTech, I would say it would be almost near to the UltraTech level, subject to some structural differences at the plant to plant level because even despite the modification, you may not able to reach at a UltraTech level plants because there are some plants at UltraTech which are the most modern and recently constructed plant. But I think we would be by and large, it could be very well aligned with UltraTech, and not a very big difference where we should have any worry . That's what I can.
Atul Daga: So, certainly, we'll start capex work, we'll announce it next quarter. We h

ave not yet completed stitching the program. Next quarter, we start, which is middle of '25,'26,'27 and we will hopefully complete, and first quarter of '28, April, June '27, you will start seeing the benefits in the P&L of ICL .
Satyadeep Jain: The reason why I'm asking this is twofold. One, these are old assets. So I understand these are all integrated. There is no concept of strict grinding generally. And also in Southern part of Kerala, if you see Coromandel brand is so strong. I'm not sure if it is possible to completely go with Ultra Tech given the strong recall there. So given all these, you think 100% of branding can move to UltraTech given the asset base itself that the way it was structured earlier with all the preheater and WHRS, you can achieve almost parity with UltraT ech on all these efficiencies. Just trying to understand.
Kailash Jhanwar: Yes, yes. Let me give you the flavor. We have already done a deep d ive actually putting a number of people, te ams, et cetera, identified plant -by-plant, line -by-line what modifications are to be done. And this modification will take us to at what level in terms of heat consumption, power consumption. And that is why with the confidence or with the com fort I'm saying we would be in the ballpark number of about at least 90% of the UltraTech level because we don't have the best heat recovery system practically anywhere except one plant and so on. We don't have the alternate fuel usage actually. We need to optimize in terms of preheater to improve the heat efficiency and so on. So if I may say, honestly, it's any worry to bring those plants in the range of UltraTech, not at the 100% at the level of UltraTech. But it's a matter of only time it may take another one and a half year to one year to, as Atul said, at max two years' time actually .
Atul Daga: So, certainly, two more points to address. You mentioned the strength of the existing brand of ICL in deep down south. We will evaluate, and as I said, that's why we have kept time in hand to do the integration of our brand. If required, that will continue . If the markets convert, it will transition into UltraTech. Its jury is still out. Second point, you mentioned about split grinding units that they don't have as compared to the way the UltraTech network is operating. But the way we work, it's on a total delivered cost. We have our own network of grinding units from UltraTech, which will be able to share their capacities. Because ultim ately, we work on a total delivered cost basis. That is why, again, going back to the questions which were raised earlier on the call, beyond a point it becomes difficult for us to split here. But just because we are operating at total delivered cost, by the end of fiscal '27, take a guess, we will be having a

network of physically 82 plant locations in the country and rising. South itself, we will be about 60 million tons and growing with multiple facilities. So we'll be able to capitalize on our existing network also. Hope that helps.
Moderator: The next question is from Chintan Shah from JM Financial.
Chintan Shah: Hi. Thank you so much for the opportunity. So I had three quick questions and all three on India Cements . So first one is just a clarification of what you mentioned. So basically, the UltraTech rebranding from India Cements that will be sold to the UltraTech entity and all of that will retain around INR10 per bag or 200/t and rest of it will be retained in India Cements .

Atul Daga: That's correct.
Chintan Shah: That's correct. Okay. Perfect. And second and the third one are more strategic. So first is what is the end plan with respect to India Cements ? I mean, considering the synergies and integration
would be at some point looking to merge this with UltraTech or be open to keeping it as a
separate entity and what would be the rationale if we w

ant to keep it as a separate entity? That's
the second ques tion.
Atul Daga: So as of now, we don't know which side we will move. First and foremost, it's very important
for us to clean up the India Cements operations, bring it up to speed, which is a turnaround of
the company, align people's processes, product, as I mentioned earlier, and then we will take a call on whether to merge or not to merge. We are fully cognizant of a huge amount of stamp
duty that would be involved. Why spend money on that? But if it's worthwhile, perhaps in ‘27 or ‘28, actually, we will revisit the decision. As of now, it will continue as a separate entity.
Chintan Shah: Got it. Understood. That's very clear. And third and the last question is, I mean, in terms of
capital allocation, capex, where we highlighted right now, we're focusing on WHRS and AFR.
But would there be a consideration or a scope for further debottlenec king or brownfield or any
sort of expansion in India Cements ?
Atul Daga: There exist opportunities for brownfield expansion in India Cements also. And as I mentioned,
we are now getting ready for our Phase 4 of growth of capex. Phase 5 will also be there where
we'll see brownfield opportunities of India Cements location getting tapped.
Chintan Shah: Got it. Perfect. That's very clear answers on my question.
Moderator: Next question is from Shravan Shah from Dolat Capital .
Shravan Shah: Hi. Thank you, sir. Just to clarify, sir, when we say, we will grow 10% volume growth in FY ‘26, this is on 135.8 million tons. That's what we have done at consol level in FY ’25?
Atul Daga: Yes. Okay. Yes, please.
Shravan Shah: Yes. So I'm just trying to clarify on that, we are seeing a 10% growth. So that means including the India Cements also where maybe we would be doing close to 9- 9.5 million tons. So if I
remove that, then maybe a 3% to 4% kind of a growth would be there, if I take a 10% growth?

Atul Daga: If you're wanting to do a math check, then do that separately. I'm not doing a math right now.
Shravan Shah: Okay. Got it. Second, sir, in terms of the cost reduction, what we have talked about last time,
INR300 odd, INR86 we have done in ‘25. So that remains intact. By FY27, we'll be seeing
another INR200, INR215.
Atul Daga: I don't know how much. Whatever we are able to achieve, we will report it. Because as somebody
just picked up, logistics cost is coming down. Nobody has asked me or complimented me on the
way clinker conversion factor has gone up. Can you imagine the quantum of gain which the
operations have now with a clinker conversion factor of 1.49? It's jumped from 1.44 last quarter.
So there are lots of efforts, sir, which are happening and which we will report at the end of the
year. Month -to-month, day-to -day, quarter -to-quarter, it's next to impossible to measure.
Shravan Shah: True. True. True. So I understand. I was about. Sir, lastly, on the capex, if possible for FY ‘26 and ‘27.
Atul Daga: We have close to INR10,000 crores this year. We'll come back for the next year capex in due
course.
Moderator: The next question is from Raashi Chopra from Citigroup .
Raashi Chopra: Sorry, just following up.
Atul Daga: You're still there, Raashi. I thought you wouldn't be there.
Raashi Chopra: No. I'm just following up on the previous question. One is, I don't know if I missed this, but did
you give the industry growth number for this quarter? Last quarter you said was 4%.
Atul Daga: No. No. I didn't give it. I didn't give it.
Raashi Chopra: So what is it? I mean, what in your estimate would be?
Atul Daga: We'll discuss it tomorrow, Raashi.
Raashi Chopra: Okay. That is one. Second is this tolling arrangement that you have with India Cements . So,
when I'm trying to look at the India EBITDA per ton, that is basically standalone plus UltraTech, is there any sort of
intercompany

elimination that I need to take?
Atul Daga: Which means including India Cements operations. Is that what you're looking at?
Raashi Chopra: I'll ask you differently. Like last quarter, the India EBITDA per ton was INR1,175 in the fourth quarter. Is that number INR1,230 now in this quarter?
Atul Daga: India EBITDA per ton. I will give it to you if not on the call then later on. I don't have it
immediately.
Raashi Chopra: Okay. Okay. No problem.

Moderator: Thank you very much. We'll take that as the last question. On behalf of UltraTech Cement Limited, that concludes the conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.
Atul Daga: Thank you.

Call: Oct 2025

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27th October , 2025

BSE Limited
Corporate Relationship Department
Scrip Code: 532538 The National Stock Exchange of India Limited
Listing Department
Scrip Code: ULTRACEMCO

Sub: Transcript of Q 2 FY26 Earnings Call of UltraTech Cement Limited ("the Company")

Dear Sirs ,

In terms of Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached transcript of the Q2 FY26 Earnings Call conducted after the meeting of the Board of Directors of the Company held on 18th October , 2025, for your information and record.

The same is also available on the website of the Company viz. www.ultratechcement.com .

Yours faithfully,
For UltraTech Cement Limited

Sanjeeb Kumar Chatterjee
Company Secretary and Compliance Officer

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"Ultra Tech Cement Limited
Q2 FY '2 6 Earnings Conference Call "
October 18 , 202 5

MANAGEMENT : MR. KAILASH C. JHANWAR – MANAGING DIRECTOR

Moderator: Ladies and gentlemen, Good day, and welcome to the UltraTech Cement Limited Q2 FY '26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar and then zero on your touchtone phone. Please note that thi s conference is being recorded.
I now hand the conference over to Mr. Atul Daga, Chief Financial Officer. Thank you, and over to you, sir.
Atul Daga: Thank you. Good evening, everyone, and welcome to the earnings call of UltraTech Cement for the quarter ended September '25. I realize it is a Saturday, and for those who are attending the call, a sincere thanks for taking time out on your weekend.
Let me straight jump into the nitty -gritties. Firstly, demand. I think it's very important to note that we have sold more than 31 million tons of cement this quarter , when rain gods have been in full fury till almost a few days ago. On ground, things are looking up, looking better for premium cement all the more. We will talk about it in a bit.
UltraTech is a very large company , we operate almost 75 physical locations, 400 -plus RMC plants. And in that phase of rapid growth, the sales volume growth will be a little complex to understand for 3 or 4 quarters. If we were to look at our sales volumes without ICL and Kesoram in the base for the last year because we were not managing them, we have grown 22.3%. Without considering India Cements in our base for the last quarter , we have recorded a growth of 9.6%. With both ICL and Kesoram Cement assets in the base, we have grown about 6.8%. India Cements has already declared its results yesterday with a growth of 6%.
Most important points to note is UltraTech as a brand has grown about 13.2% this quarter Y -o-Y. That is real hard number. Rural markets are also delivering a growth of 13%, and we believe that the industry will achieve a growth of a round 10% in the rural markets.
We have been rapidly converting India Cements and Kesoram brands into UltraTech with a sharp focus on improving the quality of the product manufactured at the acquired plant locations. The results are quite exciting. As I mentioned, UltraTech, as a brand, has grown 13.2%, thanks to the rapid conversion of output generated from the acquired assets.
Let's talk about GST. GST, whilst there's no impact on profitability, an important benefit of GST 2 is a reduction in Clean Energy Cess levy on coal. We believe this will be in the long -term interest of UltraTech. We balance our fuel portfolio with a mix of coal and pet coke. The strategy has always helped manage our risk. This quarter, with slightly higher coal consumption, the ratio is skewed in favor of coal at about 48% and pet coke being about 44%. This quarter, our fuel costs are higher than last quarter, increasing to INR1.8 per Kcal as compared to INR1.78 per Kcal , it's a mix of coal and pet coke essentially and timing.
The next few quarters will be a mix of our existing high -performance assets of 166.76 million tons and the acquired assets, which, are ramping up rapidly, namely Kesoram Cement assets, 10.75 million tons and India Cements, 14.75 million tons.

Our existing operating assets 166.76 million tons of capacity have delivered an EBITDA per metric ton of INR966. India Cements reported its performance yesterday, delivering INR386 per metric ton and Kesoram assets this quarter were at INR755.
For your reference, India Cement's brand conversion has already happened 31%, and Kesoram has already converted 55% at the end of this quarter. This will clearly give you a perspective of how the overall average numbers will p

an out when full brand convers ion will be completed.
We are expecting to complete the brand transition for these acquired assets, not later than June '26.
There have been some specific cost items one -off slightly higher, which have had a dampening effect on our performance. First one, maintenance costs , you will be shocked to know that we operate almost 56 kilns across the country in UltraTech's balance sheet. And if you were to take into account India Cements' kilns also, a total number of 65 kilns are being operated by us. In UltraTech, out of the 56 kilns, we had 617 kiln days shutdown as compared to 207 kiln days last quarter or 511 kiln days last year fo r the same period. This is one of the reasons why our fixed costs are slightly higher. When we do an internal calculation, it's about an impact of INR100 per

ton. Secon d one was the advertising cost , during this quarter, our advertising efforts had been taken up. We spent INR50 crores higher than the last quarter, resulting into an impact of about INR15 per ton. Third item was staff costs, which were again slightly higher in this quarter and all employees obviously enjoy this quarter because the increments and the annual bonus payments are mad e in the July -September period. Quarter -on-quarter, additional cost of INR94 crores were incurred, but you don't have to worry as this impact will come down next quarter by INR30-35 crores. The per ton impact is roughly INR25 per ton. Oper ating leverage impact due to lower Q-o-Q sales volume is close to INR70 per ton. If I count all these items, then there is a delta impact of anywhere around INR200 per ton. But that doesn't mean that these costs will not exist in the next quarter. There will be some element of cost, but not such a high impact.

Capex . Our expansion plans are going on full swing, and we will complete or exit this financial year with 200 million tons of capacity under our belt. Projects like Vadhavan Port, Amravati, development around the new Mumbai Airport, data centers coming up in the country, urban real estate, Google committing $15 billion to build its AI hub in Andhra. All such mega projects are very positive for cement industry for consistent growth demand. And GST 2 will definitely boost demand for premium cement because some peo ple will be able to buy their aspirational brands due to a reduction in the cost of purchase.

You would have also seen our next phase of growth. I have mentioned it in the past. After completing our consolidation in the Southern markets in fiscal '25, we have focused our guns on North and West. With an intent to further strengthen our position in these markets, we are embarking on the next phase of our growth with 22.8 million tons of incremental capacity, which is a mix of largely brownfield and some greenfield expansions. Out of these 22.8 million tons , 18 million tons is focused on the Northern markets and 4.8 million tons for the Western markets.

A very important point for you to note is we will always be fully invested in clinker. At the end of this expansion, we will be reaching 148 million tons of clinker capacity with a clinker conversion factor reaching close to 1.6x. This expansion also will be funded largely by internal

accruals. There might be some temporary borrowings that will be done but by the time we complete our expansion, we will be again less than 0.7x net debt EBITDA.

Cables and wires business. The business is on track to launch production in Q3 CY '26. Land and buildings have been secured, long lead machinery items hav e been placed. We expect delivery to start from January '26, and the plant should get commissioned in time for Q3 production launch. Key managerial people have also started onboarding.

I touched upon ICL and Kesoram assets. As I mentioned, India Cements brand transition has been completed up to 31% of th

eir sales as UltraTech and it will cross the 40% mark by December quarter and then further up; thereby, helping us realize the benefits of synergy in the books of India Cements on a very rapid pace. As a post -balance sheet event in India Cem ents, we have exited the coal assets held in Indonesia and the cash flows that will be realized from the sale of these assets will help reduce their de bt.

Another important point to highlight about India Cements is the capex program of INR1,592 crores, which has been initiated for debottlenecking of a small capacity 21 -megawatt s of WHRS, 192-megawatts of renewable energy and other e fficiency improvement programs. Over and above that, we are expanding the capacity at Chennai and Rajasthan plants with 2.4 million tons at a cost of INR422 crores. These are high -performing markets and the investment will yield an IRR of upwards of 20%.

We acquired India Cements with a capacity of 14.45 million tons; within no time, there was a debottlenecking done. And further brownfield expansions that I've just mentioned, will take us to a capacity of 17.55 million tons. We will be able to fund these investments with internal accruals and a mix of debt. However, by the time we complete the expansion, which is January March 28 or by the time the expansions are fully operational, the ICL assets will start generating EBITDA per ton of INR1,000 and a net d ebt EBITDA of around 0.5x.

Kesoram assets have also streamlined and a capex of around INR500 crores is in progress for WHRS and other efficiency improvements. The brand transition program, as I mentioned earlier, has already been completed to about 55% of its output, and we shall complete the rest of the program by the end of June '26.

Another important point, which I must leave with you, is our retail footprint. We have a presence with almost 5,000 stores in the country, these retail stores, what we call the UBS stores, sold 21% of our total sales this quarter, and also support the drea ms of many individual homebuilders to procure other materials required for building a house.

RMC is another important aspect of our business. We have crossed almost 400 plants in the country. Today, RMC has become about 4% of cement volumes for us.

For some of you, the dessert is the most important in terms of EBITDA per ton, but at UltraTech, this quarter has been a wholesome meal.

Thank you. And before taking questions, we wish you all a very happy Diwali. Over to you for questions, please.
Moderator: Thank you very much. We will now begin with the question and answer session. Our first question comes from the line of Amit Murarka from Axis Capital.
Amit Murarka: Just on this expansion plan that you've announced. So , like after this, I just wanted to know like how much more scope is there given that this is just focused on North and West. And I'm guessing there is scope even in East, South, those markets as well. So , what is the additional scope for brownfield expansion that exists in the portfolio?
Atul Daga: Amit, so we are now sticking our program to reach about 240 - 245 million tons, which will get completed by fiscal '29. There is definitely scope for 20 - 25 million tons more. I'm talking about beyond '29, '30, '31 and in those times, there will be further possibilities. There will be possibilities of greenfield clinker -based units also since we continuously keep acquiring mining rights, and land acquisition is an ongoing process. So , it's not only brownfield, but we'll also have greenfield expansions depending upon the market appetite, which we believe will be very high.
Amit Murarka: Understood. And also, while we spelled out the other expenses, reasons for the other expenses jump, even raw material has moved up, is there some one -off even in that ?
Atul Daga: There's no one -off. There might be some purchase p

rice impact, other than there's no one -off.
Amit Murarka: And out of the INR200 per ton, which you summed up under various items, how much of it will go away essentially in Q3, if you could just give some number on that?
Atul Daga: So, maintenance will come down. At least ballpark INR100 will come down.
Amit Murarka: Right, right. And just lastly, on the fuel cost, we have seen pet coke move up while you have only 44%, but will net fuel cost go up given that there is coal compensation cess positive benefit as well?
Atul Daga: So, we'll have a bigger benefit because UltraTech consumes higher amount of coal as compared to rest of the industry, so that will also be a benefit to us. And now it is always possible that the flavor of pet coke starts going down and coal is becoming more i mportant.
Amit Murarka: Sure. So on a net basis, basically, fuel cost may not go up too much for you?
Atul Daga: So it will not go up. All the spot purchases is the only thing, which could move up or down. But in our overall scheme of things, we will not have any inflation in fuel costs.
Moderator: Our next question comes from the line of Indrajit Agarwal from CLSA.
Indrajit Agarwal: Two questions. First, congratulations on such low capex per ton on the next leg of expansion. Now keeping that in mind and the cost -saving initiatives across the industry, how do you see the

pricing environment or the intensity of taking prices up in the medium term among the players panning out?
Atul Daga: Thank you, Indrajit, for noticing that. Well, as far as the efficiency improvement program is concerned, I think UltraTech is the only company, which has demonstrated item -by-item actual delivery of efficiency improvement. Capex cost, I don't know whether anybody else can deliver this kind of an efficiency in capex cost. So , it remains to be seen. Third point you mentioned about pricing. Pricing is not determined by capex cost or efficiency improvement. Pricing, I will repeat again, it's always been demand. If demand is good, there is always an opportu nity for improvement in prices. If there are cost inflation pressures on , let's say, just now when we discussed about fuel costs, in case fuel costs go through the roof or any other costs go through the roof, if the industry, if we can't absorb it, it will get definitely passed on. Pricing decisions will not be taken because of lower capex cost.
Indrajit Agarwal: Sure. This is helpful. Secondly, on industry demand, on your best estimate, how was the demand in second quarter? And do you think the earlier guidance of 6% to 7% industry growth for the full year is achievable?
Atul Daga: I think so, yes, it is definitely happening. My confidence is going up higher if I look at my own volume growth. And as far as industry growth is concerned, it has to be somewhere around 4.5% to 5% for this quarter.
Moderator: Our next question comes from the line of Pinakin Parekh from HSBC.
Pinakin Parekh: Sir, my first question is on the commissioning time line for the expansions. It says FY '28

onwards. So , will it get bunched up in FY '28, or will it be spread over '28, '29, '30?
Atul Daga: Not bunched up. It would be mostly evenly spread out. We will come out with detailed schedule in the next quarter, but it's not getting bunched up.
Pinakin Parekh: Sure. And sir, secondly, just more granular color on how does the company see demand between government capex and individual homebuyers? Because from a pricing point of view, for the trade segment, we need the individual homebuyer segment demand to pick up. So as per you, where do you see stronger demand over the second half of the year?
Atul Daga: I think the rural markets, as I talked about it, we have seen about 13% growth in rural markets, which is a very positive point. So IHB segment will continue to drive demand. And also , we a

re
seeing continuous announcements of new Infra projects, which will help the overall demand sentiment. Jhanwar Ji, would like to add something .
Kailash Jhanwar: Yes. So very good afternoon to all of you. So , I think, Atul has said rightly, the housing sector would be the key driver for the growth and particularly the rural housing, the demand has been good and with the good monsoon actually this year and the revision in the MSP price and kind of thing, I thin k the rural I ndia is likely to do very well. On the urban side, obviously, with the change in the income tax rates, personal income tax rates, softening of interest, there are good green shoots and the urban demand is also likely to move further.

Coming on the Infra side, I think, as Atul said, I think the Infra is now likely to fire on all fronts right from the road, rail, aviation and the port side actually because in the recent few months or the few days, there are a lot of announcements actually in terms of building new highways, widening of th e highways and the metro, port. And now if the Sagarmala projects pick up, then further it will provide boost to the demand.
And commercial side, I think, again, that's likely to be the good story with the GCC. Recently, a few days back, there is an announcement on the big data center, Google. So , I think we believe, hopefully, demand side do well.
Atul Daga: So, Pinakin, it's not about a quarter. I think if you are looking at a longer term, and we had put out one chart on how we see the long -term growth also, it's 7%, 8% CAGR growth. I'm very confident that this is going to happen in the country.
Just imagine, if you were to delve a little bit more in Google's investment of $15 billion over a period of 5 years. It's not just a data center, but there'll be employees and their housing and the related schools, hospitals, blah, blah, blah, everything will be coming up. So , this is one -off.
Vadhavan Port, INR76,000 crore s project, 300 million ton cargo handling capability. The project will go on for 5 - 6 years or even more. But that will change the fortunes of entire Western market.
Moderator: Our next question comes from the line of Sumangal Nevatia from Kotak Securities.
Sumangal Nevatia: Firstly, I appreciate all the detailing on the expansion plans and also a lot of more disclosures in the regular quarterly presentation. Sir, my first question is on the North market. You shared in the presentation that last couple of years, the peak utili zation has been approaching 90%. Any thoughts on how are we looking at over the next 4 to 5 years, given a lot of peers, JK, Dalmia, JSW, all focusing on North in the next leg of expansion. So any analysis, which you can share on our estimates, is there a risk of an oversupply situation gradually building in North given the supply?
Atul Daga: No, Sumangal, no, I don't think so. And I think the more important from UltraTech's point of view is, we have always grown better than the rest of the industry at a pace higher than the industry. We are confident that our capacity share, which today stands at 28% will go up to 32%-33%, and there's no stopping us there. So UltraTech will continue to gain market share.
UltraTech does not see any risk in being able to sell more volumes of cement.
Kailash Jhanwar: Yes. To further add upon, I think, also it is an overall function if you talk about the capacity utilization where your plants are located actually. Once we'll share you the more details in the next quarterly discussions actually based on our footprint and the location, I think UltraTech would be stand out in terms of the...
Atul Daga: Yes, I didn't want to say it, Sumangal, but deserts are desserts and city is a city. So , we can discuss later offline, yes.

Sumangal Neva

tia: Okay. So on the green power mix, we've reached 42%. One is over the next couple of years, where do we settle at? So just want to understand, incrementally, any thumb rule we can kind of use as to what cost is in every percentage increase or something like that to estimate the cost savings?
Atul Daga: We will reach about 65% of green power by the end of our current phase of growth. And I've already started disclosing my cost mix. So , when you are reaching 65%, thermal power will come down. You can do an estimation from there.
Sumangal Nevatia: Okay. And just one last thing. In the opening remarks, sir, you alluded to some sort of a premiumization benefit out of GST. Can you explain what's the thought there?
Atul Daga: So what I believe is everybody has an aspiration, not only for cement, for any other asset. Now if that particular product comes within my striking distance, which I was deferring or not going that part. Now if that asset is within my striking distance, I would definitely want to use that asset.
Now let's talk about cement. Cement, when a person is building his house, which is once in a lifetime, if that person was not able to buy UltraTech as a premium product, roughly INR30 impact has happened favorably in the hands of the end consumer. The affordability was INR360. There are 2 ways. The person who was wanting to buy at INR360 either will switch down to INR330 for a category B brand or might be incentivized to buy a premium brand at INR360. That's premiumization.
Moderator: Our next question comes from the line of Prateek Kumar from Jefferies.
Prateek Kumar: I have a couple of questions. Firstly, on premium cement, how do you think the premium segment pricing can pan out over the next 12 months versus the regular product for yourself or for market?
Atul Daga: It again depends upon demand. Prateek, if demand is robust and there's a cost pressure also, then obviously, there's an opportunity to push it into prices.
Prateek Kumar: And where do you envisage your 33% premium mix going to over the next 12 to 18 months?
Atul Daga: I don't have a number immediately, Prateek, take it offline. I don't want to give an ad hoc answer. We can discuss on Monday. I'll share some more highlights.
Prateek Kumar: Sure. You have reported like like -for-like growth of 7% for the overall consol operations. How is that split in region -wise? And also, your total 71% capacity utilization for first half, how would that be region -wise?
Atul Daga: So if I look at regional capacity utilization, North and, in fact, South are in the 70s and West is in the high 60s and Central and East is low 60s.
Prateek Kumar: And what about the volume growth region -wise?

Atul Daga: Volume growth region -wise. I think the capacity utilization should be a good parameter for you. I don't have immediately the regional growth numbers.
Prateek Kumar: Sure, no problem. One last question on your expansion into Northern markets. So , while some of the capacity appears to be in Central, you are allocating all those capacity to North, like we generally...
Atul Daga: I was expecting somebody to ask this question. For us, we split UP and MP into UP East, UP West and MP East and MP West. The Western parts of MP and UP are more North -centric. Because let's take Vikram Cement, which is in Madhya Pradesh, but it is an hour away and you're into Rajasthan. So that is part of our Rajasthan or Northern markets as compared to calling it a Central market. Similarly, Dhar is very suitable for servicing Northern markets. Dadri, which is sitting in Delhi is in UP, but it serves Northern markets. So that is why we look at UP West and MP West in our internal scheme of things as Northern markets. So these, while even if you want to classify them as Central areas, but the output or their distribution is in the Northern markets

.
Moderator: Our next question comes from the line of Rashi from Citi.
Rashi: Just a quick question on Kesoram. The EBITDA per ton that you've given is at INR755, and I understand the first quarter was about INR1,000. So , this entire decline, I mean, barring the realization has got to do with all these maintenance?
Atul Daga: Yes, shutdowns, maintenance, that's it.
Rashi: But was there any offsetting impact with the improvement in the rebranding to UltraTech?
Atul Daga: Obviously, because I have at least INR15 to INR20 delta on pricing between UltraTech and Kesoram old brands. There is an advantage.
Rashi: I'm just trying to understand how we think about Kesoram going forward from here.
Atul Daga: So my sense is December, I should be back to INR1,000. And once we are completing our brand transition in Kesoram, it should be operating at -- because again, the Kesoram asset while it's in South, but services Mumbai market. The 9-million -ton plant, Sedam plant is closer to the Maharashtra market, so it should enjoy the profitability of the Western markets. Once WHRS

and everything is implemented, we will be crossing INR1,000, INR1,100, INR1,200 mark by
the end of June '26.
Rashi: Got it. And just a bookkeeping question, sir, India EBITDA per ton, which was about INR1,230
in 1Q, is it working out about INR900 in this quarter on a blended basis?
Atul Daga: INR966.
Rashi: India, all in, as in including Kesoram and India Cements?
Atul Daga: That includes India Cements. Also , India Cements is INR386 a ton.

Rashi: So INR966 includes India Cements.
Atul Daga: Then I think you would look at INR914, if that is the number you are looking at.
Rashi: Okay. Got it. And from like spot pricing versus what you had in the second quarter, is it largely
stable?
Atul Daga: Pricing in cement prices, coal prices?
Rashi: Cement, cement prices.
Atul Daga: I thought you're asking about cement bag prices. So no, prices are stable.
Rashi: Okay. Do you see an improvement in the cost, the INR100 reversal that you're talking about,
offset by higher pet coke prices going forward?
Atul Daga: As I also mentioned, our fuel prices are not going up because we will also have the advantage
of coal sales getting knocked off and the maximum benefit without a doubt will be to UltraTech.
Moderator: Our next question comes from the line of Pathanjali Srinivasan from Sundaram Mutual Fund.
Pathanjali Srinivasan: Congrats on a good set of numbers. Firstly, I'd like to thank you for giving such a good
presentation with this like very good amount of transparency in reporting in terms of numbers
with organic and inorganic. It really gives us a good amount of confidenc e in what you're doing.
I have a few questions. First question is this pricing actions post GST, is there any kind of a
window or time line for which we're not allowed to increase prices?
Atul Daga: No, there is nothing like that, but prices will go up if there is pressure on cost, if there is a huge
amount of demand or if there's a shortage of material, then prices go up. There's no prescription
around that.
Pathanjali Srinivasan: Okay, sir. And like just on a quarter -on-quarter, like we have seen a small fall in prices in terms
of realization. What are the regions where you would say the impact of this is more?
Atul Daga: So I would say quarter -on-quarter, Central was the most impacted.
Pathanjali Srinivasan: Okay. And when we mentioned about margin profile, what is the margin profile difference be
for regular cement versus premium, sir? Because you're saying that premiumization could be
something that could play out. I just wanted to figure out what would be t he difference?
Atul Daga: But it is very difficult to do -- it becomes a theoretical calculation. So lot of overhead allocation
will be done. If we were just doing the contribution

analysis, that is different, but EBITDA
analysis is very theoretical. So , we don't do that.
Pathanjali Srinivasan: Okay. Got it, sir. Sir, and last question is you had mentioned about like some plants have been
dropped in the presentation, and we've also done a little bit of a rejig there. So , is this more of a
strategic thing? Or is there any other reason why we've done this?

Atul Daga: Strategic. Because when we had started off on that expansion plan, India Cements was not
acquired, and we were doing, let's say, a bulk terminal in Chennai. Now we have the grinding
unit in Chennai. So , on the contrary, we have decided to increase the capacity of Chennai
grinding unit of India Cements and drop our investment in the bulk terminal in Chennai. Now
because we are dropping the bulk terminal, the corresponding clinker, which was coming up in
Tadipatri, which is Andhra Pradesh, which was going to serve this location, we have dropped
the grinding capacity in Tadipatri unit. So what should I say, balancing, no other compulsions.
Pathanjali Srinivasan: So in West Bengal, we have dropped a grinding unit I think to some 1 million tons. Any specific
thing there?
Atul Daga: Because, again, that was rebalancing. We dropped Kharagpur and we have increased our
presence in Dankuni. So it's again, locational advantages that we had, net logistics advantage
that we could get. That's how we have tried to optimize our capex .
Moderator: Our next question comes from the line of Sanjeev Kumar Singh from Motilal Oswal Financial
Services.
Sanjeev Kumar Singh: Our current CC ratio is around 1.48x. And when we gave the clinker capacity addition schedule,
we said that it's based on 1.56x of CC ratio. So , should we assume that gradually we want to

increase our clinker conversion ratio to around 1.55 x, 1.56x over the next few years? And if we do that, what will be the cost advantages, which we would see?
Atul Daga: So, as I mentioned, we will actually reach 1.59 to1.6 post this expansion, obviously, which means a higher amount of blending will take place. And the current expansion program itself, we had said we will reach 1.54. So obviously, we are focusing on increasing our blending, which helps our sustainability efforts also, and it is cost advantageous as well.
Just a housekeeping question because of the previous question, which was raised, I think there's a small error in my presentation when we have talked about dropping off 3 assets, there were a couple of assets, which we rebalanced, for example, Dankuni, whi ch was not part of our plan.
So instead of Kharagpur, we have gone into Dankuni.
Sanjeev Kumar Singh: Secondly, sir, when there has been a drop in or reduction in green energy sales, but we believe that at the same time, there has been some increase in overall GST on coal from 5% to 18%. So , considering that, what kind of cost benefit we would see if considering both these numbers?
Atul Daga: GST increase in coal is input tax credit does not impact us. Like when GST on cement has gone down, it does not impact the profitability. Similarly, GST changes in coal does not impact the profitability; however, Cess, which was not allowed as an input, it 's a cost, that going down is directly advantageous.
Moderator: Our next question comes from the line of Rajesh Ravi from HDFC Securities.

Rajesh Ravi: Sir, my question pertains to this clinker expansion, which you are doing. Dala voi IU, you have mentioned, Tamil Nadu, there is a brownfield expansion of 0.4 million tons in the India Cements.
Is there any clinker expansion also expected at that plant?
Atul Daga: That's a grinding capacity. India Cements, no, there's no further clinker capacity. But clinker we have enough available in the region to service it.
Rajesh Ravi: Okay. An

d this 22 million tons, your capex cost is less than INR500 crores per ton. So in this, how much is the clinker capacity cumulatively that you're planning to add?
Atul Daga: Total about 15.68 million tons. So, 8.04 are 2 specific plants and there are debottlenecking across the regions.
Rajesh Ravi: Okay. That is great. And sir, what would be the total capex number for next 2 years on the ongoing projects?
Atul Daga: I will have about INR10,000 crores minimum per year, outgo.
Rajesh Ravi: Okay, INR10,000 crores. And lastly, you mentioned earlier in the call, due to higher maintenance and advertisement cost in Q2, on a per ton basis, how much of these costs will get reversed in Q3?
Atul Daga: Give or take INR100 per ton.
Moderator: Thank you. Ladies and gentlemen, we will take this as our last question for today. On behalf of UltraTech Cement Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.
Atul Daga: Thank you.

Disclaimer - The transcript has been edited for language and grammar; it however may not be a verbatim representation of the call.

Call: Jan 2026

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30th January, 2026

BSE Limited
Corporate Relationship Department
Scrip Code: 532538 The National Stock Exchange of India Limited
Listing Department
Scrip Code: ULTRACEMCO

Sub: Transcript of Q 3 FY26 Earnings Call of UltraTech Cement Limited (“the Company”)
Dear Sirs ,

In terms of Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached transcript of the Q3 FY26 Earnings Call conducted after the meeting of the Board of Directors of the Company held on 24th January , 202 6, for your information and record.

The same is also available on the website of the Company viz. www.ultratechcement.com .

Yours faithfully,
For UltraTech Cement Limited

Dhiraj Kapoor
Company Secretary and Compliance Officer

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“Ultra Tech Cement Limited
Q3 FY '26 Earnings Conference Call ”
January 24, 202 6

MANAGEMENT : MR. KAILASH C. JHANWAR – MANAGING DIRECTOR
MR. ATUL DAGA – CHIEF FINANCIAL OFFICER

Moderator: Ladies and gentlemen, good evening, and welcome to the UltraTech Cement Limited Q3 FY '26 Earnings Conference Call. This conference call may contain forward -looking statements about the company, which are based on the beliefs, opinions and expectations of the company as on date of this call. These statements are not a guarantee of future performance and involve risks and uncertainties that are difficult to predict.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions afte r the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchstone phone. Please note that this call is being recorded.

I now hand the conference over to Mr. Atul Daga , Business Head and CFO of UltraTech Cement Limited. Thank you, and over to you, sir.

Atul Daga: Good evening, good afternoon, ladies and gentlemen. Once again, a very warm welcome to yet another call on a Saturday evening for UltraTech for the third quarter results of fiscal'26. Before I begin, let me assure you, we will not make this a habit of spoiling your Saturdays, but this Saturday is worth spending time. Let me get on to the main core topic for discussion, which I have in mind today. Demand , that is the most important aspect for our business. Everything else becomes secondary and fal ls in line. And as we see the progress, Government's focus on infrastructure is translating into a robust pipeline of new projects nationwide with several marquee investments announced across every region, translating into solid demand. You must have all read about it in the media at different points in time, but let me put a perspective together in one place, region by regio n.

In the North, Punjab is taking extensive road development initiatives, spending about INR16,000 crores in its markets. New corridors have been announced in Delhi Metro for about INR12,000 crores. Uttar Pradesh is developing 1,575 kilometers metro network across major cities. Of course, that goes till 2047 , it's a long horizon, multi -city infrastructure pipeline, indicating sustained demand and significant opportunity for cement. Highway projects, continued investment in road connectivity and logistics corr idor across the state, like the 4 -lane greenfield highway project between a place c alled Barabanki and Mustafabad.

Let's go to West India. Maharashtra is seeing a significant pipeline of large transport and mobility projects, signaling strong multiyear demand for cement and construction materials. Mega projects like the Uttan -Virar Sea Link, about INR58,000 crores, Mumbai Metro expansions, Pune Metro multiple lines and road concretization in Mumbai. Center clearance of Pune -Chhatrapati Sambhajinagar Expressway highway spanning 245 kilometers with a particular focus on improving connectivity for rural communities, nearl y 350 kilometers of state highways, 2,577 kilometers of rural roads, some rehabilitation initiatives. All of these are goin g to boost urban cement demand. Expressways and ring roads, Nashik -Vadhavan, Bhandara - Gadchiroli, et cetera, add to further boost for demand. Gujarat's 9 high -speed corridors covering about 800 kilometers are fast tracking connectivity and will add further. Cabinet has approved 2 major highway projects worth INR20,000 crores plus, Nashik -Solapur and one more, signaling continued momentu m in India's integrated high -speed connectivity push under the PM Gati Shakti.

Stepping down into South India. Bangalore is undergoing a major mobility transformation with the metro network set to expand from 96 kilometers to 175 kilometers by the end of December ’27. Karnataka government has unveiled an urban infrastructure p

rogram which will have longest 40 -kilometer twin tunnel, a 41kilometer double decker metro, 110 -kilometer elevated corridors. Center has approved INR10,000 crores expansion of 4 key highways measuring about 273 kilometers, which will improve co nnectivity across T elangana. New Mangalore Port has announced capacity expansion to handle 100 million tons by 2047.

We can't forget the Eastern corridor. West Bengal has its own challenges, but is planning largest road initiatives, about INR8,487 crores program, 15,000 kilometers of rural roads, 5 ,019 kilometers of urban roads. All this just goes to say that India is developing very fast. Bihar is rolling out 3 major Ganga Road projects worth INR70,000 crores. Digha -Sherpur -Bihta -Koilwar (35 kilometers); Munger -Bariyarpur –Ghorghat –Sultanganj (42 kilometers), Sultanganj - Bhagalpur -Sabour (41 kilometers). So, I'm not advocating or speaking on behalf of NHAI, but this is what the story is surfacing.

Chhattisgarh , Center has approved 774 kilometers roads covering 2,000 -plus kilometers under the PMGSY -IV. The state has already completed 8,753 roads and bridges are also under the

same phase. Major rail expansion across Maharashtra, Chhattisgarh, Gujarat, MP reflect t he scale and diversity of investment underway.
To give you a perspective, roads and highways require approximately 350 to 900 metric tons per kilometer. With thousands of kilometers under construction or planned across all regions, this is going to be huge. Elevated metro requires 11,000 metric tons per kilometer. Underground metro requires anywhere between 17,000 to 19,000 metric tons per kilometer. Railways, 90 to 100 metric tons of cement, ports and airports go up to 50 kgs per square feet.
Housing, if I were to look at low -income housing programs, affordable housing and rural connectivity projects sustained steady demand. With a strong project pipeline, demand for cement will remain very continuous and as strong as possible. Infrastructure is seeing the next big wave of growth. What does that imply - more jobs, more demand for housing and social infrastructure, i.e., schools, hospitals, commercial complexes, office and all. We are present across the country. Just to tell you about our RMC net work is about 163 cities, which we are already covering and rapidly expanding. UltraTech is so sweetly positioned to meet the demand like nobody else. We are witnessing unprecedented growth in new avenue s like data centers, GCC, renewable energy projects, you name it, and things are happening. As somebody just said, India has arrived. It's the market with a population of over 1.4 billion people, youngest working class and an opportunity across the land ban k for development.
At UltraTech, we are fully geared up to capture these opportunities. Our approach remains rooted in disciplined execution, advancing our next phase of capacity expansion while ensuring every investment is backed by rigorous cost control and operational efficiency. In our fourth phase of expansion, large part of orders has already been placed, work has already commenced, and we will be on time. Importantly, we are funding all our growth through internal accruals, maintaining a prudent balance sheet and a hea lthy leverage profile.

This, combined with our pan -India network and deepening retail footprint positions us to capture incremental demand at a very rapid pace while safeguarding our margins. You would have seen our leverage position this quarter end. On a consolidated basis, we are at 1.08x net debt EBITDA. I believe and I'm very confident that we'll reach the mark of 1x and be in 0.8, 0.9x net debt EBITDA by the end of this fiscal year.
Integration of recent acquisitions is progressing very well with rapid brand transition. Kesoram and India Cements are ahead of the initial plans , with brand conversion a

t Kesoram having
reached 69% in December '25. And today, if we speak, it must have crossed further. India Cements has already crossed 58% at the end of December '25. For both these assets, we have begun our cost improvement capex program, which will result in benefits and will start reflecting in the P&L of January -March '27. At Kesoram, we have already spent INR263 crores, out of the commitment of about INR382 cror es. At India Cements, we have committed already INR601 crores and spent INR144 crores on the program.
Talking about capex , the other initiative, cable and wires is progressing as per plan. About INR500 crores worth of orders have already been placed. We have spent INR197 crores. 30% of the planned team is already onboard, civil work has started, and we are on schedule to see the launch of our product in the October -December '26 quarter as was committed earlier.
Talking about our efficiency improvement program, we continue to deliver solid and measurable results. In fact, now I am very confident that we should be doing better than what we had committed. We shall give an exact quantification and financial impact with our annual results for the year. However, you would have noticed the lead distance has dropped to 36 3 kilometers. The clinker conversion factor has improved to 1.49.
The most important factor, I believe, for us is to have a strong demand pipeline. And you will notice that January -March quarter, God willing, we will operate at more than 90% of our existing installed capacity, clearly demonstrating growth in the trade ma rkets as well as non -trade markets. If the demand is good, everything else falls in line. Ultimately, it is about the bottom line where it comes from, doesn't really matter.
Quite often, everybody is focused on cement prices, which has remained subdued post GST change. Last week of September, October, November saw some softening prices. But with growing demand, we are witnessing improvement in prices in all segments across the country. There have been cost increases in the cost of pet coke and coal, new labor code will ha ve its own impact, rupee depreciation. All these will have an impact on the cement industry. And obviously, there is reason to pass on these cost escalations into prices.
We are very confident of a very bright future for the next quarter and after that quarter and after that and after that. That doesn't mean I'm restricting myself to a fiscal '27, but the story is far longer. As India embarks on the next decade of developme nt, UltraTech is proud to play a pivotal

role in building the nation's future. We remain confident that our strategic initiatives in building capacities across the country in critical market locations, coupled with sector's positive outlook, we will contin ue to deliver growth faster than the industry. And we welcome all of you to participate in our journey. Don't miss the bus. Thank you, and over to you for questions.

Moderator: Thank you very much. The first question is from the line of Amit Kumar Murarka from Axis Capital. Please go ahead.

Amit Murarka: Congratulations, Mr. Daga, firstly, for a great result. I don't think anyone expected both volume and the margin beat actually, which is quite heartening to see. Just on pricing, wanted to get a sense from you, like there is a lot of industry capacity addi tion that is going to come through this year. What do you think industry's stance will be in this kind of a high expansion scenario?

Atul Daga: The reason I talked about all the demand footprint and demand new initiatives, I think cement will easily get absorbed. And if the demand remains strong, we will not see any problem in prices.

Amit Murarka: Understood. Sure. And just also on India Cements, like in Q3, I see that the EBITDA per ton was about INR400. You had earlier guided for INR1,000 exit in Q

4 '27. So , most of this improvement will be through cost? Or will there also be some pricing required to achieve that.

Atul Daga: So, what will happen is the brand conversion, which has already taken place . Actually, had the brand conversion not taken place, the performance would have not been where it is today. Balance almost 40% or 45% of brand conversion has to be completed and prices are going up in the southern markets as well. Further, as I called out, the capex program has begun for efficiency improvement. So, we have to have all the players playing the match in a positive manner - prices, efficiency improvement and capacity utilization. All of them will deliver as planned.

Amit Murarka: Understood. Yes. And lastly, just if you could give the CC ratio for the quarter.

Atul Daga: 1.49.

Moderator: We have the next question from the line of Pulkit from Goldman Sachs.

Pulkit: And I echo Amit's views that these are good numbers. And on a lighter note, your opening remarks sounded a lot like the budget speech. But sir, I don't see the capacity addition plant -by-plant guidance for Q4 and for the next 2 years. Just the numbers around how much capaci ty would be added in Q4, how much in FY '27 and FY '28, that will be helpful.

Atul Daga: So, we should have approximately 8 to 9 million tons more coming in this quarter. And the balance,12 million tons in fiscal '27 and then balance remaining will be in '28.

Moderator: We have the next question from the line of Jashandeep Singh Chadha: from Nomura.

Jashandeep Chadha: Congratulations on a great set of numbers, sir. And I must start by saying that the information and detail that you gave on the project is much better than most of the department who are actually working on those projects, I must say. So, my first question is you have covered most of the demand aspect and in a lot of detail ?
Just wanted to shift the focus on rural demand. How has rural demand recovered in third quarter? How are you seeing in the fourth quarter? And what are your expectations for the year ahead? And just related to that, any expectation from the budget for the cement sector or anything?

Atul Daga: The last question first, I won't comment on that. Rural demand, simple way to look at rural demand is look at our trade ratios. If our trade ratios remain strong, rural demand is equally buoyant. We are not witnessing any depression in rural demand. Q4 also will be solid is what my expectation is.

Jashandeep Chadha: Understood, sir. And sir, on the cost saving front, UltraTech has given a target of INR300 to INR350 per ton over the next couple of years. I understand it's very difficult to tell the details quarter -by-quarter, but if you can give us the sense how much of this has been realized? And how much of that will be coming in the coming quarters?

Atul Daga: So you're asking 2 things in the same question. First, you are saying it is difficult to quantify and then you are saying quantify. So please have mercy. No, it's very difficult and it's not logical, Jashandeep, because July -September quarter will be weak, so costs can go up. January -March will show extraordinarily high delivery. So, it is best to see the results on an annual basis. Now to give you directions on how things are moving, and we had given our program with item details and with the targets. I reca ll we had mentioned with the base of 400 kilometers of lead, a 25 - kilometer lead reduction, which would have taken us to 375 kilometers. We have already reached

363 kilometers. So, it's not only the lead distance, which helps, there is a lot of other initiatives which the team is taking, which helps to take efficiency improvement. Similarly, we have taken a target of clinker conversion factor of 1.54. We are moving on that direction . In 1.54, we have reached INR1.49. So, you can do your own ma

th, but it wil l be best that we do this math at the end of the year. All I can say is we are moving and in line with the target set. Last year, full year, on those quantified measurable targets, we have delivered INR86 per ton. My guess is we should be crossing INR100 mark on those efficiency improvement programs in this financial year. Jhanwar -ji, you want to add.

K.C. Jhanwar: Yes, I think Atul has already explained because it's not item -wise see, we have moved from clinker conversion from 1.45 to 1.49, and we are still away from our target actually. And if you talk about the renewal energy, our renewal energy has gone to almost 41% kind of thing, and it is further likely to go to 60% going forward actually.

So, I can say that fundamentally, we are by and large, on track because quarter -to-quarter, we have seen in 1 quarter because of the cyclical nature of the industry, we may be up and down. But year as a whole, I think we are very much on the right track.

Atul Daga: Thanks, Jhanwar -ji.

Jashandeep Chadha: Just one last, if I can squeeze in. Any impact of increasing input costs you are seeing in fourth quarter?

Atul Daga: You tell me where the dollar will be in fourth quarter. So it's very difficult, but I think we are managing our middle line very well. You would have seen our fuel costs have remained at INR1.8 per kcal in this quarter. I don't expect the cost to go up. Raw material costs are already matured. These are the 2 big cost items, maintenance costs, which spikes typically in July, September will be normal maintenance costs in January -March quarter.

Jashandeep Chadha: Understood, sir. I'll join back the queue.

Atul Daga: Thank you.

Moderator: We have the next question from the line of Rahul Gupta from Morgan Stanley.

Rahul Gupta: Again, sorry to echo again, a very good set of numbers. You talked about cost inflation and improved demand will support cement prices from here on. Now it looks like the infra demand is coming back, which should drive low pricing non -trade segment higher. Does that mean that even if cement prices move up, realization may remain under pressure over the next year or so? Any color on this will be very helpful.

Atul Daga: So firstly, Rahul, I like the echo that you talked about. Always good to hear good performance from as many people. Coming to your first question, even if infra demand is going, non -trade prices will also harden. So, I don't see any reason why there should be any problem. In fact, if you go back 2 or 3 quarters, the gap between non -trade and trade prices had narrowed dramatically. Rahul, are you there? Hello?

Rahul Gupta: Yes, yes. No, this is very helpful. I don't have any other questions.

Atul Daga: Thank you.

Moderator: We have the next question from the line of Pinakin Parekh from HSBC.

Pinakin Parekh: Sir, again, many congratulations, very good number. We understand that demand and pricing both have improved in January. But to go back to what happened in the December quarter. Now we understand that in the last 2 years, there have been multiple acquisiti ons done in Southern India, you and other industry players, expectations of Southern India pricing seeing more stability with upward bias, but somehow that has not taking place. What in your view needs to change in industry dynamics in Sout h for pricing to be more stable with upward bias?

Atul Daga: More demand. I think demand is opening up, and I stand by my statement South will be new north. That doesn't mean North is going away anywhere. North is stronger and stronger. South is witnessing large institutional demand, the Amravati City project, which is going at its breakneck pace, the IT complexes . Complexes which are coming up, data centers which are coming up, which are so cementitious in nature, highways, et cetera, that we have talked about. And the yo

ung population in these IT hubs wi ll demand more housing and more social infrastructure. So, I'm not talking about 1 quarter, Pinakin, but as we as strategic players are looking at a long -term stability and reliability of the sector.

Pinakin Parekh: Got it, sir. Sir, just to follow up in your view and given what the position UltraTech is at, if finally, the institutional demand, as you highlighted, starts coming up in a big way in Southern India, can 2026 see a break in terms of South India's historically volatile cement pricing? Or do you see this as something evolving more over the next 2, 3 years?

Atul Daga: I think '26 will be a fabulous year.

Moderator: We have the next question from the line of Ritesh Shah from Investec.

Ritesh Shah: Good numbers, congratulations. Sir, 3 questions. One is, would you be able to spell out industry demand growth for Q3 and 9 months?
Atul Daga: Don't hold me to it, but we would expect anywhere between 9% to 10% all -India demand.
Ritesh Shah: Sir, would you speak for Q3?
Atul Daga: I was talking about Q3 literally.
Ritesh Shah: Yes, yes. And sir, for 9 months?
K.C. Jhanwar: For the year as a whole must be about 7.5% kind of thing.
Atul Daga: 6.5 % to 7%, 9 months.
Ritesh Shah: Sure. Sir, my second question is, basically, if you could provide some detail around sourcing of fly ash and slag. What is the sort of nature of contracts that we have on tenure and how is the pricing that's trending?
Atul Daga: So, one is there's enough new supply coming up. Power plant capacities are going up, steel plants are coming up. And we have a mix of long -term, short -term domestic and import sourcing, fully secured.
Ritesh Shah: Sir, so putting this demand aside, if we had to improve a clinker factor, is there any limiting factor?
Atul Daga: No. No, none whatsoever.
Ritesh Shah: Okay. And sir, when you say imports, it means imports for both fly ash as well as slag?
Atul Daga: No, slag.
Ritesh Shah: Only slag, okay. That's helpful. Sir, third question on India Cements. Anything on non -core asset sale? And any thoughts on merger, basically simplifying the structure? Any time lines around that?
Atul Daga: Noncore there are land parcels essentially . We just sold off the coal mining company in Indonesia. The monies have been realized, and that's how you see the debt remaining under control. There are a couple of big land parcels, which we are discussing with potential buyers. I would expect further generation of up to INR500 crores minimum, which we should be able to get. We are now getting into, exploring the legal options in terms of there's an ED case, which is attached to the company , the assets of the company are also attached. There's a property in Hyderabad and some financial securities, which are attached. We are seeking legal opinion what will be the implications of that case, and then only we'll take a decision further.
Ritesh Shah: Sir, just a follow -up over here. I think just correct me if I'm wrong, for India Cements, you had indicated INR144 crores spend out of INR601 crores, are those numbers right?

Atul Daga: Correct.
Ritesh Shah: Okay. And sir, when we say non -core asset sales, incrementally, it's INR500 crores. And what has been realized so far?
Atul Daga: Close to INR200 crores or INR250 crores . I'll give you exact number. That's a very easy number. If I can't give it on the call, you can reach out to, Ankit, later.
Moderator: We have the next question from the line of Satyadeep Jain from AMBIT Capital.
Satyadeep Jain: Just one clarification question on the capex . Mr. Daga, you mentioned having 12 million ton next year and balance in '28. Just wanted to clarify the phased 22 million tons that you've announced, all of that is likely to get co

mmissioned in FY '28 given you've already placed orders?
Atul Daga: Yes, please.
Satyadeep Jain: Okay. Nothing still. As of now, you're not expecting anything to spill over into FY '29?
Atul Daga: No, '29 is too far.
Satyadeep Jain: Okay.
Atul Daga: At best a delay by a quarter. Some project will get preponed and some project could push over to the next quarter at best.
Satyadeep Jain: Okay. Maybe in the next one, is it possible like historically, you used to have this quarterly projection for when you expect capacities to commission for the next one that you have since you already have what...
Atul Daga: Sure. We'll send it.
Satyadeep Jain: And on the power cost, I see your captive power cost has been declining each quarter. Just what is driving that?

Atul Daga: No, that is the average cost of power. So, capex on the power, which has gone from INR7.1 crores to INR6.5 crores. Look, fuel efficiency is the only reason which I could think of, nothing more.
Moderator: We have the next question from the line of Ashish Jain from Macquarie.
Ashish Jain: Sir, my first question is like all the demand...
Atul Daga: My first question to you, Ashish, how are my numbers?
Ashish Jain: Numbers are fantastic, sir, a lot of people have spoken about this, sir.
Atul Daga: Okay.

Ashish Jain: No, no, numbers are fantastic without doubt it. So, sir, like given most of the drivers you spoke about, are all infra -led demand, right? And so, can we see a change in mix moving from PPC to OPC, you think that will happen in the next 3, 4 years in the industry?
Atul Daga: In fact, what we could see is intra demand converting to non -OPC also. There's a lot of strong advocacy happening, and there is a gradual conversion. You will know that most of the institutional players do the conversion or mixing at the project site. So i nstead of we doing it, some of them have started adopting and accepting the product from the cement manufacturer. RMC, it's about 3% of our total volumes of cement and growing rapidly, where it is getting consumed, large portion goes to institutional markets. Bulk cement is going up significantly, which will help the institutional market, gives us better margins, price remaining the same margins improve. So that's very important.
Ashish Jain: Sir, sorry. But in fact, that was the context of my question that if on -site blending is going up, can it mean that...
Atul Daga: No, it's going down.
Ashish Jain: Okay. Okay. Because of RMC I think but...
Atul Daga: That is what I talked about advocacy and there is a conversion happening, slowly it's happening.
Ashish Jain: Right. Yes
Atul Daga: Okay. Hello? Are you there? I think he lost the connection, take the next person, please.
Moderator: Yes. We have the next question from the line of Indrajit Agarwal from CLSA.
Indrajit Agarwal: I have 2 questions, sir. Sir, first, can you highlight what is the spot pet coke price versus the booking levels in 3Q?
Atul Daga: Around 118, 117.
K.C. Jhanwar: 118, 119, ranging in the trend.
Indrajit Agarwal: Sure. This is helpful. And second, in 3Q versus, let's say, a 3% kind of price decline sequentially, how would you split it between trade and nontrade? Was non -trade drop much sharper?
Atul Daga: Non-trade was sharper.
Moderator: We have the next question from the line of Raashi from Citigroup.
Raashi: Sir, just continuing on the pricing question, where are we on pricing versus 3Q at the moment?
Atul Daga: I think we are roughly INR3 to INR4 on a naked cement realization basis up. If naked cement realization is up INR3 to INR4, prices are up, it's somewhere around INR6 to INR8. Are you there?

Raashi: Yes, what I'm trying to get to is that you also made a comment, of course, on demand, but

on
that you will be able to pass on the higher cost impact in the form of better pricing.
Atul Daga: I think what is happening is, I'm sold out. What do I do? So obviously, if I'm in a sold -out position, I have to service my highest paying customer.
Raashi: Understood. Fair enough. Okay. Got that. Again, on the capacity, is it possible to just for India Cements capacity, what would be the number by the end of '26, '27 and '28 in the asking. Sorry, I didn't mean India Cements, I meant your Indian capacity not of India Cements.
Atul Daga: 235 by FY fiscal ' 28.
Raashi: Fiscal '26 and '27, if you have the number?
Atul Daga: '26 should be 198, 199 and then 12 more million tons in towards '27, yes. We missed that chart, we'll circulate that chart separately.
Raashi: Got it. And just on Kesoram in the second quarter, you had indicated the EBITDA per ton was INR755, what is that number in this quarter?
Atul Daga: Would be around INR600 this quarter .
Raashi: And the full rebranding is still maintaining June '26, okay for now?
Atul Daga: We should be doing it in time. Because we have already crossed the 70% mark for Kesoram as

we speak. And India Cements also, we have crossed around 55%. I don't remember the exact number, but every day is a new high.
Moderator: We have the next question from the line of Siddharth Mehrotra from Kotak Securities.
Siddharth Mehrotra: Congratulations for a great set of numbers. Sir, just wanted to understand, given the strong volume growth we've witnessed this quarter, what is your approximation of UltraTech's market share going for this quarter? And sort of where do you sort of aspire to be, say, 2 to 3 years down the line?
Atul Daga: I wouldn't know a number on market share, but if you see that we have been growing or our capacity utilization has been higher than the industry, then obviously, there is a gain in market share also. There's no published data available to capture that numb er realistically. And going forward, I expect to see the same trend. As for aspiration, there's no aspiration. I think we are looking at how India is growing, where the growth opportunity is, and we will keep growing with India's growth story.
Siddharth Mehrotra: Got it, sir. And just coming back to consolidation, do you think there are additional targets which you would want to sort of look at just from a consolidating point of view so that you have better control on perhaps the industry dynamics as well? Are ther e any potential opportunities still under consideration, so over the next 1 or 18 months?
Atul Daga: It's highly opportunistic. We would love to examine opportunities if they come to the table.

Siddharth Mehrotra: Okay. But nothing is in progress as we speak? Okay, sir, then that's it.
Atul Daga: Thank you.
Moderator: We have the next question from the line of Harsh Mittal from Emkay Global Financial Services.
Harsh Mittal: So, my first question is that what has been the clinker capacity additions till date in FY '26? And what will be the addition in quarter 4, this ongoing quarter?
K.C. Jhanwar: Yes, we have added 2 lines actually one is almost 10,000 TPD, yes, and translate into almost 3.5 million tons per year. And another one more line of 3.5 million ton in Rajasthan.
Atul Daga: That's 7 million tons of capacity. One in Nathdwara a nd one in Maihar.
Harsh Mittal: Sure. Sir, second question is what is the premium share this quarter? It's not been there in the PPT?
Atul Daga: We misse d that. Premium share is 36%.
Harsh Mittal: Okay.
Moderator: We have the next question from the line of Andrey Purushottam from Cogito Advisors.
Andrey Purushottam: Congratulations on great set of numbers. And I wanted to ask, when I was going through the presentation, I found that your EBITDA is up considerably. But your costs, some have gone up, so

me have gone down, right? Your raw material costs have gone up and your fuel and logistics costs have gone down. Now given that your net realizations are also slightly lower, can one assume that the increase in EBITDA is almost entirely out of operating leverage? And if that is the case, if you're adding 8 million and 12 million tons capacity in the next quarter/next year, respectively, what can we see as the trajectory and the effect of operating leverage going forward? Could you just lend some color on that?
Atul Daga: So operating leverage, obviously, will keep on playing a positive impact on efficiency improvement. Prices were a dampener on the profitability, but volumes, which gave me operating leverage and cost management, very efficient and tight cost management. Of course, you cannot manage all the line items of cost, but the management team's focus always remains on running a very tight P&L. So that's what is reflected in the performance in the quarter.
K.C. Jhanwar: And the third one you asked about the raw material pricing. It's obviously, the clinker conversion ratio has improved. So, the raw material price will definitely increase, but the benefit we will get partially in the power and fuel side.
Andrey Purushottam: Okay. So, we basically should see an increase in EBITDA per ton over the next 15 months?
K.C. Jhanwar: Definitely, without a doubt.
Andrey Purushottam: And would there be a numerical guidance that you would be able to provide in the range.

K.C. Jhanwar: No, we don't give guidance .
Andrey Purushottam: Okay.
Moderator: We have the next question from the line of Girija Ray from YES Securities.
Girija Ray: Congratulations. This is a superb number I can say, which is beyond market expectation. So, sir, my question is related to employee cost. Is this a one -off for this quarter? And second question,

can I expect INR1,100 to INR1,200 kind of EBITDA per ton for fourth quarter?
Atul Daga: To your second question, we will do much better than what we did this quarter. I don't want to get into any specific number. And 916 employee cost going up Y -o-Y because what happens is our annual compensation increases that take place and new plants, of course, new capacity getting added. That is what will reflect in this cost. What you ideally should compare, if you look at Q2, you will not see dramatic movement.
Girija Ray: Okay. And thanks for saying that fourth quarter, we'll be doing a very good EBITDA per ton. That's all from my side, sir.
Atul Daga: Thank you.
Moderator: We have the next question from the line of Navin Sahadeo from ICICI Securities.
Navin Sahadeo: Of course, congratulations on the robust volume growth that you have demonstrated. Two questions. One is your other operating income, just the difference between the net revenues and net sales that you report. Sequentially, it has got increased by almost a bout INR88 crores. And this was also the first wherein quarter in the incentives would have likely dropped on a pro rata basis in the sense, if earlier we got incentives at 28%, now we get at more like 18% on a base. I'm just comparing. So, is there anything one -off that we got in this particular revenue item?
Atul Daga: So, Navin, what happens is that new incentives kick in, sometimes old incentives get exhausted. Case in point, our Dhar line 1 got exhausted, whatever was the balancing quantum of money left and Dhar 2 kicked in. Then also a bigger thing and very difficult to show a trend line is volumes moving from the plant to which market. Depending upon the concentration of demand in the local market, the incentives will go up or down.
Navin Sahadeo: Helpful. My second question was on India Cements. And of course, the company has done a remarkable performance there on the cost front. This quarter, in particular, the freight cost flipped, I w

ould rather say, plunged significantly, almost 27% plus quarte r-on-quarter on a per ton basis. So, wanted to understand, is this the new normal because a higher brand transition has happened, so you can sell in a lowe r lead catchment area ? Or this is anything one -off? That's my question.
Atul Daga: Yes. So, it's a combination. And obviously, when brand transition gets completed fully, you will see the real benefit. New footprint will also get captured. So, this is not a one -off. We're ready to go down further. Difficult for me to say at this juncture. Perhaps we will talk about it in April - June quarter.

Moderator: We have the next question from the line of Shravan Shah from Dolat Capital.
Shravan Shah: Congratulation on strong volume growth. Most of the questions answered, a couple of clarifications and questions. So first, 9-month capex , what was the number? And for full year FY '26, '27, '28 previously, we said INR10,000 -odd crores. So that guidance remains intact?
Atul Daga: INR7,000 crores to INR7,200 crores is 9 months and yes INR2,000 crores to INR2,500 crores will get spent in this quarter. So anywhere around INR9,500 crores , INR10,000 crores.
Shravan Shah: Got it. And sir, in the next year, FY '27, when we say 12 million tons we want to add, any ballpark idea in terms of 1H FY '27, will it be a 5 million, 6 million tons that we will be adding?
Atul Daga: You want me to tell you what date will we be commissioning and at what hour we will start the shipment, give us that flexibility to commission as fast as possible, Shravan, don't hang me for exact number or exact period.
Shravan Shah: No, no, I'm saying. 1H FY '27, in this -- so in the first 6 months of FY '27, will it fair to assume 5 million, 6 million tons we will be adding?
K.C. Jhanwar: 4 million to 5 million tons, but it all depends, as you know, Shravan, because there are multiple moving parts. So sometimes things get delayed and kind of thing. But yes, I can guess maybe 4 to 5 million tons.
Shravan Shah: Okay. And in terms of the demand for fourth quarter of this quarter, FY '26, will it 7% to 9% that we are expecting? And for next 4, 5 years, normally what we guided in corporate 7% to 8%. So that number remains intact.
Atul Daga: That remains. That remains, Shravan.
Shravan Shah: And then for this quarter, fourth quarter, would it be a 9%, 10% or 7%, 8%.
K.C. Jhanwar: No, I don't think . 9%, 10% may be a little optimistic, but difficult to say because the last year base itself was, all we know is the good base. But yes, all I think it is going to be the robust demand actually.
Shravan Shah: Okay. Got it. And this 1.54 CC ratio target, that is by FY '27, we are looking at?
Atul Daga: In the middle of FY ’27 and FY ’28, when we complete the previous phase of expansion between FY '27, FY '28.
Shravan Shah: And the green share from currently 42% to 60% by FY '27, we will be reaching?
Atul Daga: Yes. So '27 or first half of '28, so just giving us a flexibility of some delays.

Shravan Shah: Okay. And last a clarification, in terms of price, when we said INR3 crores , INR4, price hike would have already happened versus third quarter of average, though this is including trade non -trade put together?

Atul Daga: Average, yes.

Shravan Shah: Okay. All the best.

Atul Daga: Thank you.

Moderator: Thank you very much. Ladies and gentlemen, as there are no further questions from the participants. That concludes the question -and answer session. On behalf of UltraTech Cement Limited, that concludes this conference. Thank you for joining with us today, and you may now disconnect your lines.

Call: May 2026

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1st May, 2026

BSE Limited
Corporate Relationship Department
Scrip Code: 532538 The National Stock Exchange of India Limited
Listing Department
Scrip Code: ULTRACEMCO

Sub: Transcript of Q 4 FY26 Earnings Call of UltraTech Cement Limited ("the Company")
Dear Sirs ,

In terms of Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached transcript of the Q4 FY26 Earnings Call conducted after the meeting of the Board of Directors of the Company held on 27th April, 202 6, for your information and record.

The same is also available on the website of the Company viz. www.ultratechcement.com .

Yours faithfully,
For UltraTech Cement Limited

Dhiraj Kapoor
Company Secretary and Co mpliance Officer

Encl: a/a

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"Ultra Tech Cement Limited
Q4 FY '2 6 Earnings Conference Call "
April 27, 202 6

MANAGEMENT : MR. KAILASH C. JHANWAR – MANAGING DIRECTOR
MR. ATUL DAGA – CHIEF FINANCIAL OFFICER

Moderator: Ladies and gentlemen, good day, and welcome to the UltraTech Cement Limited Q4 FY '26 Earnings Conference Call. As a reminder, all participant lines will remain in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal the operator by pressing star then zero on your touchtone telephone. Please note that this conference is being recorded.
I will now hand the conference over to Mr. Atul Daga, Chief Financial Officer, for opening remarks. Thank you, and over to you, sir.
Atul Daga: Thank you. Good evening to everybody. I want to begin not with numbers, but where we stand as a company because fiscal '26, in my view, is a year that will be looked back on as a genuinely significant year in UltraTech ’s story. And fiscal '27 started with an achievement of major milestones. UltraTech crossed 200 million tons of cement production capacity in India, a first for any company in a single country outside of China. Let me put this in context. We reached 100 million tons in 2019, added another 50 million tons in 5 years by 2024, and we completed a journey from 150 million to 200 million tons in less than 2 years. This is a feat, even more remarkable since we are a full year ahead of our targets as what we had set for ourselves. Let's be clear on what the number means. It's not simply a headline. It's an expression of our strategy to build scale that compounds in cost efficiency, in market reach, in raw material security and in sustainability. Every ton of capacity we add reinforces every ton that came before it.
Let's look at our position globally. Outside of China, UltraTech is today the largest cement company in the world by sales volume. And we are the only cement company anywhere in the world to have over 100 million tons of production capacity within a single country. We are 200 million tons. These are not rankings we have stumbled into. These are the results of a very deliberate strategy, disciplined organic growth, timely acquisitions , at the right price and a relentless focus on execution. From somewhere around 65 million tons in 2016 to 200 million tons today, we have more than tripled our capacity in a decade. Our next horizon is already set. We have committed to add a further 37 million tons, which will take us over 242.5 million tons in a phased manner by fiscal '28.
Now I want to speak to something that is very much on everybody's mind, the conflict in West Asia and what it means for us. Whilst I have given an indicative chart in our presentation on where the impact of these rising prices could be, let's be straightforward, it's a real headwind on fuel costs, packing bags and freight, on certain import -dependent supply chain s, on near - term sentiment in some demand segments, and the way oil prices are, we could see an increase in domestic prices of petrol and diesel. The government's monthly economic review for March '26 also acknowledged that the outlook has become slightly uncertain. And yet, India's structural growth story is entirely intact, government capex is flowing , infrastructure execution continues , housing demand is robust , IMF has also raised the growth forecast for the country. Just to rattle some numbers out for you, India did approximately 10,660 kilometers of highways in fiscal '25 and has maintained a similar pace in fiscal '26. The PMAY housing program is driving cement consumption at scale. That tells us something important about the underlying demand base. On the construction cost environment, cement prices have been

largely stable in the last financial year with movement of maybe 0% to 5%. Steel prices have seen volatility. West Asia situation is near -term cost moderator

, not a structural demand
reversal. And we believe UltraTech, with our domestic strength, our 1.8 gigawatt green energy platform, our scale -driven cost efficiency is much better positioned to manage through this

environment as well.

Fiscal '26 was a year of extraordinary execution. We crossed 200 million tons of capacity . We completed brand migration for both India Cements and Kesoram ahead of schedule. We continued building our green energy capacity, and we delivered volume growth and improved profitability. We said we would do these things, we have done them and we enter fiscal '27 in a stronger strategic position than at any point in our history.

Let me look at the Q4 performance and the full year performance. And we'll also share some insights on the integration stories and our cost efficiency program. Consolidated sales volumes, as you have already seen, has crossed a rocking 44 million tons this quarter. Most important aspect about it is to note that UltraTech as a brand year -on-year has grown 19%. Nobody can take away that thunder from us. Realizations improved during the quarter, gr ey cement pricing strengthened about 2.5% in most geographies, supported by an improving trade mix and premiumization. Our blended cement share , premium portfolio contribution both moved higher, which is a conscious and a deliberate strategy going forward. EBITDA per ton, excluding acquired assets, is at INR1,296 per ton for the quarter. For the context, this metric was INR1,225 in Q4 '25. The trajectory has continued. On an aggregate basis, we have reported INR1,253 per ton in Q4 '26. If I were to split between India and overseas, thanks to our UAE operations doing very well, they have contributed substantially. But India has been no less. Remember, the India capacity is almost 196 million tons during this year. If I were to remove the aberrations of West Asia crisis, we have achieved EBITDA per ton of very close to INR1,240 per ton. What am I knocking out from here? The last month increase in the cost of bags and impact of exchange loss, the highly volatile and the frantic devaluation of rupee that happened in the last month. So, I believe we have done very well on EBITDA per ton as well.

Our renewable energy platform has been growing from strength to strength. Today, almost 43% of our power needs are being met from green sources. We have committed to reach about 85% of our power requirements from green energy by the end of fiscal 2030, and we are very confident of reaching that position. On the fuel side, we are actively managing our mix, optimizing between petcoke coal, alternative fuels and increasing the share of domestic coal wherever required and wherever possible. On the logistics front, our lead distance has reduced to 367 kilometers, our ever -expanding bulk terminal network, including the new Lucknow facility and other facilities are helping us reach the customer faster, thus helping us reduce our lead distance and our overall costs.

Let me spend a few minutes on the two acquired businesses, where the progress is, I believe, fantastic. Brand migration - 100% brand migration has been completed at the end of March '26. In second quarter fiscal '26, 31% of ICL volumes and 55% of Kesoram volumes were carrying UltraTech brand. December '25, they had moved to 58% and 69%. We have completed at the exit of March '26, 100% brand conversion. The EBITDA trajectory - India Cements EBITDA of INR497 per ton in Q4 '26 up from INR333 in Q2 and INR305 in Q3.

Sequential improvement every quarter since acquisition. This quarter, the company declared a PAT of INR60 crores for the quarter, which has been after a very long time. And this INR497 EBITDA per ton, please understand how we read it. As you know, under the related party transactions, we had put in place a tolling arrangement. India Cements manufactures a

nd sells
the UltraTech brand, but does not carry any direct marketing and distribution costs. Those sit with us at the consolidated level. At UltraTech, we charge a markup per bag on ICL volumes, which offset that element on a net basis. So India Cements' underlying operational progress towards UltraTech system is much higher than INR497 per ton. And the selling price improvements that happened in the southern markets will give it a further boost.

The investment phase is now underway. We had committed INR1,592 crores for India Cements for efficiency improvement, plus another INR400 crores for capex on capacity expansion, this definitely is going to take us over INR1,000 per ton, as committed by the end of fiscal '28. We are spending INR400 crores to INR500 crores for Kesoram cement assets. They are already operating at INR1,000 EBITDA per ton more or less in line with the other cement operations in South. These two assets today represent about 13% of our consolidated capacity. They are moving from integration drag to earnings contributor. As their cost improvement capex matures, they will be a meaningful and growing source of group -level EBITDA accretion.

Let me now look at how we see fiscal '27 and beyond. We expect a sustainable volume growth of 7% to 8% per annum. The structural drivers are firmly in place, India's urbanization story, the government's infrastructure commitment , you would have read about Mumbai City itself spending about $60 billion in improvement of infrastructure , the PMA Y housing targets, rising rural demand, none of these have been diluted by the West Asia crisis. These are very strong structural forces and UltraTech is better positioned than anybody else to capture that demand in the long-term. The near -term environment has its complexities, nobody knows what will happen tomorrow. What will be the new comment that gets made, which could move the market. We will wait and watch.

On the integration side, we are through the hard work, both India Cements and Kesoram are fully migrated to the UltraTech brand. Cost improvements are underway, and fiscal '27 P&L will start reflecting the benefits of this investment.

I should definitely mention about the dividend the Board has discussed, debated and proposed. Our balance sheet remains robust with a net debt -EBITDA of 0.94x at a consolidated level and 0.92x at UltraTech India level. This gives us financial flexibility to continue investing in growth without compromising on returns to shareholders. We have already started charting out our growth story beyond 240 million tons, and we'll come back to you next year. The Board has recommended a dividend of INR240 a share for fiscal '26. This dividend has been stress tested against retained earnings remaining adequate for all planned investments and commitments. Credit metrics and debt covenants are unaffected by the proposed distribution. We'll maintain our leverage below 1x year after year after meeting our growth capex. And our growth capex requirement is not shrinking. We see a plan of investing around INR8,000 crores to INR10,000 crores every year for the foreseeable future. Future capex pipeline remains fully funded and th e growth story is intact. It's a cumulative outcome of disciplined capital

allocation, operational excellence and consistent strategic execution over many years. We know it. You know it. Our operating cash flows are growing, and our Board has already taken a stance of improving the returns to shareholders. You would have seen our dividends grow from 10% of profits in 2020 to 37% of profits last year. And today, we are where we are. Dividend is not simply a financial transaction. It is a communication of our confidence and commitment to our shareholders and investors. It says we are confident in our earnings quality, in our forward outlook and in ou

r ability to generate and sustain value. We are not keeping cash on balance sheet out of uncertainty. We are sharing it because we can and because we have planned carefully enough to do so without any constraint. I want to close with something very simple. UltraTech has made commitments to investors on capacity, on integration, on brand transition, on cost efficiency, on sustainability and on returns to shareholders. Year after year, we have delivered on these commitments, FY26 being the top -notch performer.

We said we would reach 200 million tons ahead of schedule, we did. We said we would complete brand transition for ICL and Kesoram, we did and a quarter early. That consistency of delivery, ladies and gentlemen, is what defines UltraTech. And it is what will continue to define us in the decade ahead.

Thank you, and we are now ready for your questions.

Moderator: Thank you. We take the first question from the line of Rahul Gupta from Morgan Stanley. Please go ahead.

Rahul Gupta: Hi. Thank you for taking my questions. First of all, congratulations on hitting 200 million ton domestic capacity and a very good set of numbers. So I have three questions. First, just continuing on the capital allocation point that you made, Atul, sir, thanks for the clarity on that. Just to be clear on this, is it fair to say that given balance sheet strength and you funding your capex through internal accruals, we may see payout ratio staying higher for foreseeable future?

Atul Daga: I think so, but it will depend on the Board and company's performance . If we perform, if the cement markets do well, I think it should be possible.

Rahul Gupta: Got it. That's very helpful. My second question .

Atul Daga: And most important , Rahul, I would want to make is and I think I already said it, but I want to repeat, next few years, we are '26 till 2030, '31, I will see INR8,000 crores, INR10,000 crores of capex happening fr om our balance sheet every year. And as the operating cash flows grow because of our existing size, existing capacities, delivering more and more. The size of operating cash flow keeps increasing, making it very easy for the company to reward its shareholders.

Rahul Gupta: That's exactly the point. Yes. Very, very helpful. My second question is on realization. You, to some extent, have clarified how realizations have been better this quarter, your share of trade has improved, direct sales have improved and a brand transition of acquired assets have also ramped up fully during the quarter. So am I missing something over here o r is that the brand transition completion has helped in giving you the edge in terms of realization during the quarter?

Atul Daga: Significantly because if I were to look at, let's say, India Cements volumes for the quarter of 3.12 million tons, non -UltraT ech volume was 0.39 million ton s only. And everybody knows that UltraTec h enjoys a premium positioning with brand transition tha t has definitely helped. Jhanwar -ji, do you want to add?

K. C. Jhanwar : Yes. Very good afternoon a nd I would add further what Atul said, actually fundamentally I think it is working on all engines. Actually t here are a number of moving parts in the cement actually. S o one, yes, of course, the brand transition Atul has clarified, which is rightly so. But there are at least four , five, six critical moving parts, actua lly, which also helps to improve the efficiency and at the end of the day, resulted into improved cost structure o ver the higher profitability.

Rahul Gupta: Got it. And my final question is, first of all, thank you so much for sharing data on Slide 6. Now my question is that in one of the slides you have mentioned that other opex got some impact of the West Asia crisis. Can you help us quantify what that would be a nd how should we see June quarter, assuming this current si

tuation continues?

Atul Daga: So firstly, on Slide 6, I've just given an indication with what could be a potential impact and this cannot be annualized for the quarter. So please don't panic too much. And yes, in the last quarter, the immediate impact was because everybody has inventories of fuel, so nobody would have really felt the heat of rising prices of fuel. But bags became a crisis in the month of March and everybody got impacted, the costs went through the roof and our incremental cos t on bags was approximately INR 90 crores, which is reflected in other costs for the quarter on account of bag costs going up.

Rahul Gupta: Thank you. A nd any color on how should we look at the power and fuel cost for the June quarter?

Atul Daga: I don't think there will be too much of an issue in the June quarter and I will urge you, Rahul, to fly down to the White House an d do something about it.

Rahul Gupta: Well noted, sir. Thanks.

Atul Daga: Well, I don't think so it will be too much of a pain. Prices are going up, which is a reality. Selling prices have also been increased to cushion the impact of rising input costs. Another important one -off, which we are not even talking about, but the fact is the way rupee devaluated, I have $950 million of foreign currency borrowings fully hedged. But when you have to do a mark -to-market, you have to take the impact of that currency into acc ount. It hits your EBITDA. INR 94.85 was the rupee to dollar 31st March. It strengthened by almost INR1.8 sort of on the 2nd of April, but we have to account f or the dollar borrowings at INR94.85. So still it's noncash debit to the P&L but so be it.

Rahul Gupta: Got it. Well understood. Thank you so much and wish you all the best, sir.

Atul Daga: Thanks, Rahul.

Moderator: Thank you. Ladies and gentlemen, in the interest of time an d fairness to others we request you to restrict to two questions per participant and re -join the question queue. W e take the next question from the line of Pulkit Patni from Goldman Sachs. Please go ahead.

Pulkit Patni: Sir thank you for taking my questions and c ommendable results, very good quarter. So my first question is, you spoke about brand conversion having completed it in March. Could you highlight between March end and now how much has been the impact of this on India Cements and Kesoram?

Atul Daga: So Kesoram, if I look at January, March quarter, it was already operating at INR 1,000 -plus EBITDA per ton. And everything else remaining the same, India Cements will improve further because again, I called out of 3.12 million tons, only 0.39 million tons was non -UltraTech brand, 2.73 million tons already rebranded. So everything else remaining the same, the impact will be felt on this less than 0.5 million tons of volume in Q4.

Having said that, price improvements and the real efficiency and integration benefits will start flowing now. To better explain, Pulkit, now it will be one product, which is leaving from all the 9 factories of India Cements as compared to earlier days, there were multiple brands going out, not just two, but there were more than two brands going out. So the real efficiency, which will be visible in logistics now seamless operation will be visible now. My performance will go up further in terms of earnings potentials from India Cements.

Pulkit Patni: This is very clear. Sir, secondly, I'm just following up on the question from the previous participant on the Slide 6 where you speak about the impact of West Asia conflict. And while clearly, longer term you've been able to manage costs really well, et cetera. I'm just wanting to understand these costs are quite meaningful because you mentioned in one of your remarks saying that these are manageable. I just want to understand like based on just rough math, this looks to be fairly high in terms of it

s impact. So any mitigating measures that you can highlight, which gives you confidence that you'll be able to manage through this?
Atul Daga: Yes, there are several measures and for the sake of confidentiality, I might not be able to reveal trade secrets. But diversifying my sources of procurement, identifying newer opportunities to deal with the situation, doing long -term contracts for fuel, which are going to be beneficial to us now. Last 2 years, our long -term contracts were unfavorable , these will become favorable for us and nobody has them. So UltraTech will be one step ahead. Again, for bags, we have nearly 150 -odd suppliers across the country. And when there is a volume advantage for a supplier, obviously, their inclination to service a high -volume customer is much higher. Diesel impact, nobody knows. We are waiting , it might surface its horns next month. We'll have to wait and watch.
Pulkit Patni: Fair point, sir. Maybe can I slip in one more que stion if you allow?
Atul Daga: Yes, go ahead.

Pulkit Patni: Okay. Sir, you've mentioned the capex you've incurred on your cable and wire business and I know the numbers are small, but just to get an understanding, INR 800 crores out of INR 1,800 crores has been spent. Does it mean we are on track for an end of th e year launch or it could get split?
Atul Daga: Yes, Pulkit. And since you cover this sector in so much detail you know what the implication is. I don't have to spend so much money.
Pulkit Patni: Yes. Sure. So we are on jump track?
Atul Daga: It speaks for itself. And my guess is we should be on track, on time. We had committed Q3, in the first month of Q3, we might launch instead of waiting for December.
Pulkit Patni: Superb. Thank you and great results as always. Thank you.
Moderator: Thank you. W e take the next question from the line of Prateek Kumar from Jefferies. Please go ahead.
Prateek Kumar: Yes, good evening sir and c ongrats for the great results. My first question is, can you discuss sequential improvement in your performance stripping out international operations, which was also done very well during the quarter?
Atul Daga: Sequential as in quarter -to-quarter, what do you mean?
Prateek Kumar: Yes. Quarter -to-quarter, I mean, it seems like international operations have also contributed to sequential improvement of overall business .
Atul Daga: Yes. But they are only 5 million ton s of capacity. One thing is that before the war broke out, they were operating at 100% capacity utilization. There was a drop in capacity utilization, which went down to about 80%. Now with the permanent peace program being there, capacity utilizations have started going up. Prices have started going up. So, they are doing well for themselves, but the bigger thing, Prateek, is that is only 5 million tons, I have had INR1,250 of EBITDA per ton in India on a much higher volume. Of course, I'm knocking off the impact of exchange rate and cost of bags, which we had to face. UAE operations are all bulk volume, so there's no bag cost over there.
Accounting for all the expenses in India, we are still at INR1,200 per ton out of the INR1,253 average per ton. UAE, I believe they are doing well now. Volumes are picking up. Prices have not fallen. And knowing the UAE econom y, I think they will be the first one to turn the leaf, come up with some new programs for reviving the economy.
Prateek Kumar: And obviously, the UAE operations benefit from the construction demand wherever it is required ?
Atul Daga: Yes. And sequentially, UAE had EBITDA of INR267 crores in Q3 and INR278 crores in Q4. So it's a stable journey.
Prateek Kumar: So it's stable Q -on-Q EBITDA of UAE operation?

Atul Daga: Yes.
Prateek Kumar: Okay. Other question is, can you split your pendi

ng efficiency improvement program, wh ich
you have given the INR185?
Atul Daga: Actually, I forgot to talk about it. I should have thumped my hand on the table and told you. As promised and we have delivered it. So we are at almost INR185 per ton on nominal basis , we have completed. And all these programs which are there, which will take us beyond INR300, whilst we had committed INR300, because I'm keeping, let's say, an emergency or a buffer in my pocket, but I think we will deliver higher than INR300 is what we're looking at. So yes, we are looking at a number higher than INR300 per ton. Fiscal '27 also, we should cross significantly higher, without giving a number upfront, I have a paper in front of me. But yes, we will deliver higher than INR300 by fiscal '28. I've highlighted all the parameters and how they are getting quantified and measured. I don't know what else to add further.
Prateek Kumar: Sure. Thank you. These are my questions.
Atul Daga: All right. Thanks, Prateek.
Moderator: Thank you. We take the next question from the line of Amit Kumar Murarka from Axis Capital. Please go ahead.
Amit Kumar Murarka: Thanks for the opportunity and congratulations on a great result. Just on the couple of data points, we just wanted to understand better. So , in the presentation, you mentioned that your other brand sales volume was 7.4 odd million tons, I think, in FY26. So is it fair to assume this number will be close to 0 in '28 given that total transition has happened now?
Atul Daga: Yes, 7.34 in '26 and 0.52 in Q4. Okay. Out of 0.52, 0.39 was India Cements and balance was Kesoram old brand. So this has all gone up. Next quarter, you won't see it.
K. C. Jhanwar : Yes, almost zero.
Amit Kumar Murarka: Great. And also on the trade, nontrade mix, like seems to be now 65 -35, which is I think a bit higher than 70 -30 earlier. So again, like on this mix, particularly, would it be because in the presentation, I also see that the industrial infrastructure was a bit muted in the quarter, but still this number is a bit elevated. So I wanted to understand like is this goi ng to be now a sustainable mix o r would you like to kind of take higher again?
Atul Daga: I have seen it fluctuating between 65, 67, 68. This has been the narrative or this has been the broad mix. And what you saw in infra, two red marks that we have given is again a temporary. Last quarter because things got over in one, let's say, Gujarat, when the high -speed rail project has passed through it. The work is coming to an end. That's why you saw a red mark there in the slide. But otherwise, I'm sure the government, the way everybody knows that infra is the foundation for growth, it wil l keep on happening. West, I think I'll have to create a darker green color for infrastructure going forward because the way Mumbai, and I'm quoting the newspapers yesterday or day before or 1 -day earlier when the newspapers gave a summary of

how Mumbai is shaping up, 2035 will be totally new phase of Mumbai, $60 billion being spent here. So things are happening in the country.
Amit Kumar Murarka: Understood. Understood. And just one last question, if I may. Also on the clinker conversion ratio, it's now 1.48x how much more can it go to, let's say, in the next 1 to 2 years?
Atul Daga: We have targeted to reach about 1.54x. That road map is already there and let's see how things shape up beyond that.
Amit Kumar Murarka: Got it. Thanks. That's all from me and best of luck.
Atul Daga: Thank you.
Moderator: Thank you. We take the next question from the line of Indrajit Agarwal from CLSA. Please go ahead.
Indrajit Agarwal: Hi, Mr. Daga. Thanks for the opportunity and great set of numbers as always. I have two questions. In the last few weeks of March or early weeks of April, have you seen any concerns on availability because of

the conflict, be it bags or pet coke, where you found it difficult to
source even?
Atul Daga: No. no problems. Our dispatches have not suffered at any location in the country, bag availability has not been a crisis. It has become expensive, but it is not a crisis.
Indrajit Agarwal: Sure. Second, barring cement, all other building materials have become a lot more expensive, as you mentioned, steel, if you look at PVC or other commodities as well. Is it causing a demand concern for the overall IHB segment?
Atul Daga: Too early to say that. We have taken price increases for cement in the month of April. And by and large, we don't see a slowdown in demand, people will have an explanation too much of heat because of which there is a slowdown. Bengal and Tamil Nadu elections resulted in a slowdown just before the last 15 days, you see a slowdown. But generally, I think the undercurrent remains strong.
Indrajit Agarwal: Sure. And lastly, if I may, per your best estimate, what would have been the industry growth for March quarter?

Atul Daga: 6% to 7% is what my learne d team over here tells me.
Indrajit Agarwal: Sure. Thank you. That's all from me.
Atul Daga: Thank you.
Moderator: Thank you. We take the next question from the line of Jashandeep Singh Chadha from Nomura. Please go ahead.
Jashandeep Singh Chadha: Hello. Good evening, sir and thank you for the opportunity and congratulations on a very good set of numbers. Sir, my first question is regarding India Cements. As you have highlighted that

100% brand integration is done . And you also highlighted that only a small portion of volumes was under India Cements brand. I just wanted to understand that the delta of incremental EBITDA per ton for reaching INR1,000 per ton, how much of that will come from the cost efficiency measures that you are undertaking and realization improvement? Because I believe most of your India Cements volumes are already selling under UltraTech brand. So how much more potential is the re for realization improvement a nd how much cost efficiency measures will be there? That's my first question?
Atul Daga: So first and foremost cost improvement programs. And again, I'll go back to my earlier quarter commentaries. January -March '28, you will see all the efforts on capex converting into efficiency impro vement. We are still seeing INR 200 per ton of efficiency improvement, which will come into the kitty of India Cements. Second point and I'll come to the one more aspect that you raised. How do we look at the earnings from the volume of India Cements. Mind you, there is INR200 of EBITDA per ton on India Cements volume, which is sitting in UltraTech books. The INR497 for the quarter and during the quarter, gradually the transition was done. So we have reached a number of INR 670 per ton on India Cements. Now if price increases, along with efficiencies, new capacity addition, operating leverage, eve rything will take us beyond INR1,000 mark.
Jashandeep Singh Chadha : Understood, sir. And I'll ask my second question, it's a two-part question. So first is how you are looking at rural demand, how it has been in the March quarter? And in April, also how you're looking at rural demand? And second is, I know, I understand that UltraTech at the scale at which it operates, you will have multiple measures to mitigate this cost increase. But let's say, without those measures, what sort of realization improvement will be required to maintain the marg ins? These are my two questions?
Atul Daga: So you have asked three or four questions and I'll restrict you to two questions. So the last question, I will eliminate it because th at's a very difficult question, d ifficult to quantify. As far as rural demand is concerned, we have operated at 90% capacity utilization across our network. Some plants would have operated at 95% and

100% also a nd average is all across the country, we are operating at more than 80%. If you marry this point to the fact that our trade mix has not diluted. We are 66%, 67%, hovering around those numbers only, which means my rural demand has continued to stay steady. I hope that answers your question. And too early to talk about the important aspect, cash flows in rural markets improve with good crops, which helps the rural demand. And too early to say now for the quarter how things will pan out in the remaining 2 months, we will see.
As for your other point you mentioned , it's a moving target. Costs, let's say, bags from INR9 to INR15 a bag, that's a INR 6 delta, which has already happened. So that much price increase is required. Similarly, fuel is a very difficult one. At least this quarter, I don't expect my fuel cos t to go haywire. We were at INR 1.77 per kcal, max it might go to INR1.8. I'm just throwing this number off the cuff. I don't remember exactly where we will land at. The biggest impact, which was there in our EBITDA pr ofile was exchange. Dollar, INR 94.85 and today, it's INR94.2, it had come to below INR 93 also. The q uarter -end reporting, what is required remains to be seen. So price increases that have already happened, well, in my view, sustain the profitability.

Jashandeep Singh Chadha : Understood, sir. I know you don't like answering price -hike questi ons, so I was trying to hide it, but thank you so much. I will join back the queue.
Atul Daga: Yes. I'm also slightly smart.
Moderator: Thank you. We take the next question from the line of Ritesh Shah from Investec. Please go ahead.
Ritesh Shah: Hi, sir. C ongrats for a good set of numbers. I have four questions, if you allow.

Atul Daga: Go ahead, but o nly two.
Ritesh Shah: Okay. Sir, 2A and 2B. One is India Cements, you're doing the right things, when do we see the day when we actually merge it? I understand there are a few legal cases which are there. But any time lines over here. Second, not so related, R CB, it's something which the group has pursued. Any assurance from you that UltraTech's balance sheet won't be touched or it's something which is ring -fenced? I'll just wait over here, if you allow then I' ll go for the other two, sir?
Atul Daga: So, the second question, I think our Chairman himself had said UltraTech's balance sheet is ring-fenced long ago when aspersions were ma de about UltraTech supporting Voda -Idea. I think those were the days, I'm going back. Not a penny has moved from UltraTech balance sheet for any other purposes. So, we remain committed. And again, as I said unless you missed the point, I have INR10,000 crore s of capex happening every year, at least for 4, 5 years going forward, that's about INR50,000 crores of incremental capex, okay. So my operating cash flows is meant for meeting my capex requirements and for my shareholders.
Ritesh Shah: Perfect. Sounds good. Yes sir India Cements?
Atul Daga: There are those complicated legal issues, which we have inherited. As I mentioned, we don't want to take any risks with UltraTech, the main company and our main Board. And we are trying our level best to get those cases closed because they are donkey's years old cases and there's been no movement, nothing. Once we are convinced that there is no risk to us. We could look at the next phase of integration.
Ritesh Shah: Sure. Sir, I'll just try my luck. Sir, third question, RMC, we have done very well. What's the end goal over here? I think the number of plants, revenue growth, revenue growth is more than volume growth. What is correct that we are doing over here and eventually in plants to monetize this particular business? That's on RMC.
Second, sir, ESG, clinker factor, you indicated our target is 1.54x. I just wanted to get a sense by what year is this? And how do you see the ind

ustry's ratio equivalent to 1.54x going forward? I understand we are OPC heavy and we have historically maintained that whatever we do, we will have clinker backing at 70%. Is it something wh ich will change going forward or we continue to be on the same hypothesis?

Atul Daga: We will always be fully clinker backed. Second point, 1.54 x is our target to reach by fiscal '28. I don't want to comment about the industry. But all I can say is UltraTech is a far stronger company in all aspects as compared to rest of the industry. Quarter -on-quarter , I don't have to say enough data, but actual data which is available if you just sum up the performance of cement industry. Rest of industry put together and UltraTech on one side, we have delivered growth higher than the industry, EBITDA per ton higher than the rest of the industry. This doesn't come by magic , all the efforts, whether it is clinker conversions, which means composite cement, which gives me more profitability, RMC or all other aspects of ou r business, which we are doing or which help us to be far ahead. As for RMC, RMC is an integral part of our business. I don't see a need or don't see that thought process as of now to monetize it.
Ritesh Shah: Eventual target ?
Atul Daga: Sorry, what?
Ritesh Shah: Sir, Eventual targets on RMC?
Atul Daga: Target in terms of number of plants?
Ritesh Shah: So we are 3% of the volumes, like is there a target to go to 6% in 3 years, something of that...
Atul Daga: Not really.
K. C. Jhanwar : Not really in terms of percentage. But yes, we will continue to grow because RMC is the future growth engine. Obviously, the more and more urbanization is happening, I think the RMC is going to be.
Atul Daga: I think we are invested for the future, Ritesh, to be honest, to meet the requirements. And if you l ook at our UAE business, it is zero trade sale. It's all sales to RMC people. Or globally, U.S. market or anywhere else, you see they are globally bag cements are in very few places only. So RMC is an integral part of our offering and of our business model.
Ritesh Shah: Sure. Sir, I have one more question probably I will join the queue.
Atul Daga: Ritesh, this is 10A. Okay. Next one, please.
Ritesh Shah: Thank you. Thanks.
Atul Daga: Yes, thanks.
Moderator: Thank you. We take the next question from the line of Pinakin from HSBC. Please go ahead.
Pinakin: Thank you very much, sir. Sir, congratulations on a great number. S ir, one question we keep on getting from investors over the last few months is that the other industries, industries like

steel and agri and PVC has taken aggressive price hike in the face of cost pressures.

But the cement industry has struggled to raise prices. Starting in November, the price hikes have been relatively muted, even as demand has been strong. What would you attribute cement's relative underperformance versus other building material industries in terms of taking price hikes?
Atul Daga: Fragmentation of the industry is as sweet and small answer, Pinakin, that I can give you. Yes, I think that would sum up everything.
Pinakin: So sir, just taking that point forward to the second question, assuming sir, that the Middle East conflict stays where it is. We have pet coke at 160, oil at $100 a barrel for the remainder year . Does this mean that the industry would struggle to pass on fully the cost pressures eventually this year?
Atul Daga: No. If every industry is passing on the cost, so are we. March, somebody had asked me why prices are not going up in the month of March. March is never a period to increase prices because it's a volume period . Price increases always happen. And every industry has its own fabric and own pattern of behavior. July, September, monsoons impact cement industry only.
So, price increases generally are seen in the first quarter of the financial year, not in the las t quarter of the financial year And Pinakin, besides, obviously, demand -supply is always there. If demand is robust, prices go up. And you are there, I am also here. On this very day , we'll meet again next quarter. We will talk and we'll demonstrate . I think UltraTech will be steps ahead in terms of performance.
Pinakin: Got it. Thank you very much , sir.
Atul Daga: Thanks, Pinakin.
Moderator: Thank you. We take the next question from the line of Raashi from Citi Group. Please go ahead.
Raas hi: Thank you. So just on your point that the fuel cost will go from 1.77 to 1.8 in the quarter. This is due to your long -term contracts, right?
Atul Daga: Multiple things, long -term contracts, inventory, sourcing, changing the fuel mix, multiple things.
Raashi: How long do your contracts and inventory last? I'm just trying to understand that should the situation persist wherein pet coke prices sustain at like the 160 or 150 plus. When do you start feeling the impact?
Atul Daga: July, September would be some ripples that you will see, again, which we will be able to manage better than the industry because of our supply contracts and domestic sources of coal. Please end the war early, Raashi, why are you wanting it prolonged?
Raashi: No. I'm just trying to gauge that on your supply contracts, like how do these work? Like do you have them going on? I mean, it's a continuous rotation and therefore, this can persist?
Atul Daga: Yes. It will persist.

Raashi : Okay. And on the packaging side, between the fourth quarter to now, what is going to be the delta?
Atul Daga: Fourth quarter to now roughly INR9 a bag.
K. C. Jhanwar : Yes, fourth quarter to now, there was some increase and there was some decrease also. So I would say it should remain in the same range.
Atul Daga: Not INR9, sorry INR6 a bag, sorry. INR9 to INR15, so it's about INR6 a bag.
Raashi Chopra: Essentially, the price hikes that the industry has taken, should be, in your opinion, adequate for you to offset the INR6?
Atul Daga: Yes.
Raashi: Okay. And just on the industry demand, you mentioned that the industry demand likely grow at 6% to 7% in this quarter.
Atul Daga: Yes.
Raashi : Full year number is again similar?
Atul Daga: 6.5% is what my colleagues tell me for the full year.
Raashi: And UltraTech's volume expectations for FY27 like growth wise?
Atul Daga: For '27?
Raashi: For fiscal '27 …
Atul Daga: Next financial year. We would target double -digit growth.

Raashi: Okay. Got it. Okay. Thank you.
Atul Daga: Thanks.
Moderator: Thank you. We take the next question from the line of Ashish Jain from Macquarie. Please go ahead.
Ashish Jain: Hi, sir. Good evening. Sir, my first question is the price hike is sufficient to offset cost. In that you're factoring coal cost also or just packing cost, given coal, you said will not impact in June?
Atul Daga: All. I'm factoring in everything.
Ashish Jain: Okay. Sir, secondly.
Atul Daga: Except for if you take dollar to INR100, that I'm not factoring in, which is a notional deb it to P&L at the end of the quarter.

Ashish Jain: And diesel as well, which we will know when we will know ?
Atul Daga: Yes. That has not been factored in.
Ashish Jain: Yes, correct. S ir, secondly, earlier on the call, I think you said that there is a mark -to-market hit on your for ex loan, can you quantify that a nd is it above EBITDA?
Atul Daga: What do you mean above EBITDA? It's part of my cost, yes, it's within EBITDA. It's not an extraordinary item, not a finance cost . Yes, hit to EBITDA.
Ashish Jain: Can you quantify that?
Atul Daga: INR30 a ton. INR12 0 crores, INR130 crores

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Ashish Jain: Okay . Got it. Sir, secondly, you also said that packing cost impact was felt only in March month . And if I heard you right, you said it is INR90 crores just for the month. Did I hear you right?
Atul Daga: Yes. You did.
Ashish Jain: So shall we assume that that's the run rate which will continue given there's no relief on packing?
Atul Daga: No. Because as Jhanwar -ji also mentioned, prices have stabilized, we have built volumes of our inventories and doing alternate sources. Mind you, nobody, I think, would have as many sources like UltraTech does. We have almost 150 suppliers across the country supporting us with bags. We are doing some other things also to ensure we are able to source bags and maintain costs. So INR90 crores was a hit, the cost of the bag had gone up further also beyond INR15, then it stabilized to INR15 or even today, it would be INR13, INR14. Yes, it's marginally reduced. So not INR90 crores, cannot be annualized. More importantly, Ashish, we have taken care of that with price increases.
Ashish Jain: Right , right, sir. Sir, lastly, just on pricing, if you can, like shall we think that given the kind of cost inflation and all price hike is here to stay? Or you are seeing some pushback in terms of the channel or demand impact? Are you seeing that kind of concerns on...
Atul Daga: I believe it's here to stay. Because this is impacting every cement player in the country in every nook and corner. It's not a one -off. It's not one region. Everybody is getting impacted. So everybody wants to protect their balance sheet and P&L.
Ashish Jain: Right. Sir, my second question is just on India Cements, given some of the EBITDA of India Cements is ge tting booked in UltraTech stand alone, your INR1,000 per ton guidance includes that or that is what India Cements can eventually report you think in s pite of the tolling agreement?
Atul Daga: I'm sorry. I missed your question. What did you say?

Ashish Jain: Given some of the EBITDA per ton of India Cements is ge tting booked in UltraTech stand alone because of the tolling arrangement and the sales being done by UltraTech. The INR1,000 guidance, which you speak for India Cements includes that one which is getting booked in UltraTech or it is pure India Cements EBITDA per ton, which will come purely through cost savings and all?
Atul Daga: Yes. So a ll inclusive. So you will see INR 800 in India Cements books an d INR 200 of that coming in UltraTech books. But again, Ashish, don't get disheartened bec ause when we have committed INR 300 of cost improve ments and already delivered INR1 85, as the size and to the second decimal and I'm also saying that we will do more than INR300. So that gives you some indication of India Cements.
Ashish Jain: Sir, just on the long term, while yo u've kind of clarified that INR10,000 crores will be the

capex for UltraTech. The cash generation will be much higher than that in my assumption at least. So how should we think about?
Atul Daga: You just saw what the Board did. I think you were not there on the call when I spoke about dividends.
Ashish Jain: I was.
Atul Daga: It's a v ery thought -through strategy by the Board, we have presented enough position to the Board before they came to the conclusion that, yes, it's now time to reward the shareholders.
Ashish Jain: Got it, sir. That's very helpful. Thank you so much. Thanks a ton and best of luck.
Moderator: Thank you. W e take the next question from the l ine of Satyadeep Jain from Ambit Capital. Please go ahead.
Satyadeep Jain : Yes. Thank you. M r. Daga, just a follow -up question on the dividend. Heartening to see that special dividend. You have a lot of confidence in the cash flow that's significantly higher than what the capex you're looking at. So because this is a special dividend, can we expect like

a
target on dividend payout , I missed part of it in the initial, just trying to understand , or maybe increase the dividend rate. And this is also in the context of sometime back when we saw the wire and cable investment, I think you mentioned that any other investment in the building material industry for the next 5 years, UltraTech is not looking at. Just seeking a confirmation that you're looking at INR10,000 crores capex, incremental cash flow will go to as a return of capital to shareholders. Is that understanding correct? And should we not look at higher dividend rate or maybe a target of r eturn on capital?
Atul Daga: So I have my capex plan. And as I also mentioned during our commentary that we are already writing our blueprint beyond 240 million tons, 240 is already stitched. We have close to plus/minus INR15,000 crores to be spent, plus/minus I'm saying, not an exact number to be spent on that. T here will be capex on cement beyond 240 million tons further. And that is what I'm talking about, INR 10,000 crores of capex, which will happen on cement year -on-year. And yet our OCF will be large enough to reward the shareholders.

Satyadeep Jain: That I understood, but this was a special dividend. Just trying to understand, given this capex you're looking and OCF, why not consider a higher dividend rat e or maybe commit to a return?
Atul Daga: This is as high it can get. So I don't know what's your question. So, whether next year also, it will be the similar dividend, I am not the person to call that out. It depends on the OCF for the year. It depends on the Board's decision once they look at the annual performance. My guess is the direction is already visible.
And certainly, again, I also called out 2020, we were at around 10% of profit. In 3 or 4 years, we jumped to 37% of profit and that's a leapfrog jump right now. It's 3x last year's dividend, which is fantabulous. So next year also, it could remain the same. It could go up or it could come down if performance is not good, then it could come down. We will manage our Balance Sheet, we will not over -leverage the balance sheet.
Satyadeep Jain: Okay. That's heartening. Just a clarification on that. So wire and cable was an investment decision. So apart from that, no other adjacencies for next few years, right?
Atul Daga: As of now, I don't have anything.
Satyadeep Jain: Okay. J ust one last question, Mr. Daga. On the new plant that you're setting up, the on -going and the new ones you're looking at, are you adding any thermal plants here bec ause you have ambitious green …
Atul Daga: No, thermal capacity. So we are adding a higher level of WHRS, tying up renewable and several locations, grid is also available now. So we are not adding any thermal capacity.
Satyadeep Jain : Okay. Thank you so much.
Atul Daga: Thank you.
Moderator: Thank you. L adies and gentlemen, we take that as the last question and conclude the question - and-answer session. I now hand the conference over to Mr. Atul Daga for his closing comments.
Atul Daga: Thank you so much, everybody for joining us and patiently listening to us. For us, it has been a very satisfying rewarding and landmark quarte r, landmark here generating INR 3,000 cro res of PAT for the quarter, INR 8,000 crores plus of overall PAT for the year, integration done, volume growth rising and 200 million tons of capacity and a stable and growing cash prof ile that we see for our company. And icing on the cake was music to our ears when the Board considere d this dividend of INR 240 or 2,400%. So I think everything has gone very well for us this year and God willing, we will continue to deliver stellar performance year after year.
Thank you so much.
Moderator: Thank you. On behalf of UltraTech Cement Limited, that concludes this conference call. Thank you for joining us and you may now disc

onnect your lines.
Disclaimer - The transcript has been edited for language and grammar; it however may not be a verbatim representation of the call.

Call: Jul 2026

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23rd July, 2026

BSE Limited
Corporate Relationship Department
Scrip Code: 532538 The National Stock Exchange of India Limited
Listing Department
Scrip Code: ULTRACEMCO

Sub: Transcript of Q 1 FY27 Earnings Call of UltraTech Cement Limited ("the Company")
Dear Sirs ,

In terms of Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find attached transcript of the Q1 FY27 Earnings Call conducted after the meeting of the Board of Directors of the Company held on 2 0th July, 2026 , for your information and record.

The same is also available on the website of the Company viz. www.ultratechcement.com .

Yours faithfully,
For UltraTech Cement Limited

Dhiraj Kapoor
Company Secretary and Compliance Officer

Encl: a/a

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"Ultra Tech Cement Limited
Q1 FY27 Earnings Conference Call "
July 20, 2026

MANAGEMENT : MR. ATUL DAGA – CHIEF FINANCIAL OFFICER

Moderator: Ladies and gentlemen, good day, and welcome to the UltraTech Cement Limited Q1 FY27 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions afte r the presentation concludes. Should you need assistance during th e call, please signal an operator by pressing star then zero on your touchstone phone.

I now hand the conference over to CFO, Mr. Atul Daga. Thank you, and over to you, sir.

Atul Daga : Good afternoon, ladies and gentlemen, and a very warm welcome to this Earnings Call . The one big theme for us quarter after quarter is demand. If the demand is good, everything falls in line, and I'm delighted to report that the first quarter of fiscal '27 has reaffirmed that conviction emphatically. The quarter began with the shadows of West Asia conflict, ended with a de -escalation and now we know where we are. Situation is still fluid. But with a double -digit volume growth and a demand pipelin e across infrastructure, housing and urban real estate is as rich as it can be.

UltraTech has kicked off fiscal '27 with a very strong capacity base ready to serve the country, and we intend to grow like a challenger and not an incumbent. India's macroeconomic engines continue to demonstrate remarkable resilience. Even as global energy markets endured one of the most disruptive supply cycles, India's domestic consumption and investment flywheel kept turning. The Indian government is managing and planning its strategies supporting the industry at large in the country. Benchmark lending rates have remained attractive, improving housing affordability and lowering the cost of capital for infrastructure developers like us. There are near-term data points we watch very candidly. Coal sector growth slowing down in the month of May, lower coal and refinery output and aggregate state capex in April, May growing a modest 2% year -on-year. These are, I believe, timing effect and not any change in trends.

To give you a perspective of what is being announced and executed across the country because that is tomorrow's cement demand. First and foremost, if I were to call out , Maharashtra is planning a INR20,000 crore s greenfield shipbuilding cluster anchored around Mazagaon Dock. Odisha has announced a deep seaport at a place called Ganjam , shipbuilding cluster at Paradip with investment of over INR50,000 crores. Tamil Nadu has signed ~INR18,000 crores MoU for data centres and shipbuilding projects. Ports, shipyards, data centres are among the most cement -intensive asset classes in the economy. The Cabinet has approved ~INR20,000 crore s plus Ahmedabad -Dholera semi high -speed rail corridor. Metro programs continue to exp and across Ahmedabad, Bangalore, Mumbai, Pune and Uttar Pradesh. There is additional ~INR30,000 crore s infusion into NIIF with private capital across roads, ports and urban infrastructure. India's capex revival is also being propelled by power and data centres , both concrete hungry sectors. Housing and urban real estate, roughly 55% to 60% of India cement consumption has a very strong start to calendar '26. Mumbai, the heart of construction activity in India, property registrations grew about 6%. Across India's top 8 cities, Q1FY 26 saw a very big growth in the number of units sold as per the data available from registry records. Prices have remained strong for the real estate market, which means it's a structurally mature end user -driven market where

the absorption is keeping pace with supply. Bangalore stood out on the strength of GCC and technology sector employment. Redevelopment space is equally significant for cement industry. Mumbai's Slum Rehabilitation Authority is set to redevelop about 850 acres of land. Developers are

still land banking aggressively. Private sector real estate companies continue to acquire land parcels in various cities across the country. Commercial real estate is not getting left behind. India's grade A office market opened up with a very strong first quarter, I understand. Net-net, premium housing, redevelopment, office towers, hotels, this is urban India building upwards and outwards simultaneously and every square foot of it is built on cement. That gives us the confide nce for cement demand growth.

Let me now turn to our own scorecard. Q1 was the highest ever first quarter performance for UltraTech across volumes, revenues, EBITDA and profit. In volumes, you've seen our presentation, we grew about 13.1% in volume terms for the domestic markets. Capacity utilization was stronger at 81% as compared to 76% , EBITDA of INR5,146 crores and PAT of INR2,604 crores which was up 17.2% over the last year same period. Interestingly, I'm very proud to tell you, we have converted the Kesoram and India Cements brand s to 100% UltraTech. They were operating in B or C category space. We did not vacate that space. Post brand conversion, the true performance of UltraTech is visible. In fact, if you look at the brand growth, the brand has grown 21 .3% over the same period last year. Our team has been successful in converting the customers who were buying a B or C category brand of cement into a A category brand of cement willing to pay a price premium.

Our domestic grey cement volumes growth of 13.1%, I believe will be well ahead of industry's growth, translating directly into market share gains. Capacity utilization of 81% in a seasonally transitioning quarter on an enlarged 200-million -ton base speaks to the depth of our demand pipeline. This is the most important feature of UltraTech, the power of our brand.

Revenues grew 16%, EBITDA rose 12% and ever highest INR5,000 crore s plus EBITDA for April -June quarter, profits rose about 17%. Operating EBITDA per ton has been steady above INR1,200 this quarter as well. I wanted to appreciate the stability that it represents.

We have absorbed and are absorbing the sharpest imported fuel cost shock in recent memory , during the quarter , on a volume base enlarged by acquired assets that are still ramping up to system profitability , and we held per ton earnings essentially flat while growing absolute EBITDA 12%. That is cost discipline and operating leverage working exactly as designed. We hope that fuel prices will normalize in the near future. The acquired assets improvement capex - led cash flows through the P&L over fiscal '27 and '28, which will result in the per ton EBITDA trajectory only moving in one way in a sustainable direction i.e. upwards.

The discussion will not be complete if we don't talk about prices. Cement prices have been constructive during the quarter in the report. Our all India exit prices improved through June even as the monsoon now sets in, East and South led price improvements, Central and West were steady and North was more or less a consistent performer. Industry expects prices to hold broadly steady through the monsoon quarter due to the impact of increase in costs, which, frankly, is a constructive outcome for this time of year. With cost escalations of the past 2

quarters still to be fully passed through and demand momentum of the kind , we see a supportive price environment as a busy season approaches.

Our premiumization engine and blended cement in the trade mix continues to do quite a compounding work on blended realizations regardless of headline price movements. This is why our retail focus matters so deeply to us. The retail market is built around the individual customer IHP, the person, who decides what their house will be built with. For that customer, a home is a once -in-a-lifetime investment, representing a l arge pa

rt of their life's wealth. Hence, I believe
cement is not just a commodity purcha se. The customer does not shop for the cheapest bag. They reach for the brand they trust, the quality they can stake their families future on. That is the premium and that is why it endures. As India urbanizes, last data I have is about 35% of India is urban. We will reach about 39% by 2030. This compares to countries like Indonesia, which are already 59% urbanized. There's a long way to go for construction, development and urbanization.

We should quickly touch upon the West Asia crisis. Q1 '27 opened with the most disruptive situation, the Strait of Hormuz effectively closed. Nobody knew what Strait is, at least I did not know what Strait of Hormuz was before the war. Crude crossed $100 and our coal cost hit the roof. Things are still uncertain, but we are focused on achieving our targets. Through the crisis, our structural buffers did their job pretty well. Structural buffers, what I mean is our green power of about 1 ,897 megawatts met ab out 47% of our total power requirements at the end of this quarter. For the quarter, it was a lower number, but we have exited the quarter with 47% of our power being met by renewable sources, which are cheaper also. We continue to ramp up our AFR substitution and cement lead distance for this quarter has come down to 360 kilometres .

We absorbed the shock better than any peer, and we will harvest t he relief faster than any peer. Permit me briefly to be slightly immodest because the data that I want to talk about clearly shows UltraTech's power. UltraTech's volume and profitability trajectory over the past few quarters has consistently outpaced the industry. June 2022 quarter, UltraTech grew 17.7% in volume terms, EBITDA of 1,230, whereas rest of the cement industry grew about 15.5% and ~800 EBITDA per ton. The numbers continued like this, June '23, 20% volume growth for UltraTech and 15.4% volume growth for rest of the industry and our EBITDA was higher by 25%. June '24, 6.5% volume growth and rest of the industry degrew, our EBITDA was 26% higher. June '25 and September '25, we had a bit of a shock in our volumes where we degrew, but we came back with a bang. December '25 quarter, we grew 15%, industry grew half our growth. March

'26, we grew 9%, industry growing again less than half our growth. June '26, we have grown 13%, wait for the results to come out for rest of the industry, and we'll know wh ere the market share gains are.
Capex is something which is at the heart of our growth story. Fiscal '26, we completed the year with about INR9,500 crores deployed on the capex program. This journey will continue in April '26 or in this quarter, around 12 million tons of new capacity has got commissioned in the country, out of which 8.7 million tons is by UltraTech, Shahjahanpur, Visakhapatnam and Patratu , tweaking our domestic capacity to 200.1 million tons and total capacity to 205.5 million tons.

Projects under execution for capacity growth are backed by a capex of about INR17,000 crores in the next 2 to 2.5 years. We'll take our consolidated capacity beyond 242 million tons with grey cement capacity to reach 212.7 million tons by the end of fiscal '27 and further balance to be completed in the next year. Every ton of committed expansion at UltraTech is fully backed by secured limestone. There is no raw material constraint anywhere on this growth trajectory. Alongside capacity, we continue to inves t in structural cost advantages of green power, which now stands at 1 ,897 megawatts of renewable gree n power. Out of this, 71 megawatts of renewables and 19 megawatts of WHRS was commissioned in this quarter. We believe we will reach anywhere between 2.5 to 3 gigawatts very shortly. All these growth capexes, the cost improvement initiatives are all being funded with internal

accruals.
We had started the year with a net debt EBITDA of 0.94 and the quarter, we have ended with 0.87x net debt to EBITDA. Our belief is, and we are confident that this year also, we'll end the net debt to EBITDA below 1x.
The call will not be completed if I don't speak about India Cements, what a turnaround story it has been for us. There has been small murmur around the revenue numbers. Let me clarify, whilst the printed number speaks about INR1,013 crores of revenues as compared to INR1,021 crores of revenue same period last year, but there's an accounting adjustment because if you look at net of freight cost, since we have started reporting ex -factory sales from Q1 '27, knocking off the freight costs, the revenues were INR993 crores as compared to INR821 crores on a like -for-like basis, which is a 21% growth in revenues, backed by a 19% growth in their volumes. This is a clearest illustration of a principle this management, UltraTech management, holds sacred. We deliver what we commit. When we acquired ICL, we told you it was a turnaround waiting to be unlocked. Sound assets in strong markets, held back only by years of underinvestment and subscale operating discipline. One year in, that turnaround is no longer a promise on the slide. It is a trajectory you can read in the numbers. The improvement has been sequential and unbroken. India Cements' EBITDA per ton has climbed from roughly INR386 per ton in Q2FY26 to INR400 to INR509 and INR603 this quarter. Gain, which is quarter afte r quarter exactly as we said it would be. And every lever behind that number is one we own. Brand migration to UltraTech is 100% complete. Premium and trade volumes are rising. Cost improvement capex of about INR2,000 crores is being deployed into waste heat recovery, preheater upgr adation, cooler upgradation, et cetera, and a step change in the green power trajectory from around 3% of their power requirements to about 86% of their power require ments by the end of fiscal '28. You should also notice the rapid improvement in conversion ratio for India Cements. Today, we are already at 1.5x conversion ratio for India Cements production also.
Q2 fiscal '27 may look optically softer as the seasonal monsoon slowdown and the cost effects of West Asia disruption weigh on the quarter. But I would like you to look through that noise. The direction of travel is unmistakable and the destination is unchanged, and EBITDA of INR1,000 per ton for India Cements remains very much in sight with the full benefit of the capex program flowing thro ugh the P&L from Q4 fiscal '28.
Cables and Wires, the project is on schedule, on budget. We had approved an investment program of INR1,800 crores. Till the last quarter, INR888 crores has been spent or committed.

Channel partners onboarding is rapidly moving at a frantic pace. Facility setup is complete. Trial runs have commenced. Key regulatory approvals are in place. Leadership team is on board. The SAP systems, ERP systems are in place. CRM is under testing and will be live before the launch. We reaffirm commissioning and product launch in Q3 fiscal '27, October - December '26 quarter,

precisely as committed to you when we announced this investment . We will be within our capex program, which we had announced earl ier.
Let me close where I began. Demand is strong and broadening. Fuel cost, storm is a yoyo, we have to keep an eye on and wait through it, the West Asia crisis, I don't know when it will end. Our acquired assets are turning from integration effort into earnings engines. Our growth to 240 million tons is funded and under construction. And this year, we launched a new growth business in terms of cables and wires. We said we will cross 200 million tons; we did a year early. We said we would complete brand migration of India C ements and Kesoram, we did a quarter early

.
We said cables and wires would launch in Q3 fiscal '27, and it will. That consistency of delivery quarter after quarter is our foundation and commitment.
We remain very confident of a very bright future for the next quarter, the quarter after that and the quarter after that. Thank you for your continued trust in UltraTech.
And with that, I hand over the call for questions.
Moderator: Thank you very much. We will now begin the question -and-answer session . The first question is from Amit Murarka from Axis Capital.
Amit Murarka: Congratulations on a great result. My question is now on capital allocation actually, like you seem to be well on track to exceed INR20,000 crores OCF maybe next year. And you mentioned that the capex plan is like INR17,000-odd crores over the next 2, 2.5 years. So how do you think this growing cash flow will get utilized across dividends, cement capex? And is there any plan to scale up the cables and wires building material capex further?
Atul Daga: Amit, as of now, we are fully booked in terms of our cash flows. All the operating cash flows will get ploughed back into growth. And beyond that, also, there is dividends for shareholders. As of now, I don't foresee any requirement for further investment in cables and wires. They will now first mature and milk the investment that they have done. So capital allocat ion to conclude, remains very committed to cement and shareholders.
Amit Murarka: Sure, sure. And just a second question on India Cements. So, I believe most of the targets you had in mind when you acquired the business is now nearing completion. Just wanted to understand like what are the steps that remain before you contemplate, let's say, merging the business into a stand -alone entity itself?
Atul Daga: There is a capex program underway, which we mentioned has to get completed. There are some non-core assets in terms of land, which we need to dispose of . So Q4 '28 or maybe a quarter earlier, we expect to complete our journey. So, there's a lot of work still happening. When we look at operating parameters, there are certain operating parameters, which we still need to bring under control or in line with UltraTech's stand -alone performance.

Amit Murarka: And is this fair to assume this time you've not reported the stand -alone volumes in the presentation or press release. So fair to assume that the entire volume that is mentioned over there is basically stand -alone in terms of grey cement?
Atul Daga: Yes, please.
Amit Murarka: Stand -alone, I meant, UltraTech stand -alone basically...
Atul Daga: Yes, entire India Cements is part of UltraTech volume.
Moderator: The next question is from Rahul Gupta from Morgan Stanley.
Rahul Gupta: So, a couple of questions. One, you have talked about you growing faster than the industry over the past few years. Now not just on volumes, you have been outperforming on cement pricing as well. Now if we look at other large players, they are able to eith er prioritize volumes or they prioritize pricing. But in your case, despite your base, you have been gaining share on both sides. Can you please help us understand what is working for you and not for others? That's my first question.
Atul Daga: Thank you, Rahul. I think you already spoke for us, you give the answer. But nonetheless, how should I begin? I think UltraTech is a brand that customers trust. Decades of consistent delivery, bag after bag, site after site, which has made UltraTech synony mous with reliability. Quality that we swear by. Every ton that goes out has to meet our quality standards. It's not that there are no complaints , if there are complaints, product complaints, they have to get resolved ASAP. Our complete network of plants, whether it's integrated plant, grinding units or bulk terminals, everything is focused on meeting the customers' requir

ements. At Aditya Birla Group and as
much as same as at UltraTech, the legacy of governance and ethical c onduct is at its highest pecking order.
Dealers, institutional buyers, they know when they're dealing with UltraTech, that certainly is assurance for them and it requires and command a premium. We are able to meet our customers'

requirements wherever we are present with today almost 76 operating facilities spread across the country. We are within the reach of a customer with a network of nearly 2,000 plus/minus warehouses, 150,000 channel partners across the country , our dedicated transporters, almost 50% plus of our transport service providers are dedicated to UltraTech. All these things put together bring forward a power which is very unique to UltraTech. I think, Rahul, it can be a commentary or a story, which I can tell you over a cup of coffee, which might extend for a couple of hours, but my story will not be complete .
But UltraTech today is in a position with more than what, 16,000 employees across the country and the network that I spoke about, our RMC plant network, which has been rapidly growing, 477 RMC plants, 5,000 -plus UBS stores, which are dedicated dealers, if I can call them, dedicated outlets for UltraTech Cement besides any other building material clearly brings out a respect for UltraTech as a brand, which nobody else can come any close to.

Rahul Gupta : Got it. That's reassuring. My second question is partly data keeping. The last quarter, you mentioned that around INR20 per ton impact came in from the West Asia crisis. What would be that number for this quarter? And I know things are still volatile, but any guidance for the next quarter that may come up in terms of cost?
Atul Daga: Yes. So next quarter, which is July, September quarter will have a full impact of the war because we'll have all cost coming to a head from 1st of July plus monsoons. And monsoons are doing all right, if not too bad. But I know there are some pockets in th e country, which are staring at a very dry spell. But generally, if monsoons are doing all right, maintenance, we would have a large number of kilns undergoing maintenance. So, maintenance costs will be there. Fuel is expensive. We have stocked up, but the cost of fuel will go up. I would expect the cost to go up by INR130 to INR140 per ton, all put together. I can't associate one line item with war and other with something else. But all put together, we should be going up around INR130, INR140 per ton.
Rahul Gupta : Got it. And what would be one -off cost inflation in the first quarter?
Atul Daga: In the first quarter was fuel cost and packing bags. Packing bags was the biggest cost impact than fuel.
Rahul Gupta : Any way that you can quantify what that number would be overall cost?
Atul Daga: Fuel cost, it's given in the presentation, from INR874, it went to INR915 per ton, which is a 5% increase.
Atul Daga: Yes, INR25 to INR40 per ton was increase in fuel cost alone. In quarter basis, but we had seen packing bags from an average cost of INR9 plus/minus going up to INR14, INR15 also before settling down somewhere around INR10 a bag. So, from a INR9 per bag, it went up to INR12 per bag average for the quarter. These 2 elements, so INR40 was on fuel and INR20, give or take, on bag.
Rahul Gupta : Got it. Thank you so much and wish you all the best.
Moderator: Thank you. The next question is from Indrajit Agarwal from CLSA. Please go ahead.
Indrajit Agarwal : Hi, thank you for the chance and congratulations on a good set of numbers. I have 2 questions. My first question has 2 parts on demand. Part of the demand has been helped by a drier weather, particularly in the month of June. Do you think that impacts demand negatively in the second half, particularly in rural areas?
Atul Daga: Yes. There are still some dry states . I was speaki

ng to somebody in the morning. Rajasthan is going through a very dry patch right now. So that demand impact will be felt next year because they will have water crisis. The usual slowdown in monsoon quarters, June was, of course, as you said, dry, but July onwards, we have started seeing wet spells acros s various parts of the country.

Good thing is that barring 1 or 2 states, every state has experienced rains. So, it's not that bad. But it's still the first month of monsoons, we'll have to wait for August and September to tell us how the weather progresses and what is the impact of the dry/wet spell.
Indrajit Agarwal : And second part of the same question, do you see a step change in demand in East, which has been a laggard so far at least in the past?
Atul Daga: Yes. Yes, very much. Multiple states which have gone through elections, the land reforms, which is about to come in place in one of the Eastern states. The structural change, which will be visible , it's not next quarter story, but it's next 2, 3, 4 years story. East will witness good demand upcycle.

Indrajit Agarwal : My next question is on the fuel mix. Given that the correction we have seen in pet coke, let's say, in the past month or so, is it still more favourable to buy coal or do we see that mix...
Atul Daga: Pet coke has become more expensive in energy terms than coal. So yes, coal becomes more attractive to buy , domestic coal becomes more attractive to buy.
Indrajit Agarwal : Sure. And lastly, the INR130 to INR140 per ton impact that you mentioned, does it also include the impact of operating deleverage given that 2Q is generally a low volume quarter?
Atul Daga: Yes. All in, I'm looking at, maintenance cost, operating deleverage, if you want to call it, fuel costs. Packing bag luckily is not moving haywire. So, it's a usual July, September quarter impact, whether . We cannot really say it's happening because of the war, let's be honest with ourselves. It's a usual July, September quarter.
Indrajit Agarwal : Yes, because the quantum looks much lower than the seasonality. So, congratulations on that as well.
Atul Daga: That's UltraTech for you, my friend.
Indrajit Agarwal : Thank you.
Moderator: Thank you. The next question is from Prateek Kumar from Jefferies. Please go ahead.
Prateek Kumar : Congrats for great results. My first question is on if can you revisit your cost saving numbers? I think the last quarter, there were like for the next 2 years, we had like talking about upwards of INR200. Like how do you see...
Atul Daga: Prateek, what I had said also instead of looking at it quarter -by-quarter, we should look at it on an annual basis because this quarter, I show you something, and I'll have to show a negative performance in July, September quarter. Lead distance has come d own further from 367 to 360 now so,7 kilometres of lead has come down, if you annualize it at, at least INR2.5 to INR3 per ton per kilometre , that's a saving which is visible upfront. The clinker conversion has improved to 1.5. That's a small im provement. Other than that, power consumption has gone down, which is visible in my presentation. Power rate has gone down because of our power mix changes, which is visible in our presentation. But at the end of the year, we will give a comprehensive numb er. That will make more sense to do a comparison.

Prateek Kumar : Sure. And on war impact on cost curve, so it was like expected that the impact of cost would be -- I mean you also, I think, presented in a slide like last time, upwards of INR250 to maybe a higher number. So, including this INR130, INR140 cost impact next quarter, all of it is in the cost now by the end of 2Q for the company?
Atul Daga: So, Prateek, what I talked about, INR250 would be expecting for the industry gene

rally was not a very thorough number. But as I mentioned now, from where we are, now I'm speaking about UltraTech, INR130 to INR140 further increase in cost, and we would trigger measures to absorb these costs. So, we'll see what we can achieve. But cost increases could be anywhere between INR130 to INR140 per ton in the July, September quarter, and I cannot alienate what is because of war and what is the normal maintenance quarter.
Prateek Kumar: Last question on your capacity utilization of 81%. Can we like split it region -wise? And you said the East region is inflecting, but any specific demand trend on a regional basis?
Atul Daga: One second. So yes, 13.1% growth that we talk about, East was the slowest in April, June quarter, partly because of the elections, labor availability. South and North were a shade below 15%. West and Central were above 15%.
Prateek Kumar: Sure. Thank you. I will get back to the queue.
Atul Daga: Thanks, Prateek.
Moderator: Thank you. The next question is from Siddharth Mehrotra from Kotak Securities. Please go ahead.
Siddharth Mehrotra: Thank you for the opportunity and congratulations on a good set of numbers, sir. Given the backdrop in which we are now almost 30% of the overall market, and we seem to put no foot wrong. Sir, just wanted to know what do you think are, say, the top 3 chall enges for our company, from a 5 -year horizon?
Atul Daga: The challenge , I'm trying to think. I will think and come back in the queue. So, I really don't know. I'm not being hoity -toity over here, but the biggest challenge for the industry and for us would be if demand slows down, which I don't foresee happening. So, from that point of view, I think we are in a very good situation where we have 200 million tons of capacity , utilized at 81% this quarter, 200 million going to 240 million and there will be growth further very soon, we'll come back with our growth plans. As long as I think fundamentally, we believe as long as demand is there, everything else is immaterial. And as I mentioned, the urbanization factor, which is 35% in India, might reach about 39% by 2030, which is still way below as compared to most of the other markets.
So, if something were to happen structurally to demand growth and suddenly people are not

buying houses and industrialization is not happening, data centers start vanishing from India and be done in Pakistan or anywhere else, that could be an issue, which I d on't think is going to happen. So, demand remains strong. The challenge will be that we don't have capacity. We have to expand.

Siddharth Mehrotra: Got it, sir. This is well understood, sir. Sir, just wanted to check, there's a slide we have presented on raw material cost index. And I noticed that our limestone raising costs have gone up significantly, almost like 13% to 14% on a Q -o-Q basis, and they are at the highest level in the past 2 years. So, can you just tell us what has happened there? Why is this cost suddenly spiking?
Atul Daga: You know, I don't know what kind of vehicle you drive, petrol or diesel. And you didn't pay any higher price for fuel, but industrial diesel went up almost 50% from INR100 per liter to INR15 7. From INR78, INR80, my colleagues correct me from INR78, INR80 pre -war, it went up to INR150s during the war period. They had reduced it, but now I believe, again, prices are going up. So again, it's an upward movement. So, this diesel is a very big component and limestone raising cost, which impacted our raw material costs.
Siddharth Mehrotra: Understood, sir. This is essentially industrial diesel, which has been used?
Atul Daga: Yes. Industrial diesel.
Siddharth Mehrotra: Just sir, one last question. Sir, any sort of guidance or projections or any aspirations you have, say, for example, in the Wires and Cables segment, which is about to come online n

ext quarter?
Atul Daga: Sky is the limit. So, we don't give any guidance. So, we would like to be profitable , grounded and grow with the market.
Siddharth Mehrotra: Got it, sir. Thank you.
Atul Daga: Thank you.
Moderator: Thank you. The next question is from Raghav Maheshwari from Equirus Securities. Please go ahead.
Raghav Maheshwari: Congratulations, sir, on the excellent results. Sir, just one thing I want to understand. As you mentioned in your opening remarks about brand power and premiumization. My question is regarding that how do you see Indian cement industry as a brand product play versus right now going into the market as a commodity product play? And what is your view on a brand power role in the trade market today and its importance evolving over the medium to long term?
Atul Daga: Thanks, Raghav. So, I think India is a retail market. From any wild stretch of imagination, if you look at the urbanization level in the country, the demand potential that exists, the RMC mix in the country, RMC as a percentage of overall business might not be more than 20%. That clearly says that where is the remaining cement getting sold, it's in the retail market. So as long as cement or India is the retail market for cement, it will remain a branded cement play, is my view, my personal opinio n. And there is enough data available for you. As I told you, RMC, for us, it's about 3.5%. 3.5% of our sale is RMC. Our institutional customers would be 35% or thereabouts, give or take. 65% to 66% would be retail. If I marry this data point to India as a whole, as the demography of India, the spending habits of India, if you look at the number of cities, which are more than 1 million population, today, we have 63 cities which will reach to 71 cities by 2030. The point is there's a huge amount of urbanizat ion required. If you look at cities with vertical housing, there are not too many. You can count them on your fingertips and now

Indian housing is verticalizing wherein corporate real estate is happening, but large part of the country remains to be individual homebuilder.
As long as India is an individual homebuilder market, it's a retail market, and that's where the retail markets bring the requirement of brand. Very unique market in India, not just cement, steel is also branded. There are several other commodities which if you step outside India and look at those are commodities, but India, for example, TMT, my colleague is telling me, TMT rebar , Tatas have steel, which is a branded product , JSW has a retail brand on steel . Paints in India is a big brand, because it's a r etail market. Why are they brands? Because it's a retail market, and that's where cement also is in the same story. So, India is a retail market, and that's where brand play comes into picture. And I believe given the timelines that we look at, at least I don't know, very long number of years before India is fully urbanized. So, till then, you will have a brand play. I hope I have answered your question.
Raghav Maheshwari : Yes. Sir, is it a fair understanding that till the market level, we will not achieve almost 70%, 80% sales of cement via RMC or for the key customers, still the brand power will remain in the

key focus, right?
Atul Daga : Yes. And if I were to correlate this with UltraTech, out of ou r total sale of 40 million ton s or last year, total sales of 145 million ton s, 3.5% was RMC sales. This is in spite of the fact that we have the largest number of RMC plants in the country. We have today 477 plants. So, RMC will be a surrogate. You go to any other market, you step to the neighbo uring UAE, where RMC is the biggest customer for cement. And there, we don't have a brand play. As long as India is still very in its nascent s tages in RMC, India will remain a branded cement player.
Raghav Maheshwari : Got it sir. Thank y

ou all the best.
Atul Daga : Thank you.
Moderator: Thank you. The next question is from Raashi from Citigroup. Please go ahead.
Raashi: Thank you. My first question is on pricing. You mentioned that the June exit prices were higher in the South and the East. So, are you expecting like the overall monsoon quarter to average slightly higher than the prior quarter or flattish?
Atul Daga : Expecting higher is definitely everybody's desire. We will attempt it. We'll see where we land.
Raashi : Okay. Understood. Then industry volume growth would be how much during this quarter?
Atul Daga : Too early, but anywhere between 7% to 8%. We want to see some more results. But our marketing intel says it should be around 7% to 8%.
Raashi : And on the capital's expenditure, the bulk of your expansion is g etting concluded in FY 28. So, beyond that, is there anything on the drawing board yet organic? Or is it going to be inorganic if at all opportunities come up?

Atul Daga : So inorganic, obviously, if there are opportunities, we will examine them. And our team has already got on to the dr awing board to take us beyond 240 . Once the plans are ready, we will come back with absolute micro details.
Raashi : Got it. And just one last question for me. The blended coal cost was how much during the quarter? And how much is it now?
Atul Daga : 1.9 Yes, that's you're asking was 1.9.
Raashi : On a coal cost basis and on a dollar basis, do you have a number?
Atul Daga: USD134 per ton.
Raashi : And where are we at now?
Atul Daga : Would be around INR 2 per Kcal . And Raashi, INR 2, I think we won't go beyond that because we are fully inventory loaded.
Raashi : Got it. Okay. Thank you.
Atul Daga : Thanks Raashi.
Moderator: Thank you. The next question is from Pulkit Patni from Goldman Sachs. Please go ahead.
Pulkit Patni : Thank you for taking my question. Sir, my first question is more a clarification to the question Indrajit had asked. Typically, between first and second quarter, just because of negative operating leverage, you have about a INR200 increase in cost per ton . Plus, obviously, there's increase in power and fuel cost. What you mentioned was the overall increase in cost would be more like INR120, INR130 per ton . I just want to make sure that I get this.
Atul Daga : Yes. There will be INR130 to INR 140 cost pressure. And what Indrajit talked about negative operating leverage, there is a positive in that negative operating leverage also because our size has been continuously going up. So whatever volumes we sell will be significantly higher than earlier periods, which will give us still some advantage.
Pulkit Patni : But sir, still, I mean, so it will be 200 decline plus the increase in fuel cost? So tha t should be in the range of INR320, INR 330 overall, right? Is that not right ?
Atul Daga : No. I am looking at not 200 decline. I'm looking at 140 decline in terms of my 130 to 140 decline because of costs.
Pulkit Patni : Okay. Maybe I'll take it offline just to understand things better. My second question is on river linking.
Atul Daga : Pulkit, one second. What I was talking about is from the previous quarter.
Pulkit Patni : Sequentially?

Atul Daga : Sequentially, yes. I was not commenting on Y -o-Y because I think nobody looks at Y -o-Y these days.
Pulkit Patni : No. Absolutely. My question was also only sequentially.
Atul Daga : All right.

Pulkit Patni : Okay. But I'll need to get a better understanding. Sir, my second question is on river linking. You mentioned Ken -Betwa, which is the first project which is underway. Like just to understand, is river linking a very cement -intensive project, like because there could be more coming in India in the next few years. So just wanted to get a broad understanding l

ike how cement intensive
similar to like a hydropower plant would it be?
Atul Daga : Well, I don't have a comparison with hydropower plants, but river banks have to be done. Silting has to be done. And I don't know whether dams are required or not required, but river banks have to be built, which is concrete. And with the river banks being built, you have concrete structures on the either sides as well. So, we expect it to be very cement happy situation. But Vadhavan port, I forgot to mention, I should have mentioned now. I think multiple packages have already been awarded, which means that, that work will also commence for the country. So, a lot of positivity.
Pulkit Patni : Absolutely. No, thank you so much.
Atul Daga : Thanks Pulkit.
Moderator: Thank you. The next question is from Ashish Jain from Macquarie India. Please go ahead.
Ashish Jain: Hello. Hi sir, good afternoon. Sir, my first question is on dividend. How should we think about dividend? Because last year, what we paid had a one -off. Should we think it is more per share basis or as a percentage of profits, how should we think about it?
Atul Daga : Percentage of profits, that's the way our Board is looking at it.
Ashish Jain: But ex of one -off, is the more sustainable one to think?
Atul Daga : I'm sorry?
Ashish Jain : Ex of the one -off that we paid
Atul Daga : You call it special, be happy with it, but I'm expecting good dividends.
Ashish Jain : Right. Sir, secondly, in terms of pricing, let's say, in the short term, which is Q2, I understand pricing, we are hoping it to be resilient. But is there something for us to believe is a more structural change and shift on profitability focus, at least fo r us and hope that even if, let's say, input cost goes down in the later part, pricing and margins should structurally remain higher? Or there could be a focus shift to market share much faster with all the capacities that we are adding?

Atul Daga : I don't know you went too long; I have lost track of what you were saying. Can you repeat?
Ashish Jain : Sir, so what I'm saying is near term, the cost inflation will support pricing is the hope or expectation at least that we have. But in the later part, if input cost goes down, should we think that pricing will be at risk or given that we still focus on.
Atul Daga : I feel, Ashish, prices move with demand. If demand is strong, all India basis, then prices can go up. And if cost curve comes down, then obviously not necessary to prices to reduce.
Ashish Jain : Okay. Fine. Thanks a lot sir.
Atul Daga : Thank you.
Moderator: Thank you. The next question is from Pinakin from HSBC. Please go ahead.
Pinakin : Thank you sir. Two questions. If I look at the grey cement volume growth, in the fourth quarter, it was 9.3% year-on-year, in the first quarter it's 13.1%. So clearly the market is picking up. If the industry environment remains as it is, can we expect double -digit demand growth, double - digit sales volume growth for gr ey cement in FY27 for the company?
Atul Daga: Yes, we are targeting double -digit volume growth this year.
Pinakin: Okay. And what will you attribute to this acceleration in market share gains quarter -on-quarter?
Atul Daga: Pinakin, we spoke about it. I think the fundamentals of our brand are very strong. Our distribution network, our reach to the markets, our people, our quality, the brand which people trust, I mentioned about the whatever category you might want to call th e old India Cement and Kesoram brands, they were certainly not A category brands. From their own B or C category markets, we have not lost a market share. What does it mean? That we have converted that market for a customer who was happy buying B and C category at a at a particular price point, now has got convinced to buy UltraTech at a higher price. That's where our strength lies , a

nd
that is where the whole growth trajectory is, that is where we are able to do better than the industry.
Pinakin: Sure, thanks. Just on the variable cost, especially packaging and energy. Now we understand Q2 would have a delayed flow -through of the prices that were prevailing in April and May. But if we take the spot prices of pet coke, of packaging, should we expect second half variable cost to be lower on a per ton basis versus the first half?
Atul Daga: Yes, logically yes. Now the war has to go out of the way , so that oil subsides and coal and pet

coke, because ocean freight, my colleague was telling me just today, insurance premiums have gone up to 4% -5% for the ocean route as compared to less than 1%. So that is the kind of differences which the war is creating. Once the war is out of the way, thi ngs should stabilize and H2 hopefully, God willing, should be a better place in terms of cost.
Pinakin: Sure, thank you very much, sir.
Atul Daga: Thank you.

Moderator: Thank you. The next question is from Ritesh Shah from Investec. Please go ahead.
Ritesh Shah: Hi, sir, thanks for the opportunity. Congratulations for good set of numbers. Three quick questions. Sir, first on wires and cable, what is the sort of working capital days that we are looking at?
Atul Daga: So initially we will have a higher working capital because we have to pile up, ramp up inventories. But going forward and structurally we are working on financing our suppliers on cables and wires which should release working capital. So, excuse me for havi ng a higher working capital for the next six months after which we start stabilizing and coming down to 30 days plus -minus of working capital. I don't have a number readily, but that's the intent.
Ritesh Shah: But sir, specifically on the inventory days, I think , again we will be procuring from Hindalco, given the lead distance it's quite low over here.
Atul Daga: Four hours, four hours.
Ritesh Shah: Exactly, so there should be tangible benefit on the denominator on working capital over here, right?
Atul Daga: Yes, please. That's what I'm saying. So, I don't have a handle on exact number which we'll land with, but April -June '27 should be a period to see a stable number. Right now, it'll be a ramp -up of working capital.
Ritesh Shah: Sure. Sir, my second question is we've already commissioned 55% of what we are supposed to commission for the full year. We are adding almost 45 million tons FY27- FY28. Would you like to put a certain number, say for our capacity addition FY27- FY28? This is like what percentage of the market? Probably you can qualify it from a capacity share or a market share, either of it will help ?
Atul Daga: So, this I think we'll have to work out and give it to you, but March '28 we should exit with 235 million tons in India. We will end 212 million tons March '27, so that's a balance coming up to a 22-25 million tons the next year.
Ritesh Shah: As per your estimates, how much is the industry capacity addition in '27 -'28?
Atul Daga: We'll have to again recalibrate it, Ritesh, because whatever I hear some industry players are wanting to revisit their expansion plans. So, when we have a firm number there, then only I think you would be in a better position to tell me what is the indust ry growth expected. You know my number, we will reach at 235 million tons to end of March '28 from 200. something today. So, we have 37 million tons coming in '27 and '28.
Ritesh Shah: Perfect. Sir, just last question, you covered most of the variables, we didn't hear magical INR1,400 per ton number from you. Would you like to qualify timelines over here?
Atul Daga: I have already called it out n number of times. There's no point in repeating it. January -March '28 quarter without any war.

Ritesh Shah: Without any war. Okay, cool. Thank you, sir.
Moderator: Thank you very much. We'll take that as the last question. On behalf of UltraTech Cement Limited, that concludes this conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.